Power Grid Corporation of India Ltd. (POWERGRID)

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Call: May 2023

[redacted]: "[redacted]", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted]) [redacted]:
0124-2571700-719
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2571700-719
[redacted]: [redacted] -9, [redacted], [redacted], [redacted] -110 016.
[redacted]: 011-26560112, 26560121, 26564812, 26564892, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560121,
26564812, 26564892,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

30th May, 2023
To
The General Manager (Listing),
National Stock Exchange of India Limited,
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai. To
The General Manager, (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752E01010

Sub: Transcript of Investors & Analysts’ Meet held on 22nd May, 2023

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the copy of Transcript of Investors & Analysts Meet held on 22nd May, 2023.

Thanking You,
Yours faithfully,

(Mrinal Shrivastava)
Company Secretary &
Compliance Officer

1
Power Grid Corporation of India Limited
Transcript of Investors and Analysts’ Meet held on 22/05/2023
- Mr. Mrinal Shrivastava – Company Secretary, Power Grid Corporation of India Limited :
- I’m Mrinal Shrivastava, Company Secretary, Power Grid Corporation of India limited. I have the privilege of introducing our Board of Directors. They are present here . We welcome Chairman and Managing Director , Shri K. Sree kant . Right to him is G Ravi sankar, he is the Director (Finance) and Chief Financial Officer. Beside him we have with us S hri V. K. Singh , he is Director (Personnel). Our Chairman and Managing Director is joined with Director (Operations), Shri R. K. Tyagi , he is left to him and then extreme left , we have with us , Shri B. Anantha Sarma , he is Executive Director Corporate - Planning , Materials Management , and Contracts . Ladies and gentlemen , please I request you all to give few minutes to our corporate movie . Please .
- Thank you so much . Now , I request our Chairman and Managing Director to addres s the gathering with his speech please .
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- A very good morning . I think that was more a context setting video than a corporate presentation . Thank you for your time . So, I'll just briefly cover about POWERGRID , the major highlights of this last quarter , performance overview for 22 -23 outlook . We have grown to be 37 subsidiaries , showing the growth of TBCB ’s in our fold ,

174,000 circuit kilometers , 272 su bstations , 97,290 megawatts of interregional transmission capacity , system availability we will talk a little later . About 45% of the power transmitted goes through our network in the country . This year we acquired 12 + 1 ; 12 IS TS and 1 intrastate transm ission compan y under the TBC B Bidding , about 1,200 crores of tariff .

- One of the highlights in our operational performance for the year 21 -22, there is a benchmarking by ITOMS; International Transmission Operators and there we got to be the best uti lity in terms of transformer maintenance and 3rd best in terms of vegetation management . I have a slide on this going forward . One of the major achievements is that we transmitted 6.6 gigawatts from Chhattisgarh to Southern region through our Raigarh –Pugalur link. This is I believe the highest through a single line in the country and we are very proud of this because this line was commissioned during the pandemic in very difficult times and it is serving its purpose well. Coming to the performance

highlig hts of 22 -23, first on CapEx. We have done capital expenditure of 9 ,200 crores against our target of 8 ,800 crores for 22 -23 and we have capitalized 7 ,413 crores of assets both the numbers on a consolidated basis.

- POWERGRID Medinipur Jeerat, this is in Wes t Bengal , Bihar , Jharkhand . This system has been completed , Bhuj which was critical for RE evacuation from Gujarat . Rampur Sambhal Intrastate Transmission Project in UP , and Bhind Guna; this is an intrastate transmission in Madhya Pradesh ; both these have been completed in this

year . We added 29,000 MV A of transformation capacity , 9 new substations , and 2,972 circuit kilometers of lines . Operational performance , we maintained consistently 99.8 %+ availability , 99.75% is the threshold for incentive as you are aware and we have been consistently above that . In terms of reliability , tripping’s per line per year have come down from 0.34 to 0.27 in 22 -23. Yeah, this is the ITOMS ranking International Transmission Operatio n & Maintenance Study. T his is an independent study of participating transmission utilities all across the world , I think about 26 such utilities have participated and this measures performance on two parameters ; cost and efficiency . So, POWERGRID is in the top quadrant , best performance quadrant of high efficiency and low cost both for transmission lines as well as substation maintenance .

- So, we are one of the six utilities globally who participated in this study and are in the top quadrant and it shows the best internationally comparable performance parameters of POWERGRID in terms of operation s & maintenance . Some of the new technologies we have adopted , methanol marker test kit for assessment of the insulation of our transformers and reactors . We have introduced resin impregnated bushings at 765 K V. These have been introduced in the line reactor at Satna and then we started with a model for detection of line defects through AI & ML. So, we created inhouse model , which will identify based on image processing the defects , so we expect this - right now it is in demo version or what is the before we go for it's in the proto kind of a thing , it is having an accuracy of more than 70% in this and we are expecting it to co me full -fledged in the current financial year .

- We have released the numbers on Friday , so I will not dwell much into this . This quarter we had a consolidated income of 12,557 crores , 13% growth . PAT had gone to 4 ,320 c rores . Annually , the revenues were 45,968 crores on a standalone basis and 46,605 crores on a consolidated basis and consolidated profit has been 15,417 crores . Last year , we had an InvIT Monetization Program due to which the profits were higher by about 3,700 crores . This year you won't see that , so if you adjust for that, still we have a good 10% growth in the profits . In terms of our capital work in progress as of 31st March , it is about 14,752 crores . Our debt equity has improved from 63 :37 to 60 :40. Return on net worth is 18.57% compared to 18.89% last year and EPS has been 22 .10. Some of the other key data which you seek , we have put it here . That will be available on the net shortly . Surch arge income has come down this year to 182 crores compared to 375 crores , incentive has gone up 544 crores , and then average cost of borrowing is at 7.5%. Marginal increase maybe 40 -50 basis points compared to last year . Dividend , we have increased the payout from 60 % to 67% just to maintain the ■14.75 per share which we gave last year and we are balancing the requirement of equity infusion for our CapEx and the payout .

- As I mentioned several times in the past as well , we don't want to keep idle cash, so to the extent we need , we will retain the equity and then we will distribute . Telecom , one of the major segments we have other than transmission . Thi

s year the income has been 729 crores . One major development C ERC has approved the

formation of subsidiary and transfer of telecom business to the subsidiary , so we hope that by next quarter we should be seeing the telecom business hi ved off into a separate subsidiary . ILD connectivity also we have got the licenses , we have got the
3
equipme nt, and we are going to start this business as well . So, we expect to give more focus to the telecom business in our quest to cross four -digit turnover through this separate subsidiary . Consultancy , again formed a subsidiary POWERGRID Energy Services Lim ited, we will transfer this consultancy businesses and also the various other businesses such as metering and operation maintenance solar into this new subsidiary . Coming to commercial performance 44,000 crores of billing, 43,688 of realization ; about 99% realization . We improved in terms of debtor days significantly . Whatever has been settled under onetime settlement or the late payment surcharge rules , we have been receiving very regularly . In terms of the works in hand today it's abo ut 50,000 crores , ongoing RTM about 11,500 , new where we are yet to give the investment approvals 25,000 allotted but yet to take off.

- TBCB project s under execution are about 13,000 crores . Again , we have targeted this year about 8 ,800 crores of CapEx, but I think there is a potential to push this up . Overall if we look at these sectoral growth opportunities , as you are aware there is a significant push for the renewable generation capacities and transmission plan for 500 gigawatts up to 2030 has been drawn and released by the government . So, adjusted for the projects which have already been bid out , we see today by 2030 an opportunity of 1,90,000 crores in the Interstate transmission system , about 1,96,000 crores in the intrastate , cross -bord er transmission about 20,000 crores , and then there is on top of it whatever green hydrogen requirement is there , so for that there will again be transmission . So, by and large we see a sectoral investment in excess of 4 lakh crores in the transmission se ctor in the next 7 -8 years kind of a time -frame . So, that shows definitely a significant opportunity set for the company even after we factor for T BCB and the competition . Of course , there are other areas which we are pursuing , I hope that in solar gener ation , we will be able to start something this year . We have invited bids in 2 2-23, but then we got a higher price , but now with the change in the rules for sourcing , we expect better prices . We have already invited the revised bids and they are under con sideration . Smart metering , we have given the offer for 67 lakh meters to Gujarat , it is under consideration . We hope that it will be soon settled so that we can start this work . International transmission project is in developer mode . We got the approv al from the Kenyan government for a PPP mode project in Kenya with about $250 million investment in association with Africa 50. So, we are now entering into the project development phase with the KETRACO . Few of the awards , Platts Global Energy under corporate impact critical response category , ATD for talent development , one of the best companies to work for in India. Then, CSR World Award , best organization for women 2023 by Economic Times . So, I conclude here my presentation . Thank you for your pa tient hearing .

- Mr. Mrinal Shrivastava – Company Secretary, Power Grid Corporation of India Limited:

- Thank you so much , CMD , POWERGRID . Now, the floor is open for interactive session . I request the participant s to please introduce themselves with the name of the organization they are associated with before asking the questions . Thank you so much . Please .

- Mr. Mohit Kumar – ICICI Securities:
4
- Sir, good afternoon . I'm Mohit Kumar from ICICI Secu

rities. S o, my first question is on the transmission CapEx, as you said 4 trillion number , which includes the interstate , intrastate, and the cross -border , my question is the government has lined up 2.4 trillion which is for renewables , so how do we marry all these number with 2.4 trillion and secondly do you see the intrastate transmission activity picking up ? We're still talking about 88 billion CapEx in FY24 while the requirement is as per your projection roughly 500 billion , so when to expect this number to go up for us and the industry ?

- Mr. K. Sreekant -- Chairma n & Managing Director, Power Grid Corporation of India Limited:

- Yeah, 190 number is flowing from the report of the CEA for the interstate transmission setting off whatever projects which have already been bid out . The other s are our estimate s. Further , when will these intrastate transmission s come into play , there are right now UP for example is coming out with 3-4 bids for intrastate transmission , but some of them are doing it on their own and it is a bit delayed . Inter state projects are quickly coming . But int rastate , I'm not able to put a

finger and say it will come so quickly or not . But overall - see 8 ,800 crores which we targeted was kind of based on last year estimate so to say . When all these projects have not yet been fully decid ed, so that is why I'm saying I'm optimistic that when the revised estimates are made , we may increase this CapEx.
- Mr. Mohit Kumar – ICICI Securities:
- So, the related question is that are we seeing transmission bidding activity picking up massively in FY24 ?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Yes, definitely .
- Mr. Mohit Kumar – ICICI Securities:
- So, what is the number - you ballpark number you can talk about ?
- Mr. K. Sreekant -- Chairman & Managing Directo r, Power Grid Corporation of India Limited:
- It is very difficult to put a ballpark number because it is a function of the projects which come and how much we will win in the TBC B mostly , but I'm very sure that there is a secular increasing trend in the tra nsmission investments .
- Mr. Mohit Kumar – ICICI Securities:
- Sir, second question is on the monetization right . We have been talking about for this for last few years , but are you hopeful of doing any monetization or you're looking for alternate opportuniti es to monetize ?

- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- We have the issue of monetization of cash flows , when we d id the first tran che, the NMP was not released . So, we transferred the shareholding to the InvIT and you know of our five operating assets . After the N MP has been released , there has been a very subtle shift in the stance that ownership will not be transferred , there will be a transfer of rights to the cash flows and then the assets should come back to the original owner and so on and so forth . So, in that matrix , we found rather than InvIT model , securitization of cash flows to be a better opportunity . A more cost effective , easy to do transaction , so that is what we hav e done this year . We have raised more than 3 ,400 crores - 3,400 plus crores in this year through securitization . So, monetization , securitization I mean i s fundraising ultimately at the end of the day . Whether we use the InvIT model or not going forward , we are not very sure about it . In the sense, w e have to evaluate it, any given time what is the cost of funding ? what is the government policy framework for that ? and then take that call and at the current moment securitization is a better option , which we have done .
- Mr. Mohit Kumar – ICICI Securities:
- Sir, lastly on the consultancy income , revenue is negative for the fourth quarter what is the reason ?
- Mr. K. Sreekant -- Chairman & Managing Di

rector, Power Grid Corporation of India Limited:
- So, there was a certain change in the terms of one contract with the government , so we had to make adjustment for that revenue for the past periods .
- Mr. Mohit Kumar – ICICI Securities:
- Has this any impact on the profitability ?
- Mr. K. Sreekant -- Chairman & Managin g Director, Power Grid Corporation of India Limited:
- Yeah definitely .
- Mr. Mohit Kumar – ICICI Securities:
- How much can you quantify that number?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- About 150 crores .
- Mr. Mohit Kumar – ICICI Securities:
- Okay. Thank you, Sir. Thank you.

- Mr. Ramesh Bhojwani – Mehta & Vak il:
- Sir, Ramesh Bhojwani from Mehta & Vakil. F irst and foremost , your presentation is all-encompassing , it has covered each and every detail and every aspect of the company , and very heartening to see that you have registered a growth of 12% in the top li ne and a 10% in the bottom line . Would like to know will this be improved upon in the coming year or will it be maintained at the same levels ?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India

Limited:
- No, I mean it is a function of our asset addition and also you know , I don't think I mean double digit growth , 10% continuously is difficult to maintain , let me put it very clearly .
- Mr. Ramesh Bhojwani – Mehta & Vakil:
- But top line of 12% is achievable?
- Mr. K. Sreekant -- Chair man & Managing Director, Power Grid Corporation of India Limited:
- No.
- Mr. Ramesh Bhojwani – Mehta & Vakil:
- No. Okay. Second thing you mentioned that you are in the process
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of Indi a Limited:
- We should be seeing around 7 %-8% kind of growth.
- Mr. Ramesh Bhojwani – Mehta & Vakil:
- 7%-8%, okay Sir.
- Mr. Ramesh Bhojwani – Mehta & Vakil :
- Sir, the second thing is that you mentioned you are actively executing or pursuing the 67 lakh smart m eter order from Gujarat. Because smart meters I bel ieve are a need of the hour looking at the T&D losses or putting it plain and simple, p ower thefts happening all around the country. So why only Gujarat? Why not on an all India basis a tender be floated and or these meters be installed?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- We have a joint venture called EESL. It in turn has a joint venture called Intellismart. This Intelli mart and EESL, both are into sma rt metering business. We have been mandated by the government to put up one crore meters under nomination route.

So that is how we have gone to Gujarat. We have a demand for about 67 lakh meters there. We are pursuing that.
- Mr. Ramesh Bhojwani – Mehta & V akil:
- And l astly , as you have isolated, separated, created a telecom subsidiary and a consulting company subsidiary a re you intending to take both these subsidiaries public going forward in the coming year?
- Mr. K. Sreekant -- Chairman & Managing Director , Power Grid Corporation of India Limited:
- That is premature at this stage. Let us see how they go, how they do this . Telecom definitely has a certain potential.
- Mr. Rohit – Antique Stock Broking Ltd.:
- This is Rohit from Antique Stock B roking . So, you said something about the data centre business an d international transmission projects in developer mode. Could you throw some colour on it, w hat exactly the opportunity size, the quantum, the numbers ? That will be really helpful.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation o f India Limited:
- In the international transmission, we are pursuing two opportunities. One in Kenya and one in Tanzania. Tanzania is still behind. We are engaging with the authori

ties.
But in Kenya it is much more advanced. We have covered lot of ground an d we got the in-principle approval to start with the discussions for the contractual documents and all. For the transmission system in Kenya, the investment there is about $250 million. So, we will be having I think 40% stake and Africa 50 will have 60% st ake in SPV equity. So, this is the opportunity set. What we are now required to do is we have given a definitive proposal to them. So, we have to now negotiate the transmission service agreement, payment security and things like that and execute it once we get the final approvals. Tanzania also I think is about 400 million. But then it is still at an early stage. Besides these, there are no concrete proposals which we are pursuing. I mean, this is we are eager to do in Africa, but then we want to go with Africa 50 or some way where the risk of that investment is mitigated either implicitly or through some agreements.
- As far as data centre business is concerned, we got approval of CERC to set up one at our Manesar complex. T hat is , we are in tendering stage. Once we have certain grip on it, then we would like to pursue it further. But r elative to our transmission, this is not going to be a very significant business. B ut within the t elecom, it will be significant. So, the idea is that because it is remaining within the larger balance sheet, it is not getting the due attention. So, once it goes into a separate company

with their own revenue targets, so they should be able to push this further.

- Mr. Rohit – Antique Stock Broking Ltd.:

8

- Just to add on this, if you could touch upon the g eneration part, how big is that number that you are strategically pursuing?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- We have a bid right now for 85 MW in Nagda, Madhya Pr adesh. As I mentioned, we did one round of tendering, but the prices were a bit high. So, with the change in procurement, we have again gone for tender. In addition, opportunity of another hundred megawatts at three, f our sites together is there. So overall, we have about 260 odd megawatts, which is available and which we want to pursue. So, our target is to get 50% of our total energy consumption through renewable sources, either in house or through contracting by 2025. This is also part of our SGD initiatives .
- Mr. Rohit – Antique Stock Broking Ltd.:
- Sure. Thank you.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- We have today around 8.5 MWP of solar, rooftop solar at different locations. But those are all smaller installations.
- Mr. Shubdeep – Novama:
- Good morning, sir. This is Sh ubdeep here from Novama. I have two questions . Firstly, on the H VDC projects, would you be able to give us an update as to how do you see those four large HVDC projects coming up in terms of tendering and ordering activity?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- I think they will come for tendering sooner. I think one of them is under reconsideration, whether it should be H VDC or not but the Fatehpur -Bhadla system, that one is more likely to come so oner for tendering. Globally, HV DC demand is very high right now, so it will be quite a c hallenge to meet the timelines a lso, because in Europe, and all because of RE integration offshor e, there is a lot of HVDC demand and supplie rs are only two, three. So, it is a challenge.
- Mr. Shubdeep – Novama:
- Sir, do you see the domestic suppliers of HVD C technology not really having the ability or facing some kind of technolo gy shortfall in case th ese?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:

9

- No there is no technology shortfall. Don't mistake me. There is no technology shortfall here. It is

the capacity constraint. It is the manpower constraint which can come in the way of meeting these tight timelines, because global demand is very high.

- Mr. Shubdeep – Novama:
- Understood. So, we understand that the Le h Ladakh project might take some time to come in terms of ordering. I s there any other project that y ou mentioned which is now being reconsidered?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Leh Ladakh is right now, studies are going on. We have to do FEEDS , what is called front e nd engineering and design stu dy, FEED study . Typically , we used to in the past award the contract, and then this design used to take place. But b ecause of the harsh weather conditions, geographical conditions of that place, it is not possible to give a good bi d without doing much of th ese design aspects first. So, we have engaged Hitachi as well as Siemens to do their study. So, they are doing the study in two parts. First , part they will do the system, that is the network studies. B ecause in that location there is lot of inverter -based generation. It will be wind, solar, and then there will be battery. So, all these three inverter based will interact with th e HVDC system and the network. So, there is no other source of power there. Because of that, they need to do detailed ne twork studi es first to determine the parameters of their system and it is unique to each service provider. So that is one. The n the y will do studies to design the IGBT, the controllers and the other equipment, the hardware, because it has to operate in those temperat ure conditions, there is issue of cosmic rays and so on and so forth. So, they have to design. So, these two studies will take place then they will be in a position to freeze their technical parameters to

make a good bid. So, the work is on. It is not that work is not on. Work is on but only thing is we don't have a bid and ordering in the conventional sense of it. Otherwise we have placed two orders. One order on Siemens and one order on Hitachi to do the studies .

- Mr. Shubdeep – Novama:
- Understood. Which is the project that you mentioned is now being reconsidered. Is it the K havda project?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- I think the K havda project …I have to check that.
- Mr. Shubdeep – Novama:
- Okay, understood.
- Mr. R. K. Tyagi – Director (Operations) , Power Grid Corporation of India Limited:

- From Khavda to Akola .
- Mr. Shubdeep – Novama :
- Understood.
- Mr. R. K. Tyagi – Direct or (Operations) , Power Grid Corporation of India Limited:
- Khavda 2, KPS 2
- Mr. Shubdeep – Novama:
- Understood, t hank you. Last question from my side. You also had some plans of partnering with d iscoms and partnering on the CapEx side of discoms or the intere st rate CapEx a nd I think there were some discussions …
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- They have not taken off.
- Mr. Shubdeep – Novama:
- Understood. Thank you so much.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- I stand corrected. The Tanzanian investment is about $300 million.
- Mr. Sagar – Fintute Investments:
- Good morning sir. Sagar here from Fintute I nvestments. I have a couple of questions. The first one is from the stage l ike the Smart Meter project that you took . Based on the last c all’s data , you shared that the project Cap Ex would be something around 5.5K to 6000 Cr. and we would be generating an income of something around Rs. 700 crore on annual b asis. So d on't you think it's a bit of an RO E dilutive? And I just wanted to ask, based on this, like whatever projects or CapExes that you are doing, what is the IRR that you are targeting or the payback period that you have

in mind
before you take any pr oject ? On an average, what is the rule that you follow? The second question would be on the debt schedule, like the current debt that we have . Are we comfortable on it? What are we looking in the next couple of years and what could be our peak debt s eein g the CapExes which are planned? Th at will be all.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- As far as smart meters is concerned , relative to our size and all, it is not a very b ig opportunity, but it is not RO E dilutive. It is certainly not R OE d ilutive. It doesn't require so much of investment a lso, that is what we realized . Because the moment you install the meter it will start earning its own. So, there is lot of cash flows wh ich

it throws up. So, it's not R OE d ilutive . As far as the current… I mean , payback period is quite long for a transmission asset. I don't think payback is the right measure. But as far as returns are concerned, because of competition, we have to go with the market. We cannot have a targe ted benchmark like ROE 15.5% w e will do a project, otherwise we will not do the project. No, that will not work. We have to see what is the current market c ondition and fight accordingly b ecause it is all competitive bidding .
- And peak debt, I think peak de bt, we have already crossed in a wa y because today we have 125,000 and 60 :40 debt equity ratio. I remember we used to be arou nd close to 69 :31 kind of numbers for debt equity. So , we have pared down indebt quite a bit and not only repayments, but also internal accrua ls and then the decli ning capital investment , all these have contributed to this improvement in the debt ratio. Absolute number may go up a bit . That's not the key measure. But i n terms of the ratio, we have crossed the peak.
- Mr. Sagar – Fintute Inves tments:

- Okay. Sir you said that we do competitive bidding. There's no ballpark numbe r that we can give on returns. B ut something like …so, if you could just give me an average. So w hat was the average returns on whatever CapExes you took in the last three t o four years? What could be the assumption in the CapExes that we have….
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- See the last three year results are before you so you can make an assessment what we are maki ng or what we are not making. I'm not going to give any number on that and I am not going to even disclose what is the kind of rate of return for which we are targeting or bidding. It is a competitive market out there. We have to get a market share. We can 't leave the market totally out and wait for the best returns we have in mind. So w hatever market is offering, we have to take it and then wait for opportunities.
- Mr. Sagar – Fintute Investments:
- Thank you, sir.
- Mr. Atul – City Research:
- Sir, I'm Atul fr om City Research. Just a couple of questions. Could you elaborate on capitalization plans for FY24 and 25?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Okay, I'll just give it to you. A ny other next question ?
- Mr. Atul – City Research:

- And sir, m y second question is on your comment regarding th e asset monetization strategy. So of course, securitization is an easier way, but after all it remains a debt on the balan ce sheet while injection into InvIT, the money com es as equity to the company. What are your thoughts regarding that difference between debt and equity?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Yeah, 23 -24 we are likely to do about Rs. 10,000 -11,000 crores of capitalization. I f you do transfer to InvIT and all then there is a counter to it in the argument that it hampers the growth or there is no growth and continuou s cash flows will not be

there . Debt is not all that bad. We have only 60 40. We have the capacit y to take that debt and it doesn't matter in TBCB how much debt you inject or you don't. So w hy we should be …I mean, it's not that debt is to be avoided. We are not too high ly levered that we need equity, okay? We are generating enough internal resources. So as on date, from purely cost of funding point of view, sec uritization is more beneficia l.
- Mr. Atul – City Research:
- Yeah.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- The margin or the delta between raising through InvIT and raising through securitization is a bit steep today compared to what it was when we did the first transaction. So, we believe today this suits us better, it is good for the company. So we are adopting this.
- Mr. Atul – City Research:
- Thank you, sir. And one more. F or financial year FY25 , I know obviously Cap Ex and capitalization numbers would not have been frozen as of now, but could you qualitatively comment? Could we see, say a substantial increase from this 90 00 and 11,000 crore rupees number or will it likely be in the ballpark of say 5 -10% only?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- No, it should be higher than that. That is what the first question was about. So we believe that 24 -25, 25-26 should see a substantial pickup in the Cap Ex because that will be req uired to support the kind of RE expansion that is planned. So definitely it will be there.
- Mr. Girish – Morgan Stanley:

- Sir, Girish from Morgan Stanley. J ust on your internationa l business that you just spoke about, a few clarifications . Is this a dollar tariff? And the 250 million, is that 100% of your stake? And the third one was….
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:

- No, 250 million is the project size.
- Mr. Girish – Morgan Stanley:
- Project size.
- Mr. Girish – Morgan Stanley:
- Okay. What kind of return s shoul d be normalized? Will it be i n line with your regulated returns or it'll be lower than that number ?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- See, in Kenya there is no concept of regulated return. So, we have to engage with them. We have been engaging with their regulator about the availability -based tariff for transmission. Otherwise there is a system of payment on a per unit basi s. So, we said that won't work, y ou need to adopt the Indian system of payment o n availability. That in principle they have agreed, but t hose contours have to be drawn and also… but let me put it this way, that our partnership with Africa 50 has been on the fundamental that the returns are much attractive.
- Mr. Girish – Morgan Stanley:
- And how soon do y ou close this…I mean, the firm approval s from…
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- This year we are targeting to do the financial closure for the Kenyan project.
- Mr. Girish – Morgan S tanley:
- So, it will be executed over next two years , FY25-26?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- 2-2.5 years it should be executed.
- Mr. Girish – Morgan Stanley:
- Thank you.

- Mr. Bakul Gala – Ad Factors :
- Last one or two questions please. Over there, mic please.
- Ms. Deepika Mundra – JP Morgan:
- Sir, this is Deepika Mundra from JP Morgan. Regarding the bidding pipeline, I think last time you all had mentioned that you're looking at close to Rs. 60,000 cror es of new project bids coming up and of course, last few months we' ve seen POWERGRID win a substantial number of projects. Can you give us some color as to how does the bid pipeline look for the next couple of years? And i n terms o

f the competitive intensi ty and number of players that you see participating now, is there any difference.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- In terms of competitive intensity, there is not much change. Though th ere were two projects recently, I won't take them as indicators. There were only two bi ds, but those are very small projects . So I won't draw much meaning from them. There were only two bidders in those two projects. The projects are very difficult and very small. In terms of our bidding pipeline about 31,000 is right now un der bidding. So it is continuously coming.
- Ms. Deepika Mundra – JP Morgan:
- And sir, an y update on when are we likely to see the C ERC tarif f for the next five year block i n terms of , when are you exp ecting the first draft paper to come?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- It will come anytime. They will first issue an approach paper, t hen a draft regulation and all so…t hey are working on it . Typically, they issue the regulations in January or so…
- Ms. Deepika Mundra – JP Morgan:
- Okay, thank you.
- Mr. Sudhanshu Bansal – JM Financial:
- Sir, this is Sudhanshu Bansal from JM Financial. Sir, in telecom business particularly, how do we see mon etization of this opportunity? And i n next five years, what is our vision for that?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- No, telecom w e are not looking to do any monetization.

- Mr. Sudhanshu Bansal – JM Financial:

- Monetization, I mean the opportunity like user opportunity …
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corpora tion of India Limited:
- Opportunity is good , telecom opportunity is good. See we have about Eighty plus thousand kilometers of OPGW. Our network is on top of the towers so it is rodent free and it is very reliable. Near 100% backbone availability we are giv ing. So we have good set of customers and we are increasing it. Our target is this year to get thousand crores income.
- Mr. Sudhanshu Bansal – JM Financial:
- I'm just interested in knowing the long -term vision like, how we are going to capitalize on this ? So much of assets we have . In the time like today, it's Rs. 1000 crore. Let us say after five years how much it will be.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- It's very difficult. I won't hazard such numb er. But t he issue is there is an increasing demand for quantum but the prices fall. Telecom is such a business, the prices continuously fall . 10% discount is like a norm. So i t's very difficult to kind of project that we will become Rs. 1200 crore, 1500 li ke that and I won't hazard such guess.
- Mr. Sudhanshu Bansal – JM Financial:
- Thank you, sir .
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- But t he idea to separate it out is to insulate from any kind o f you know some future shock like that AGR demand and second to give more focus and kind of see that growth and whether at some good time we can take it out public or do something. So that kind of opportunity is there.
- Mr. Koundinya – JP Morgan:
- Yeah. Hi sir , Koundinya from JP Morgan a gain . Thanks for the opportunit y. Sir, I just want to understand a bit on a capitalization front. FY24 capitali zation was still maintained 110 billion d espite a sort of miss in FY23 and I understand it's a project business therefore there could be some spillover effect. So s hould we understand that maybe FY24 guidance is sort of conservative and th ere can be an upside over there?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:

- Upside over Cap Ex or the…
- Mr. Koundinya – JP Morg

an:
- On the c apitalization fr ont.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Capitalization will g ive 10 -11 thousand kind of guidance.
- Mr. Koundinya – JP Morgan:
- I mean that i s, I am asking this question because in FY 23 there was a miss . So, if there is a spillover ideally it should have picked up in FY 24. So…?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation o sf India Limited:
- That is factored here.
- Mr. Koundinya – JP Morgan:
- That is sort of factored, un derstood. An d sir on the receivables front I can see sort of improvement. I s it driven by that Pugalur project where there were some pending receivables or ...?
- Mr. K. Sreekant -- Chairman & Managing Dire ctor, Power Grid Corporation of India Limited:
- Pugalur Project ther e has been final tariff order so we got the money. T he late payment surc harge rules and the subsequent payment system it is working well. So, we are getting all the money whate ver arrears for Pugalur , they also settled that.
- Mr. Koundinya – JP Morgan:
- Understood. Lastly, if I may ask one more question . On the peer benchmarking that based on the study if I look on the substation front I think there's still some scope for improve ment when compared with the peers. Correct me if I am wr ong and given the substantial RE integration that needs to be done and with significant Cap Ex over there on the subst ation front, do yo u see some scope of improvement o r if you can also throw some col our on competition within India over there, how we rank in that front? Thank you very much.

- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- No substation front y ou are very right. In terms of cost, we are closer he re than that. We are trying to make efforts in that direction. It's a continuous process. Actually we are also reviewing , maybe you can supplement in terms of what we are doing to reduce cost. You have been very quick to catch this, I must say.
17
- Mr. R. K. Tyagi – Director (Operations) , Power Grid Corporation of India Limited:
- Actually, it is comparative studies. If we do better, other utilities also do still better. So, to maintain a very efficient at low cost is a challenge. However, with the technology we are trying to o ptimize our cost for operation a ll stations are remotely operated, remotely controlled as on today. Now we are working in the direction of patrolling by helicopter , patrolling by drone and even for transformer and breakers asset health i ndexing we have introduced. So, we a re hopeful that our performance and our efficiency will further improve. By that way , we can still improve the efficiency and cost for substation equipments a lso.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- In substa tion big cost is manpower cost, o kay? So, on manpower cost you cannot reduce beyo nd a point. We are trying to do… through TBCB how we are trying to …that is the reason to shift it to P ESL. Through P ESL we will adopt a model which can have more outsourcing, more different wage structure so that we can reduce the cost. So that is one idea.
- Mr. Koundinya – JP Morgan:
- Sir just on that, I mean how do we compare with the peers within our country when the competition exists essentially TBCB projects out here. If you can throw some colour on that.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- How do w e compare? I will not compare. But w e are fighting for that market share and then w e are trying to evolve our business model in terms of what manpower deployment, what kind of maintenance practices. We have identified few elements of cost which are high in our case structurally because of the …say for example, security. W e have to follow

a certain security protocol, certain sourcing of security services and that pushes up the cost. So, we have to navigate through that and find ways. And if we cannot reduce it, then we have to sacrifice something else. Of course, th ere is always a constant effort to identify because O &M cost is a significant part of that tariff. It moves the tariff significantly.
- Mr. Koundinya – JP Morgan:
- Sir, if I may squeeze in one more question . Sir just on the TBC B front how do the lenders diff erentiate between your RTM projects and TBCB projects with respect to interest rate differential or terms?
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Why do they have to differentiate?
18
- Mr. Koundinya – JP Mor gan:
- Okay, so essentially you mean to say the terms and rate of interest remain the same.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- Yeah, I mean we are giving them the balance sheet. How does it matter wheth er we put it on the TBCB or on RTM ?
- Mr. Koundinya – JP Morgan:
- Got it, sir. Thank you very much.
- Mr. K. Sreekant -- Chairman & Managing Director, Power Grid Corporation of India Limited:
- So, we can conclude.
- Mr. Mrinal Shrivastava – Comp any Secretary, Power Grid Corporation of India Limited:
- Thank you so much for so much of active interaction with our team of Board of Directors. We would like to convey that our lunch , you are all invi ted to the lunch. It will start, there is a bit time in that. We will start at 1 2:30. Thank you.
End of Transcript

Call: Aug 2023

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0124-2571700-719
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2571700-719
■■■■■ ■ ■ ■■■■ ■■■: ■■ -9, ■ ■ ■■■ ■■■■■■■■■■ ■■■■■, ■■■■■■■■ ■■■■, ■■ ■■■■ -110 016.
■■■■■■: 011-26560112, 26560121, 26564812, 26564892, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560121, 26564812, 26564892,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

8th August, 2023

To
The General Manager (Listing),
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager, (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898 EQ – ISIN INE752 E01010

Sub: Transcript of Investors & Analysts’ Meet held on 01st August, 2023.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the copy of Transcript of Investors & Analysts Meet held on 01st August, 2023.

Thanking You.
Yours faithfully,

(Mrinal Shrivastava)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited

Q1 FY 2023-24 Earnings Conference Call

August 1, 2023 10:30 AM IST

Management Team:

i) Shri K. Sreekant - Chairman & Managing Director

ii) Shri G. Ravisankar - Director (Finance) & CFO

iii) Shri Abhay Choudhary - Director (Projects)

iv) Shri R. K. Tyagi - Director (Operations)

Mohit Kumar: Good morning. On behalf of ICICI Securities, I would like to welcome you all to the Q1 FY '24 Earnings Call with POWERGRID Management, discuss the company's business and share the performance outlook.

Today we have with us the entire senior management team of POWERGRID. It's my pleasure to welcome and introduce Mr. K. Sreekant, Chairman and Managing Director.

CMD: Good morning.

Mohit Kumar: Mr. G. Ravisankar, Director (Finance) and CFO.

Ravisankar: Good morning.

Mohit Kumar: Mr. Abhay Choudhary, Director (Projects).

Abhay Choudhary: Good morning.

Mohit Kumar: Mr. R.K. Tyagi, Director (Operations).

R. K. Tyagi: Good morning all.

Mohit Kumar: I would now request the CMD to make opening remarks and presentation, subsequent to which the floor will be open for Q&A. Over to you, sir.

CMD: Thank you, Mohit. A very good morning to all the participants. Welcome to the Q1 '23-'24 call. I'll make a brief presentation, following which we'd be open to answer your queries. In overview, I think the only change you will find is the number of subsidiaries, more TBCB companies have been acquired, so, the subsidiaries are at 37 now. And we remain the third largest CPSE in terms of Gross Block.

As on date, our transmission assets are 1,74,000 circuit kilometers, 274 substations with over 5 lakh MVA of transformation capacity. We have 18 HVDC substations, 62 765kV substations, 163 400kV substations, and our system availability is in excess of 99.75% consistently over the years.

Major highlights of this Q1, we have won two TBCB projects, 01 for renewable energy integration from Ananthapuram and Kurnool, and the other for REZ evacuation from Rajasthan. These are having levelized tariff of about ■341 crores. Another three projects for which we have submitted bids, are under evaluation and we expect them to be taken off for e-reverse auction shortly.

The Smart Meter project has taken off. We have received the order from Gujarat. We have been talking about this for some time now. This has 69 lakh meters and over the next 2 & quarter of a year we

will implement this, having an investment

of about ■4,067 crores.
Yesterday, the Board also approved the investment in our 85-megawatt solar project at Nagda. So, in the next 10 months we will implement this project. This is for captive consumption as well as sale through exchange. About 180 million units of energy is expected to be generated from this project.

Now the project execution, this quarter we have completed two substations and 1,428 circuit kilometers of lines. POWERGRID Bikaner Transmission System which has Bikaner pooling station as well as the Bikaner Khetri & Khetri - Bhiwadi transmission lines. This is the major system which has been commissioned. For Meerut Simbhavli out of four elements, three are commissioned, but one element is stuck up due to ROW . There is a court case, so we expect it to be completed shortly. 4,435 MVA of transformation capacity has been added primarily at Bhadla and Bikaner for RE evacuation. This is the physical progress in terms of projects.

In terms of our financials CapEx has been ■1,506 crores in the quarter, ■1,615 crores is the capitalization on a consolidated basis.

Operational performance - This quarter’s transmission system availability was 99.86% and last year for the same period availability was 99.79%. So, there is slightly better performance this quarter. Tripping have also reduced to 0.09 compared to 0.12 last year.

Financial performance - Our revenues on a consolidated basis have been ■11,258 crores this year in the first quarter, and the profit has been ■3,597 crores, compared to ■3,801 crores in the corresponding period last year. Going forward, I'll briefly highlight the reason for this decrease.

In the Consultancy Services, which you would have seen from the results published there has been a reduction from ■233 crores to ■121 crores. Primarily the large project we have been executing for the Government in Northeast is coming to an end therefore the revenues are tapering down. Telecom revenue is up 15% and that is the major highlight. The other is interest. In this quarter interest is up by about 15%, compared to last year, there has been significant increase in the rates of interest due to floating rate interest loans.

Gross fixed assets are ■2,70,000 crores and capital work in progress is about ■14,000 crores today. Debt: Equity Ratio has significantly improved from 62:38 to 59:41 in the current quarter.

In other key financial information some of the numbers would be of interest to you. Last year we had ■351 crores of previous year sales in the quarter, this is now only ■214 crores on the back of finalized tariff orders. In 22-23, more than 90% of income has been through final tariff orders. So, the adjustments due to previous year tariffs are less, that is about ■140 crores lower this quarter. Then consequent

interest on differential tariff is also down by nearly ■80 crores. So, this is about ■220 crores, which primarily explains the reduction in the profits.

Last financial year, in first quarter we had one-off event of nearly

■500 crores, which has come down to ■270 crores. And that is the major reason for the reduction in the headline profit number. Otherwise, if you see the operational performance, it is better than last year and overall there is no fundamental change in the business.

Our equity in the TBCB assets has now increased to ■3,544 crores and under construction, it is about ■350 crores. So roughly ■4,000 crores of equity are deployed in the TBCB business.

Telecom performance, we have improved our overall telecom revenues to ■191 crores. We are likely to cross ■800 crore revenue from the Telecom Business. The business transfer agreement has been executed for hiving off the Telecom business. So hopefully by the 1st of October we should see the entire telecom performing through the subsidiary PowerTel Services Limited.

In consultancy, our revenues have come down primarily because in the

Northeast the project is coming to an end. Therefore, there is a significant reduction. We are attempting newer businesses, like we are taking up SCADA establishment for a couple of States, and project execution for dedicated transmission lines for some of the hydro and renewable projects. We are looking at other businesses to grow the consultancy revenue, but I think it will take a year or two to again get to that level, because there was an assured income from the NERPSIP business, for quite some time now.

Commercial performance - the first quarter realization has been about 82%. In April, there was a one-off bill on the back of tariff orders received so that has push down the realization to 82% in terms of billing realization, but thereafter in May and June the realization has been more than 100%. Today we are at about 88% realization up to July '23. We have an issue with Tamil Nadu regarding Raigarh-Pugalur recovery, and that is one of the major reasons for this outstanding.

In terms of works in hand, today we have about ■48,700 crores. Ongoing RTM are about ■11,000 crores, TBCB ■12,800 crores. This year we have targeted ■8,800 CapEx initially, but we will be looking to push up on the back of several projects we have received as well as the metering and the solar projects, which have been ordered. So, I am very confident that CapEx will be more than ■8,800 in the current financial year.

Outlook, if we look at next nine years, that is aligned to the 2030 target of 500 GW or 50% from non-fossil fuel generation. We have

made an estimate that there would be ■1,88,000 crore investment for the Company. Our estimate in the Transmission business is about ■1,71,000 crores, in solar, smart metering infrastructure and data center businesses, I expect to do ■17,000 crores. That is the estimate which we have factored the total market opportunity and ours share. So, ■188,000 crores is the share of investment which POWERGRID estimates to make in the next nine years or so. And the pipeline, which is coming in transmission, particularly for the RE integration, is a major source of confidence for us. A lot of projects have been approved or are in the pipeline, and the flow for the bidding has also significantly increased.

Yes, on awards, a very important award we got is the ATD award for the learning. This is the U.S. based award and we are one of the two CPSUs and 17th among the 72 leading global companies. And for our sustainability initiatives we got the Global Prithvi Award, 2023.

Thank you so much. I pause here and look forward to answering your questions.

Question-and-Answer Session

Mohit Kumar: So, we'll start the Q&A now. Please raise your hand to ask questions.
I request you to please restrict to two questions in the first round.
Thank you.

Mohit Kumar: Hi, Abhineet. Please go ahead.

Abhineet: Yes, just wanted to understand from the fact that you talked about CapEx increasing from ■8,800 crore. So, for '24, what could that number be? And second question is that there is a large pipeline of TBCB project as per 14th NCT. So, are you factoring those numbers for '25? If you are assuming a 50% market share for that?

CMD: Yes, so in FY 23-24, we expect it to cross ■10,000 crores CapEx this year and in FY 24-25. We have given you the ■1,88,000 crore number for the next 10 years, that factors these projects which are coming up through the NCT and the government approvals.

Abhineet: But just trying to understand in terms of while this is eight, nine-year stuff that you talked about, in the interim, say 25-26, will there be an increased CapEx and then it will come down because the government's plans are in terms of 500 gigawatts, so, transmission lines should start getting auctioned and being built before that, right?

CMD: Yes, Right. So, it will not be like in 25-26. All transmission will be built before the target of 2030. So,

it will come maybe little ahead of the generation, but it will not be like three years ahead or four years ahead. So, the CapEx will go up, I don't see the CapEx coming down before 2030. It will only be an increasing trend.

Abhineet: Okay. So safe to assume from ■10,000 crore will go to somewhere around ■25,000 crore because the average is coming as ■20,000 crores, ■21,000 crores.

CMD: Yes, that is true. Last few years it should cross ■20,000 crores like in the past.

Abhineet: And any status on Leh HVDC?

CMD: That is still under government approval for the subsidy component.

Abhineet: Okay. Thank you.

CMD: And we will pick up only after the government approval is received. In between, the feed study is going-on, as I mentioned, I think I mentioned this in the last call. The front-end engineering and design study that is going on and is expected to be completed by January-February '24.

Abhineet: Okay, Sir. And these two projects that we have won, what is the project cost in broad numbers?

CMD: We have given the tariff that’s about ■340 crores.

Abhineet: Okay, Sir. Thanks a lot.

Moderator: Bhavin, please go ahead.

Bhavin: Thank you for the opportunity. Sir, I have three questions. First is, during the IPO of the InvIT, in your media interactions, you had highlighted that there will be 18 additional projects of ■22,500 crores which will be sold to the InvIT. We haven't seen any movement on that. So, what is the status now and why the delay?

CMD: We said that’s the pipeline which would be available, but post the National Monetization Pipeline, there has been a change in the stand. Now the guidelines require us not to transfer ownership, but only rights to the cash flows. So, we are adopting the Securitization route rather than Monetization through transfer to InvIT. So that is why assets are not going to the InvIT at present.

Bhavin: Okay, so will it be the case that POWERGRID kind of aims for the TBCB assets. And will the InvIT have to learn and find the assets individually itself?

CMD: I won't talk for the InvIT, but I am talking as far as POWERGRID is concerned. We are looking to raise funds at the optimal cost, and in terms of the government framework, asset transfer, ownership transfer is not permitted. So, if we do cash flow transfer through the InvIT route, it's not working out. There are tax implications and value decretive to the shareholders. So, we have observed that the

Securitization route of raising debt on the strength of the TBCB cash flows is compliant with the NMP framework and is also optimal fund raising for POWERGRID.

Bhavin: Second, if you could talk about the competitive landscape in the recent bids of TBCB?

CMD: Yes, so we are observing that for smaller ticket size projects say less than ■1000 crores, there are seven-eight bids received. For Larger ticket projects say ■2000 crores plus, four or five bids are received. Competition remains very intensive. There is no let down in that.

Bhavin: Incrementally, we are seeing the size of the project is rising. Then there are a couple of HVDC also. What is your expectation of equity IRRs? Can we expect mid-teens or it's early double-digits?

CMD: Mid-teens will not be there even in a regulated environment. So, I think early double-digits can be a fair assumption.

Bhavin: Great. Last question is we are seeing very tight supply chain on equipment supply, especially globally and we have seen increase in the prices also because U.S., Europe is going very strong on the HVDC and transmission, how is that impacting the supply chain and the pricing for us?

CMD: You are very right about supply chain constraints in the HVDC space. Due to the renewable energy integration in the West, there has been a significant spike in the demand for HVDC and cables. The timelines, what has been asked in the NCT approvals, we are finding will also be

a challenge.

So, we are taking up with the government that these timelines are not possible to adhere to, given the supply chain constraints. As far as pricing is concerned, since these are TBCB projects where we would like to have some understanding with the equipment manufacturers, and we would like to build that into our pricing.

And challenges will be there because of the large size of the project and the variables which are there in terms of exchange rate variation, in terms of price escalation. So, these are indeed challenges which need to be factored in when we make our quote.

Bhavin: Just last question. The draft regulation will be there sometime in November, December and final in February, March. What are your expectations for the regulated assets?

CMD: The approach paper of the staff is out. I think yesterday we have submitted our comments on it. From the discussion paper, though there have been several alternatives proposed, there is a fair degree of emphasis on regulatory certainty and there is also a suggestion to grandfather the provisions for existing assets and any changes can

be taken up for the new assets. I think this is a good approach which is given in that paper. And what we would like to have is continuation, because as far as transmission tariffs are concerned, much of it is on normative basis, so there is not much to change. May be, making it more easy to do other businesses will help. For example, we have land at several locations, if that land can be better utilized for setting up solar or other business and that process is simplified, it will help.

Bhavin: Thank you so much for taking my question.

Moderator: Thank you, Bhavin. Next question is from the line of Anuj Upadhyay. Anuj, please go ahead.

Anuj Upadhyay: Thanks for the opportunity. Sir, the center had approved around ■75,400 crores of power transmission projects and the TBCB, any timeline by when they would be out for a bidding?

CMD: They are already bidding; large numbers are already in bidding. Some ■55,000 crore bidding is under bidding right now.

Anuj Upadhyay: ■55,000 crores sir, right?

CMD: ■21,000 crores has been concluded, ■55,000 crores is under bidding. Another ■81,000 crores is to be floated by the BPCs. So, the pipeline is pretty robust.

Anuj Upadhyay: Okay. And the trajectory which you provided on overall ■1,71,000 crores of CapEx on the transmission space, you mentioned that probably FY '24 and '25 we may see CapEx in the range of ■10,000 crores to ■12,000 crores. So, would it be fair to assume that FY '26 onwards, we may see ■20,000-25,000 crores kind of a CapEx to be incurred at PGCIL level or it would be at a further I mean at a later date, sir, say FY '27-'28 onwards, any timeline which you can throw would be helpful?

CMD: I think '25-'26 is a fair timeline to see that kind of that up.

Anuj Upadhyay: Okay, that's fair sir. That's it. Thanks for the opportunity.

Moderator: Thank you, Anuj. Next question is from the line of Puneet. Puneet, please go ahead.

Puneet: Thank you so much. My question is on your ■81,000 crore projects, which you said are likely to be floated and up for bidding, what kind of certainty can we assign that this will be up for bidding? Is it only a procedural method, or does the government need to do more to convert it into bidding?

CMD: Sorry, I couldn't get your question.

Puneet: Sorry, the ■81,000 crore project, which you said will be floated and up for bidding, is it only a procedural matter that it gets converted into tenders, or are there further steps that the government needs to take converted into tenders.

CMD: I would say, procedural level. These are schemes which have been approved. They will be floated by the BPC. These have been approved by the NCT, and as per the requirement of the renewable energy projects, this will be implemented.

Puneet: So, what kind of

timeline can we assume here for ■81,000 crores?

CMD: I think for these to come to bid, maybe one, one and a half years maximum.

Puneet: On your smart metering project, now that you bid out everything, what kind of IRRs would you be looking at?

CMD: Yes, here we can look for mid-teens.

Puneet: Here it is mid-teens. Okay, that's great. That is all from my side. Thanks.

Moderator: Thank you, Puneet. Next question is from the line of Nikhil Abhyankar. Nikhil, please go ahead.

Nikhil Abhyankar: Good morning Sir. Thanks for the opportunity. So, a lot of states are coming out with Intrastate opportunities. So, what is the opportunity size over there in the medium term?

CMD: As we have shown in our presentation, we are looking to about ■37,000 crores in the next eight to nine years. Intrastate is difficult to predict in terms of the flow pipeline. Interstate is much more forward-looking and action is there, but intrastate because so many states are involved and each has its own pace of working. So, it is difficult to project.

Nikhil Abhyankar: Okay. And sir we have also projected CapEx of ■15,000 crores for smart metering over the nine years. So, what is the share of this Gujarat order over the next two years and have we finalized any smart meter supplier for it?

CMD: Yes, the vendors have been finalized. We are going to do 69 lakhs. That is the initial estimate for the numbers. And that has a CapEx of about ■4,100 - ■4,050 crores or so. And we look to increase more because this is part of the first 10 crore meters. Overall the meter size is about 25 crores. So, we look forward to increasing this market share. Both through our own as well as through our joint venture EESL. They are also doing projects.

Nikhil Abhyankar: Understood. So, should we expect another ■10,000 crores of CapEx towards smart metering in the next, say two to three years?

CMD: Yes, two to three years may be a little aggressive, but it will be next say five years.

Nikhil Abhyankar: Okay Sir. Thanks a lot. I'll join back in the queue.

Moderator: Thank you, Nikhil. Next question is from the line of Swathi. Swathi, please go ahead.

Swathi: Yeah, hi, thank you for taking my question. Yeah. You have indicated your size of Capex is 1.1 trillion plans for the next 10 years, whereas in an audio call you had indicated that the total CapEx opportunity size is 1.9 trillion in the Inter State transmission. So, does that imply a 61% market share going ahead?

CMD: Not necessarily. Some will be RTM projects, which we expect to get. And also, definitely we are right now around 50 plus, 55%-57% depends on where you take the cut. So, we look forward to definitely maintain, if not increase our market share. But it's not a very significant increase, which we are projecting compared to where we are today.

Swathi: All right, and on the second one, the international projects that you're talking about ■7,500 crores, can you elaborate on which countries you're looking at, and maybe if you can update on the Kenya 250 million and the Tanzania 400 million projects that you have spoken about?

CMD: So those are the two main ones we are looking at. Kenya, we are submitting the final proposal this August. We have received the in-principle approval for the PPP project. And we are going to submit the development report this month.

Tanzania is still at initial stages. And we have been now sounded of an opportunity in Nigeria. So, in the African continent, we are looking primarily through the Africa 50 alliance opportunities. And then there is also the Katihar-Parbatipur-Bornagar line, the Bangladesh portion of this will also be implemented as a joint venture. That is the discussion right now going on. Future interconnections with Nepal, the Nepalese portion is also envisaged to be taken up through joint ventures with the NEA, Nepal Electricity Authority.

So, these are some of

the opportunities which we are seriously evaluating at this point.

Swathi: Understood. And just one last question. So, can you give a year-wise bifurcation of 1.83 trillion in CapEx that you have planned out for the next 10 years, if that's possible?

CMD: Year-wise bifurcation at this point we cannot give you, because that is a function of the pipeline. How quickly we get and that again will be depending on the pace of the RE project development. So, at this point, it will be difficult to give you year wise breakup.

Swathi: I just wanted to understand, will it be more front loaded or more back loaded?

CMD: As I mentioned to another question, from '25-'26 onwards there will be a significant increase in the pace.

Swathi: Okay. Thank you so much.

Moderator: Thank you, Swathi, next question is from the line of Dhruv Muchhal. Dhruv please go ahead.

Dhruv: Hi, Sir, Dhruv from HDFC. Sir, you mentioned that there are ■55,000 crores of projects, which are currently under bidding and ■81,000 which will come up in the next one to one and a half year. Probably there will be more given the run rate at which NCT is approving the projects. So, your CapEx guidance is that it will not cross beyond ■20,000 crores. In that sense, it seems conservative, 50%-60% market share that you can. So, we just wanted.

CMD: Sorry, Dhruv we are not able to hear you clearly.

Dhruv: I'll try again sir. We have projects of about ■55,000 crores which are currently under bidding?

CMD: Right.

Dhruv: And ■81,000 crores which will come up in the next one to one and a half year.

CMD: Right.

Dhruv: And probably there will be more, given, what the run rate at which NCT is approving projects. So, my point was that ■20,000 crores, the CapEx run rate that you have mentioned that it will achieve for the next, say, FY '26 or '27. Does that become a very conservative given typically you have got 50%-60% market share in projects?

CMD: No, I won't say conservative. See, part of it stems from say, for example, this year we have targeted ■8,800 crores initially, but then this is definitely going to cross, because there is now a larger set of projects under execution. Next year, also it will be higher. So, ■25,000 crore by 25-26, as I mentioned, is a fair estimation. Because when the project is approved, you get nowadays about two years and larger projects about four years to execute. The HVDC project, for example, will need four years to implement. So, if you take ■25,000

crores, ■24,000 crores, then it will only add ■6,000 crores to the annual CapEx. And that too will be like second, third, fourth year there will be more CapEx. First year will go in designing.

So, I think on an average, peak can be ■25,000 crores. You will be somewhere around ■17,500 to ■20,000-■22,000 crores. That is the kind of numbers one can estimate are the rough ballpark kind of numbers.

Dhruv Muchhal: Sir given that a lot of projects are coming in a very short span, say in the next one to three years, is it fair to say that the opportunity to capture more market share is also higher, because the number of executors is relatively low?

CMD: No, it is not. You will try to see how to capture the market share and all that is a different issue. But even if we take for example, having made all this assessment, we have given this number of ■1,16,000 crores as our CapEx for the interstate transmission. So, if you take it over the next nine years, it will come somewhere around ■13,000 crores annually. So, any project will be about what two years. It will take two years to complete a project. CapEx will be at least over 24 to 30 months. So, I am not very confident that annual CapEx will exceed ■25,000 crores.

Dhruv Muchhal: Got it. Sure, sir. Thank you so much. That helps. Thank you.

Moderator: Thank you, Dhruv. Next question is from the line of Vipul Kumar Shah. Vipul, pl

ease go ahead…….. We will move on to next question from Puneet. Puneet, please go ahead.

Puneet: Thank you so much for the follow-up. On your guidance of ■1,16,500 crore of Interstate CapEx. What is the opportunity size that you assume?

CMD: The opportunity is the entire 500-gigawatt related transmission which is planned. So that itself is about ■2,44,000 crores or so, that is there.

Puneet: So out of ■2,44,000 crores, ■1,16,000 is your market share. How I should think about that?

CMD: Out of ■2,44,000 crores, some has been already started for implementation and so on. So roughly, you can say that we have taken around 50% plus market share.

Puneet: And you said this is dependent on the 500-gigawatt commissioning. So, if that number were to get missed, is there a risk that the transmission capacity can also get deferred?

CMD: I think the entire government is committed to 500-gigawatt, 50% non-fossil by 2030. So, at this point, I will not subscribe to the view that it

can be missed. It will be one year ahead or one year later. But as such, there is no risk to that target.

Puneet: Understood. That's all. Thank you so much.

Moderator : Thank you, Puneet. Mohit, would you like to ask the questions in the chat?

Mohit Kumar: There are some questions in the chat, so I'll just start with the first one, which has come from Koundinya from JPM. The question is, if you can provide some color on the bidding timelines for the three HVDC projects.

CMD: For one project Fatehpur-Bhadla, the bid is already out and timelines have been given. I think September is the target for selection of the bidder. The other projects we are yet to see. But hopefully in the next six months or so, we should see those also out in the market.

Mohit Kumar: The second question is from the chat box on the Raigarh-Pugalur project. He is asking that we thought the receivable issue was resolved post Q4 FY '23. Can you please comment on the same?

CMD: The tariff has been notified by the CERC under the CERC sharing regulations, which provide 30% of the tariff to be included as a National Component distributed over all the licensees, I mean DISCOMS and the rest 70% to be borne by the Southern Beneficiaries, because it is meant for the Southern Region.

Now, Tamil Nadu has taken up that this should be declared as a National Asset, entire 100% should part of the National Component. They are drawing reference to the Biswanath Chariali system which was included as a national asset and also to the fact that this system is now facilitating flow of renewable energy from Southern Region to Western Region.

So, the Central government has recommended this to the CERC. POSOCO, the Grid-India and the CTU have also recommended because of the bi-directional flows. CERC went by the sharing regulations and ordered that the sharing should be 30:70 only. So, aggrieved Tamil Nadu has gone to APTEL, when APTEL has remanded back this matter to the CERC in one element. There were four orders for the total Raigarh system, four Elements, four Orders were there. So, one Order has been remanded back to CERC for the three other elements also the hearing is tomorrow, more likely that they all will be remanded back to CERC. So, the current position is that the tariff order has been set aside until the CERC decides afresh. So, I believe that the tariff as such will have to be paid if not in this ratio, some other ratio. There will be some lag in collection, that's all.

Mohit Kumar: The third question is on the CERC tariff regulation. The approach paper for the next control period speaks of differential and potentially

lower tariffs. Can you help us understand the way discussion are going here and if there is any cut to the base RoE?

CMD: So, the discussion paper has talked of a differential. Now differential can be that you make the other higher. There is no need to make one

smaller to make the other look bigger. So, if you feel hydro, this has been done in the last tariff also that hydro was given a little higher. If you feel that it is still not compensating the hydro, you need to give more, please do go ahead, no worries. But you don't have to cut for the transmission sector to make the other look big. I don't think cutting transmission tariff will any way increase the profits of the hydro investors.

We have given our views. And given the current interest regime and the construction risk profile with increasing RoW, the return which is there currently, is a fair return in our view. Second, the approach paper also talks of grandfathering, i.e, the new regulations to apply to assets commissioned after the new regulations have come into force.

So, I think at this point of time, there are only some points for discussion. When the draft regulations come, there will be a little bit more clarity on the views of the Commission because at this point these are views of the staff, they are not the views of the Commission.

In the Transmission Sector. I would not read too much into this approach paper in terms of reducing the rate of return or anything.

Mohit Kumar: The last question comes from Bharanidhar Vijayakumar from Spark Capital. The question is what is the revenue model in smart metering? What is the initial cost we incurred and then the cost per year during O&M and revenue per year during O&M? Also, what is the likely return or IRR in the smart metering investments?

CMD: The revenue model is that we will be paid per meter per month. So, for the domestic or for HT and feeder meters different rates are quoted and we will be paid per meter per month by the DISCOMS. Our payment to our vendors are in two parts.

One part is for the meter assets. So, it is linked to the installation and commissioning and then we will be paying them per meter per month again for the O&M expenses. So, it is a kind of turnkey that they also have to adhere to in terms of the service level agreements and recoveries. Also, there is a fair degree of back-to-back arrangement.

As far as investment is concerned, as I mentioned in the CapEx phase we envisage to incur about ■4,000 crores investment for these 69 lakh meters. The RoE expectation is mid-teens from this project.

Mohit Kumar: Yes, I think we have reached to the end of the call. I don't think there's any further queue. Thanks to the management for giving us

the opportunity to host the call. Would you like to make any closing remarks?

CMD: Thank you so much. I think the business looks much more robust and with a very strong pipeline approved and in bidding available. I think compared to where we were a year back, the situation is much more clear, and the processes for approval of projects have also been simplified. More delegation has been given to the NCT and the CTU. So, business looks good. Operational performance has been strong. That is where I would like to conclude. Thank you so much for joining the call.

Mohit Kumar: Thank you, everybody.

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Call: Nov 2023

[redacted] : "[redacted] ", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted])
[redacted] : 0124 -2571700 -719
Corporate Office: “Saudamini”, Plot No. 2, Sector -29, Gurugram -122001, (Haryana) Tel.: 0124 -2571700 -719
[redacted] : [redacted] -9, [redacted] , [redacted] , [redacted] -110
016. [redacted] : 011-26560112 , 26560121 , 26564812 , 26564892 , CIN: L 40101 DL1989 GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi -110 016. Tel: 011-26560112, 26560121, 26564812, 26564892,
CIN : L40101DL1989GOI038121
Website: www. powergrid.in

16th November , 2023

To
The General Manager (Listing),
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager, (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898 EQ – ISIN INE752 E01010

Sub: Transcript of Investors & Analysts’ Meet held on 09th November , 2023 .

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the copy of Transcript of Investors & Analysts Meet held on 09th November, 2023 .

Thanking You.

Yours faithfully,

(Mrinal Shrivastava)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited

Transcript of Investors & Analysts’ Meet
(Q2 FY 2023 -24)

November 9 , 2023 10:30 AM IST

Management Team:

i) Shri G. Ravisankar - Director (Finance) & CFO

ii) Shri Abhay Choudhary - Director (Projects)

iii) Shri R. K. Tyagi - Director (Operations)

– Mr. Harsh Dole - IIFL (India Infoline Group):
– Greeting everyone. On behalf of IIFL Securities, I welcome you all to the 2nd Quarter and 1st Half FY24 Investors cum Analysts Meet of PowerGrid to discuss the performance of the company and share performance outlook. We have the senior management team of Po wergri d represented by Shri. G. Ravisankar – Director (Finance) and CFO, Shri. Abhay Choudhary – Director (Projects) , Shri. R.K. Tyagi – Director (Operations) Director (Operations) . I'd request the management to make the presentation, subsequent to which, the floor will be open for Q&A. Over to you sir.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Thank you Harsh. Good morning to everyone. For the post publication of these Q 2 results, I welcome you all for this Investor & Analyst meet. We start with a small presentation. We will cover the PowerGrid o verview and the major highlights and any performance highlights of this quarter, with the growth outlook and any awards we received in this quarter.
– In the Overview – You know that we are a Schedule -'A' Maharatna and the 3rd largest CPSE . We continue to m aintain 3rd largest CPSE in terms of gross block. We have a presence pan India. We have a network in almost every state, every district, and we have growing subsidiaries. Now we have 39 subsidiaries with 11 joint ventures and 4 associates. The 4 associates are like ..we have a 26% stake in the SPVs which we transferred to InvIT; that is the 4 associates. We have global footprints in almost 23 countries. As far as credit rating goes, yes, we have enjoyed the highest credit rating in domestic. And as far as in ternational is concerned, yes, it is on par with the sovereign rating.
– As far as transmission assets , yes, we have 1,76,000 ckm. We have 1,478 transmission lines. From last quarter we have added one more sub -station, now the account becomes 275 sub -statio ns. System availability continued to be above 99%. These are j

ust a breakup of how many HVDC stations, 765 kV, 400 kV station , the breakup out of this 275.
– This quarter we have received two TBCB companies with an annual tariff of 361 crores. The NCT cost is 3,070. Like, Rajasthan project in Phase -III, Part C1 and Part H two projects we won. So, with that, up to Q2 we won 4 projects in TBCB in the current year, with an annual tariff of 703 crores, and the NCT cost is 6,393 crores.

This is up to Q2. Subseque nt to that, we won one more project in Phase -IV Part A. The NCT cost is something like 4,700 crores, with a tariff of 273 crores. With that, in

the current year we have won projects worth 11,000 crores. This is in addition to what we won in the last financ ial year in Feb -March which was around 9,000 crores, 11 companies that we won last year. And this year, we won 5. So put together, it's around 16 companies SPVs. May be in another few months we'll acquire these 1 -2 SPVs also. And, two more bids we have sub mitted, for which the ERA is to happen.
– The Major Highlights covers the Leh Ladakh project, where the Cabinet approved the Phase -II 13 GW RE project. It is a line from Pang to Kaithal with a cost of 20,700 crores. It envisages 40% of the financial assista nce in the form of grant, and it has a timeline of 5 years for completion. And, being a difficult terrain at a high altitude of 4,700 mts above sea level with sub -zero temperatures, the working conditions there are hardly 5 -6 months in a year. So, it takes 5 years to complete. So, this is an evacuation of 13 GW, but the line is a 5 GW line. So may be , the generators may come out with a battery so that the PLF may be little more than the others. So, this is one project which is recently cleared by the Cabine t, and we are yet to get the formal communication from the government regarding the modalities of how the grant would be given to us. Subsequent to that, we will take it up for investment approval. But, we have already started the studies of front -end engi neering design. It envisages in two parts to be done, and the 1st stage study started and then two HVDC players have bee n given the job. They are already undergoing the study. And, then we expect that to be completed by March -April, that they should be abl e to give the 1st phase report. Subsequent to that, they will undergo the 2nd phase of study, and then we have to take up the bidding. So, this is about the Leh Ladakh project.
– In the Project Execution, yes, we have commission ed one TBCB PowerGrid Bikaner transmission and two STATCOMS at Bhadla and Bikaner have been commissioned. And, 6 nos. of ICT has been commissioned during this quarter. And, this has added 3,100 MW capacity, 1 sub -station and 306 ckm of transmission line.
– About the Capex, the cumulati ve Capex in the 1st half of the year is 4,246 crores. This is against the yearly target of 8,800 we have envisaged this year. And since we have won some more companies, this is likely to go up, may be touching five -figures this time. So, it should cross 10 ,000 crores this time. But as of now, up to September, we have achieved 4,246. And capitalisation is also almost equal. We have capitalised 4,000 crores. It was 1,600 crores in Q1, now we have added another 2,400 and then it becomes 4,000 crores up to Q2.
– As far as Operational Performance, yes, we continue to be above 99.75. Now it is 99.85 for the 1st half year. And the tripping also, compared to the previous half year, has come down to 0.16 from 0.20.
– The standalone performance in Q2, our Revenue has sl ightly gone up from 11,004 to 11,206. And, the PAT has also gone from 3,651 to 3,834. Similarly, Income also in the consolidated accounts has gone from 11,349 to 11,530, around 200 crores more. And even the PAT also grew from 3,650 to 3,781.

– In financial performance for the half year, the Revenue is 22,094 and the PAT 7,377 compared to the previo

us half year of 7,417. Similarly, in the consolidated also, 22,788 is the Income, whereas the PAT is 7,379 compared to the PAT of 7,452 in the previous year, becau se last year we had some one -time income which normally directly contribute to the PAT. That is why, the PAT is slightly more of previous half year in the consolidated as well as in the standalone.
– These are some of the figures which are already available in the NSE website. Total income in the quarter rose by 2%, and the PAT rose by 5%. Here , you can see that we are showing as continuing operations, as well as, discontinuing operations. This discontinuing operation signify the telecom services which the B oard has decided to carve out, and then we have formed a separate SPV, PowerGrid Teleservices, in which the telecom operations will be taken up from 1st October, 2023. So, as per the requirements of Ind AS, this is to be shown as assets held for sale, and to be shown as profit from discontinuing operations separately. This is of course in the standalone, but in the consolidated, there is no difference. Since it is in the same group, you will not find this line in the consolidated. So, put together, the Prof it After Tax is 3,834 against 3,651 of the previous quarter, registering a 5% growth in the quarter -to-quarter comparison in the standalone.

– In the consolidated, we are separately showing the telecom consultancy and transmission charges separately. Teleco m income is 202 crores this quarter, and the cumulative half year is 393. Last time also in the investor call, I think, we targeted 800 crores of transmission income in telecom income. For the current year, according to that, we have already reached 393 in the 1st half of the year. And consultancy charges is slightly coming down compared to the previous years, because we have an NERPSIP scheme for the last 2 -3 years, and then we have commissioned major elements in that, and then it is slowly coming down. An d then, we are looking for other business opportunities in the consultancy, so that it will slowly again improve. And in the consolidated also, you can see that the Profit After Tax is 3,782 against 3,651, registering a 4% growth.
– These are some of the ba lance sheet figures where Gross Fixed Assets has crossed 2.70. It is 2.73 lakh crores in the consolidated, and 2.57 in the standalone. And we have a Capital Work -in-Progress of 14,900 crore closely 15,000 crores in the consolidated. And, our Debt: Equity is now 58:42. In the last quarter it was 59:41 and last year it was 61:39, now slowly it is touching 58:42. Return on Net Worth continues to be 8.51% and the Book Value is shown as 93 because we have issued bonus shares, so last time it was 114. So, subsequ ent to the issue of bonus issue, the Book Value is showing as 93.22. Otherwise, there is no decline in the book value because the company continues to be in the profit only.
– There are some other key important information which are of interest to you, like the Income from Previous Periods and Interest on Differential order s, which contributed more in the last quarter, last year, in Q2 as well as last year in Q1, which is lesser in this current year. That is why you can see that the profit in last year was slightly more in the half year compared to the current half year. That’s because, last

year we had the tariff orders for Raigarh -Pugalur where we had to account the income of the previous years. So, that’s why it was more. As regards the equity inclusion in TBCB, it has increased from 3,600 last year Q2 to now it is 4,100, 500 more has been induced in TBCB in the form of equity. Borrowings cost average is 7.61. The interest rates have slightly hardened. Last quarter we were showing it as 7.59, subsequent to the increase in the domestic rates. Slightly the average rate has gone up, because we have some bonds which are on fixed rates, and then we have some floatin

g interest rates, term loans and other foreign loans, because of which it is slightly increasing. O f course, most of the interest rates in the RTM are pass - through.
– Then, coming to the telecom performance, the Income is 20 2 crores for the current quarter, and we added 36 customers. We have a presence almost in 3,000 locations pan India. So now, this bu siness has been transferred to PowerGrid Teleservices Limited w.e.f. 1st October, 2023. It is a 100% subsidiary of PowerGrid, and this will be taking up the data center business also by the PowerGrid Teleservices, for which we gave an approval, the PowerGr id board has given an approval of 713 crores as investment approval. We will be setting up on e data center in Manesar as a pilot project. So, the award is under progress, and then may be in another 12 -15 months it is expected to get completed. And, we are exploring data centers in other areas also.
– As regards consultancy, the income is 155 crores in the current quarter. We got two new international assignments, of course, these are all small assignments at Fiji, one is on some consultancy and another is on training and capacity -building for Fiji. And, there are new domestic assignments in the form o f Bay maintenance. And then, we have international businesses, like talks with Kenya. We have submitted our proposal to the Kenyan government in association with Africa 50. And then, we are in talks with Tanzania, and there is a consultancy works 220 KV line in Sri Lanka. So, these are some of the opportunities in international businesses. And one more JV we have from Butwal to Gorakhpur with a cost of 693 crores, with a 50 -50 JV with NEA.
– Commercial performance, the realisation has gone up from the last quarter. 92.37 is the percentage realisation. We were getting payments due against the LPS Rules of 2022 notified by MOP. So far we have received 1,383 crores aga inst 2,400. This is the month ly instalment that have been converted against the LPS Rules by the six discoms which we are receiving regularly. There are some major dues from Tamil Nadu, J&K, Telangana and Uttar Pradesh. We expect this to liquidate soon, be cause the dues of Tamil Nadu is mounting as there was an issue in the tariff of Raigarh - Pugalur which was challenged by them, and recently on 27th October the order has been issued by the CERC for making this Raigarh -Pugalur as 50 -50 component

compared to the earlier original component of 30 -70. So, we expect the dues of Tamil Nadu and Telangana to come down, and there are no alarming dues from J&K or Uttar Pradesh.
– As regards the Work in Hand, it's around 50,500 crores. Of course, this doesn't include som e more projects which we have recently won and taken up. You can add

another 8,000 -9,000 crores in that. So, somewhere around 60,000 crores -65,000 crores will be there as work in hand. Of course, in the new RTM projects which we show 24,300, this include L eh Ladakh, for which investment approval is yet to be granted, because we are waiting for the formal communication from the government. So, once that formal communication is received, we will take it up with the board for investment approval. So, out of th is 24,300, that accounts to around 20,700. And then 16,500 and other projects which we are showing, includes around 13,000 crores as TBCB and 2,800 as smart meters. So, current year Capex guidance is 8,800, which we projected earlier, against 5,000 as RTM and 3,800 as others. Now we see a little upwards in that and it should be somewhere around 10,000 crores.
– The Business Outlook, the same slide which we have shown in the last quarter also, because only this is out of the 2.4 lakh crores which they envisag e against the investment of 500 GW of RE generation by 2030. So in that, we envisage a portion of 1,16,500. And intra -state, corresponding, this is only our estimation, like parallel investments i

n intra -state is somewhere around 70 -75% on the 2.4 lakh cro res we assumed, and then we assume that some percentage will be coming through TBCB. So that is why on a conservative basis, we are showing it as 37,000 crores. Cross - border we envisage 10,000 crores. Of course, these are all the targets in the next 9 year s. On international projects like Kenya, Tanzania and other African countries, Nepal and other countries, we envisage something like 7,500. Solar generation 1,000 crores we estimate, because already there is one plant we are setting up in Nagda, foundation stone of which was recently laid down and then we have awarded the contracts also and we expect it to commission in another, may be by 12 months. It has got an 85 MW of solar generation. And, smart metering infrastructure we project 15,000 crores. This in cludes the 69 lakh of smart meter contracts which we got from the two discoms of the Government of Gujarat. And the data center business we project 1,000 crores. Of course, this is a target for 10 years. If we are successful in this Manesar, probably this figure has got potential to be in the upward side.
– This is about the outlay in the next 9 years.
– Regarding the sustainability aspirations to comply with the ESG guidelines, we had an internal target of 50% of our electricity consumption through renewable sources by 2025. This is an internal target. Though, we have a target of 2047 as a net zero, but we have an internal target to achieve at least 50% by 2025. Net water positive by 2030, and then zero wastage to landfill by 2030. These are some of the polic ies that have been adapted by PowerGrid and we hope to achieve this.
– Some of the awards which we got in this quarter is the Certificate of Excellence in Learning and Development at SHRM HR Excellence Awards. Dun & Bradstreet PSU Award in Power Transmissio n. We have Brandon Hall Group Excellence Awards in the learning & development area. So, these are some of the awards we got in this quarter.
– With that, I will just pause and then we can take up any question and answers from the investors. Thank you very m uch.

– Mr. Harsh Dole - IIFL (India Infoline Group):
– So Nikhil, we'll open the floor for Q&A. I request the participants to raise hands, subsequent to which we'll unmute your lines and you can actually ask questions. Alternatively, you can also type in your questions in the chat box and we can read it out for you, and the management can answer thereafter. So, we'll probably take a couple of minutes to assemble the queue. So we have few of them. Moderator, can you unmute the line of Mohit so that he can a sk his question. Mohit, go ahead. Yes Shriya, go ahead.
– Ms. Shriya – Cogent Capital:
– This is Shriya from Cogent Capital. I just wanted to understand this Capex target of 10,000 crores. While you've given the breakup of 8,800 crores, could you also give a breakup of these 10,000 crores , which you expect to finally achieve? And then, I

have another question on your international projects, where you mentioned there is Kenya and Tanzania as targets. But, we have read reports on the undersea cable lines that Ind ia is having with some countries, where PowerGrid will play a main role. Have you considered that also in your Capex for 2032? And, if you could just give a little more details on your data center business that you're planning. So, these are my few questio ns. Thank you.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Regarding data center , I'll go from that. Data center , yes, we are setting up a data center in Manesar as a pilot data center . We will be setting up two floors initial ly, and then depending upon the business, it can be scaled up to six floors. It is a hyperscale data center which is being set up in Manesar. This will be taken up by PowerGrid Teleservices, which is a 100% subsidiary of

PowerGrid.
– And then, your question on international business. Yes, we are doing with Kenya. We have a 40:60 JV with the Africa 50, and then we have submitted our interest to build a line in Kenya. It will be a line owned by an SPV formed for that, and then the project will be executed by t hat SPV. And on similar lines, we are in talks with Tanzania also to build transmission lines. We will be joining hands with the Africa 50. We are in talks with them as to how the modalities of recovery would be, how the tariff structure will be for that projects. So, this is about the projects of Tanzania and Kenya. As regards this undersea cable, it is in a very preliminary stage. There are talks about connecting Oman or connecting Singapore or connecting Maldives, Sri Lanka. So, there are some inter -coun try connections, sea cable projects are understudy. As of now, there is no concrete agreement or order from any of the countries. We are only undertaking studies about feasibilities and then we are studying with similar infrastructure available in other co ntinents, and then we can submit a proposal. As far as Sri Lanka is concerned, yes, we were given the job of

preparing the DPR. So, we are in the job of preparing the DPR of the project for connectivity from India to Sri Lanka.
– As regards the Capex of 10, 000, you can assume it is 5,000 crores in RTM and then 3,800 is what we have shown. So, you can assume 50:50, like 5,000 in RTM and 5,000 crores as TBCB projects.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Thank you. We'll take the next question from A nuj Upadhyay.
– Mr. Anuj Upadhyay:
– Sir, slight confusion regarding the Leh project. In the last call, you mentioned the total project cost was envisaged as 27,000 crores, of which nearly about 9,000 - 10,000 was a grant from the Central Government, which real ly led to our Capex target of around 16,000 crores. Now, this figure of 20,500 odd crores, is this the total project cost or is it just a partial cost which has been approved by the Central Government on date? And, how much of this will the grant account f or?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– It was initially 20,700. Probably you would have heard it as 27,000 crores. But this 20,700 includes the grant of 8,000 crores. As on date, the envisaged project cost is 20,700 c rores, which includes the grant of 8,000 crores As such, our Capex portion would be 13,000 crores as on date in that project. So, this 20,700 includes the grant. It is not 20,700 plus another 8,000 as a grant.
– Mr. Anuj Upadhyay:
– Sure. Thank you, sir .
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Anuj, are you done, or do you have a follow up? We'll take the next question from Mohit.
– Mr. Mohit:
– Good morning sir. I have a few questions. First on the outlays. Speaking about the target, the target is based o n how much you'll bid for inter -state and intra -state? Is it the right understanding? Secondly, what is the total opportunity size which you think till 2032 for inter -state and intra -state?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– We have given that. Inter -state as 1,16,500 and intra -state as 37,000. Basically, the purpose is like, all inter -states should either come through TBCB or some portion may be on nomination basis depending upon the project importance, if any nationa l importance or others. May be some few bays in my sub -station, may be through

RTM. We have a visibility of almost about 2.4 lakh crores as to how this will come. As far as intra -state is concerned, normally, we consider 80% of this 2.4 lakh crores, and in that only, 33% of the opportunity is offered under TBCB. And, with our strike rate of 50%, we are assuming it something around 30,000 -37,000. So , our Capex as of now what we have shown, like 50,000 crores in hand and all

, that doesn't include
any of this intra -state, because intra -state is supposed to come through bidding or may be through a JV route, which they will have to decide. But, as on date, the projects which we have in hand, that doesn't include any of the projects of intra - state. However, the ou tlook which we are showing as 1,80,000 crores for the next 9 years, that includes a portion of 30,000 -35,000 of intra -state which we foresee. Assuming that some portion will come through TBCB and maintaining a strike rate of 50%, yes we should be able to b ag something like 30,000 -35,000.
– Mr. Mohit:
– Understood. So you are expecting to win 30% or 50% share in the transmission bidding for inter -state, and that's how you arrive at that number. Is that right?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Yeah. The intra -state .
– Mr. Mohit:
– Sir, inter -state.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Normally , it's not mandatory that they will have to come through bidding. They may execute on their own or th ey may even give it on consultancy, they may form a JV, they can give it as an EPC contract. So, there are so many ways of handling the intra - state projects and it may differ from state to state also. Like, UP has now come up with 2 -3 projects in TBCB. Som e they were executing on their own. In MP we executed one, in UP we executed three. May be other states will follow that and then we may get . So, that's why the assumption is on the little conservative side.
– Mr. Mohit:
– Understood. Sir, my second question was why the bidding activity is slow in H1? Are you seeing a strong possibility of culmination of a lot of bids in the H2? And any update on the quantum of bi ds where tenders have been floated already?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Cor poration of India:
– No, I see that the beginning is slow . Now , if you see in this, especially this calendar year 2023, we have won almost around (9+5)=14 projects we won and if you assume this has a 50% strike rate, around 25 -26 projects have already been b id out in this calendar year itself. It was slow during COVID like in 2020 -2021, there were not much projects coming up through bidding, but now that it has picked up and then

we foresee that the bidding to come and even if you see there are so many proje cts which have already been identified and then it was in the BPC websites also which for which we will have to submit the bids like already there are around 59,700 crores of projects which are under b idding, which covers the Rajasthan, Khav da and others. So, I don't see that it's very slow. Now , it has picked up compared to last two years , if you see this current year, 2023 yes, it has picked up .
– Mr. Mohit:
– Understood. My last question, so when we expect to award Le h Ladakh project and when to expect to commence work ? Do you think this will get bid out in FY25? You know you will award it?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– FY25 , it's a little tough , yes, but we see that how the feed study of phase one and phase two to conclude after that probably when the phase feed two study completes, yes we should have a clear cut vision that how the BOQ should be there and then even the HVDC players will be very clear that how their equipments will perform in that such high alti tude sub -zero climatic conditions. So, it should be may be award FY25 in the last quarter we can try in that. So, we are also targeting in the FY25 last quarter or may be in the first quarter of FY26. Your assumption is almost matching, yes.
– Mr. Mohit:
– Understood Sir. Thanks, and all the best.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Sir, if you don't mind, I'll take a couple of questions from the chat box. So, first one is actually from Bha

rlik Dhar . His question is what is the total Capex on the 11 T BCB projects, one in FY23 plus five TBC B projects, one thus far in FY24? Second part is what is the total equity component of this? How much equity has been invested so far? And then what is the total transmission revenue once these 16 projects are fully commercial?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– 11 T BCB projects will be something like 8 ,500 to 9 ,000 crores as the Capex and then the tariff quoted is 950 crores and for the five TBC B big projects it is somethin g like 11,000 crores and the tariff quoted will be something like 975 crores , so put together, if you see it will be something like 1 ,800 to 1 ,900 crores when we Commission all these 16 SPVS. As regards the component, yes, it can be 80 :20 or 90:10 dependi ng upon the requirements we can put the equity.

– Mr. Harsh Dole - IIFL (India Infoline Group):
– Very helpful , Sir. Thank you. Second part of this question is what is the regulated equity of all the RTM projects as of September 23?
– Mr. G. Ravisankar - Dire ctor (Finance) , Power Grid Corporation of India:
– Regulated equity, return on equity is 15.5 % so. Regulatory equity is easy. Suppose we have predominantly all RTM projects and then it is something like 9 0%-95% is RTM only , so you can assume something like 86,000 crores is my reserves and surplus and then you can assume something like 82,000 crores as a regulated equity in that.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Sure.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– We don’t have many businesses where we put equity, so we are putting equity only in transmission businesses and then consultancy, yes, we don't need to put anything and telecom we are not putting, it's not a very major investment we have done . So, whatever is appearing in our reserves and s urplus and we have shown like 4 ,100 as the equity infused in TBCB and if you deduct that it is 82,000. It is arithmetic I'm just telling you like figure appearing in my balance sheet is 86 and 4,100 I have shown as an equity in TBC B means may be as regulated equity .
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Got it. Very clear, Sir. The second question from the chat box is from Vipul Kumar. So, this relates to the balance 26% stake in four assets you transferred to PowerG rid InvIT. When are you going to transfer, you know the balance 26% stake to InvIT ?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Actually, last financial year, only one project completed five years. That is a Kala Amb and the Quantum is hardly something like 20 -30 crores and current year so far in balance out of three, two projects have completed five years and one more to complete by December ,2023. So, I think we can take a call in the fourth quarter and we can take a decisio n of how mutually if we are agreeable, we can transfer the balance 26% also. So, as such since these are all small amount and then hardly this involves a stake of hardly 500 to 600 crores , so we thought that yes, we can get the valuation done once all the projects gets completed the period of five year.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Got it, Sir. So, Nikhil will take the question from the audio line. Can you unmute the line for Sarvesh Gupta? Sarvesh go ahead .

– Mr. Sarvesh Gupta:
– Yeah, Sir one more question on the previous lines only regarding PowerGrid InvIT . So, at the time of IPO, I think you know it was thought that this will be a vehicle for PowerGrid to monetize their operational assets and it will free up the resources for PowerGrid to probably grow at a faster pace , but what we had seen in the last one year has been a complete U -turn in terms of that policy. So, A - they have not been able to get these stakes from you as per the schedule timeline of all these five assets and B - there is no visibility whatsoever in terms of the additional assets , which could have flowed from PowerGrid either for PowerGrid InvIT specifically or for the world at large. So, Sir then going forward what is the sort of you know, stance of the management on these two issues?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– No, one is about PG InvIT, y es, I won't be able to comment on them because that is a separate listed entity. Last time, yes , there is a n agreement where we can, if we are mutually agreeable, we can transfer the balance at 26%. So, I told you that this is a

very small amount, which we thought yes , we can see the 4th company also gets completed the period of five years and then we can get the valuations done and then we can do that. This is the one thing . About the other one , these other projects, yes, subsequently because of the NMP guidelines, yes, the transfer of subsequent assets through the earlier mode is not feasible. So that is why we have adopted the met hod of securitization of the cash flows and then we were monetizing the assets which is as per the N MP guidelines and it complies with the NMP guidelines.
– Mr. Sarvesh Gupta:
– So, going forward you will not be down selling any of your assets to PowerGrid Inv IT is that the right assumptions Sir?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– No, we can't assume like that. As of now, the NMP guidelines doesn't permit to transfer the shares permanently to an SPV, not only PG InvIT to a ny anyone. So, this is what the NMP guideline says. So as of now this is the position.
– Mr. Sarvesh Gupta:
– Yeah. So, the second question was on the transmission assets. So, there have been a lot of media reports that you know we are seeing a very large pipeline of sort of transmission assets coming into play in terms of because you know the old assets also need to sort of get into newer ones as they come to 50 -60 years sort of a life cycle. So, given that Sir, are we seeing a sort of an extraordinary gr owth opportunity for us in the coming few years or we feel that we will be continuing along the same sort of a growth path that we have been doing in t he last few years?

– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– 1,80,000 cror es in the next years is a little, I think it's a decent figure. It should normally go up from the present level. So, there are opportunities that is why we have shown in that slide that yes, there are more opportunities and then of course this includes o nly the RE generation related transmission assets in addition to that also there may be some assets coming up and from the present level of like 9 ,000 or 8,800 in the future years, yes, there are possibilities of the Capex going up. Like next year we have an initial target of 12,200 as of now. So, this year also when we projected 8 ,800, now we see that it's going a little upside and then we should touch at least five digit figures this year and then next year it should be 12,500 as of now and of course th e HVDC projects are in the cards and then depending upon the outcome, the Capex for next year will be formed of may be in another 3 -4 months. But as you say, yes, there are opportunities in the next few years to higher potential Capex .
– Mr. Sarvesh Gupta:
– And Sir finally on the data center business , so what exactly is our strategy in this because there are many big players like Reliance , Adani has also entered this sort of a business and then you need some specific capabilities for building the data centers as well as for putting it out on rent. So, what exactly are we planning? Are we planning joint partners - JV partners for building it? Or are we planning to rent it out

?
So, do we need some JV or do we have existing tenants who would be occupying this? So, how are we thinking about the data center business?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– No, it is like competing with other players only. As of now we didn't think of joining hands with either Reliance or Airtel o r somebody. So, we can also since we feel that yes, we have done the communication business for a quite long time last 20 years and we feel that yes, we can get ourselves adopted in this one and being a government entity, we feel that yes, we may have an edge about some of the storage orders, we may get it and then this is the purpose like we can and we have like a piece of land in Manesar, so we thought we can utilize this for the setting up of data center and not only this one, we can even go in for othe r private lands also where there are the data centers in existence, we can set up and then we can do and then as of now there is no plan to join hands with anybody or joining a JV with any of the players. We thought yes, we can - we feel that we have the capability to do that on our own . If required , we can have some consultants to advise on that expert advice. We can take the experts and then we can carry on. So, this is only a - that's why we are setting up one pilot data center. Depending upon the s uccess , we will have a co-location , there also we can have a storage, we can do a space there and depending upon the success we can escalate that, we can expand that.

– Mr. Sarvesh Gupta:
– Sir, this is for how many megawatts?
– Mr. R.K. Tyagi - Director (Operat ions) , Power Grid Corporation of India :
– Oh, there's about 10 MW. Initially , about 8 MW and in second phase it will be 14 MW.
– Mr. Sarvesh Gupta:
– So, 1,000 crore is for 22 MW ?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– 700 cro res. So, initial investment is 700 crores. So, 1,000 we have projected of till 2032. Once we are successful in that may be this 1000 crores will be going up.
– Mr. Sarvesh Gupta:
– Thank you and all the best.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Moderator, can you take Ab hijeet Kanan next? Abhijeet your line is un muted .
– Mr. Abhijeet Kanan:
– Thanks. This 60,000 -crore bidding pipeline that we have, what is the timeline for that, Sir?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of I ndia:
– You can assume something like 12 to 18 months maximum.
– Mr. Abhijeet Kanan:
– And then there will be you know around a two -year execution period f or those, right?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Yeah, it will be like 24 to 30 months , you can assume. Something will be at two years, something will be at two and half , something may be at three years like HVDC will have a little longer period .

– Mr. Abhijeet Kanan:
– And just on supply chain, is there some issue around availability of key equipments like transformer and all?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Yeah, actually since so many projects are coming up suddenly, so there is a challenge in that transformers and other equipmen ts and even the HVDC equipments where the RE integration is in full swing in Europe because of that, yes, there are. Issues in that, but still we are - if the normally, when the timeline is 18 months and above, there are players who can supply the equipmen t. This is one part and as far as TBCB and most of our contracts are on firm price, we are somewhat insulated from the price escalations and as of now wherever the time schedule is above 18 months, we don't have any issue of supply chain issue. This is o ne part of our transformers , otherwise predominantly if you see we have a lot of our structures, conductor,

insulators, so many parts and then this is one portion .
– Mr. Abhijeet Kanan:
– And last one, this apart from the 60,000 -crore project which are under b idding for next 12 -18 months, I mean what could be a new pipeline that could come from the next one -year perspective?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Yeah, that will be another 67 ,000 crores which are to come for bi dding, which is already approved in the NCT and then another 45,000 crores for which the planning needs to happen. So, this completes this 2.4 lakh crore. Basically , the transmission envisaged in this 500 GW by 2030 envisaged at 2.4 lakh crore in that wh en the including things happened and then the bi ds which are in the RFP stages if you exclude that another 67,000 crores of bidding to come in future and another 45,000 is in the initial stages.
– Mr. Abhijeet Kanan:
– Okay , Sir. Those were my questions. Thanks a lot.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Moderator, we will tak e Koundinya next. Yeah, his line is unmuted. Can you go ahead , your line is unmuted? I think there's an issue with this line. May be we can take Anuj Upadhayay .

– Mr. Anuj U padhayay:
– Yeah, hi. Thanks for the opportunity again. Sir, could you just mention the cumulative equity we have invested till date across the TBCB project and this is excluding those five projects which we have already transferred to InvIT ?
– Mr. G. Ravisa nkar - Director (Finance) , Power Grid Corporation of India:
– Yeah. Yes. Whatever we have shown like 4 ,100 crores .
– Mr. Anuj Upadhayay:
– Is the equity and the revenue and earnings on the same during the quarter?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– The assets which have already been transferred . May be it has got that – that is excluding that five companies because that equity has already been sold.
– Mr. Anuj Upadhayay:
– No, but for c ertain projects, we do have 26% still ret ained, Sir. So, d oes this include those 26 % as well?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– That we are actually showing as assets held for sale, so that is not forming part of our PPE as per the standards and th ere is an intent to sell. We cannot continue to show it as a PPE, so it has to be show n as investments to held for sale.
– Mr. Anuj Upadhayay:
– Fair point, Sir. And the revenue and earnings from the same during the quarter? From these assets TBCB?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Pardon.
– Mr. Anuj Upadhayay:
– The revenue and earnings from these TB CB projects for the quarter, if you can share the numbers, it would be helpful , Sir?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– For which T BCB?

– Mr. Anuj Upadhayay:
– All TBCB, Sir.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Okay . That's a standalone and I'm sorry. We have a half yearly revenue of 1 ,300 crores in TBCB and the pr ofit is 413 crores.
– Mr. Anuj Upadhayay:
– That's helpful, Sir. Lastly, Sir, you referred about 10,000 odd crores of CapEx target , which you are eyeing for the current fiscal, can you provide similar number of target for FY25 and also if you can throw some l ight on the capitalization target which we are eyeing for FY24 and 25 as well?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– FY-25, from 10,000 it should be on the higher side only. As of now, we are projecting 12,500, but that is the figures as on date, but suppose if we are able to win some bigger projects in the like HVDC and all it should be on the little higher side. Capitalization, current year we are projecting as 10,000 crores out of which 4 ,000 we have already done. N

ext year, we are projecting something like above 15,000, something like 17,000 crores we are projecting.
– Mr. Anuj Upadhayay:
– That's helpful , Sir. Thank you.
– Mr. G. Ravisankar - Director (Finance) , PowerGrid Corporation of India:
– This includes the TBCB also .
– Mr. Anuj Upadhayay:
– Okay. Definitely, definitely.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– So, I will take you know a couple of questions from the chat box. The first one is actually from Vipul Kumar. Sorry, I think we've addressed that . This one is from Shashi . Have you finalized upon the Smart Meter supplier yet? If not, will it be through bidding or otherwise?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– No, smart meters ?

– Mr. Harsh Dole - IIFL (India Infoline Grou p):
– That's right. So, have you finalized
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– We have already a tie up with the suppliers . For the two orders which we got from Gujarat, we have a back -to-back tie up with the vendors and then they will be executing.
– Mr. R.K. Tyagi - Director (Operations) , Power Grid Corporation of India :
– Supply will start by end of December or early January. Technical parameters have been finalized. Now , these are under manufacturing , by end of Decem ber or early January , the supply will start.
– Mr. Anuj Upadhayay:
– Got Sir. Thank you.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– The other question is from Shivam Gupta. Sir, is there any progress on regulated equity draft? I suppose he is referring t o the draft tariff regulations by the C ERC.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Actually, the approach paper has already come out and then we gave our comments and all . Normally , as per the timelines, yes by November a nd or December the draft regulations are published. Historically, we see in the last block year also. So, may be next month , we expect the draft to get published.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Yeah. Thank you. The other question is from Koundinya . I guess he couldn't speak over the line. Does the 59,700 -crore pipeline include three HVDC projects approved in NCT? What is the status of these HVDC projects? That's the first question.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corp oration of India:
– which is to come for bidding. 59,700. There is only Bhadla -Fatehpur is included. Other HVDC's which are to come for bidding, now it has not come. So, that will be in the second one which is like I have told you like 67,000 crores in wh ich it was already approved in N CT and to com e for bidding in that balance two HVDC ’s will come.

– Mr. Harsh Dole - IIFL (India Infoline Group):
– Okay , got it. Second part of the question is what is the kind of feedback you're getting on C ERC towards the t ariff control period?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– We don't get any feedback. We only give the feedback. We are giving our comments on the approach paper.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Sure. I think we'll come back to the Q&A queue. Can you unmute Lin e of Swati Jhunjhunwala , please? yeah, Swati go ahead.
– Ms. Swati Jhunjhunwala:
– I'm audible ?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Yeah.
– Ms. Swati Jhunjhunwala:
– Yeah. Thank you for taking my question. Most of my questions have been answered. Just one on the surcharge, could you explain the negative 7 crore surcharge for this quarter?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– In cons olidated we are showing it as -7 as a surcharge. May be some payments would have been regulated like some collections would have hap

pened and then it
might have been regulated. That's why it is negative. We will check it up and then revert to you.
– Ms. S wati Jhunjhunwala:
– Alright, okay . Thank you.
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Otherwise , you see that surcharges are coming down because of the regulations in place where like after 75th day the regulations happen. So that is why it has improved. But this negative we will confirm.
– Ms. Swati Jhunjhunwala:
– okay . That's all. Thank you.

– Mr. Harsh Dole - IIFL (India Infoline Group):
– Sir, we have last two questions. Second last on one is basically from Mohit . Mohit go ahead.
– Mr. Mohit:
– I am audible? Yes Sir. My question is Sir, do you see any issue in executing the STATCOM project specially and how many equipment suppliers are there for STATCOM as of now in this country who can meet your localization requirement?
– Mr. Abhay Choudhary - Director (Projects) , Power Grid Corporation of India :
– No. I don't think there has been a major problem in the commissioning of the STATCOM because this is a technology which is not very old. Therefore, the final commissioning takes ti me and we think there are two or three STATCOM suppliers still like one is Siemens, other is Hitachi, then other players than Hyosung is also there, GE is also trying to come. So, three or four suppliers are there in the market, only this is not a very ol d technology, that is why the commissioning takes a bit of time.
– Mr. Mohit:
– Because I think, our expectation is that STATCOM investment will go up, right. I think there are a lot of numbers of STATCOM put by the CEA NCT, is that understanding correct?
– Mr. Abhay Choudhary - Director (Projects) , Power Grid Corporation of India:
– Yeah, there because of it provides a very much dynamic compensation because of this intermittency in the renewable generation. Therefore , a lot of STATCOM s have to be set up in the v iew of this 500 GW of target of non -fossil fuels. So, that understanding is very much alright.
– Mr. Mohit:
– My second question is what the due against Raigarh -Pugalur from the Tamil Nadu and Telangana, and how the payments will happen, as we bill the C ERC to allow them some kind of leeway for the payment or the payment is due immediately?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– It is you see, earlier when the CERC orders came we were billing and then they were paying also and in between they have contested in Madras High Court and then it was referred to APT EL and then APT EL has set aside the orders and remanded back to CERC for reviewing it along with the grid controller and CEA, CT U as well. So, this was and even when we ap proached the Supreme Court, they have also given a timeline of before 31st October it is to be resolved and then on 27th October, CERC

has already issued orders of making it as a 50% as national component and 50% as regional component. In between, they ha ve adjusted whatever the 1 ,200 crores of payment they have made against that. So, we have again requested them to make the payment of whatever the adjustment and Telangana will be paying now. So, they have adjusted around 450 crores which they will be pa ying now and Tamil Nadu also has to pay because we have requested them a nd the billing of 50 :50 will be from the 27th October. That is the date of order of CERC. As of now, we feel that yes, it should see an end.
– Mr. Mohit:
– Thank you and all the best.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Thank you. Sir, we have last question from Sonia. Can you unmute your line? Moderator, can you unmute line of Sonia? I think, yeah, there seems to be some issue with her line. I think that we are more or les s done with the questions. I sincerely thank the management for giving us an opport

unity and wonderfully
explaining you know what is the opportunity ahead of PowerGrid. On behalf of IIFL, thank you very much and wish the entire team , wish your a very Hap py Diwali for all the participants . In case any of her questions remain unanswered, do let us know . We'll send these to PowerGrid. Alternatively, you can apply to PowerGrid and they will do the needful. Sir, any last remarks you'd like to make?
– Mr. G. Ravisankar - Director (Finance) , Power Grid Corporation of India:
– Yeah, we will say that yes, one is Happy Diwali to everyone and then company there is no change in the basics and the operational maintenance and the availability continue to be above 99.75 and then the lot of CapEx is on the growing side and we hope that it crosses at least 15,000 next year. This is what is our aspiration and then a lot of outlook is bright and then you have a lot of projects to come in future years. So, this is what we go t. I would like to close and once again wishing you a Happy

Diwali and Safe Diwali. And I wish that post -Diwali, we lift the World Cup also .
Thank you.
– Mr. Harsh Dole - IIFL (India Infoline Group):
– Thank you, Sir. Really appreciate. Thank you.
******* *

Call: Feb 2024

[redacted]: "[redacted]", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted]) [redacted]:
0124-2571700-719
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2571700-719
[redacted]: [redacted] -9, [redacted], [redacted], [redacted] -110 016.
[redacted]: 011-26560112, 26560121, 26564812, 26564892, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560121, 26564812, 26564892,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

16th February, 2024

To
The General Manager (Listing),
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager, (Listing)
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Investors & Analysts’ Meet held on 9th February, 2024.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the copy of Transcript of Investors & Analysts’ Meet held on 9th February, 2024.

Thanking You.

Yours faithfully,

(Mrinal Shrivastava)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited

Transcript of Investors & Analysts’ Meet
(Q3 and Nine Months ended 31.12.2023, FY 2023-24)

February 9, 2024 11:00 AM (IST)

Management Team:

i) Shri R. K. Tyagi – Chairman & Managing Director

ii) Shri G. Ravisankar - Director (Finance) & CFO

iii) Shri Abhay Choudhary - Director (Projects)

iv) Dr. Yatindra Dwivedi - Director (Personnel)

- Mr. Mrinal Shrivastava – Company Secretary:

- Good morning everyone. I would like to welcome you to the analysts' conference of Power Grid Corporation of India Ltd to discuss the recently announced quarterly results.

Today, on the dais we have with us Mr. Ravindra Kumar Tyagi, Chairman & Managing Director, Mr. Abhay Choudhary, Director (Projects), Mr. G Ravisankar, Director (Finance) and Dr. Yatindra Dwivedi, Director (Personnel).

I would now request the management to address the gathering, please. Thank you.

- Mr. Ravindra Kumar Tyagi – CMD:

- Very good morning, friends. On behalf of Power Grid, I would like to welcome all the analysts, all the investors, my colleagues. Thank you for coming here and showing faith in Power Grid. We are committed for the growth of the company and the way we have been working for the last 30 years, we will continue to grow like that for the service of the nation. It is my first Investors Meet, so I can assure you that the way things were progressing in Power Grid, it will continue with the same momentum and even we will try to do better.

- Regarding this result for Quarter 3, FY24, I will give brief on the highlights of our financial performance. My presentation will cover Power Grid overview, Major Highlights, Performance Highlights, Growth Outlook and Awards & Recognition what we have earned in FY24; in last 10 months.

- As you know friends, we are a 'Maharatna' company, third largest CPSE Gross Block wise. We have Pan India presence. Our interconnection with our international borders like Bangladesh, Bhutan and Nepal, we have connected transmission network of about 4,000 Megawatt. We have footprints in 23 countries. We have 45 subsidiaries in terms of SPVs mainly for TBCB companies and 12 joint venture companies with various companies like NETC, Sikkim Urja and other companies, 4 associates that includes PGInvIT companies. Then our credit rating has been very good. As per Standard & Poor, it is BBB min

us and domestic also it is one of the best. We have huge transmission network. Our network is one of the largest in the world. Almost 1,490 transmission lines are there. We have 276 substations and transformation capacity is over 5,00,000 MVA. Interregional capacity is 97,000 Megawatt; that means power generated anywhere in the country, be it Arunachal Pradesh or be it Kerala, it can be transmitted to any other part of the country and we have been maintaining our transmission system availability

3over 99.75%. This year so far it is 99.86% and our availability and reliability is one of the best in the world. We have been continuously benchmarked by international agencies in operations and maintenance in first quadrant and we are comparable with best utilities in the world. We have 18 HVDC substations, 62 AC Substation of 765 kV, 165 numbers of 400 kV, STATCOM and SVC, which are mainly for stabilization of the grid, we have 20 numbers. Because of lot of renewables are there, we need some stabilizing elements to take care of voltage frequency and other parameters. GIS substations, especially in urban areas, we have 62 numbers and transmission line towers, it is close to 300,000 towers we have all over the country. Transformers and Reactors numbers are 3,600.

- Regarding our recent performance in TBCB projects, we are successful in 6 ISTS TBCB projects recently in Quarter 3, like Vataman in Gujarat, Kopal-II to Gadag-II in Karnataka, Bikaner 3 Neemrana in Rajasthan then Neemrana to Bareilly between Rajasthan and U.P., Sikar-Khetri, Bidar Transmission Limited and NCT cost for this was about 20,000 crore and annual tariff is 1,636. In FY24 in the last nine months, we have won projects worth 26,000 crore with annual tariff of 2,340 crore. Our percentage of winnability is almost 67% tariff wise. So, in last one year we have won many projects and in days to come this will continue.

- Especially in ESG, that is the focus of Government of India and worldwide, transition to low carbon operations. We have successfully commissioned 132 kV 20 MVAR bus reactor from the synthetic oil to natural oil and it was commissioned for the first time in India on December 1st, 2023. So, it is a great initiative towards Net Zero or Low Carbon operations. We are committed to take more initiatives, especially for replacement of SF6 gas in switch gears in GIS so that our ecological footprints are increased.

- As far as automation and better control of our grid, our lab at Manesar, a PARTeC Lab, it has been internationally recognized recently and we are the second company to be accredited for this IEC 61850. It will play a key role in identifying and eliminating interoperability issues among various devices. Like we have n number of devices of different makes, so all devices should communicate from one device to another device so that controls are better. So, this lab will help in a big way to test all the devices whether they are communicating with the different devices or not. So, it is a very good step in successful or in reliable operation of the grid.

- There has been continuous demand or requirement for integration of various communication protocols of different makes. So, we have successfully implemented UNMS, which covers almost 1 lakh kilometer of fiber network. It is very critical for controlling and monitoring our transmission assets of ISTS and Intrastate.

- We have signed recently agreement with Ladakh for loss reduction under RDSS for Leh and Kargil. Creation of distribution system in border areas of Ladakh. Our project cost, which has been signed with Ladakh in last quarter, is 862 crore.

4- On Project execution front, we have added 3,100 MVA transformation capacity. One number Fatehgarh III Polling station has been commissioned and 834 circuit kilometer of transmission line has been added in the network. Transformers at Fatehgarh II and 6 ICTs at Fatehgarh II, Fatehgarh III, Palakkad

, Tuticorin and Kurukshetra have been added.
We have added very important transmission link in northeastern region i.e., Lower Subansiri to Biswanath Chariali. So, once the Lower Subansiri project is commissioned, so it can be successfully evacuated from Arunachal Pradesh to the rest of the country because it will come to Biswanath Chariali and from Biswanath Chariali power can be transmitted through HVDC BNC Agra to Agra and then from Agra it can come to Delhi, NCR and other areas.

- Our CapEx in Q3, on Consol. basis is 3,444 crore and for nine months it is 7,690 crore and capitalization is 5,780 crore and for Q3 it is 1,784 crore. We are hopeful that this CapEx will be almost 10,000 crore plus in next two months and the capitalization will be of the order of 8,000-8,500 crore.

- As I was telling that operational performance is one of the best in the world, we have been maintaining 99.86% in this financial year. Last year nine months, it was 99.81. And our tripping is continuously decreasing. Last time we had 0.27 tripping per line, in this FY24, so far we are 0.22 tripping per line. That means almost out of four lines only one line trips in a year. So, which is a very good indication of the reliability and availability of our transmission network.

- Without digital technologies, without digitization of our system, we will not be able to maintain such huge system, transmission network in various parts of the country. So, we have taken steps for digitization of data, digitization of the process and digital transformation. So, three areas we have covered. Like if we talk about digitization, so we are using SAP for Enterprise Asset Management, then remote acquisition of the data for NTAMC. We have PMU and WAMS. Then PG-DARPAN is the data capturing app for transmission line monitoring. We are now starting QR based Data Management System of our assets. In Digitization, the PALMS, Asset Health Indexing, Drone Based Patrolling then Amrit for Transmission Asset Management, Augmented Reality for Substation Maintenance. We are having Augmented Reality based head gears. Then development of business dashboards for various applications and Predictive Outage Management. We have artificial based Defect Identification Application for transmission line, like through drone we capture the data of transmission line tower, the transmission line hardware and automatically the data is fed in the software and through Artificial Intelligence we are able to detect the defects in the transmission line towers and various parts of the network. We have created digital substations at Malerkotla, Chandigarh. We are in the process of digitization of Navsari station from Day 1. And a brownfield project of Kanpur, we are going to convert that station to digital substation. Then Digital Worker has been implemented for maintenance of various equipments. Then deployment of Asset Health Management and Digital Twins for transmission line and transformers are 5being developed so that data and process of various applications can be maximized and the requirement of human being or human efforts can be minimized.

- As I was telling that we have almost 290,000 towers, 3,600 transformers, almost 10,000 circuit breakers, 20,000 CTs, almost 14,000 CVTs, 12,000 surge arresters. So, put together we have almost 400,000 equipment and for monitoring of each equipment we require almost 30-40 data points. If we had to monitor each and every equipment, so the data points will be in millions and so manually it is not possible. So, we had to go for digitization for which your company is taking proactive actions so that the efficiency and reliability of system can be further improved.

- As I was telling that we are using drones, remote operations of all the stations is being done. Digital substations, UDAAN, Asset Management dashboards. The management can see where the critical assets are there, which assets are out of servic

e. So, those
details are available on the dashboard. The Center of Excellence, the relays or IDs are being controlled and monitored from a centralized Control Center at Manesar. We have recently developed Center of Excellence for cyber security at IISc-Bangalore. So, we are taking various actions using various technologies.

- The Financial Performance. Income in Q3 is 11,468 crore as compared to 11,281 crore last year. PAT is 3,970 crore as compared to 3,702 crore. On Consol. basis, income is 11,820 crore and PAT is 4,028 crore. For 9 months FY24, it is 33,562 crore on standalone basis and PAT is 11,347 crore. On Consol. basis, 34,608 crore and PAT is 11,407 crore.

- These are the details of various heads like Transmission Charges, Consultancy Charges. This is the breakup of our income and the profit details.

- This is on Consol. basis. Revenue for nine months 34,000 crore and expenses are 4,000 crore. So, we are able to maintain EBITDA 80% plus and Profit After Tax 11,407 crore and for Q3 4,028 crore.

- We have a total Gross Fixed Assets almost 2,74,000 crore, Capital Work-in-Progress almost 16,600 crore. We have Loan/Debt of Rs. 1,19,000 crore, which has reduced from Rs. 1,28,000 crore to Rs. 1,19,000 crore. Net Worth is Rs. 87,194 crore as against Rs. 82,226 crore last year and Earning Per Share, for 9-months it is Rs. 12.26 as compared to Rs. 11.93 as on 31-12-22 last year. Debt Equity Ratio has improved 58:42 as compared to 61:39 last year. Return on Net Worth is maintained at 13.08% as compared to 13.50% last year.

- These are some key financial information. Like income for previous periods in Q3FY24 is 237, interest on differential tariff and these details are there because of that there is a change in our Revenue and Profit.

6- In consultancy, we have earned domestic and international clients; almost 116 crore income we have earned. One international assignment in Uganda, additional scope for Consultancy or Project Management. And we have 17 ongoing international assignments, 4 new domestic assignments have been won. There are 78 ongoing domestic assignments, especially in Transmission, Sub Transmission, Rural Electrification, Load Dispatch & Communication, Smart Grid, Energy Efficiency and Sustainable Development. These are the areas where we are working.

- The PowerTel, Our Telecom business has been hived off. We have now separate subsidiary called PowerTel and from 1st October'23 it is working separately. Now, the first quarter income is 201 crore. We have added 17 new customers, 362 crore multiple year order received. Then 3,000 locations Pan India network we have in Telecom. The fiber network is more than 100,000 kilometers. Our backbone availability of our fiber is almost 100%.

- These are the commercial performance. We have more than 45 days is 4,181 crore in Q3FY24. These are details of our Receivables. Main State is basically TNEB and TANGEDCO. We have almost 2,200 crore and then J&K, M.P. and U.P. The BHAVINI issue is resolved and now they are ready to pay all arrears in installments. So, we will get this revenues very shortly.

- As far as our outlook for next few years, we have work in hand as on today Rs. 77,770 crore, out of which we have ongoing 11,450 crore RTM and new RTM 24,800 crore, which includes Leh-Kaithal HVDC link of 20,000 plus and other projects won through TBCB Rs. 41,450 crore. So, put together we have Rs. 77,770 crore work in hand. The projects other than HVDC are to be executed in next 2-2.5 years. So, that means almost 55,000 crores CapEx has to be added in the next 2-2.5 years. So, our outlook is bright. We are considering that we had target of CapEx Rs. 8,800 crore, so by January'24 we have already achieved almost Rs. 8,700 crore. So, in FY24 we are hopeful that we will achieve 10,000 crore plus CapEx and in next financial FY25 we are hopeful that we will achieve 15,000 crore plus. We will be

close to $2 billion next year. So, the outlook is
good. Maybe in FY26 still CapEx will be 20,000 plus. It will be close to $3 billion.

- If we look at this outlook upto 2032, we have interstate intrastate cross border. If we add all the sectors and possible capex, so we are touching somewhere 200,000+ capex in the next 7-8 years. So every year, there will be at least 20,000-25,000 crore capex will be there on an average. So sometimes it may be 15,000 and sometimes it may be 30,000 crore, depending on the project timeline.

- Regarding this greener tomorrow, we have already committed, last time also we told that 50% electricity we will be consuming from renewable sources by 2025, net water positive by 2030 and then zero waste to landfill status by 2030, net zero we are targeting by 2047 and for this 50% electricity, we have already started constructing 85 megawatt Nagda Solar Plant which is expected to come in 3rd quarter of the year, maybe 7sometime in August or September and after that it will start generating renewable power which can be consumed as a captive use for Power Grid.

- Awards and accolades - we got this Corporate Impact Targeted Program Award for improving rural livelihoods and protecting environment through farmer centric integrating water shed management in Orissa, Kalahandi. In CSR again, this was on Vishram Sadan, we got these awards in 2023. Then for digital initiatives especially in Pugalur-Thrissur, we got this award SKOCH Gold Award 2023.

- Thank you very much. Thank you for your kind attention.

- Mr. Mrinal Shrivastava – Company Secretary:

- We express our sincere thanks to CMD for sharing the progress and performance of the company in preceding quarter and the 9 months. His commitments to take the company to newer heights by way of presenting the outlook and the future path and not only that, he has also expressed his commitment towards the inclusive growth and taking the society along with the mission to achieve the commercial growth as well. So thank you so much Sir. Now I request my guests, the session is open for interactive, session with our management. Please!

- Moderator:

- Hello, hi! One small announcement over here. Please introduce yourself and your company so that we could register that.

- Mr. Mohit Kumar – ICICI Securities:

- Sir, I am Mohit Kumar from ICICI Securities. My question is on Sir on total industry capex. According to NEP, the number is 4.8 trillion for FY22 to FY27 which comprises of 3.1 trillion of inter-state capex and 1.7 trillion of intra-state capex and our numbers are at 10,000 crore. which we are talking about in FY24. So my question is, are we under investing in the inter-state, intra-state in the past and do you think, especially the intra-state numbers will go up substantially and the question is, how do you reconcile these expenditures?

- Mr. Ravindra Kumar Tyagi – CMD:

- Ok, thank you. As I have shown that we have almost Rs. 77,000 crore worth projects in hand. Almost Rs. 16,000 crore work in progress is there. So as per the earlier plan of CEA, Rs. 2,44,000 crore ISTS network is to be built out of which almost 96,000 crore. worth projects have been already awarded. Almost 84,000 crore worth of projects are in pipeline. They are under bidding and the balance 64,000 crore projects are yet to be bid. 8They are yet to be floated. So in ISTS, definitely the roadmap is there. as you rightly mentioned, now NEP is mentioning about 3,10,000 crore projects. So that means ISTS portion will further improve and accordingly our share will also increase. So now we are showing say 200,000 plus crore upto 2032. So, it will further improve.

- As regards to intra-state, your concern is, yes, we also agree with you that more focus is required unless or until intra-state transmission network is not there, so power to the consumer, there will be challenges. But I am sure that Government of India and
gover

nments of various states are taking necessary action. To ensure that once ISTS is ready, in the same timeline, intra-state transmission network will also be ready. As far as you are mentioning about how we are going to achieve, like if we talk about 15,000 or 20,000 capex, our profit is say about 14,000-15,000 crore and after dividend, we have 5,000-6,000 crore in hand for capex and considering 80:20 ratio of loan and equity, so we can very well execute projects worth 30,000…..25-30 thousand crore projects each year. So there will not be any problem in capex for Power Grid.

- Mr. Mohit Kumar – ICICI Securities:

- My 2nd question is, is there any risk to upside on the capex number which you have said 15,000 crore and 20,000 crore given that the transmission bidding pipeline is 84,000 crore and is likely to close in the next 12-18 months. The other question is that, what is the status of Leh Ladakh?

- Mr. Ravindra Kumar Tyagi – CMD:

- Leh Ladakh is a very strategic project, very important project and we have been given on nomination basis by Government of India considering various challenges in this project because it is for the 1st time, this project is being executed at a height of 4500mtrs or almost 5000mtrs. So we are going for front end engineering and design studies. We have already placed the order. It is almost getting over or getting completed by March 24. Based on this, we have to finalize the detailed parameters of each and every equipment. So based on that, we are going to place orders for FEED2 and FEED2 is likely to take maybe 7-8 months, maximum by December 24, we will get outcome of studies and by that time, we will have all the documents ready for tendering. So NIT should come in January 25 and by end of March, we should be able to place the order. And from placing the order, may be 5 years is the timeline, so by FY 25 maybe, I am hopeful that by FY30, the project should be a reality.

- Mr. Mohit Kumar – ICICI Securities:

- Upside risk to the capex numbers?

9- Mr. Ravindra Kumar Tyagi – CMD:

- Capex is almost 22,000 crore.

- Mr. Mohit Kumar – ICICI Securities:

- My question again, given the transmission pipeline which is very high and we need to complete most of the projects within 2 years.

- Mr. Ravindra Kumar Tyagi – CMD:

- Ya.

- Mr. Mohit Kumar – ICICI Securities:

- So do you think the upside risk to the numbers which you have given to us – 20,000 crore in FY26?

- Mr. Ravindra Kumar Tyagi – CMD:

- Ya, so this is the visibility as of now because we have to complete these projects, whatever we have in hand other than Leh Ladakh which is 5 years timeline. Balance projects we have to complete in about a maximum of 30 months. So next year we are considering say Rs. 15,000 crore as of now, visibility depending on the progress but definitely we are committed to complete these projects within 30 months. So accordingly capex will be increased in a phased manner.

- Mr. Mohit Kumar – ICICI Securities:

- Thank you Sir for answering.

- Mr. Subhadip – Nuvama Group:

- Good morning Sir. This is Subhadip from Nuvama. So Sir, firstly with regards to the NEP numbers that you just mentioned, the 3,10,000 crore of the inter-state target. Now that would also include money spent over FY22 and FY23.

- Mr. Ravindra Kumar Tyagi – CMD:

- Ya.

10- Mr. Subhadip – Nuvama Group:

- So am I to understand that the overall numbers still remain at that Rs. 2.4 lakh crore, the earlier CEA guidance for the renewable capex which we had got last year. So the numbers are roughly the same?

- Mr. Ravindra Kumar Tyagi – CMD:

- Ya. The earlier 2,44,000 crore if I am correct, it included the projects, this 22-23 projects also were there. So maybe these are the additional like….what was happening – earlier we were considering storage as one of the options so that transmission evacuation network can be delayed. Now you know t

hat battery storage has not come up the way we expected. So, for evacuation of 500 gigawatt, we have to plan additional transmission network. So it is because of those reasons, the transmission network or ISTS network needs to increase. So it is considering those additional transmission network required for evacuation of 500 gigawatts, otherwise we were thinking that battery storage will be there and we may not require this much of transmission network.

- Mr. Subhadip – Nuvama Group:

- Understood! And secondly, with regard to the current ongoing TBCBs which are under bidding, I understand there are 2 projects under bidding. Now in your opinion, these would enter the capex phase by FY26 assuming that these get ordered out by FY25?

- Mr. Ravindra Kumar Tyagi – CMD:

- You are talking about if I am correct – Fatehpur Badla and Khavda to Nagpur?

- Mr. Subhadip – Nuvama Group:

- Correct!

- Mr. Ravindra Kumar Tyagi – CMD:

- Ya, like especially for Fatehpur to Badla should be awarded within this financial year, FY24, so maybe you consider 6 months for engineering and other activities, maybe in last quarter of FY25, we should start real capex, when equipments start coming and work at ground starts getting executed, execution.

- Mr. Subhadip – Nuvama Group:

- Understood! But these HVDC projects would again take more than 3-4 years to execute?
11
- Mr. Ravindra Kumar Tyagi – CMD:

- It will not be similar to Leh and Kaithal project but considering constraints and limitations worldwide in supply chain especially for HVDC project, the timeline which has been considered for these projects is 48 months for bi-pole1 and 54 months for bi-pole2. So, may be 4.5 years, total completion.

- Mr. Subhadip – Nuvama Group:

- Understood! So that would imply that we will see probably faster commissioning of projects that we are doing capex over the next couple of years which are non HVDC and once we start executing the HVDC, let's say starting FY25 or 26, those will be slightly longer gestation in terms of the capitalization.

- Mr. Ravindra Kumar Tyagi – CMD:

- Ya.

- Mr. Subhadip – Nuvama Group:

- Perfect Sir. That's it from my side. Thank you.

- Mr. Sumit Kishore – Axis Capital:

- Sumit Kishore from Axis Capital. If we take your works in hand of 777 billion and you mentioned that 550 billion would be executed in 24-30 months and if I take your guidance for FY25-26 capex put together is 350bn rupees versus 550bn, so once again I think it's a bit of a follow-up but it seems that your numbers, there are 26 months to go for FY26 to end and you will still be at 350 versus 550 that you need to do.

- Mr. Ravindra Kumar Tyagi – CMD:

- Ok, you are right that as of now the visibility which we are seeing for the next FY25 or FY26, definitely we have to complete in maybe maximum by FY27, mid FY27 so maybe after 6 months, once the projects are better visible, we can accordingly true up our estimation.

- Mr. Sumit Kishore – Axis Capital:

- When you say visibility, you mean the pre-engineering works and the designs and which would take more time as per your estimation?

12- Mr. Ravindra Kumar Tyagi – CMD:

- Ya, supply and progress at site, so if I am talking about 2bn dollar next year, maybe it increases to 2.5bn dollar, depending on the progress and ground reality.

- Mr. Sumit Kishore – Axis Capital:

- And on a related note, what would be your capitalization guidance for FY25 and 26 given the bunching up that will happen in CWIP?

- Mr. Ravindra Kumar Tyagi – CMD:

- As I told, FY24, it is somewhere about 8,500 crore and FY25, it should be about 16-17 thousand crore.

- Mr. Sumit Kishore – Axis Capital:

- Ok. 3rd question would be, with a 3.1 lakh crore ISTS capex over 22 to 27, just a math, as 24 is ending, 3 year period in this block is already ending. I think you will have to award projects first and then execute them, so for t

he country as a whole, the ISTS target
appears a bit aggressive. Then including the InSTS it is 4.75 lakh crore. So it appears to be a very aggressive target because you will have to award probably in the next few months to complete that over the next 3 years. Right?

- Mr. Ravindra Kumar Tyagi – CMD:

- As you know, we have already experience of executing projects worth 25-30 thousand crore projects maybe 5 years back or 6 years back. So execution should not be a challenge. There can be challenges may be for supply of transformer, supply of GIS for which Government of India is taking necessary actions. We are in the process of developing more vendors like at 220KV level transformers, at 400KV level transformers, so supply chain should not be a problem. If we take these actions in future and we go for vendor development of more vendors are there in the market so the vendors will be able to meet these requirements. But as of now, yes you are right, there can be some challenges unless or until we don't take any action for ensuring the problem whether it is resolved or not.

- Mr. Sumit Kishore – Axis Capital:

- Thank you so much for answering my question.

- Mr. Atul – Citi Research:

- Sir, this is Atul here from Citi Research. Sir, my question is on CERC draft regulations which have been proposed. What is your comment on the impact on Power Grid specifically with respect to the O&M norms which have been proposed, what could be the impact if these go through in the current form?

- Mr. Ravindra Kumar Tyagi – CMD:

- Yes, draft regulation is out and we are discussing with CERC. There are changes especially if I talk of operation and maintenance charges, O&M charges, earlier what was the distribution that 75% was towards sub-station and 25% O&M cost was towards transmission lines. So based on the actual data, now it has changed 65% for transmission line and 35% for sub-station…… Sorry, 65% for sub-station and 35% for transmission line. So accordingly transmission line charges have increased and sub-station bay charges have reduced. But overall impact is not there. total we have calculated, our O&M charges what we were getting before this regulation 24-29, in 19-24 how much we were getting, they have added one more element 'reactor', earlier we were not getting any O&M charge for reactors. So reactor charges have been added per MVAR similar to transformer per MVA capacity like say 20 lakhs or so per MVA. So those have been added. So net impact is not there. Net impact is almost zero or we are going to get the same O&M charges which we were getting earlier.

- As regards to ROE yes, they have been grand fathered at 15.5% for the old assets and new assets, 15% is indicated for the new projects commissioned after 1st April 24 but still we are discussing with the CERC. Discussions are going on and we are hopeful that whatever regulations and norms were there, they will continue. So there will not be any impact on Power Grid, revenue or profitability.

- Mr. Atul – Citi Research:

- Sir, my 2nd question is on the TBCB projects. So your market share has gone up to almost 60-65%+ recently versus your long term average of 40%. What is driving this very sharp increase in your market share in the recent bids? Have you changed your bidding strategy or the competition has just vacated their space so could you comment on that?

- Mr. Ravindra Kumar Tyagi – CMD:

- Yes, you are right that in between 2 years or 3 years, our percentages were less but still on total capex basis, we have a share of almost 67% in the last FY23. Now we are more aggressive because we had to compete. If we have to survive, if we have to take care of the interest of our investors, so definitely we had to….growth has to be maintained. So 14we want that growth should be at 7-8% or 9%, so for achieving that……but still we are maintaining that our IRR should not be…..we

are targeting about 14% but we are ensuring that it is 11% or 12%.

- Mr. Atul – Citi Research:

- Ok, thank you Sir. Thanks a lot.

- Mr. Vinod – BOB Capital:

- Hi Sir, this is Vinod from BOB Capital. Given the strong capex pipeline that you have, do you also have a parallel asset monetization program in place because the kind of equity requirement you need for these projects or would we see a reduction in dividend pay-out so that you can bolster your own cash flows?

- Mr. Ravindra Kumar Tyagi – CMD:

- Asset monetization as you know that, we had targets in the last 2-3 years but after this new NMP guidelines, we are not able to transfer ownership, only rights transfer is possible. So depending on our capex requirement, we are doing securitization of our assets. In this year we have done Rs. 5,700 crore, the loan we have taken through securitization. Last year we had taken Rs. 3,400 crore. So in future also depending on our capex requirement through securitization, we will be able to match our requirements and balance will be from our profit.

- Mr. Vinod – BOB Capital:

- So you plan to maintain dividend pay-out where it is today?

- Mr. Ravindra Kumar Tyagi – CMD:

- Dividend pay-out, yes, we plan to maintain at the same level.

- Mr. Vinod – BOB Capital:

- The 2nd thing I observed was your CWIP in consol is almost twice your standalone but your entire debt is on the standalone books. So, are you not taking any debt on the books of JV?

- Mr. Ravindra Kumar Tyagi – CMD:

- I would request Director Finance to please……

- Mr. G. Ravisankar – Director (Finance):

- Ya, normally we take the loan in the books of Power Grid and then we give the debts to the SPVs and then we have separate terms with them. Normally we don't raise in the books of SPVs because the rate will be very good if we raise in the name of Power Grid. So that's why if you see, always in the Consol and standalone, the same loans will be there. Almost all the loans will be in the name of Power Grid and from here we will on lend to SPVs.

- Mr. Vinod – BOB Capital:

- Thanks, that answers my question.

Moderator:
- Last couple of questions, if any? Alright, I think we have had a very interactive session. Thank you everybody for coming over here. Please do contact the Power Grid Corporation if you have any further questions. The email id is investors@powergrid.in and you can also reach out to my colleagues from Adfactors PR for any further queries. We will try our level best to address them within the next 48 hours. The management of Power Grid is also available over here for interaction. I take this opportunity to once again thank you for taking out time, for being here and coming up in such large numbers. I also thank the entire management of Power Grid Corporation for organizing this investor meet, for you and for the analyst meet and also the fact that, they have addressed, they have shared all the details about the projects, about the outlay, about the capex, about the vision and the mission. And if you have got any further queries, you could connect with them one on one and thank you for that. There is lunch being served. It might take another 5-10 mins to lay it out. Until then, thank you once again. Thank you Sirs.

END OF TRANSCRIPTION

Call: May 2024

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0124-2822999 & 2823999
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2822999 & 2823999
■■■■■ ■ ■ ■■■■ ■■■: ■■ -9, ■ ■ ■■■ ■■■■■■■■■ ■■■■■, ■■■■■■■■ ■■■■, ■■ ■■■■ -110 016.
■■■■■■: 011-26560112, 26560115 & 26560193, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560115 & 26560193,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

31st May, 2024

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Investors & Analysts’ Meet held on 24th May, 2024.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the copy of Transcript of Investors & Analysts’ Meet held on 24th May, 2024.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

1

Power Grid Corporation of India Limited

Transcript of Investors & Analysts’ Meet
(Q4 and Financial Year ended 31.03.2024)

24th May, 2024 11:00 AM (IST)

Management Team:

i) Shri R. K. Tyagi – Chairman & Managing Director

ii) Shri G. Ravisankar - Director (Finance) & CFO

iii) Shri Abhay Choudhary - Director (Projects)

- Moderator

- We welcome you to the Investors and Analysts' Meet to discuss the fourth quarter and annual financial statement for the FY 2023-24. I now invite Mr. Satyaprakash Dash, Company Secretary, to initiate the proceedings.

- Mr. Satyaprakash Dash – Company Secretary:

- Thank you. Good morning, ladies and gentlemen. On behalf of POWERGRID, I welcome you all to this Investors and Analysts Meet. Today, our senior management is there with us to discuss the company's business performance and financial things based on the recently published financial result. It's my pleasure to welcome the senior management of POWERGRID and introduce them. Mr. R.K. Tyagi - our Chairman & Managing Director, Mr. Abhay Choudhary – Director (Projects), Mr. G. Ravisankar – Director (Finance) & CFO.

- Before proceeding further, we are presenting a short video on POWERGRID.

(Audio-Video plays 01.17-04.37)

- Thank you. I will now request our Chairman & Managing Director address the gathering. Subsequent to this, the floor will be open for question-answers. Chairman Sir, please.

- Mr. R.K. Tyagi - Chairman and Managing Director:

- Good morning, everyone. Honorable investors, our partners and colleagues, on behalf of POWERGRID I want to thank everyone for attending this Investors Meet along with my Board colleagues, Mr. Abhay Choudhary, Mr. G. Ravisankar are there. Our Director (personnel) Dr. Yatindra Dwivedi, has gone to U.S. for receiving one of the very prestigious ATD BEST Award 2024 which we have received for the third time. It is a matter of pride for all of us.

(Audience applauds)

- I also want to congratulate each one of us for surpassing market cap of Rs. 3 Lakh crore on 21st May, 2024 and the speed at which it has surpassed 3 Lakh crore from

Rs. 2 Lakh crore in first week of December 2023 by 21st May, 2024; almost 5 and half months. So, there are many more achievements, milestones in future to come. I, on behalf of POWERGRID, I assure every one of you that we are committed to achieve many more milesto

nes in future.

- Today, I will cover POWERGRID overview, major highlights, performance of POWERGRID, what is the growth outlook in next 7-8 years and what awards and accolades we have received in recent past. As you know, we are a Maharatna company, Schedule “A”. As per DPE, we are third profit making CPSE after ONGC and NTPC. Market cap, as I told that, we have achieved on 21st May, 3 lakhs crore.

- We have our operations throughout India, with neighboring countries like Nepal, Bhutan, Bangladesh. We have cross border interconnection of about 4,000 3Megawatt. We also have footprints in 23 countries with 47 subsidiaries, 12 joint venture companies and 4 associates. We are handling huge asset base; one of the largest transmission companies in the world.

- Our operations, our credit rating are excellent. It is at par with sovereign rating/credit rating domestically and international.

- As I told that the widespread transmission asset about 1,77,000 circuit kilometers and 1,503 transmission lines are spread across India. You go to any state, our transmission tower is there with 278 substations, 5,27,000 MVA capacity. Interregional capacity about 99,580 Megawatt, which is almost 83% of interregional capacity. This indicates that more than 100,000 Megawatts can be transmitted from one corner of the country to another corner of the country. Power generated in Tamil Nadu can be transmitted to Leh and Ladakh. Similarly, hydropower generated in Arunachal Pradesh can be fed to Delhi and Haryana.

- We are handling almost 99% system availability. Last year it was over 99.80% availability, which is one of the highest in the world. Our tripping also, it is one of the best in the world. So, our operations are excellent and our experts, technical expert team is working day and night to ensure availability and reliability of power system in India.

- Two years back in ‘2021, 2022’, during COVID period, everyone witnessed that power supply was maintained reliably, and our dedicated manpower worked day and night even in COVID days and ensured that reliability of power be it Leh, be it Arunachal Pradesh, be it Sikkim. So, everywhere it was maintained.

- We have HVDC systems; about 18 stations, 800kV and 500kV, which is one of the highest system voltage. One multipole carries almost 6,000 Megawatts. That means one HVDC line, it can carry 6,000 Megawatts which is more than the requirement of metro cities like Mumbai, Hyderabad, Chennai and other cities except Delhi where power demand is about 8,000 Megawatt. Otherwise, one HVDC can feed one full big city, metro city.

- We have 62 765kV substations, 167 400kV substations and for reliability and dynamic compensation for reactive power management we have dynamic compensation, SVC (Static Var Compensator) and STATCOM 20 numbers, 63 GIS especially where land scarcity is there. We have state-of-the-art technology through GIS up to 765kV and our transmission towers which are spread on hills, mountain top, river; everywhere. Whatever be desert, be it dense forest everywhere our towers are spread across country. We have more than 3,800 transformers and reactors.

- MAJOR HIGHLIGHTS:

- We have won 13 ISTS TBCB projects in FY 2024 like -

■ Bidar, which is Bidar substations and Bidar to Maheshwaram transmission line 765kV level.
■ Sikar Khetri Transmission System, that is two transmission line from Sikar to Khetri and Narela.
■ Koppal II and Gadag II transmission Limited which is also two numbers of 765kV lines and one 400kV line with two stations- one 400kV and one 765kV.

■ Vataman Transmission Limited, it is for evacuation of power to be generated in Khavda area. Khavda; huge potential is there over 40,000 Megawatts. So, it is part of their Transmission Evacuation System.
4■ Neemrana to Bareilly Transmission Limited.
■ Bikaner III to Neemrana, this is for evacuation system of Rajasthan Renewable Power. Bikaner III substation and

associated Bikaner III to Neemrana, two
transmission line.
■ Ramgarh II Transmission Limited. It is Ramgarh substation plus Ramgarh to Badla-III 765kV transmission line.
■ Then, Beawar Dausa 765 kV.
■ Ananthpuram Kurnool Transmission Limited.
■ Rajasthan; we have Barmer Complex, Jaisalmer and Barmer Complex. It is part of 5.5 Gigawatt Part E and Part C.
■ Then Khavda area of Gujarat-Phase-IV, Part 2, Part E2, which is basically augmentation capacity of Khavda II and Khavda III; KPS II, KPS III.

- In terms of NCT cost, it was about 65% of total project which were bid in FY23-24 and annual tariff is about 64% of the total.

- OTHER HIGHLIGHTS:

■ The cabinet approved Green Energy Corridor, especially for Ladakh, Pang to Kaithal HVDC and at Pang and Kaithal VSC stations and associated AC transmission line at Pang and Leh. This was approved in FY23-24.

■ Then MoU we have signed with RVPNL, Rajasthan for formation of 74:26 JV company for intrastate transmission projects initially for about 10,000 crores transmission system and maybe later on many more will be there. Similarly, we are also in discussion with Andhra Pradesh Transmission company APTRANSCO for formation of JV company similar to Rajasthan and also with Assam and U.P. So, intrastate transmission system also is likely to be developed by POWERGRID through joint venture or through Intrastate TBCB companies.

■ We have successfully completed five numbers TBCB projects in financial year. We are not only winning the project but also completing. POWERGRID Ramgarh Transmission Limited, which is execution or setting up of Fatehgarh III substation and Fatehgarh III to Fatehgarh II transmission line. Fatehgarh III to Jaisalmer transmission line at 400KV level.

■ POWERGRID Bikaner Transmission System Limited, which is setting up of Bikaner II substation. Then from Bikaner I to Bikaner II 400kV line and then Bikaner II to Khetri 2 numbers of 400kV double circuit line. Then Khetri to Bhiwadi.

■ Then POWERGRID Meerut Simbhavali Transmission Limited. It was basically intrastate transmission system, part of U.P. where we have set up Meerut substation 765kV/400kV and Simbhavali 400kV substation with 400kV transmission line between Meerut and Simbhavali and LILO of Hapur-Noida at Meerut.

■ Then Muradnagar to Simbhavali 400kV line. So this was commissioned in FY'24.

■ Then most prestigious POWERGRID Neemuch Transmission Limited, which was linked with the generation of solar power in Neemuch area. This we have completed in last financial year which involved Neemuch substation at 5400kV/220kV and 400kV transmission line from Neemuch to Mandsaur and Neemuch to Chittorgarh.

■ Then in another intrastate transmission line, Gomti Yamuna Transmission Limited, which involves setting up of 400kV Mohanlalganj substation, which is close to Lucknow and associated transmission line in U.P. That was also completed last year.

■ Then we also signed supplementary agreement with Ladakh Power Development department for setting up of border area works for Ladak U.T. sanctioned under RDSS scheme of Government of India.

■ We also granted patent for Thermal energy storage based air conditioning system and a method to manufacture the same. It is a matter of pride for POWERGRID that our operations have been certified for ISO 55001 for Asset Management System Certification. Only limited companies worldwide have been certified for ISO 55001 in recent past. It ensures that reliability of our system is maintained, all risks be it political, be it financial, be it safety, be it reliability of system are taken care if we have ISO 55001 and our reliability is maintained. There will not be any surprise for the management that something has gone bad. So, if this system is implemented then our systems are in place and all risks are taken care beforehand. So, it is a very prestigious. I want to compliment POWERGRID team for achieving this IS

O 55001.

(Audience applauds)

■ Your company has also shown transparency. We have been certified by BIS for implementation of Anti-Bribery Management System. ISO 37001: 2016, it was recently certified by BIS. So, the code of Integrity Pact, Transparency and Ethics in POWERGRID will be ensured. They are already there in place but we have been certified also now.

- PERFORMANCE HIGHLIGHTS:

- As I told, we have executed the 5 TBCB companies which involved 19,720 MVA capacity, 6 numbers of substations and 4,036 circuit kilometers of transmission line.

- The name of transmission line are, as I told-

■ Bikaner to Khetri, 2 number double circuit lines.
■ Then Lower Subansiri-Biswanath Chariali, which is linked with hydro generation of about 2,000 Megawatt at Lower Subansiri of NHPC.

- So, these have been commissioned before generation. So, one line was commissioned in 2022, second line has been commissioned now; second double circuit line.

■ Then Khetri-Bhiwadi.
■ I had told Neemuch-Chittorgarh.
■ Sitamarhi-Dhalkebar is the international line between Nepal and India.
■ Fatehgarh III to Jaisalmer II. And these are the stations at Meerut, Fatehgarh III, Bikaner II Simbhavali, Mohanlalganj and Neemuch.

6- In project execution, we had target of about Rs. 8,800 crore last year in FY24 but with the support of our partners we were able to achieve Rs. 12,500 crore CapEx in FY24, which is over 4% of our Gross Block, which is about Rs. 2,75,000 crore.

- This year we have target of about 6% growth, from 4% to 6%, which will be around $2 billion; maybe about Rs. 17,000 crore. Or we will try to achieve even better than 17,000 crore.

- Capitalization was Rs. 7,618 crore, this year we will try to double it. We have many projects in pipeline and we are working day and night to achieve our capitalization; double of what we achieved last year. Maybe around 15,000-16,000 crores.

- Our operational efficiency, I told that it is one of the best in the world and continuously we have been achieving. That means our operations are in safe hands. Our experts are working day and night. We were able to achieve 99.85% availability last year and tripping was 0.28 tripping per line. That indicates that out of four lines only one line trips or one line trips in four years; 0.28 tripping per line.

- And this had been possible by adoption of latest technology, intelligent inspection in

POWERGRID. We are using headgears to ensure that every activity is monitored by experts sitting at Control Center and person working at site will be transmitting the picture or the details of the work being done at site through headgear to the experts sitting in Control Center.

- Then Reliability Center Maintenance. I told that all assets are being mapped and we are mapping each asset. If we have 290,000 towers or 3,800 transformers and reactors, around 15,000 breakers, about 20,000 current transformers, about 14,000 CVTs, 12,000 about surge arresters. So, put together we have about 400,000 equipment together. So, manually it is not possible to monitor and analyze and map the risk involved in each asset. So, we have mapped each and every asset digitally and we have mapped risks associated with each element digitally and action taken for repair and maintenance, monitoring being done considering the risk involved in each element or each equipment. So, through Reliability Center Maintenance we will be able to ensure that there is no surprise for the management. Everything will appear on the dashboard and all risk will be mitigated before time.

- The, remote operation of substations. As you know that our all substations are being remotely operated from our Control Center at Manesar and Regional Control Center in each region. So, all stations are unmanned, operations are remotely done. So, chances of human error are minimized to ensure that reliability and fatal accidents and everything can be ensured in

a better way. Then equipment through PALMS
(POWERGRID Asset Life Management System). Digital substations, we have implemented at Malerkotla and Chandigarh. Now we have two more stations, one at Navsari 765kV and Kanpur 400kV. Through patrolling of transmission line, we are using a high zoom camera and drone patrolling is also being done. Once picture is taken through camera, through drone or manually, this picture is transmitted to the software through our internal communication system. Then automatically defects are identified and defects will be identified in each and every tower and automatically through Artificial Intelligence and Machine Learning the data will be transmitted to the Maintenance Engineer or maintenance crew at site and automatically defect will be communicated and defect report will be made so that action can be taken by the concerned Maintenance Engineer. So, without waiting for the report from site, the report is generated automatically so that action and reliability of the system can be maintained.

7- We have Center of Excellence for control and protection system at our Control Center in Manesar and PG-DARPAN and other applications are in place to ensure that our transmission network is safe, it is reliable, it is properly maintained.

- I will tell that we are in the process of implementing Asset Management Performance through world renowned vendors like IBM, Accenture, GE, TCS, LTI Mindtree, AREVA and this Asset Performance Management System has been implemented by world best utilities like TERNA Italy, Fingrid Finland, ISA Columbia, National Grid U.K., TenneT Netherland, TNB Malaysia, OETC Oman, then Eirgrid Ireland, DEWA in UAE. Our experts have visited TERNA Italy, ISA Columbia, Fingrid Finland ElectraNet Australia to see their system so that best of these utilities can be implemented in POWERGRID. These utilities claim that the operations cost can be optimized, it can be reduced by 15%-20%. So, after implementation of this Asset Performance Management System we are hopeful that at least 10% operations cost can be reduced in POWERGRID also apart from ensuring reliability and security and risk management.

- THE FINANCIAL PERFORMANCE:

- If we talk of Q4 FY24, income was about Rs. 12,254 crore, profit is Rs. 4,128 crore. On consol basis, this was Rs. 12,305 crore and the profit is Rs. 4,166 crore. So, there is a slight dip in Q4 because of one-time order of Raigarh-Pugalur. We got some arrears in the last quarter of FY-23 and there was some arrears pending, there was some CERC order received in the last quarter of FY-23 and we got somewhere about 200 crores for Nagapattinam, our TBCB project, which was pending for some time and we got some one time tariff for these assets. So, that is why last year it was slightly more as compared to this year. If you see the profit, so it is slightly different. So, this is because of that reason.

- If we talk of total financial year, we have achieved about Rs. 45,815 crore income, profit of Rs. 15,475 crore which is slightly higher than the total income we achieved in FY23. On consol basis also, Income is Rs. 46,913 crore, profit is Rs. 15,573 Crore. So, on Q4 to Q4 comparison, we are slightly lower considering our one time order for Raigarh-Pugalur and Nagapattinam but on overall basis for the financial year we are almost 1% higher than the last year FY-23.

- These are the details of our financial performance. In Q4, the total income was Rs. 12,254 crore, for complete year it was Rs. 45,815 crore. EBITDA margin (excluding Telecom) of Q4 was Rs. 10,358 crore and for complete year it was Rs. 40,045 crore. Profit After Tax Rs. 4,128 crore and Rs. 15,475 crore. On consol basis also it is slightly better than last year; almost 1% higher than last year.

If we see our overall financial performance, as I told that, on consol basis we have Rs. 2,75,991 crore gross fixed asset or gross block and we achieved about

Rs. 12,500 crore capex. So this year, we are targeting to be more than 6-7%. Work in progress, we have Rs. 19,468 crore projects in progress. Long term debts have decreased from last year. It was earlier Rs. 1,25,000 crore approx. Now it is Rs. 1,20,000 crore approx. Net worth on consolidated basis is Rs. 87,000 crore approx. from Rs. 83,000 crore approx. Earning per share is Rs. 16.74 on consolidated basis. Then book value per share 93.70. Debt equity has improved from 61:39 to 59:41 and return on net worth is 17.87%.

- Other key financial parameters, income for previous periods, consol basis Rs. 826 crore. Interest on differential & final tariff Rs. 966 crore. Interest from subsidiaries and JVs Rs. 1,459 crore. Surcharge (consol) Rs. 146 crore, incentive (consol) Rs. 573 crore, dividend from JVs 68 crore, dividend from subsidiaries Rs. 891 crore, dividend 8from associates, PGInvIT & others about Rs. 79 crore. CSR expenses Rs. 312 crore, FERV (Gross Block) Rs. 191 crore, equity in TBCB Operation, we have about Rs. 3,809 crore, equity in TBCB under construction Rs. 598 crore, short term loans about Rs. 2,694 crore.

- If we talk of dividend, so this year, happy to announce that, this financial year 23-24, we are the highest dividend payer company and dividend for current year is Rs. 10,463 crore as compared to Rs. 10,289 crore last year. Last year, it was 67% of PAT and this year it is about 68% of PAT. In September 23, we have given bonus shares, 1 share for every 3 shares. If we consider that, last year we gave dividend of Rs. 14.75 per share. This year we have given, if we don't consider this bonus share, then it will be Rs. 15 per share. If we consider bonus shares, then this year it is 11.25. Last year, it was somewhere about Rs. 11.06 or something like that. So it is better than last year.

- As I told in the starting that, in the last 4 years, our market cap, POWERGRID market cap, your company market cap has increased by 210%. On 17th Nov. 2016, the market cap was about 1 lakh crore. On December 5, 2023, it crossed 2 lakh crores and almost within 5.5 months on 21st May 2024, we achieved more than 3 lakh crores. So future is bright, company is in safe hands and we are committed to achieve many more milestones in future. Highest share price which POWERGRID share has achieved is about 328 on 22nd May.

- In consultancy, current year, we have earned about Rs. 553 crore. We have 9 new international assignments, 19 ongoing international assignments, 21 new domestic assignments and 79 ongoing domestic assignments. We have international assignments from Tanesco, Tanzania, Zambia Transmission Line in Africa, then in Fiji we have transmission line, construction work, then UETCL in Uganda, then Nepal Gorakhpur Butwal, we are executing their transmission line for international cross border interconnection. The telecom performance also has improved from Rs. 729 crore to 822 crore in FY23-24. 121 new customers have been added. Rs. 870 crore multiple year orders have been received. 3,000 locations, pan India locations we have. Our telecom network is spread across the country. We have about 1,00,000 kilometers of OPGW network and our backbone availability is 100%. Business segments, leased lines, MPLS-VPN, data services, infrastructure services, upcoming services like ILD connectivity with neighboring countries like Nepal, Bhutan, Bangladesh and Myanmar.

- In terms of commercial performance, we have billed about Rs. 42,793 crore last year. We have achieved Rs. 42,820 crore have been realized, which is 100.06% of total.

- If we look at the sectorial outlook, energy transition is to happen. We are committed or it is committed to participate and contribute for energy transition which is the vision of country, vision of the world. In this direction for India to be a 5 trillion dollar economy by 2030, so lot of growth is expected, s

o if growth is there, then
transmission sector has to grow. Without electricity, growth is not possible, so if the GDP growth is 6%, so it has to be, the electricity growth has to be more than what GDP growth will be there. Then 50% non fossil fuel capacity by 2030, 500 gigawatt is to be stored by 2030. Then government has announced green hydrogen mission. For that also, about 125 gigawatt power requirement will be there for producing green hydrogen for local consumption and for export. We have intermittent renewable power. So for grid stability and for reliability of our network, energy storage is required in terms of pumped storage or battery storage. So POWERGRID will play a role in connecting these battery storage systems and pump hydro stations. Then international connection, if sun energy has to be utilized by all countries of the world - one sun, one world, one grid, mission of Government of India and international 9commitment, we have to have international interconnection like India to Singapore, India to Oman, India to UAE and other countries. Similarly, there will be interconnections from Middle East to Africa, Africa to Europe and many interconnections between European countries so that the concept of One Sun, One World, One Grid can be achieved. So that means many more projects are in pipeline for which also POWERGRID is getting ready and we are hopeful that we will also contribute for One Sun, One World, One Grid. In this concept, the power generated may be in Myanmar, Thailand and other countries it can be transmitted to Europe and once sun is there in Europe, that power can come to various other parts of the country, various other countries. So, One Sun, One World, we are committed and we are seeing potential in this aspect also.

- We see POWERGRID, how it looks like in another 7-8 years. We have mainly outlook in transmission business. Inter-state, we see it is on conservative side. I will say 136,000 or 1 lakh 36 thousand is on conservative side. We are hopeful that it will be much more than 1,36,000 but even if we consider 1,36,000. Then intra-state, transmission stands at Rs. 37,000 crore. Cross border like neighboring countries, about 10,000. International projects like we have one in Kenya, which is getting matured now. We have got the in-principle approval and finer details are being worked out and work will start shortly. The subtotal of transmission system will be about 1,90,500 crore. If we consider other businesses of POWERGRID, solar generation, smart metering, data centre, so put together, this is about 2,07,000 crore by 2032. I will say that it is on the conservative side. We are expecting that to increase.

- Work in hand as on today, as I told that, work in progress was Rs. 19,000 crore, apart from that, we have work in hand about Rs. 86,000 crore. More than 80% towards renewable energy evacuation. Out of which, we have 11,200 crore RTM projects. 24,700 crore new RTM projects, about 50,000 crore other projects. These are RE linked projects. This year, I told that we have, as per our MOU targets with Government, we have 15000 but actually, it will be about 2bn dollars or even more than that. Towards sustainability aspirations, we are committed to reduce our electricity consumption from fossil fuel by 2025, that is more than 50% power will be through renewable for our auxillary consumption and other requirements. We are committed for net water positive organization by 2030, then zero waste to landfill status by 2030, net zero by 2047.

- These are some of the awards. As I told that Platts Global Energy Award, International CSR Award, ATD Best Award 2024, Brandon Hall Group Human Capital Management Award, SKOCH Gold Award and many more awards are expected in future. Our papers, our contributions have been given awards. They have been recognized by ISGF Innovation Awards 2024 in smart technology, energy transition and Gold Award, adoption of

artificial intelligence, machine learning and robotics for
our transmission line. For human capital excellence and certificate of excellence in learning and development at SHRM HR Excellence Award. Thank you very much.

Thank you for your patience & hearing. Thank you.

- Moderator:

- Thank you Sir. That was really a comprehensive and very very enriching presentation. I now open the floor for questions and answers. Please put your mobile phones on silent as usual. Also please raise your hand, introduce the company that you represent and you may ask the question. Yes gentlemen!

10- Mr. Sumit Kishore - Axis Capital Limited:

- Sir, I am Sumit Kishore from Axis Capital. My compliments on the year where you have garnered almost 65% share of the TBCB projects. My 1st question on TBCB is, could you outline how the EBITDA and profit contribution of your TBCB portfolio has moved from FY-23 to FY-24, given now the equity base of operation TBCB projects has increased slightly? That's my 1st question. If you could also, in relation to TBCB, touch upon the fact that capex to EBITDA ratios or capex to annuity ratios rather, that you know you have been winning in TBCB over the past few years have shown a deteriorating trend, as in the annuity that you earn for the capex per TBCB project has reduced, if I look at the trend over the past 5-6 yrs. How do you read that as implications for the IRR that you would make for the TBCB projects? That's my first question here.

- Mr. R.K. Tyagi - Chairman and Managing Director:

- For TBCB projects, when we bid for any project, we are very particular about IRR and we maintain that by ensuring our timely completion, cost overrun and financial cost is not there and we try to maintain about 10-12%. So we ensure that. Regarding your EBITDA related question, I will request Director Finance to kindly intervene and reply.

- Mr. G. Ravisankar – Director Finance & CFO:

- EBITDA margin will be almost equivalent to the RTM. It will be something like 85 to 87, that range will be there because the IRR, like if we say like 10-12%, if we maintain and there are some projects, as a package if you see all the, like we have 47 TBCBs mostly in construction once everything gets completed, as a package if you see, EBITDA will be a decent one.

- Mr. Sumit Kishore - Axis Capital Limited:

- Sure! So if you look at the total consolidated profit, the question was, what is the total consolidated EBITDA and profit to TBCB subs from FY 23 to 24.

- Mr. G. Ravisankar – Director Finance & CFO:

- As such, we have not worked out separately for this thing but if you see standalone to consol, it's on the higher side. Naturally it means, EBITDA for standalone & consol for Q4 to Q4 is approx. 84% and year on year is approx. 87% with slight variation in decimal points between standalone and consol. It means the EBITDA in the TBCBs are not alarming.

- Mr. Sumit Kishore - Axis Capital Limited:

- Sure! Only the thing is, total profit of subsidiaries as mentioned in your BSE filing, 43 subsidiaries, the profit that is mentioned has come down on a year on year basis whereas last year, the number of subsidiaries and the profit mentioned there. So I was trying to understand, what is driving the reduction in subsidiary profit?

- Mr. G. Ravisankar – Director Finance & CFO:

- No, no, you mean to say, profit per subsidiary?

11- Mr. Sumit Kishore - Axis Capital Limited:

- No, not profit per subsidiary but the total profit of subsidiaries that was mentioned in your FY23 BSE filing for some 37-38 subs versus 43 subs right now was a higher number last year as compared to this year.

- Mr. G. Ravisankar – Director Finance & CFO:

- Last time, actually we had a one Nagapattinam transmission system which was the 1st TBCB which was acquired in 2011 and we were actually filing the petitions for a change in law for which we got an in

come of about 200 crore for all the years together. So that was one of item which we got in the last year. That's why probably if you compare exactly, it may be like that. Otherwise if you see, if you remove that one off item, as such I don't think in this availability transmission tariff process, there is not much of chance of turbulences.

- Mr. Sumit Kishore - Axis Capital Limited:

- Thank you. Just a book keeping question. The capitalization that you mentioned for FY24 on a full year basis, there was an asterisk mark there and it mentioned that there were assets capitalized on finance lease basis that were included there.

- Mr. G. Ravisankar – Director Finance & CFO:

- That was intra-state.

- Mr. Sumit Kishore - Axis Capital Limited:

- Ya, that is how much is the finance lease on asset capitalization on finance lease basis……

- Mr. G. Ravisankar – Director Finance & CFO:

- I think it is something around 1500-1600 Crore.

- Mr. Sumit Kishore - Axis Capital Limited:

- Ok. Because when we subtract the net block for FY24 minus FY23 and add back the consolidated depreciation, we got a number below Rs. 60bn So maybe that 1500 – 1600 is explaining this.

- Mr. G. Ravisankar – Director Finance & CFO:

- Ya, you may be getting a figure of 5000….

- Mr. Sumit Kishore - Axis Capital Limited:

- That's why we thought that the numbers were…..thank you so much and wish you all the best.

- Mr. G. Ravisankar – Director Finance & CFO:

- Thank you.

12- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- Hello, sir. This is Subhadip here from Nuvama Institutional Equities. Firstly, thank you for such a detailed presentation. My first question is with regard to the intrastate model that you mentioned, where the MoUs are getting signed and the JVs are getting signed. What quantum… I remember I think in your slide you are mentioning about 37,000 crore of potential by FY32. But would you see this to be more front-ended or back-ended in terms of winning these projects and execution, etc.?
- Mr. R.K. Tyagi - Chairman and Managing Director
- Can you repeat what is front-ended?
- Mr. Subhadip Mitra – Nuvama Institutional Equities:

- No, what I mean by that is would this come up in the next couple of years or would this take a longer period of time?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Yeah, okay. So, the model with Rajasthan is, we are going to have about Rs. 10,000 Crore worth transmission projects in next 3-4 years. And they have about 2,000 crore projects, especially from their solar generation. In next 2-3 months they want to give to us about 1,500 to 2,000 crore. So, from 2-3 months to next 3-4 years these 10,000 crore projects are to be executed or started to be executed. And subsequently, many more projects as per them are in pipeline. And the model is that 76-24 i.e. 76% equity will be done by POWERGRID… sorry, 26% by them and 74% by POWERGRID. Similarly for Andhra also, they are also targeting 10,000 crore. Because, if you see, interstate transmission system is coming in a big way. In case interstate transmission system is there and intrastate transmission system is not there, then this power cannot go smoothly to load centres or to the consumer. We require intrastate transmission system. So they cannot wait. Now it is to be done on immediate basis. So that is why we are getting requests from Odisha, we are getting requests from Andhra, we are getting requests from Assam and UP, for setting up JV companies with them.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- And these would be on regulated ROE basis?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- It will be on regulated, but it will be on state level regulation. It will not be through CERC, it will be through SERC.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- Through the SERC routes. Okay. And the voltage level at wh

ich these lines would
come up would be what, around 400 or 220?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- There will be some 400 also. Even people are talking about 765 kV. But mostly, I will say, it will be at 132 and 220 kV level. There will be some at 400 kV level and 765 kV.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- So bulk of it is 132 and 220?
13- Mr. R.K. Tyagi - Chairman and Managing Director:
- 132 and 220.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- Understood. So second question is with regard to your dividend payout. We have been seeing very healthy dividend payouts given that you were surplus on cash. But as you move towards an annual CapEx which is probably between 25,000 to 30,000 crore, would you see the dividend payouts also probably coming off a little bit, because you will have pressure on cash?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Not really. Like if we see the profit this year, it is Rs. 15,475 crore. And what I was taking that CapEx, it will be about Rs. 17,000 to 20,000 crore. Even if we consider Rs. 20,000, so we require only 4,000 crores. 20,000 X 20 so 4,000 crores. So out of say 15,475 even if we take out 4,000, still we have more than what we have paid dividend this year. So we don't see any reduction in dividend in near future. And whatever additional CapEx will be required, we expect that more and more projects will be commissioned, and we will have more profit to take care of that CapEx requirement.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- And roughly 20% equity contribution is what you are looking at?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Yeah, normally in TBCB projects we are maintaining about 20% equity.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- Sir, my final question on a bookkeeping basis, can you also help us with what is the regulated equity number that we have as of date?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Regulated equity?
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- Yeah, on which we earn the regulated ROEs for the regulated part of the business.
- Mr. G. Ravisankar – Director Finance & CFO:

- No, you see we have like 86,000 we were showing in consol. And then we have shown the equity as… like 3,500 as the amount we have put in TBCBs. You deduct that and then it will be there.

- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- So this 86,000 is the consolidated?
- Mr. G. Ravisankar – Director Finance & CFO:

- Consolidated.

14- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- But within that is there something that is also sitting in cash, work in progress etc. So the amount that is actually earning you money?
- Mr. G. Ravisankar – Director Finance & CFO:

- Not much, that is rolling, I don't think we don't have much idle cash or something like that.
- Mr. Subhadip Mitra – Nuvama Institutional Equities:
- Okay, I understand. Thank you so much for answering my questions.
- Mr. G. Ravisankar – Director Finance & CFO:
- And one small correction in that PPT, like it's not 76-24, it is 74-26, RVPN. Just there is a typo.
- Mr. Atul Tiwari – Citi Research:
- Sir, I am Atul Tiwari from Citi Research. Sir, just one question on one of the slides where you showed outlook till 2032. So, about 2 lakh crore rupees worth of potential CapEx in the sector. So, it is fair to assume that this is FY25 to FY32, right? And given that now there is a lot of talk about new uses of energy from the data centres, which India is beginning to see in a big way… I mean, can you share your thought process or what government or the CEA is thinking about kind of revising this number? I mean, is there a chance that this number over next 3, 4, 5 years gets revised up? And if it happens, what that number could be?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- A very good q

uestion. As I told, that these are very conservative figures and we are expecting numbers to increase. As per the requirements, especially for green hydrogen, data centre and other requirements, maybe EV vehicles… so requirement is going to increase. So we are expecting these numbers to be increased. Apart from this, as per the Goldman Sach’s report, that say that up to 2050, for energy transition, $1.68 trillion are to be spent only in transmission system. So $1.68 trillion, that means maybe around 135 to 140 lakh crore are to be spent by 2050 for energy transition and for transmission system. So that means number will be much higher than what we are projecting now. So, we see a better future as compared to what we have shown.
- Mr. Atul Tiwari – Citi Research:
- And sir, my second question is on the smart metering initiative that you were involved in. What is the status of that? How much money has been spent? Or, is it going slow?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Yeah, we have already awarded about 69 lakhs meter for Gujarat, Madhya Gujarat and Uttar Gujarat. And about 30,000 meters have been installed. Because this metering system is prepaid… earlier days it was postpaid basis, now it is on prepaid basis. So, there will be some teething problems. So, we are facing some teething problems which are being taken care, especially in software. And very shortly, this will be taken care and our progress will improve. So yes, so far, we have been going slow comparatively to what we expected earlier.
15- Mr. Atul Tiwari – Citi Research:
- Any idea about how much money has been spent on that or is that not a big number yet?
- Mr. G. Ravisankar – Director Finance & CFO:
- Not a big one.
- Mr. Atul Tiwari – Citi Research:
- Okay. Thank you.
- Host:
- Sir, a quick guidance. We have five more minutes and I think we'll have to wrap up very quickly. So last two questions, if possible. Mic here please.
- Participant:
- Sir, for the first few years, the TBCB projects that Power Grid had won, we had seen an annuity schedule, where for the first 5 years there was a higher number and then it fell to a lower number and remained like that. So given that 4-5 years have now passed and few initial portfolio assets got transferred to the InvIT, so they are not in

contention. But for the others, the five-year period might be coming to a close. So, does the EBITDA actually for those projects, as it comes to the new annuity, reduced annuity base… will that have an impact on the EBITDA earned for the gross block?
- Shri G. Ravisankar, Director Finance & CFO:
- No, but actually if you see, we have like 47 now. Two more to acquire, 49. The TBCBs you maybe indicating like after if you take out this five which we have given for InvIT. Maybe some 7-8 will be there. On an overall basis, if you see, their contribution will be very less. And also, like there is a method of quoting year on year that there cannot be much variations. Like they have a variation like 1% or something can be only varied between year to year. And I don't see any much big drop because of that. So, the weightage of that will be hardly seen.
- Participant:
- One suggestion is that in your presentations, if you can put a consolidated P&L for TBCB subsidiaries, it will be really helpful for us in our analysis.
- Shri G. Ravisankar, Director Finance & CFO:
- That is the only thing we have given to you.
- Participant:
- Yeah, so that will be really helpful. Thank you.
- Shri G. Ravisankar, Director Finance & CFO:
- Okay, well taken.
- Host:
- Thank you. One last question over there.

16- Participant – Jefferies Asset Management:
- Yeah, hi sir. Thanks for the opportunity. This is Koundinya from Jefferies. Sir, just want to understand what does the TBCB bid pipeline look like at the moment? And also, if you can exclude the three HVDC projects in that and comment a little bit on

the status of those HVDC projects as well, please?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- As you know that almost 1 lakh crore projects are already under bidding, and another 28,000 to 30,000 crore projects, in the near future, they will be ready for bidding. So maybe about 1,30,000 including near future.
- Participant – Jefferies Asset Management:
- And the 1 lakh crore includes all the three HVDC projects?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Yeah.
- Participant – Jefferies Asset Management:
- And what is the status of the first one? It was supposed to be bid out I think last year and it is getting delayed. Any comments on that?
- Mr. R.K. Tyagi - Chairman and Managing Director:
- Yeah, OBD was already done on 7th May. Now very shortly, maybe next week or so, the reverse auction may be there, it may be scheduled. So very shortly it is going to be finalized.
- Participant – Jefferies Asset Management:
- Sure sir, thank you very much and all the best.
- Host:
- I now invite Mr. Satyaprakash Dash to deliver the vote of thanks.
- Mr. Satyaprakash Dash – Company Secretary:
- Thank you. We express our sincerest thanks to all the esteemed investors for coming here and attending this conference. We also express our sincere thanks to Chairman and all the Directors for sharing the business outlook and performance of the POWERGRID. Thank you everybody. Thank you all.
END OF TRANSCRIPT

Call: Aug 2024

[redacted]: "[redacted]", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted]) [redacted]: 0124-2822999 & 2822000
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2822999 & 2822000
[redacted]: [redacted] -9, [redacted], [redacted], [redacted] -110 016.
[redacted]: 011-26560112, 26560115 & 26560193, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560115 & 26560193,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

02nd August, 2024

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Investors & Analysts’ Meet held on 29th July, 2024.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the copy of Transcript of Investors & Analysts’ Meet held on 29th July, 2024.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited

Transcript of Investors & Analysts’ Meet
(Q1 ended 30.06.2024 - FY 2024-25)

29th July, 2024 1:30 PM (IST)

2Investors & Analysts' Meet of Power Grid Corporation of India Ltd.
(Q1 ended 30.06.2024 - FY 2024-25)

- Moderator:

- Good afternoon, ladies and gentlemen. We welcome you all. Thank you for taking out your time from your busy schedule and being here. On behalf of Power Grid Corporation of India Limited ("POWERGRID"), we welcome you to the Analyst's Meet to discuss the company's performance and the way forward. On the dais we have with us –

■ Shri. R.K. Tyagi ji. He is the Chairman and Managing Director;
■ Shri. G. Ravisankar. He's the Director (Finance);
■ Shri. Chetan Bansilal Kankariya. He's the Independent Director;
■ Dr. Yatindra Dwivedi, Director (Personnel);
■ Shri. Ram Naresh Tiwari ji. He is the Independent Director;
■ Shri. Naveen Srivastava ji. He is the OSD (Operations);
■ Shri. Burra Vamsi Rama Mohan, OSD (Projects).

- To begin the proceedings, I request my team to start the company film, the video, and please if you can switch off the lights.

(AV being played 01.00-03.30)

- I now invite Shri. R.K. Tyagi ji to initiate the proceedings and to share the company's performance and the way forward.

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Thank you, Sir. Good afternoon, everyone. I'll be giving brief about Power Grid's various operations. So, my presentation will include agenda on overview, major highlights, performance highlights, growth outlook, then awards and recognition what we have won.

■ As you know that India's largest power transmission utility Power Grid, a Maharatna company under Ministry of Power. We have been ranked first in Profit After Tax in Service sector (CPSEs) by PE (Public Enterprises) and DPE. Also, first position in Net Worth in Service sector.

■ Then cross border interconnection 4,750 megawatt with Nepal, Bhutan, Bangladesh and Myanmar.

■ In 23 countries we have footprints and market cap is about ■3.2 lakhs crore or ■3.2 trillion.
3
■ Our international credit rating and domestic credit ratings are good.

■ Our transmission network is one of the largest in the world. Our transmission line is located in various parts of the country whether it is Leh, Ladakh, Himachal Pradesh or Arunachal Pradesh or deserts of Rajasthan, Gujarat, South India, North India, Northeast where a lot of floods and landslides are there.

■ We have put together 1,507

transmission lines, 1,77,000 circuit kilometers.

■ Substations we have 278 numbers and for carrying this huge power we have transformers with capacity of 5,28,000 MVA.

■ Interregional capacity is 99,580 megawatt with 84% of the total interregional capacity of 1,18,740 megawatt. Interregional capacity means power generated in one corner of the country can be transmitted to any other part of the country, that is the power, hydro power generated in Arunachal Pradesh can be transmitted to Kerala or to Leh by our transmission network. So, there is no constraints in transmission of power across the country. So, it is the strongest grid 'One Frequency, One Nation, One Grid'. The power generated in Rajasthan, Gujarat or anywhere can be transmitted to other parts of the country.

■ Our dedicated team of engineers and workmen are working day and night to maintain transmission system with the availability of more than 99.80%.

■ Our reliability and system availability has been benchmarked by UMS, U.S. and we are identified or we have been classified in quadrant one which says that our efficiency is good and cost is optimized. So, we are in quadrant one and we are comparable with best utilities in the world.

■ We are transmitting more than 45% of India's electrical energy with 18 HVDC station, 62 numbers of 765 kV substations and 400 kV 167 numbers.

■ For grid stability like voltage variations, if there is a fault, there is a disturbance in the system, so for controlling those dynamic constraints or dynamic disturbances we have SVCs and STATCOMs at 20 locations. Wherever there is a constraint of land or land scarcity is there, we have GIS Station to mitigate that requirement. And as of today, we have 63 numbers of GIS Station at 765 kV level, 400 kV level and 220 kV level.

■ We have more than 2,90,000 towers with transformers and reactors 3800 numbers and we are transmitting power from Central Generating Stations of thermal, hydro, 4nuclear or renewable energy. And we are transmitting this power to various states - to Delhi, Metro cities and this power is further distributed by respective States.

- In this financial year Q1, we have emerged L1 bidders in three ISTS TBCB projects up to June with levelized tariff of ■4,172 crores. These include Rajasthan RE Power projects in Jaisalmer and Barmer area, Phase IV, Part B and Phase IV, Part D. This is another project. Then Fatehpur-Badla HVDC project Phase III, Part I.

- In terms of annual tariff, it is 69% and in terms of NCT cost it is 65% of the total project cost and in terms of numbers it is 50%.

- In July, till date, we have another three projects which we won.

■ One is a Dynamic Reactive Power Compensation in KPS 1 and KPS 3 with NCT cost of ■501 crores and tariff ■107 crores.
■ Then transmission system for interconnection of various RE parks in Badla III and Bikaner III in Rajasthan with NCT cost of ■1,382 crores, tariff ■97 crores.
■ Then we have RE Evacuation in Khavda area of Gujarat, Phase IV, Part B. That includes 765 kV/400 kV station at South Olpad and South Olpad to Ahmedabad and South Olpad to Baroda 765 kV transmission line. And the connection at 400 kV with Gandhar transmission line of GETCO.

- So, put together, out of 10 projects we have won 6 projects. And total tariff of ■7,045 crores, Power Grid has won ■4,935 crores with percentage share of 70%.

- Other Highlights. This MoU was signed with ISRO to create a spatial decision support system for Transmission Tower Management, especially on hills, on riverside where landslides are there or river course is getting changed or forest trees growth is very high. So, to manage these transmission lines, we are having this MoU. So, by use of satellite an application is being developed especially for monitoring of our transmission system. This project is going to help us in a big way.

- With the help of IIT-Kanpur we have developed Substation Ins

pection Robot, presently
being used at Kanpur for inspection of transformers, breakers, CT, CVTs. And with this monitoring system, with Artificial Intelligence and Machine Learning the efficiency of our transmission system will be improved in future and based on this we will be using these similar robots at other stations also.

- Then in Performance Highlights, I will give you a brief about project execution, operational performance, then financial performance, other businesses and commercial performance.

5■ In CapEx, in Q1 we have on consol basis ■4,615 crores, standalone, that is RTM, it is ■1,711 crores. In capitalization put together on consol basis, it is ■2,320 crores and standalone ■1,348 crores.

■ Our operational performance is good. We are maintaining availability more than 99.80%. At 99.75%, our incentive as per CERC Regulation is capped. So, we have been maintaining transmission system availability better than 99.75%. In Q1, this is 99.80%. And in last five years it has been 99.85%, 99.82%, 99.83%, 99.82%. So, it has been pretty good and we have been receiving incentive at maximum level.

■ Reliability of our transmission network is also good. It is one of the best. As I told initially that our systems, our operational performance is being benchmarked by UMS, U.S. And we are in quadrant one, that means our reliability and availability is also good and cost is also optimized by use of various technological use like various techniques we have.

■ In Q1, tripping per line is 0.09 and in last financial year it was 0.28 and before that it was 0.27 tripping per line. That means one line trips in four years. So, that is a pretty good reliability of a transmission system.

■ In Q1 FY25, our revenue income is ■11,280 crores and Profit After Tax is ■3,724 crores.

- These are the details of our financial performance.

■ Total Income has increased from ■11,258 crores to ■11,280 crores.
■ And profit has increased from 3,597 to 3,724 with increase of about 4% in profits.
■ On a standalone basis, these are the figures for various areas like transmission charges, consultancy and other income and expenditure in various heads.

- If we talk about our Gross Fixed Asset or Gross Block, today on 30th June we have 2,77,000 Gross Fixed Assets. Work in Progress is around ■21,758 crores. We have debt of 1,23,465 and net worth is 90,913. Earnings Per Share, ■4 per share. Book value of share is about 97.75. Debt/Equity ratio is 58:42 against 59:41 last year. Return on Net worth is 4.10 considering only for Q1.

- These are some other key financial information on income for previous periods, in interest on differential tariff and these are various details - equity in TBCB, short term loan, comparison with respect to Q1 of FY24 and Q1 of FY25.

■ Average cost of borrowing is 7.76% in Q1 of FY25.
6■ In Telecom, we have added about 35 numbers new customers in Q1 of FY25. As always, our backbone availability of telecom link is 100% and network capacity enhancement we have added 1.8 terabyte per second.

■ In terms of income, it is for Q1, 219 crore, against 191 crore in the Q1 of last financial year. We got some appreciation letters from NIT Bhopal, ITDM Jabalpur and Narmada Control Authority for providing satisfactory telecom services to these customers.

■ Our commercial performance realization with 91.87pc with a billing of 9262 and realization of 8509. Outstanding is about, last year in Q1, it was 7140 crore This year it is 5548 crore. Then sectoral outlook, business outlook and works in hand, I will briefly touch upon on these areas.

- The sectoral outlook, what are the growth drivers, as you know that India is poised to become 5 trillion US$ economy by year 2030 and that requires rapid industrialization, urbanization and e-mobility etc. Then we are committed for non-fossil fuel capacity addition of 500 gigawatts by 2030. Green hydrogen mission of Government

of India that
requires transmission capacity for evacuation of about 125 gigawatts for producing green hydrogen. Then energy storage to meet the peak demand or the demand during evening hours, battery storage, pump storage, so they are also connected through transmission system. Then international connection for one sun, one world, one grid, that requires interconnection between various countries. So India is also getting ready for international connection with various countries like Sri Lanka, Myanmar, then Gulf countries and Bangladesh and Nepal and other countries. So One-Sun, One-World, One Grid, also it is one of the major driver for growth for POWERGRID also.

- If we see business outlook of POWERGRID, as of now, what we see that, Rs. 207500 crores. It will be still more but as of now, what we are seeing, is that it will be around Rs. 2,07,500 crore. Out of which, Rs. 1,90,500 crore will be mainly in transmission business with inter-state transmission system, intra-state, cross-border and international projects put together, we will have Rs. 1,90,500 crore and on other business, areas like smart metering, data centre and solar generation, we will have around 17000 crore.

- As on today, we have about 1,14,139 crore work in hand. Out of which, 10,318 crore worth RTM projects are ongoing and new RTM projects like Leh to Kaithal HVDC 5 gigawatts HVDC link and offshore wind projects in Gujarat and Tamil Nadu and other TBCB projects and other projects like smart meter, solar generation and data centre put together, we have about 66,811 crore. For this financial year, we have capex plan of 18,000 crore against what we discussed last time, 15,000 crore. So we now see about 18,000 crore capex plan for FY25. With RTM, 5,000 crore and other projects as 13,000 crore.

7- In sustainability, CSR and awards, so sustainability, what are the aspirations of POWERGRID Then how we are working for corporate social responsibility area? What awards and recognition POWERGRID has won? So we are committed towards sustainability with 50% electricity consumption from RE generation by 2025. Net water positive organization by 2030. Zero waste to landfill status by 2030 and net zero by 2047. We have main challenge of replacing SF6 gas by green gas so there are innovations going on worldwide. So, once we get some alternative to SF6 gas, so our journey towards net zero will become simpler. So today we have challenge of replacing SF6 gas because SF6 gas is almost 23,000 times harmful as compared to CO 2. That means 1kg of SF6 gas, if it goes to atmosphere, it is equivalent to 23,000 times of CO 2 and it remains in the environment for almost 3,000 yrs. So it is very harmful gas for environment. So we have to look for alternatives to this SF6 gas.

- In CSR, we have this, our flagship projects of Vishram Sadans adjacent to various hospitals. Recently one Vishram Sadan of Ranchi was dedicated by our Honorable Union Minister of Power & Housing on 9th July 2024 at RIMS Ranchi. This is a 5 floor, 310 bedded Vishram Sadan with cost of about 16.8917.82 crore. Similar to this, we have also established Vishram Sadan at AIIMS New Delhi with 302 beds, 32 crores project cost. It was handed over on 18th January 2018. Then Vishram Sadan at Darbhanga, 260 beds, completion cost was around 14 crores. It was handed over on 20th October 2022. Then Vishram Sadan at Guwahati, 15353 beds, completion cost 14.40 crores. It was handed over on 31.8 or 31st August 2022. Then Vishram Sadan at Bengaluru, Vishram Sadan at Lucknow, Vishram Sadan at Patna and around 7 projects of Vishram Sadan at Banaras, Gorakhpur, then Jhansi, then Behrampur in Orissa. So around 6-7 projects are going on for development of this Vishram Sadan, adjacent to various hospitals which are very useful for patients and relatives of patients who are coming from various villages from remote areas. So, these are very useful for various local areas or v

illagers.

- We have supplied some cancer treatment equipments to various hospitals in Navi

Mumbai, modular operation theatre complex we have developed. Then operation theatre at Navi Mumbai in Tata Memorial. Then linear accelerator, we have given to Thiruvananthapuram in Kerala. So like that, we are giving services for health areas to poor and needy people so that our social responsibilities are taken care and we are trying to help each and every needy person. Then we have participated in Namami Gange, an integrated river conservation mission of 7 crore. Then construction of boulder development on the right bank of Mahananda River at Barmasia Village, Kanchandham Block, Kishanganj Bihar, then integrated watershed management in Kurnool, Kudgi and Kudgi is in Karnataka and Kala Handi in Orissa. Then rejuvenation of pond at village Daulatabad in Haryana. Then works for rural development and revitalization of water bodies, the farmer centric integrated water shed management. Then at villages near Power Grid Kurnool and Kudgi substation through M/s. ICRISAT at a cost of about 18 crore. This has improved rural livelihood through integrated water shed management at Jaipatna block, Kala Handi District and cost of project was 4.02 crore.

8- We have won projects…..awards and recognitions, silver award in adoption of artificial intelligence, data analytics and predictive technologies and skilled development and capacity building. Categories at ET Government PSU leadership and excellence awards 2024. The artificial intelligence as I was referring, that for robot, through use of robot, through use of drones, through use of helicopters, we are taking readings or we are taking the details of transmission system and automatically through our engine, artificial intelligence and machine learning engine, these details are getting analyzed automatically through artificial intelligence logic. And we are getting the maintenance report prepared automatically and which is sent to maintenance engineer for taking corrective and rectification action. So, we got the award for this particular application by ET Government PSU Leadership and Excellence Awards. Then we were conferred outlook business Editor's Choice Sustainability Champion for sustainable development initiatives. POWERGRID has been honored with prestigious Platts Global Energy Awards 2023 in corporate impact, targeted program category for flagship, CSR projects in Orissa. thank you very much.

- Moderator:

- Thank you, Sir. That was a very nice round-up of things that are happening at POWERGRID. We now open the session for questions and answers. A general reminder to kindly identify yourself and the company that you represent and then you could raise your hand. In the interest of time, we are going to not repeat the questions that have already been answered. Ya, we will start.

- Mr. Sharad Chandra – Participant:

- I can start?

- Moderator:

- Ya, you can.

- Mr. Sharad Chandra – Participant:

- My name is Sharad Chandra. I am an investment advisor. I have a couple of questions but I will ask only one now. It is slightly long question. The question which comes to my mind is, that in our country, there are huge opportunities in the power sector, whether it is renewable, whether it is distribution, whether its generation. The question is, that your profitability is about 15,000 crore. Your capex is only about 18,000 crore. Why can't this be double? Your payout ratio is very high. In a growth industry, why do you have to pay out? Obviously there are some government regulations but I think you are beyond that and you are paying more than what is required. So you know, I see in tier 2 and tier 3 cities, there are inverters which are used because power is not available 24X7. 9I have also seen in so many places that there is fuel based generators which cost Rs. 50 per unit. So obviously there is a problem. If this problem can

not be fixed by big
companies like you which have such high profitability and such dividend payout and you can also increase your debt equity. You are only 1.5 times. You are in a very stable business and there is not much competition. So you can go 2 times debt equity. So that's the question that comes to my mind. I have seen power sector reforms since Enron times and I think, some of the things have still not been fixed and that's part of my 2nd

question, to which I will come later on. Thank you.

- Mr. R.K. Tyagi – Chairman & Managing Director:
- I will request Director Finance to take….

- Mr. G. Ravisankar – Director Finance:
- Thank you. Regarding payout, yes, we have a profit of 15,000 crore but if you see the minimum requirement is only 30pc of the PAT or 5pc of the net worth whichever is higher. So we almost, 30% of the PAT is almost equivalent to 5pc of our networth. Now it's almost matching. Why we pay 67pc, 2/3rd as dividend is that, the balance 5000 crores is sufficient to fund the capex because we put like 18-20K in the TBCB projects and regulated, we used to put mandatorily 30pc because we can get a return of 15pc. Still we are able to fund the capex of something in the range of 20,000 very easily. We have a shareholder's approval of 1.8 trillion as the debt but still we are sitting at only 1.2T because the debt has come down primarily because of the lower capex in the previous years. If you see in the last 2-3 years, the capex was only 9,200, 9,000, 8,000 and last year, somehow it has gone to 12,200 but still we had a schedule of repayments in the range of like 12K, 13K. That's why it has come down otherwise once the capex picks up then naturally the repayment will be lesser than what we are going to borrow. So again there is a chance of again going up, this debt equity ratio will go up. I think I have answered this.

- Moderator:

- Ya, next one.

- Mr. Apurva Bahadur – Goldman Sachs:

- Hi Sir, this is Apurva Bahadur from Goldman Sachs. Sir, my question is regarding the recent offshore wind order which has been given to us on a cost plus basis. I think that's a large order, 13,000 crore for 1 GW of capacity. So just wanted to understand whether this includes only, I mean the capacity to be built only for this 1 gigawatt or does this include like future planning for more evacuation?

- Mr. R.K. Tyagi – Chairman & Managing Director:
10- It includes only 1000 megawatts, 500 MW for that Gujarat and 500 for Tamil Nadu. So one is around 6,900 crore and the other is 6,200 crore.

- Mr. Apurva Bahadur – Goldman Sachs:

- So in that case, if we, sort of the country proceeds with offshore wind, do you see the cost benchmark over here holds true for future projects as well?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Actually in India, this offshore power evacuation system is yet to be developed. So this will be the 1st project of its kind. So based on this, we will have benchmark for cost and technology. So further cost can be optimized later on. So first project may be, it may have more cost as compared to the routine projects.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Sir, this is Sumit Kishore from Axis Capital. Sir, in your opening remarks, you spoke about the wins that had happened in TBCB in Q1 and in July. Could you please specify, what is the total NCT project cost of wins in Q1 and in July so far? The other part of the question is, what is the ratio of NCT project cost to levelize tariff for projects that were in Q1 and in July and how does this compare to FY24?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- So in terms of Q1, as I told that levelised tariff is 4,172 crore and these 3 projects which we have won, NCT cost of one project was 3,279 crore. Other projects of part D, it was 2227 crore. Then HVDC, it was 12,700 crore. And the projects which we have won in July, dynamic reative compensation at Kh

avda with a NCT cost 501 crores, tariff of 107
crore and Bhadla III and Bikaner III with a NCT cost of 1,382 crore and tariff 97.97 crore Then part B which includes South Olpad stations of 765kV voltage level, NCT cost of 4,766 and tariff of 556 crores. So as I told that, put together NCT cost is 37,064 crore,

POWERGRID share is 24,855 crore. In terms of tariff, it is out of 7,045 crore, POWERGRID share is 4,935 which makes it 70%.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Has the ratio of NCT project costs to the tariff gone....

- Mr. G. Ravisankar – Director Finance:

- No, no. Yeah, I got your question. Actually Sumit, we can't have a, like NCT cost is only a guidance. So, we have another cost which naturally you will come to know once we commission, we are publishing it. So, at least I think you can hold on for a year or two. It 11will come into the public domain. And you are also aware of that. That is the only thing which we keep with us. So, let us keep that.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Because that invariably feeds into the IRR of the project, as you execute it.

- Mr. G. Ravisankar – Director Finance:

- IRR will be good. Otherwise, I can win all the 100%. So, be sure that we have an internal hurdle rate within the board and then we take a call cautiously. We don't play blind and then win all the projects.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Sure. The second question is, how should we think about dividend distribution by TBCB subsidiaries to the standalone? Because see, what has happened is this quarter you had consolidated profit growth of 3.5% and because of prior period items and the dividend distribution, there was a decline in the standalone profit. I don't know the right ways to look at the consolidated, but still, if you could tell us how the distribution works?

- Mr. G. Ravisankar – Director Finance:

- That's what.... naturally, like last time what happened is like in FY23, in the last quarter, we didn't draw everything so we could draw something in FY24 in the first quarter. So, if you compare that, that's why you are showing a declining trend of a dividend, which we have drawn in FY25 in the first quarter. Ultimately, that's lying in another pocket only. So, it's on a consolidated basis only as you say, we have to see that. And then maybe after that, since the board meetings will be over by the SPVs, we will draw the amount and before Q2, I think all this, again it will be. There is no purpose of like keeping any money in SPVs.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Fair enough. This last question, the 5-million-ton green hydrogen plan requires 125 GW RE. What proportion of this 125 GW would be grid connected, RE capacity? What is the plan now?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- It will be mostly connected to the grid, maybe whether it is ISTS or intra state. So far, I don't think we have planned for this,

- Mr. G. Ravisankar – Director Finance:
12
- No.

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Yeah.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Because the NEP-CEA plan did not include.....

- Mr. R.K. Tyagi – Chairman & Managing Director:

- Yeah, it was not....

- Mr. Sumit Kishore – Axis Capital Ltd.:

- ...... the grid requirement for 125. Can this be, like a number over and above the NEP-CEA plan till 2030 whatever 2027 was specified?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- NEP-CEA plan was not there. So, we can get you the details. I think as of now, we are not having the details, we can share with you later.

- Mr. Sumit Kishore – Axis Capital Ltd.:

- Thank you so much, sir. Wish you all the best.

- Moderator:

- Thank you. Yeah. Go ahead.

- Mr. Manish Ostwal – Nirmal Bang Securites:

- This is Manish Ostwal from Nirmal Bang securities. Hi, this is Manish Ostwal from Nirmal Bang securities. Sir, my quest

ion on your comment for the upgrade from 15,000 crores to 18,000 crore ofCapex. So, the reason for the upgrade and the second is your comment of the reliability of utility. So, 99.75 we have, so can you share your experience with respect to the how's our performance vis-a-vis the largest utilities companies operating in China, Europe and US? That will be grateful to us.

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Yeah. Last time we told that our CapEx plan is, say, 15,000 crores but in between, we got more projects, like when we are saying these projects, six projects which we have won. So, the completion schedule for these projects is 18 months to 21 months. So, in this 13financial year, we had to spend money. So, automatically CapEx of these new projects will be added into the CapEx plan, which was there earlier when we discussed 15,000 crore. So, that makes 18,000 crore as of now. So, maybe if we win more projects in this financial year, 18,000 crore also can become more because we have to spend some money in this financial year. So, that is a reply to your question of 18,000 crore.

- As far as our transmission system availability and reliability and performance is concerned as I told that our transmission system is being benchmarked internationally with various world utilities since 2010. So 2010, every two years, we get our transmission system performance benchmarked by independent agency in US, and our availability of 99.80 is best as compared to other utilities, whether it is SGC China or it is AEP USA or Furnas Brazil or Eskom South Africa or NGC UK. The best one is US, NERC, US. It is 99.50, NGC UK 95% and like that other countries. So, 99.80 is one of the best basically, the data shared by the International Benchmarking Agency. It says that POWERGRID transmission system availability is best. And as far as other performance, like if you consider transformer failure rate, our transformer failure rate is 0.46% as compared to international average of 1%. Our breaker failure rate is about 0.05% as compared to 0.2% internationally. Our instrument transformer failure rate is also very low as compared to the international average, as per the data published by various agencies. So, that is why we say our random performance or random benchmarking is one of the best in the world.

- Mr. Manish Ostwal – Nirmal Bang Seucirites:

- Thank you, sir and all the best for the coming quarters.

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Thank you. Yeah.

- Participant:

- Hi. So, my.... Hello, am I audible?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Yeah. Yeah, please.

- Participant:

- So, my first question is, how do you think about the Capex and commissioning in FY26, given the current pipeline, current pipeline of projects we have?

- Mr. R.K. Tyagi – Chairman & Managing Director:
14- Yeah. So, FY25, as we are mentioning that it is as of now, 18,000 crore, and of FY26 and '27, let me just give the details. If we say that total works in hand is 1,14,000 as of now, which will further increase when more projects are under bidding. So, out of 1,14,000, if you minus HVDC project of Leh and Kaithal, which is costing around, say 20,000 crore, then Fatehpur, Bhadla around 12,000, 13,000. So, that makes this 25 plus 12, 37,000 if you minus from 1,14,000 crore, so balance becomes around 70 to 80,000. So, that is to be commissioned or to be completed in the next 24 months to 30 months. So, that makes that around 70 to 80,000 minus 18,000. So, we have to complete in two years after this financial year 25. So, we are targeting next year maybe 25,000 plus and maybe in FY27 around 30,000 plus.

- Participant:

- Understood sir. My second question is on the green hydrogen. I think Sumit asked it, but my question is, in your opinion and discussion, do you think that the government is moving on the green hydrogen transmission ca

pacity, especially in the committee's
meetings?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Yeah, like there are projects in Odisha and Odisha like Gopalpur and one more place is there in .....

- Management:

- Paradeep.

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Paradeep and Gopalpur, two places already this green hydrogen hubs are being developed. Similarly in this one area in Andhra Pradesh that the Kakinada, then this Khandala and Gujarat two green hydrogen hubs are being developed and in one in Tuticorin in Tamil Nadu.

- Participant:

- My last question on the bidding pipeline, how is the bidding pipeline looking like? And what is your expectation of the bids, which can be closed in this fiscal year?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Can you repeat?

- Participant:

- My question is on the bidding pipeline......
15
- Mr. R.K. Tyagi – Chairman & Managing Director:
- Bidding pipeline.

- Participant:

- To get a pipeline, how it is and like, how much do you think we can we have by the end of this fiscal year?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- We have about more than one lakh crore transmission projects in pipeline. Maybe more than that, but at least one lakh crore projects are in sight. So, most of them, maybe 70 to 80% will be clear in this financial year as of now.

- Participant:

- Understood. Thank you, sir. Thank you.

- Moderator:

- Over here. Yeah, yeah. Continue.

- Mr. Girish – Morgan Stanley:

- Girish from Morgan Stanley. Sir, my question firstly is on equipment availability, you had recent strong order book right now of one lakh plus crore of orders in hand. What visibility do you provide right now for transformers and substations and transmission towers. Can you quantify that for us?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Yeah, like there is a challenge for supply of mainly two items. Circuit breaker, current transformers, surge arrester, tower structure, there is no challenge. So, everyone will get these equipment but GIS and transformers and reactors, supply is a big challenge. So, what we are doing, we are going for advanced procurement or bulk procurement of these equipment in advance. We are like considering that so many projects are in pipeline. So, what could be the requirement of transformers and reactors and GIS? So, in advance we are taking procurement action so that when the project execution will be there and these equipments will be required. So, we will have these transformers and reactors well in advance with us. Especially for GIS the equipment part is availability is there in India, but GIB part is a challenge which we are taking up with manufacturers. So that GIB equipment is also taken care, or this challenge is also mitigated.

- Mr. Girish – Morgan Stanley:

- And typically, what is the inflation that you see right now for equipment which is in slightly more tight supply. Is it like 10%...?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Like, especially transformers and reactors and GIS, if you compare with 2017 – 18, cost has become almost 70 to 80% more. So, every year you are right, that may be 10%. If we keep supply schedule of say, 15 months or 18 months for these equipment, so cost is coming more. So, what we are doing, we are procuring, giving a time schedule of 24 months or 30 months so that that supply challenge is not there because they have to procure, they have to purchase copper. They have to purchase core; they have to purchase paper insulation. So, that cycle can be easily managed.

- Mr. Girish – Morgan Stanley:

- My last question is on data centers. So, can you talk about your current project that is in hand and any outlook for this business? What role you expect you know, how much capacity can you create on that side?

- Mr. R.K. Tyagi – Chairman & Managin

g Director:
- Yeah, this project is being developed at our Manesar 400 kV station and this is of about 1000 racks. In phase one, it will be about 700 plus crore rupees and in phase two, it will be around 2,000 crore. We are also considering Bangalore, Hyderabad, Chennai and other metro cities for data centers. So, we want to play a big role in data centers. In terms of other details, I request my colleague, Mr. Vamsi, he can give more details.

- Mr. Burra Vamsi Rama Mohan –OSD (Projects):

- Yeah, as already informed about 1000 rack commercially available data center is being implemented as we speak. So, we expect that to be in the Quarter 4 of this financial year. And we basically look forward for trying to fill in the gap of government owned data centers, because we find a lot of dearth in that. We would like to position over there, apart from meeting the other needs of the private sector, with the increasing boom and digitalization, we find that this is a good opportunity since data centers being measured in terms of power and also it has a typical characteristic of what we otherwise implement in the substations. And we have a good strong backbone of telecom as well. So, we find that this is a natural progression for us to put in the data centers. We find a good amount of traction in this. So, presently the first data center as what you said is in NCR, which is coming up over there apart from other different seismological locations. That's what we are working on.

- Mr. Girish – Morgan Stanley:

17- Thank you.

- Moderator:

- Over there. Yeah.

- Mr. Subhadip – Nuvama:

- Good afternoon. This is Subhadip from Nuvama. Sir, you did spell out the estimated CapEx over the next 2 to 3 years, but can you also tell us about the capitalization expected in FY25, '26 and '27?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- As I told that, this around 70,000 crore projects we have to commission in next three years. This year we have target of about 18,000 crores and balance maybe around 60,000 or 55,000 crore projects in next two years. Maybe around 25 to 30,000 crore projects capitalization in FY26 and FY27.

- Mr. Subhadip – Nuvama:

- And sir, with regard to the HVDC projects, because these are relatively longer gestation, when do you see those getting commissioned? These would be over a 4 year period or longer?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- This Leh to Kaithal, it is 5 years because it is to be developed at very high altitude, about 4500 mtr., which is for the first time in the world that this size project is being developed at this altitude. So, this will be 5 years. And this Fatehpur Bhadla is 4 ½ years. First Bipole will be in 48 months and second Bipole in 54 months. So, 4 and 4 ½ years.

- Mr. Subhadip – Nuvama:

- Understood. And with regard to the other HVDC project, the Khavda project, is there any estimated timeline by when you can expect an award?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- We are expecting bid submission by another 10 days. And after that, it will be.....

- Mr. G. Ravisankar – Director Finance, Power Grid Corporation of India Limited:

- Award...first the bid should conclude then only we can award. So, first we should.....

- Mr. Subhadip – Nuvama:
18
- Understood.

- Mr. G. Ravisankar – Director Finance:

- So, the bidding is not yet over. Okay.

- Mr. Subhadip – Nuvama:

- Understood. And with regard to the equipment ordering for Bhadla and Leh-Ladakh, I presume you would be looking at those awards going out in the current year itself, right?

- Mr. R.K. Tyagi – Chairman & Managing Director:
- Yeah. It's like for Leh and Kaithal we have already tendered out on 17th July. So, we

expect that because it is two stage bidding, two stage two envelope bidding. And by December, we are expecting that we will get the commercial bids and by maybe January or Febr

uary, we will award it. And as far as the Fatehpur Bhadla, it is almost ready for award, so anytime we can award it.

- Mr. Subhadip – Nuvama:

- Understood. Lastly, with regard to the current quarter's results, at least on the standalone side, the numbers look very flattish. So just wanted to understand that despite the fact that regulatory equity would have gone up over the last one year. Why are we seeing flattish bottom line?

- Mr. G. Ravisankar – Director Finance:

- No, you see, it's because like I think Sumit has already asked this question. It's we didn't take much dividend from the SPVs compared to last Q1. And another one is last Q1 we had a one-time order impact of around 150 crore. So, if you add that and then you add that the discontinued operations of telecom also because like last time, telecom was part of our standalone, but now that it was carved out and then we formed a PTSL separate SPV. So, if you take out that discontinued operation of 58 crore, it's hardly 70 crore. And we took I think around 80 crore lesser dividend than the Q1 of FY24. Otherwise, you can always refer to the console for your guidance because going forward, if you see more and more projects will come in the TBCB route. So, you have to look as a console basis, that will help.

- Mr. Subhadip – Nuvama:

- Of course. Thank you so much.

- Moderator:

- One last question and then sir has to go. That's. Yep. Okay. I think. Thank you very much I now invite Mr. Tandon. Tandon sir. Okay. I think he's gone out. You can come from here, sir.

- Management:

- No. Here. Das is there. He can.

- Moderator:

- Last question. Okay. You want to give? Okay. Come.

- Management:

- Yeah. Thank you. Our investors, we express our sincere thanks to all our esteemed investors for coming here and attending this conference.

- Management:

- Analyst.

- Management:

- This is a nice interaction with our management. We also express our thanks to chairman, all the directors for sharing the business outlook and performance of POWERGRID. Thank you. Thank you all, everybody.

END OF TRANSCRIPT

Call: Nov 2024

[redacted]: "[redacted]", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted]) [redacted]:
0124-2822999 & 2822000
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2822999 & 2822000
[redacted]: [redacted] -9, [redacted], [redacted], [redacted] -110 016.
[redacted]: 011-26560112, 26560115 & 26560193, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560115 & 26560193,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

14th November, 2024

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Analysts’ and Institutional Investors’ Meet held on
08th November, 2024.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith copy of Transcript of Analysts’ and Institutional Investors’ Meet held on 08th November, 2024.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited

Transcript of Analysts’ & Institutional Investors’ Meet
(Q2 and Half Year ended 30.09.2024)

08th November, 2024 12:00 Noon (IST)

Management Team:

i) Shri R. K. Tyagi – Chairman & Managing Director

ii) Shri G. Ravisankar - Director (Finance) & CFO

iii) Shri Naveen Srivastava - Director (Operations & Projects)

iv) Shri Burra Vamsi Rama Mohan, OSD (Projects)

- Moderator:

- Good afternoon, everyone. Welcome ladies and gentlemen, to the Power Grid Corporation's Q2 & half yearly results analysis and the Analyst Meet. Thank you for taking your time out coming over here. I would now like to begin the proceedings and call up the Company Secretary, Mr. Satyaprakash Dash, to initiate the proceedings.

- Mr. Satyaprakash Dash - Company Secretary & Compliance Officer, Power Grid Corporation of India Limited:

- Good afternoon, ladies and gentlemen. On behalf of POWERGRID, I extend a very warm welcome to all of you for this Analyst and Institutional Investor Meet of Power Grid Corporation of India Limited. First of all, today our senior management team is there to discuss the company's business and share the performance outlook of POWERGRID i.e., after the declaration of the Q2 and half year ended 30th September 2024 financial results. It is my pleasure to introduce senior management team of POWERGRID. We have with us –

■ Shri. R.K. Tyagi, Chairman and Managing Director
■ Shri. G. Ravisankar, Director Finance & CFO
■ Shri. Naveen Srivastava, Director Operations
■ Shri. B. Vamsi Mohan, OSD (Projects)

- Thank you. Before inviting the CMD, I would like to have some corporate presentation, corporate video.

(AV plays 3.21-10.47)

- Now, I would like to invite our Chairman, Mr. R.K. Tyagi, to make the opening remarks and presentation after which the floor will open for question and answers. Chairman Sir, please.

- Mr. Ravindra Kumar Tyagi - Chairman & Managing Director, Power Grid Corporation of India Limited:

- Good afternoon, everyone. Welcome to POWERGRID’s Analysts' Meet today at Mumbai. As you have seen the operations of POWERGRID through video, I will just give brief about some details of various operations. My presentation will cover overview, major highl

ights, performance
highlights, growth outlook and sustainability and awards. Today, we are one of the Maharatna Companies in India. We became Maharatna in 2019 with 64 subsidiaries and 12 Joint venture companies. As given in video, we have footprints in 23 countries. Telecom network also is there of more than 100,000 kilometers. We have about 150+ domestic and international 25+Global

clients, cross border interconnection with Nepal, Bhutan, Bangladesh, Myanmar we have capacity of 4874MW.

- Our rating. International and domestic rating is at par with the sovereign rating of the nation.

- Our transmission line towers and transmission lines are spread across various parts of the country. It includes 1515 transmission lines, 280 sub-stations, interregional capacity that makes One Nation-One Grid-One Frequency by the portion which we have 99,580 out of about 1,18,000 Megawatt. Our operations are good. We have transmission system availability above 99.80%. We are transmitting power through state-of-the-art technologies like HVDC at 800kV level, 500kV level. Then transmission network of AC level 765kV. We have 63 sub-stations. 400kV sub-stations we have 168 numbers. Then for dynamic reactive power compensation we have SVC and STATCOMS 20 numbers, 64 GIS stations and transmission line towers which are located on the top of hill, rivers in various parts of deserts and in plain areas more than 2,90,000 transmission line towers. Transformers we have more than 3800 numbers.

- We have become L-1 bidder in TBCB projects in Q2. Total, 8 numbers projects we have won out of 13 projects which includes 78% in terms of annual tariff, 75% in terms of NCT cost and about 62% in terms of numbers. That includes Dynamic Reactive Power Compensation Project at Khavda, Transmission System at Bikaner-III and Bhadla-III. Then Khavda area we have Phase-IV Part B for transmission network. Then Jamkhambhaliya in Gujarat, Jaisalmer-Barmer in Rajasthan, then one of the very prestigious project, HVDC project, between Khavda to Nagpur. So, these projects we have won in Q2.

- And till date, we have again won in October and November. Out of 6 projects, we have won 4 projects. That includes Shongtong Karchham Wangtoo in Himachal Pradesh, then in Bikaner, Rajasthan. Then another Part A, Part B in Rajasthan. Then Kudankulam transmission system. This is also one of the projects which we have won.

- Some of the performance highlights. These are the assets which have been commissioned in Q2. That includes 1500 MVA, 765kV ICT at Padghe, then 1500 MVA capacity at Fatehgarh-II. 1500 MVA ICT at Bhadla-II. 500 MVA upgradation of 315 MVA transformers at Nagarjunsagar in Southern Region-I. Then Subhashgram in West Bengal - 500 MVA. Then Jind in Haryana 500 MVA, Mysore 500 MVA, Pune 500 MVA. Then Bikaner 500 MVA ICT. Then in Navi Mumbai, this station was ready for so many years, now it has been commissioned where we charge two numbers of 315 MVA, 400 kV ICTs. Then in Arrah, Bihar, one 200 MVA capacity ICT has been commissioned and for RE evacuation in Rajasthan, Fatehgarh-II to Bhadla-II a very prestigious line has been commissioned which is almost 405 circuit kilometers. Then the transmission line at Navi Mumbai. These were commissioned on 16th September.

- Our CapEx, up to September, 2024, was ■10,002 crores and on capitalization ■4000 crore worth projects have been commissioned up to September, 2024.

- On operational front, we have been always achieving operational benchmarks higher than the incentive we get at 99.75%. So, we have been achieving transmission system availability more than 99.75%. In this year, we have achieved 99.80% till Q2. And in case of reliability, it is 0.17 tripping per line in Q2.

- Then financial performance. On a standalone basis, income is ■11,383 crore, Profit After Tax ■3,711 crore. On consol basis, which includes our most of the operations of TBCB projects

, we
are ■11,846 crore against ■11,530 crores last year and Profit After Tax has become ■3,793 against ■3,781 last year.

- Then up to half year, September Q1 and Q2, we have on standalone basis ■22,234 crore against ■22,094 crore. And Profit is ■7,123 crore. On consol basis, is ■7,517 crore against ■7,379 crore Profit After Tax and revenue or income is ■23,126 crore against ■22,788 crore.

- These are the details of various heads of our financial performance. Transmission charges in Q2 ■10,877, up to half year - ■21,543. Total Income ■23,126 up to first half year and Profit After Tax, as I told, ■7,517 crore. This is on a consol. basis. These are the details.

- The gross fixed assets as of 30th September, 2024. On consol basis, it is ■2,78,983 crore. Work in progress – ■25,391 crore. The loan or debt is ■1,22,499 crores. Net Worth is about ■92,061 crore. Earnings Per Share is ■8.08 and book value per share is ■98.98 per share. Our Debt/Equity ratio is 57:43 and Return on Net Worth is 8.17%.

- These are some key financial information. Income on previous period is about ■229 crore. Interest on differential tariff, then interest from subsidiaries, incentive, dividend from joint ventures. These are the details given in the tabular form.

- The income from Telecom is ■267 crore in Q2. New customers; we have added about 13 numbers. Our backbone availability has been 100%.

- In consultancy, in international, we have 16 ongoing assignments and in Q2, 3 orders have been received. In domestic front, 77 are ongoing assignments and 2 numbers orders received in Q2. Our income in Q2 from consultancy is ■134 crore.

- In commercial performance, we have billed about ■19,000 crore and realization has been more than 100%; 100.31%.

- These are the details of outstanding dues for Q1 and Q2.

- Growth outlook is good because key drivers for growth are India to be a $5 trillion economy as per the Government of India's vision. That requires rapid industrialization, urbanization, e-mobility, energy transition. Then 500 gigawatt installed capacity by 2030. Green Hydrogen for various applications; that requires power requirement of 125 gigawatt for production of Green Hydrogen. Then battery energy storage, pumped hydro for energy storage. Daytime when sun is there, so renewable energy is available but in nighttime when sun is not there or renewable energy is not there, so we require energy to be stored. So, battery storage and pump storage is going to help us.

- Then One Sun, One World, One Grid vision of our honorable Prime Minister, that requires international interconnections between various countries. So, we have some growth options there for interconnections between various countries.

- As per NEP (National Electricity Plan), recently announced by Ministry of Power, peak demand which is 249.85 gigawatt as on 30th September, 2024, it is going to increase to 296 gigawatt by March, 2027 and about 388 gigawatt by March, 2032. Installed capacity, which is about 453 gigawatt, It is likely to increase to 669 gigawatt by 2027 and 997 gigawatt by March, 2032.

- RE capacity, as of now it is about 201 gigawatt, and now it will increase to 537 gigawatt and 613 gigawatt by March 2027 and by March 2032 respectively. Transmission lines, which in interstate sector is 2,11,805 circuit kilometer, it is going to increase to 2,51,221 circuit kilometer in 2027 and 2,94,545 by 2032. Transmission capacity, MVA capacity which is 5,29,065 MVA capacity, is likely to increase to 9,33,190 by 2027 and 12,81,355 MVA capacity by March 2032. In intrastate transmission lines which is about 277,000 circuit kilometer as of 30th September 2024, is likely to increase to 3,20,182 circuit kilometer by 2027 and 3,53,645 circuit kilometer by March 2032. Similarly, transformation capacity in MVA, which is 7,47,705 MVA capacity on 30th September 2024, it is likely to increase to 11,30,530 MVA capacity. If w

e add this transformation capacity
12,81,000 and 11,30,000, it becomes more than 24,00,000 MVA capacity by 2032. So, it requires large number of transformers. And inter-regional capacity which is1,18,740, it will increase to 1,42,940 and 1,67,540 MVA capacity.

- So, these are the drivers for growth of transmission network in India, and POWERGRID is playing very important role, and it will continue to play important role in building nation, building

transmission system in India. So definitely, the prospects or outlook of POWERGRID is very bright.
- As per this NEP, total 9,16,000 crore are to be spent up to 2032, which is, from ‘22 to ‘27 it will be ■4,25,000 crore, from ‘27 to ‘32 it will be 4,90,000 crore. So out of which, almost ■3,30,000 crore projects have been already executed, some are under execution, some already have bid out and balance are to be bid. So, if we consider this growth, that will require execution of many HVDC projects and AC projects. HVDC projects being very high CapEx intensive, it will require lot of CapEx utilization in various projects like 320kV, 500 megawatts between Paradip to Andaman, then Khavda area between KPS-3, Khavda-3 to South Olpad, 2,500 megawatts at 500kV. Then Barmer-II to South Kallam, it will be 6,000 megawatt at 800kV LCC. There is a possibility of HVDC link between India and Sri Lanka. Then Badla to Fatehpur, 6,000 megawatts. Then 6,000 megawatt between Bikaner-V to Begunia in Odisha. And some planned cross border between India and Bangladesh, 765 kV HVDC… sorry, AC double circuit line link is there between Katihar to Parbatipur and Barnagar. Then Imphal to Myanmar at 400 kV. India-Sri Lanka, 500 megawatt HVDC link is there.
- If we consider all the projects which we have in hand, then as on today, we have ■1,43,295 crore worth projects in hand, which includes RTM projects of ■8,896 crore, TBCB projects of about ■93,000 crore, and others like metering and other area about ■3,300 crore. And new RTM projects like offshore wind and Leh-Kaithal HVDC link, that includes ■38,008 crore.
- The CapEx planning for FY24-25 is about ■18,000 crore, but it is likely to increase to more than ■20,000 crore. So, it will have about ■4,000 crore of RTM projects, and TBCB projects of more than ■12,000 crore, others about ■1,000 crore.
- So, project under bidding - about ■84,000 crore projects are under bidding. And another new projects as per NEP, about ■3,00,000 crore projects are yet to be bid out. So if we consider that and consider winnability of POWERGRID, which is about 50%, so about ■1,92,000 crore projects

are likely to be won by POWERGRID, in addition to ■1,43,000. So put together, it will be more than ■3,35,000 crore projects in execution by 2032. So, our outlook will be at least Rs. 3 trillion worth projects or CapEx by 2032.
- In sustainability and awards, we are committed for 50% electricity consumption by 2025 from RE, net water positive organization by 2030, zero waste to landfill status by 2030, and net zero by 2047. So, we are taking various actions to achieve these targets.
- Awards which we are finalist in Platts Global Energy Awards 2024, in various categories- CMD POWERGRID Lifetime Achievement Award category, then POWERGRID in Grid Edge Award category, then POWERGRID in Corporate Impact Award Comprehensive Portfolio category by. So, this is the finalists’ list basically in Platts. Then awards and recognition - CMD POWERGRID was conferred with Economic Times Energy Leadership Award 2024 for significant contribution in energy sector. Our Director Personnel, POWERGRID has been conferred with CHRO Pride Award by Top Rankers Management Club during 24th National Management Summit 2024. POWERGRID was conferred with prestigious Dun & Bradstreet Award 2024 in Power Transmission Central PSU category. POWERGRID also was conferred with Transmission Company of the Year Award 2024 by Bharat Electricity Powering India Award

s 2024. POWERGRID was also
conferred with Gold Award by the SKOCH Award India for its CSR project, Farmer-Centric Integrated Watershed Management Project at Kalahandi District of Odisha. POWERGRID was adjudged the Green Ribbon Champion of Sustainable Development by News18. Then also POWERGRID was conferred with prestigious SHRM HR Excellence Award 2024 in the category Excellence in Learning and Development.
- Thank you everyone for your time. Thank you.
- Moderator:
- Hearty congratulations, sir, for the Platts Awards. That's the industry benchmark. Platts is the global platform on which all energy companies, all the metal companies, etc., they get listed and enlisted.
- Question & Answer Session:
- We now open the forum for questions and answers. Please do put your mobiles on silent mode and do raise your hand, do introduce your company and yourself, and then you could raise the query. I can just see someone right at the backside. Go ahead, please.
- Mr. Shubadip Mitra – Nuvama:
- Good afternoon and thanks for the opportunity. This is Shubadip Mitra from Nuvama. My first question is, I think in the opening remarks you mentioned that out of the ■9 lakh odd crore that is planned under the NEP, about ■3 lakh crore is already tendered out or executed. So, does that mean that the balance ■6 lakh crore odd is still yet to be tendered out?
- Mr. R.K. Tyagi - Chairman & MD, Power Grid Corporation of India Limited:
- Yes, it is yet to be. As I told that it will be tendered out in days to come.

- Mr. Shubadip Mitra – Nuvama:
- Understood. And of the 3 lakh…
- Mr. R.K. Tyagi - Chairman & MD, Power Grid Corporation of India Limited:
- Let me clarify, out of ■9,16,000 crore, total ■6,60,000 crore projects are to be constructed, out of which about ■3 lakh crore projects are already being executed or already bid out. And balance are yet to be bid out.
- Mr. Shubadip Mitra – Nuvama:
- Understood. And of this ■3.3 lakh crore which are already under execution or bid out, is a large component of the equipment ordering also done, or the equipment ordering is still pending?
- Mr. R.K. Tyagi - Chairman & MD, Power Grid Corporation of India Limited:
- Most of the projects are already… suppose we have say ■1,43,000 crore worth projects, so barring HVDC projects which includes this Khavda to Nagpur and Leh to Pang and offshore wind, which are yet to be awarded, others are… maybe 80% projects are already awarded, and equipment are already tied up.
- Mr. Shubadip Mitra – Nuvama:
- I understand, I understand. And for each of these HVDC projects roughly, what is the size of ordering in, let's say, Rupee crore terms that you are looking at, let's say for the Khavda project or for Leh?
- Mr. R.K. Tyagi - Chairman & MD, Power Grid Corporation of India Limited:
- The Khavda project entity cost is ■24,000 crore, which will include terminal at Khavda and Nagpur. And almost 65 to 70% will be the cost of the terminals, and about 35% cost will be for the transmission line.
- Mr. Shubadip Mitra – Nuvama:
- Understood. And the Leh Ladakh project is also on the anvil for ordering by end of the fiscal?
- Mr. R.K. Tyagi - Chairman & MD, Power Grid Corporation of India Limited:
- We have already tendered out this project, and now we are discussing with our prospective bidders, and very shortly OBD will happen. And by end of this financial year or maybe by February or maybe March we are likely to award this project.
- Mr. Shubadip Mitra – Nuvama:
- Understood.
- Moderator:
- We'll have to also restrict questions maybe two per person so that the others can also ask. But, maybe your last question.

- Mr. Shubadip Mitra – Nuvama:
- Just to follow up on this one. The upcoming HVDCs that you see coming up for tendering beyond Khavda and Bhadla, which are the ones that you are expecting coming up, let's say in FY26?
- Mr. R.K. Tyagi - Chairman &

amp; MD, Power Grid Corporation of India Limited:
- Like under bidding already Fatehpur-Bhadla is there. Then after this KPS-3, Khavda-3 to South Olpad will come very soon for bidding. And others will follow subsequently.
- Mr. Shubadip Mitra – Nuvama:
- Understood. Thank you so much.
- Mr. Mohit Kumar – ICICI Securities:
- Hi, this is Mohit Kumar from ICICI Securities. My first question is, when you look at your portfolio of projects, the scheduled commissioning date for almost the entire pipeline is 2 to 2 ½ years barring the HVDC, right? Is it fair to say that the commissioning will pick up and you become more than ■400 billion in FY27, FY28? Is that a fair understanding?
- Mr. R.K. Tyagi - Chairman & MD, Power Grid Corporation of India Limited:
- Yeah. Like we have about ■25,000 crore projects that are work in progress, for which CapEx is already done, which are due for commissioning. Then out of ■143,000 crore or ■1,43,000 crore projects which are in hand. So barring HVDC and offshore wind project, which will be about say (22,000 plus 20,000)… ■60,000 crore. If you reduce ■64,000 crore, maybe ■1,00,000 worth… 1,00,000 crore worth projects are to be commissioned in next 2 ½ years. So, you are right that our capitalization should be about ■35,000 to ■40,000 crore each year, from the next year.
- Mr. Mohit Kumar – ICICI Securities:
- My second question is that the loss of 1 billion in the JV accounting in this quarter, is it related to EESL? Energy Efficiency Services Limited?
- Mr. G. Ravisankar – Director Finance & CFO, Power Grid Corporation of India Limited:

- Ya. there is a loss of around ■100 crore, we have accounted this half year on account of, at the time of consolidation of our shares.

- Mr. Mohit Kumar – ICICI Securities:

- This particular associate company has been making losses for a long time Sir.

- Mr. G. Ravisankar – Director Finance & CFO, Power Grid Corporation of India Limited:

- Yes, we have stopped putting equity, last one year, we are not putting equity. This equity was put up, we made the equity contribution over the years basically. In the last one year, we have also told them to take up the receivables. Basically they have done on annuity model, some of the businesses for which they will have, they have put the capex upfront and it is recoverable on

the per month basis. So the problem is that the receivables are mounting, so that's why they were taking some short term loans for the servicing and all for the interest portion. Now they are gearing up for the collections and then they will do. So still the 1st year on the provisional results, we have accounted 100 crore as our portion compared to last year. that's one of the reason you will find the jump off hardly to 2-2.5pc because this 100 crore will contribute another 1.5pc in my jump.

- Mr. Mohit Kumar – ICICI Securities:

- Sir, is it fair to say that these losses will stop from here on? These losses will not occur henceforth?

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- We have been taking up this issue as a joint venture company. We are like 4 partners in this EESL– NTPC, POWERGRID, PFC and REC. So, we are taking help of our Ministry to realize the dues of EESL from various ULBs (Urban Local Bodies) and various state utilities and now they have taken up already with various state governments. And further, it is likely to be discussed in the forthcoming power ministers' conference on 12th November 2024.

- Mr. Mohit Kumar – ICICI Securities:

- Thank you Sir, thank you.

- Moderator:

- Yes, please. Give the mic.

- Mr. Sumit Kishore – Axis Capital:

- Sumit Kishore from Axis Capital. In the 1st half of the year, capitalization has been about Rs.40bn at the consolidated level. Are you still on track to achieve Rs. 180bn that you had spoken about on a full fiscal basis. And for the next

year, when that works in hand are going to get converted,
part of it, do you think that Rs. 350bn is achievable in terms of capitalization for next fiscal itself or would that be an aspiration more for FY27?

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- This year, we are targeting about ■18000 crore capex as well as for capitalization. But the next year, it will increase from ■18000 crore, maybe somewhere between ■25 to 30 thousand crore and next year, it will go about maybe ■40,000 crore. Next year, it will not touch ■35 – 40 thousand…..

- Mr. Sumit Kishore – Axis Capital:

- That's what I thought.

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- One year later.

- Mr. Sumit Kishore – Axis Capital:

- Ya. So your capex next year is likely to touch…..

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- CapEx also, it will be between ■25 to 30 thousand, next year, FY25-26.

- Mr. Sumit Kishore – Axis Capital:

- The 2nd question is, you used to put a slide in terms of your capex target till 2032 which used to look like something ■1.8, 1.9 lakh crore on the transmission side. So that number is now moving to about ■3 lakh odd crore. So could you dis-segregate in terms of both interstate and intra-state?

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Like 90pc, 85-90pc will be inter-state. Like we have some joint venture companies with like Rajasthan and some TBCB projects which will come in intra-state sector. They will be done for intra-state but we are expecting that our share from inter-state will be about 90pc. So, if we are saying more than ■3 lakh crore projects to be executed or our CapEx will be more than ■3 lakh crore, so it will be about 90pc will from inter-state.

- Mr. Sumit Kishore – Axis Capital:

- Sure! So your implied win ratio in inter-state will be north of 50pc.

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Ya, ya.

- Mr. Sumit Kishore – Axis Capital:

- Thank you.

- Moderator:

- Right! I now again request Company Secretary Sahab….I think we can call it? Shekhar?

- Mr. Shekhar
- Anyone who has got a question can ask the question? Yes Sir, we can do that.

- Moderator:

- Please go ahead.

- Mr. Mohit Pandey – Macquaire Capital:

- Mohit Pandey from Macquaire Capital. I just wanted to get an update on the smart meters projects.

- Mr. Naveen Srivastava – Director Operations & Projects, Power Grid Corporation of India Limited:

- As far as smart meters projects, we are doing in Gujarat, Madhya (middle) Gujarat and Uttar (North) Gujarat where we are going to put around 63 lakhs meters, smart meters and out of that, we have already awarded 35 lakhs will be in one Madhya Gujarat, similarly 30 lakhs in the Uttar Gujarat, out of which 28 lakhs we have already awarded. At present, 2 lakhs meters have been already supplied in both the cases. At least 4 lakhs have been supplied and we are installing at present, the progress is around 1 lakh meters, we have already installed.

- Moderator:

- Maybe you know, the other questions, there is one. You started, so now you can end it.

- Mr. Shubhdip Mitra - Nuvama:

- So just a follow-up from my side. Just wanted to understand, that in this current quarter, we have seen a relatively weaker numbers. Is it a function of some of the TBCB projects, maybe seeing a decline in the tariffs in line with the way the bidding has been done? Are you seeing any weakness in the ROEs for some of the TBCB projects?

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- You are referring to which number?

- Mr. Shubhdeep Mitra - Nuvama:

- I am lookin

g at the general profit after tax growth. It's not been very encouraging for this quarter. Just wanted to understand, as we go ahead and as the share of TBCB rises, can we see some weakness in terms of normal threshold of ROEs that we see? Given that there is higher competitive pressure in TBCB projects.

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Not really! We have commissioned projects worth ■4000 crore, so the tariff for which will be realized in days to come because if you commission in say September or August, so we will not get tariff in April, May or June, till it is commissioned. So there is incremental increase or there is

increase of tariff and profit but because of our depreciation, because we have our legacy assets under RTM where the depreciation is decreasing after 12yrs. from 5.28pc, it becomes about 2pc. Similarly our loan also, we keep paying our loan, principal amount, so our loan amount is reduced, then interest on loan has also reduced, so effectively our revenue will reduce for RTM projects. When we are adding revenue in TBCB projects, then it is almost getting compensated by the decrease in RTM projects. As far as profit is there, if you remember that as per the CERC tariff regulation for 24-29, as per the new CERC Regulation, our O&M charges have been reduced by almost 600 crore. So for half year, the effect is almost 300 crore. So effectively it is positive by say 1pc or 2pc but it is not in the same range where it should have been because there is a loss of about 300 crore which is a major contributor for our profit, not increasing say to 4-5pc. It is 1-2pc.

- Mr. Shubhdeep Mitra - Nuvama:

- Understood and lastly would you be able to tell us, what is the regulated equity number that we have for the RTM projects?

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Regulated?

- Mr. Shubhdeep Mitra - Nuvama:

- Equity…

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Normally for any project it is 70, 30pc. 30pc is equity and return on equity is about 15pc.

- Mr. Shubhdeep Mitra - Nuvama:

- Understood, but for the overall bank of projects that we have right now, is it like a ■90,000 crore. kind of a number or some number like that? If you can help us?

- Mr. G. Ravisankar – Director Finance & CFO, Power Grid Corporation of India Limited:

- See, we have ■92,000 crore as net worth and we say that the investments in TBCBs are around ■4000, 4200 crore. So what you assume is somewhere around 88-90 thousand is fair.

- Mr. Shubhdeep Mitra - Nuvama:

- Perfect Sir, thank you so much Sir.

- Moderator:

- Well! One more question. Yes, last, the final last.

- Participant:

- Sir, just one book keeping question. So for the projects won in October and November if you could share the NCT cost, if possible?

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Ya, I will. You want in…..?

- Participant:

- October, November.

- Mr. R.K. Tyagi – Chairman & Managing Director, Power Grid Corporation of India Limited:

- Ya. So this is Shong Tong Project, NCT cost is ■2,286 crore. Then Rajasthan Phase 4, part A is ■5,969 crore, part B is ■5,357 crore. Then Gopalpur, green hydrogen project is, NCT is about, NCT cost is ■2,898 crore, that has been won by Tata Power. Then Kudankulam which is won by POWERGRID, NCT cost is ■548 crore, then Bijapur, Raichur which has concluded yesterday, the cost is about ■1000 crore. It is won by GR Infra. So out of 6 projects, we have won 4 projects.

- Participant:

- Ok, thank you so much Sir.

- Moderator:

- Ok, now any more questions? I still have a minute. Ok, may I now request Mr. Anantha Sarma Sahab to come and give the vote of thanks, followed by th

at, please the POWERGRID team be
ready for the group photo and followed by that is Adfactor.

- Mr. Anantha Sarma – Executive Director, Power Grid Corporation of India Limited:

- Good afternoon! I take pleasure in thanking Shri R.K. Tyagi ji, Chairman & Managing Director, POWERGRID, Shri Ravisankar ji, Director Finance & CFO of POWERGRID, Naveen Srivastava ji, Director Operations & Projects of POWERGRID, Shri B. Vamsi Rama Mohan ji, OSD Projects and I also take pleasure in thanking all of you, the investors and the analysts who made it convenient to come over here and participate in the investor meet here and make the event a grand success. I would like to thank ICICI Securities for organizing this event and also Adfactors to organize everything for us here and make the event successful. I thank everyone including our Company Secretary & all for making this event successful. Thank you so much.

END OF TRANSCRIPTION

Call: Feb 2025

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Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2822999 & 2822000
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■■■■■■: 011-26560112, 26560115 & 26560193, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560115 & 26560193,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

12th February, 2025

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Webinar held on 05th February, 2025.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith copy of Transcript of Webinar held on 05th February, 2025 at 11:00 A.M. for Investors & Analysts.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited

Transcript of Webinar
(For Q3 and Nine Months ended 31.12.2024)

05th February, 2025 11:00 A.M. (IST)

MANAGEMENT: R.K. Tyagi, Chairman & Managing Director
G. Ravisankar, Director (Finance) & CFO
Dr. Yatindra Dwivedi, Director (Personnel)
Naveen Srivastava, Director (Operations)
Vamsi Ramamohan Burra, Director (Projects)

ANALYSTS: Sumit Kishore
Ketan Jain
Akhsay Malhotra
Bharanidhar Vijayakumar
Bhalchandra Vasant Shinde
Aman Jain
Mayank Bora
Swati Jhunjhunwala
Anuj Upadhyay
Apoorva Bahadur
Naishi Shah
Vikram Datwani
Koundinya Nimmagadda
Mohit Pandey

Presentation

Mohit Kumar: Hi, good morning, everyone. On behalf of ICICI Securities, I extend a very warm welcome to all of you for the Analyst Meet of Power Grid Corporation of India Limited.

Today, our senior management team is there to discuss the company's business Post Q3 and Nine Month Financial Results. It is my pleasure to introduce senior management team of Power Grid. We have with us Shri R.K. Tyagi, Chairman and Managing Director; Shri G. Ravisankar, Director (Finance) and CFO; Dr. Yatindra Dwivedi, Director (Personnel); and Shri Naveen Srivastava, Director (Operations); and Shri Vamsi Ramamohan Burra, Director (Projects).

Thank you, and over to you.

R.K. Tyagi: Good morning, everyone. I'll just give a brief about Power Grid achievements in Q3 and up to Q3 or nine months. Brief agenda for today's meeting is overview of Power Grid, major highlights, performance highlights, what is our growth outlook, sustainability and awards, which Power Grid has won during quarter three. Next.

As you know that Power Grid is India's flagship power transmission utility, one of the largest transmission company in the world. As per Public Enterprises Survey '23-'24, we have been given first rank in Net Profit; first rank in Dividend Declared; second rank in Gross Block; second rank in Net Worth and second rank in Contribution to Exchequer. Our international credit rating is at par with Sovereign rating, BBB- and domestic credit rating is AAA. Next.

Our transmission lines, we have transmission line across width and breadth of our country about 1,518 number of lines are there. We have 1,79,594 circuit kilometre, 280 substations, 5,52,961 MVA capacity. Our interregional transfer capacity is 99,580 megawatt, which is 84% of total interregional capacity of India. Our transmission system availability is maintained at par with world best utilities, and it is 99.81%.

We have assets of HVDC 18 station; 765 kV substations 63 numbers; 400 kV 168; SVC and STATCOMS 20 numbers; and GIS stations 64 numbers; and transmission line towers about 2,90,000; and transformer and reactors more than 3,800 numbers.

During Q3, we have won the seven ISTS TBCB projects with levelized tariff of ■2,077 crores. It includes transmission system for the evacuation of power for Rajasthan REZ Phase IV Part 3 or Part A and Part B. Then transmission system for power evacuation from Kudankulam Unit 3 and 4 in Southern region. Then transmission system for power evacuation in Rajasthan, Phase IV, Part 4, Part A. Then system strengthening at Koppal-II and Gadag-II for integration of RE power in the grid. Sixth one is augmentation of transformation capacity at Khavda area KPS1 and KPS2, Phase V Part B1 and Part B2. Then augmentation of transformation capacity 3x500 MVA transformers and 1x1,500 MVA transformer at Bidar substations.

Up to Q3, we have share of 50% in annual tariff in TBCB projects, 58% in terms of NCT cost and 57% in terms of number of projects won. Next.

In asset management, for the first time in India, we have implemented dynamic line loading for controlling power flow in transmission line depending on temperature, wind speed and other ambient conditions. Also, we are implementing e-vegetation management programme for our six transmission lines in Northeastern region, which will assist us in inspection and maintenance by mapping of transmission lines, managing vegetation and avoiding tripping of transmission lines. This is being done for the first time in India.

Then other highlights. We have secured our first Green Loan Agreement of $200 million was signed with Sumitomo Mitsui Banking Corporation, Japan, for funding RE projects of Power Grid. Next.

We also collaborated with EPRI; it is a research institute in USA. We have signed a 10-year master agreement with EPRI USA, a non-profit energy research and development organisation. It will help us in transmission system construction, operation, and maintenance, and promoting energy transition and sustainability.

Also, Power Grid has been granted patent for system and method for health assessment of transformers and reactors. We are remotely operating 281 substations from our control centre at Manesar, as on 31 December 2024.

The performance highlights about project execution, operational performance, financial performance, other business, and commercial performance are as below.

We have commissioned 1,399 circuit kilometre of transmission lines in Q3 and also 9,185 MVA capacity of transformers. It includes two numbers of transformers at Sikar, 1 ICT at Banaskantha, one ICT at Kotra, three number ICT at Bikaner-II station, two number ICT at Banka, and one ICT at Bahadurgarh. Then upgradation of 315 MVA ICT at Rengali substation.

In transmission line, 765 kV Sikar-II Aligarh, circuit 1 and circuit 2; Bhadla-II to Sikar-II, circuit 1 and circuit 2; 400 kV Sikar-II to Neemrana, circuit 1 and circuit 2; and LILO of 220 kV Jhusi Phulpur at 400 kV Jaunpur UPPTCL substation. During Q3, new station at Sikar-II was commissioned in October.

Then in project execution, our performance in Q3 we have done expenditure of ■7,649 crores as against ■3,444 crores in last year, FY '24. And during last nine months, our CapEx has been ■17,651 crores as against ■7,690 crores last year. In capitalisation also in Q3, we have capitalised assets worth ■3,417 crores as against ■1,784 crores asset in last year. And in the last nine months, we have commissioned ■7,423 crores worth assets as compared to ■5,780 crores last year.

In operational performance, we have been maintaining availability more than 99.75%. For last nine months, it has been 99.81%. And in reliability, trippings per line is 0.

24 trippings per line during the last nine months.

As regards financial performance. On a standalone basis, our income in Q3 has been ■11,609 crores and profit after tax ■3,894 crores. On a consol basis, income is ■11,743 crores and PAT ■3,862 crores. For the last nine months, on a standalone basis, total income is ■33,843 crores and PAT ■11,017 crores. On consol basis, total income for last nine months was ■34,869 crores and the profit after tax ■11,379 crores.

The financial performance in details in nine months for FY '25, transmission charges, ■32,368 crores. Consultancy services about ■427 crores, telecom ■722 crores. Other income, ■1,352 crores. Total income, ■34,869 crores and EBITDA ■30,148 crores and profit after tax is ■11,379 crores. On a standalone basis, for nine months, transmission charges, ■30,092 crores; consultancy, ■357 crores; other income, ■3,394 crores and total income ■33,843 crores. And on a standalone basis, profit after tax ■11,017 crores.

Other financial parameters, our gross fixed assets as on 31st December 2024 is ■2,88,801 crores. CWIP, capital work-in-progress, ■29,603 crores. Debt ■1,29,288 crores. Net worth ■91,620 crores. Earnings per share, ■12.23 per share. Book value per share, ■98.51. Debt-equity ratio 59:41 and return on net worth in nine months is 12.42%. The key financial parameters, the income for previous periods, ■63 crores as against the last year in Q3, ■237 crores.

Interest on differential tariff is ■102 crores as against ■184 crores during Q3 quarter of '24. Interest from subsidiaries, ■560 crores as against ■371 crores last year. Incentive from transmission assets, ■150 crores as against ■151 crores. Dividend from JVs, ■3 crores as against ■1 crore. Dividend from subsidiaries, ■423 crores as against ■149 crores, and dividend from associates and others, ■32 crores as against ■20 crores. CSR expenses, ■161 crores as against ■23 crores last year.

FERV, because of foreign exchange, ■238 crores as against ■77 crores last year. Equity in TBCB operations, ■4,390 crores as against ■3,763 crores. Equity in TBCB under construction, ■302 crores as against ■504 crores last year. We have a short-term loan of ■1,960 crores as against ■1,279 crores last year. Average cost of borrowing is 7.54% in Q3 financial year '25. In our telecom subsidiary, in Q3, our income has been ■236 crores and up to Q3 in last nine months, it has increased from ■594 crores to ■722 crores. There is an increase of 22%.

In Q3, we have added 12 numbers of new customers and our backbone availability of telecom network has been 100%. We have received first International Long Distance business order in Q3. And PowerTel also

enabled fibre to home broadband for providing reliable Internet for the end users in Tura town of Meghalaya in Northeastern region. Then land has been procured from SIPCOT in Chennai for Disaster Recovery Zone-2 Data Centre at Chennai.

In commercial performance. We have done billing of ■27,989 crores with realisation of ■28,404 crores; realisation efficiency has been 101.48%. Our outstanding up to Q3 of '24 was ■6,633 crores. In Q2, it was ■4,735 crores. And at the end of quarter 3, it has become ■4,380 crores with major dues from Tamil Nadu, UP, Telangana and Madhya Pradesh.

As far as growth outlook is there, sectoral outlook, works in hand and what is CapEx plan of Power Grid, the details are given. As far as sectoral outlook concerns, our growth drivers are that India is committed to become a $5 trillion economy. This will lead to rapid industrialisation, urbanisation, and e-mobility. Then there is a non-fossil capacity addition target by Government of India to add 500 gigawatts RE power as installed capacity. The green hydrogen mission requires about 125 gigawatts RE power for producing green hydrogen up to 2030. Then energy storage target BESS is about 47-gigawatt, pumped hydro about 36

gigawatts up to 2032.

Then international interconnections under One Sun, One World, One Grid also, there are possibilities that there will be international interconnections. So that will also lead to growth of transmission sector in India also. And as per National Electricity Plan, the CapEx summary, the interstate transmission system from '22 to '27, about ■2,69,150 crores worth transmission systems are to be added. From '27 to '32, ■3,91,624 crores. And put together in Interstate, it will be ■6,60,774 crores. Then in various states for intrastate transmission system, as per NEP, about ■2,55,368 crores worth transmission assets are going to be added. And total CapEx summary for transmission system will be ■9,16,142 crores up to 2032.

For Power Grid, we have today ■1,43,749 crores worth transmission works in our hand. And today only we have won one more project about ■3,500 crores transmission project in Karnataka. So, with this, it will become about ■1,47,000 crores works in hand. This includes RTM projects, TBCB projects and other works going on like metering and solar generation. Next?

For financial year '25, our CapEx plan is now ■23,000 crores, which includes RTM projects worth ■3,914 crores, then TBCB projects about ■14,209 crores and other works ■4,877 crores. Till 31st January, our

CapEx has been ■19,480 crores and capitalisation till 31st January '25 ■7,906 crores. Regarding sustainability and awards. We have a target of 50% of renewable energy consumption by 2025. We are now tying up with various states for green tariff for our substations to offer the facility of green power.

For RoW resolution, we have formed a women cell and RoW cell for resolution of RoW in construction of transmission line. Four numbers of substations, one at Yelahanka, Tughlakabad in Delhi, Mariani in Assam and Chandigarh has been declared as pink stations which will be managed by all women employees. So, this is being done for the first time for women empowerment in Power Grid.

Next. Our Director Finance has been conferred with prestigious role model recognition at CMA Achievers meet: Vision 2030. Also, Power Grid has been conferred with World Congress on Disaster Management-Disaster Risk Reduction 2024 Award in category "Response during disaster and emergencies."

Power Grid received appreciation of support from Honourable Union Jal Shakti Minister, Shri C.R. Patil for CSR contribution as highest donor to National Mission of Clean Ganga. We have also received a Special Jury Commendation in FICCI Women Empowerment Awards '23-'24 under the category Impactful Care Ecosystem for Employees under Public Sector Companies category.

Our Executive Director, Dr. Sunita Chohan has been awarded with NPSC Woman Engineer Award 2024 for her contribution to the India's Energy Sector during the 23rd National Power System Conference held at IIT Indore. Then appreciation plaque in FICCI Women Empowerment Awards '23-'24 under category Career Development, Skill Development & Mentorship was also received by our women employees.

Thank you very much.

Question-and-Answer Session

Mohit Kumar: I re-iterate the mistake earlier note that Shri Vamsi Ramamohan Burra, Director (Projects) joined us through VC separately. We will now start with Q&A. Please raise your hand and ask your question is scheduled one by one. Sumit, please go ahead. Sumit, you can unmute your line.

Sumit Kishore: Good morning and thanks for the opportunity. My first question is, if we look at the capitalisation in the nine-month period, there appears to

be a steep increase implied for the fourth quarter to meet the target of about ■180 billion that you had spelt out for FY '25, are we on track? And if I look at the works in hand position mentioned in your presentation. It's similar to what we had heard in the November '24 analyst meet at about ■1.43 lakh crore. So, what has

been the fresh wins
that we have seen in the last couple of months? Has that been equal to recapitalisation roughly? Thanks. That's the first question.

Ravisankar: Okay. Sumit, what we have shown in the last quarter, actually, this is the works in hand which are to be executed, that is excluding the CWIP. If you see that last quarter, we have done a CapEx of maybe around ■10,000 crores. So, whatever we have added to that extent, whatever we have done the CapEx, it will come down. That's why it's looking like as if it stands still, but it's not so.

Sumit Kishore: Fair point. And for the fourth quarter, are we on track for capitalisation for the full year?

R.K. Tyagi: Yeah. So, we are targeting in the same range about that ■18,000 crores. That range we are targeting.

Sumit Kishore: Okay. My second question is that what is the impact in Q3 and nine months results of the FY '25-'29 CERC tariff regulations pertaining to O&M and what has been the performance of PGCIL JV EESL in nine-month FY '25? There were losses in 1H, if I remember.

Ravisankar: This impact of CERC tariff regulations, the O&M portion is around ■140 crores in Q3. If you compare the same with the Q3 of FY '24. And regarding EESL, yes, we have not put any equity in the last almost a year, so whatever we have put the equity, it was in the two years back. So we are not putting further equity in that.

Sumit Kishore: Was there any loss contribution from EESL in nine months?

Ravisankar: Yes. For the nine months, it is around ■140 crores, it is included in the consol, our portion, 39% of our stake amounts to ■140 crores for nine months.

Sumit Kishore: Okay. So, the third quarter will be about ■40 crores.

Ravisankar: Yes. It is cumulatively ■140 crores.

Sumit Kishore: Yes. Just last quick one to check on the large contract that was won by Khavda by your competitor, what was the difference in bid for Power Grid versus L1? And could you give us -- this had first come to Power

Grid, so what was the sequence of events? It's a reasonably large contract?

Ravisankar: No, it's not Khavda. Khavda, we won.

R.K. Tyagi: Yeah, Khavda was only like, bid was being given by our competitor, and finally, we won. So there were a difference of only 0.25%. Between us, we were the winner in Khavda and between the other party.

Sumit Kishore: I'm referring to the ■25,000-odd crore project that was won by Adani Transmission.

R.K. Tyagi: Yeah that was Fatehpur to Bhadla-III. So, they have won in about ■3,500 crores and considering the land policy in Rajasthan after this 14th June 2024 and earlier, we won this project in ■3,700 crores. So, we have revised our bids, and for us the parameters what we decided that we will not go beyond the L1 limit. So that was our stand on the project because it was not coming in our range.

Sumit Kishore: Thank you so much. Wish you all the best.

Nidhi Shah: We request attendees to please stick to two questions per participant. We may be moving on to the person when I unmute, I request the participant asking the question to also unmute on their end before they ask a question. The next question is from Subhadip Mitra [ph] [0:41:18]

you may unmute. Since we have no response from their end, we will
move to Ketan Jain. Ketan Jain you may unmute your line.

Ketan Jain: Thank you for the opportunity. Good morning. My first question is on
the number of projects won in nine months and 3Q? If you could tell us
the cost of the projects won in nine months and 3Q?

R.K. Tyagi: Up to December '24, it is ■63,909 crores. And for Q3, it is ■19,828
crores.

Ketan Jain: What is your outlook on the awarding of projects for FY '26? Do you
expect like around ■1 lakh crores worth of projects were awarded this
fiscal year. What is your outlook on FY '26? Do you think it will take a
pause or do you think it will continue?

R.K. Tyagi: Like I have mentioned that as p

er NEP plan, total for interstate is about
■6 lakhs. So FY '26 also, it will be similar to FY '25. So we will also
have similar figures for FY '26 also. Already, there are about projects
worth ■52,000 crores under bidding.

Ketan Jain: Understood. My last question is on the same number which you gave
for cost. Can you give for tariff, award of projects?

Ravisankar: Q3, it is already in the presentation.

Ketan Jain: Yeah, ■2,077 crores for nine months.

R.K. Tyagi: For nine months tariff is ■8,027 crores.

Ketan Jain: Understood. Thank you. Those are my questions.

Nidhi Shah: The next question is from the line of Ketan Jain. You may please
unmute your mike.

Ketan Jain: My questions are done. I just spoke.

Nidhi Shah: The next question is from Akhsay Malhotra. You may unmute your
line.

Akhsay Malhotra: Thanks for the opportunity. I wanted to first of all understand the
progress on the intrastate bidding side. And concurrent to that, I wanted
to understand that on the intrastate project that we have with Rajasthan,
has the work started on that? That's my first question.

R.K. Tyagi: Okay. The intrastate projects are being executed by various states like
UP and MP and we are also participating wherever opportunity is there.
As far as the JV for intrastate with Rajasthan, we have already formed
the joint venture company. Our MDs also joined there, and projects are
being identified by the Government of Rajasthan. As soon as projects
are identified, then they will be taken up for execution.

Akhsay Malhotra: Okay. Thank you. Also, quickly on the CapEx and capitalisation side. I
think you've helped us with the number for FY '25. Could you also, in a
similar manner, tell us the expected CapEx and capitalisation for FY '26
and '27?

R.K. Tyagi: FY '26 because whatever projects like we have projects about say,
■147,000 crores in hand and about ■29,000 crores in progress. So put
together, we have almost ■1,76,000 crores projects which are to be
commissioned in next five years, because this includes HVDC Leh to
Pang which is to be commissioned in the next five years.

And similarly, our Khavda to Nagpur that is also to be commissioned in next 4.5 years. And then we have offshore project also, that is also to be

commissioned. So, if we subtract these costs, so AC section will be about ■1,08,000 crores projects are to be commissioned in the next three years. So, every year, that means next year, we will have target about ■25,000 crore projects, which will be required to be commissioned. And next year, may be about ■35,000 crores and maybe next year another ■35,000 crores. So, it will be in that range.

Akhsay Malhotra: Okay. So, this is the capitalisation number, right?

R.K. Tyagi: Yes, capitalisation.

Akhsay Malhotra: And similar to that on the CapEx side?

R.K. Tyagi: CapEx, like this year, we are telling it is about ■23,000 crores up to March. And for FY '26, it will be in the range of about ■28,000 crores to ■30,000 crores. And for next FY '27, it will be again ■35,000 crores.

Akhsay Malhotra: Okay. That would be very helpful. Thank you.

Nidhi Shah: The next question is from the line of Bharanidhar Vijayakumar. You may unmute your mike.

Bharanidhar Vijayakumar: So, I want to ask the regulated equity in the RTM projects as at end of December '24 that we have been investing?

Ravisankar: Regulated equity, see, we have given you that our net worth is like ■91,000 crores and then we have put ■4,390 crores, plus another ■400 crores in the TBCB companies. If you deduct that and then you deduct another around ■2,000 crores to ■3,000 crores, which we have put in another JVs and in telecoms, roughly, you take out around ■10,000 crores. So maybe in the range of ■80,000 crores to ■83,000 crores will be the regulated equity.

It's very simple mathematics. Just you see the net worth and then remove the JV

's investment and TBCB, SPV investment and then you get the regulated equity. Plus, we don't have any other business in the standalone.

Bharanidhar Vijayakumar: Understood. So related question to that is how much of equity would be required to be invested in the upcoming projects over the next three years?

Ravisankar: Normally, we put 80-20 for the TBCB projects and all the regulated projects, we stick to 30% at least to the equity, because we get the 15% return. If we reduce less than 30%, it's loss for us. So, we put maximum

threshold of 30% in regulated projects. And TBCB, it's free for us to put any equity, but so far, we are almost maintaining 20%.

R.K. Tyagi: So, if you consider say ■25,000 crores CapEx next year, so maybe between ■5,000 crores to ■6,000 crores will be required including TBCB and RTM projects.

Bharanidhar Vijayakumar: Got it. My second question is on the execution challenges in developing transmission projects. Some of the equipment manufacturers and other developers are highlighting challenges in land acquisition and equipment supply, say be it high voltage transformers or some conductors. So, what is your view on it? And would we be able to execute and commission our pipeline of projects within time? Or in your assessment, what could be a conservative estimate of risks? And how much can project get delayed on an average?

R.K. Tyagi: Yeah. The challenge of the procurement of these high-value items, especially transformer and GIS it is a real challenge. So, we are mitigating this challenge by procuring under bulk procurement, transformers we are procuring irrespective of the projects in hand. So, we are ensuring that we have adequate number of transformers and reactors with us for meeting the requirement of future projects.

And as far as GIS is concerned, so there are challenges, especially for GIB part. So, we are discussing with GIS suppliers so that they can start manufacturing in India. And now they are also ramping up their manufacturing capacity, GIS as well as transformers and reactors.

Bharanidhar Vijayakumar: Sure. Okay. That answers. But if you could give some estimate of would project, be delayed? Meaning if project timeline is say 1.5 years to two years, in the best case scenario, would you expect for our projects on an average, the project commissioning would be say 2.5 years, three years? In reality, would that be the case?

R.K. Tyagi: Yeah. Normally, whatever two years' time period, we are trying to achieve, especially for any substation wherever transformers or reactors are to be commissioned. So, we are ensuring that all the equipments are commissioned on time, but especially for transmission line where RoW issues are being encountered.

In some cases, there are challenges. So, some delays are happening because of RoW issues. But still, we are taking up with the Ministry of Power and the state administration to minimise the delays but let me accept that there are challenges in completion of these transmission projects within two years.

Bharanidhar Vijayakumar: Thank you so much. All the best.

Nidhi Shah: The next question is from the line of Tanveer [indiscernible] [0:54:25]. You may now unmute your line.

Unidentified Analyst: Yeah. So actually, I am a shareholder in Power Grid and the Power Grid InvIT as well. I had a simple question. This Power Grid InvIT was set up with the vision of monetisation of Power Grid assets, but that plan seems to have been dropped. So there are a lot of shareholders, including our parents and senior citizens who have put their hard earned money in Power Grid InvIT. And if you see it raised funds at IPO around ■100. Today, the share price is nearing ■80, primarily because it is unable to get any assets and raise its DPO. Now I understand that Power Grid is the sponsor there. So I just wanted to understand, so much faith we are putting

in the government and Power Grid, doesn't Power Grid have any plans to monetise assets via this trust?

R.K. Tyagi: Yeah. When we came out with this PG InvIT, as per that guideline existing at that time, we were planning to disinvest some assets in PG InvIT. But after new NMP guidelines, now we are not able to disinvest our assets in this PG InvIT, so we don't have plan in near future to disinvest our Power Grid assets because of NMP guidelines.

Unidentified Analyst: Then what will be the entire purpose of that trust? I mean the sponsor of parent is itself is going to just abandon this particular trust and how is it supposed to function?

Ravisankar: No, see, the initial InvIT was found to monetise the commissioned assets and subsequently, when you see in the August '21, the National Monetisation Pipeline guideline says that the asset of the shareholding is not to be transferred permanently, it is only permitted to transfer the revenue rights. So, when we examine the revenue, rights are to be transferred to the InvIT or any other entity, it attracts a GST of 18%, which is, again, not lucrative to the shareholders of Power Grid, because ultimately in the transmission charges, if you get after discounting 18% GST, it's not value decretive. So that is why this process could not be carried out. So that is the reason that Power Grid has started doing the securitisation of the SPVs. So, it is because of the guidelines.

Unidentified Analyst: Yes, I understand that. But then in that case, the purpose of that InvIT itself, I mean, there's no purpose of it, right? I mean how will it grow?

Ravisankar: I think we should have to take out this in the Investor Meet of the other listed entity because this is a separate listed entity. I think this will have a conflict of interest of answering the questions of the PG InvIT here.

Unidentified Analyst: Yes, with that management...

Nidhi Shah: I request you to please join the queue again if you have further questions.

Unidentified Analyst: Okay. Thank you.

Nidhi Shah: The next question is from the line of Bhalchandra Vasant Shinde. You may please unmute your mike and go.

Bhalchandra Vasant Shinde: Hello, good morning. Can you provide HVDC pipeline over the next two years with value worth where we see traction, which where we can add up in our CapEx?

R.K. Tyagi: We have already two projects in our hand, one is Khavda to Nagpur, which is almost worth ■35,000 crores, although NCT cost wise ■24,000 crores, but as per the market conditions that cost is going to be about ■35,000 worth crores.

Second one is Pang to Leh, which is, again, more than ■20,000 crore project, which will be executed in the next five years. Already it is under bidding. And other than these two projects, one project had been won by Adani, which is Bhadla to Fatehpur. Then two more projects are coming under bidding. One is already under bidding from KPS3 Khavda to South Olpad, with NCT cost of about ■12,000 crores. Then there will be two or three more HVDC project, one from Rajasthan to Maharashtra and then one in Andhra Pradesh. In near future, these projects are visible, which will be under bidding shortly.

Bhalchandra Vasant Shinde: Got it. And the figures which we have mentioned in our NEP plan framework, when we add up based on your guidance, overall CapEx for next two years translates to around something around ■3 lakh crore. Is it fair to assume that ■3 lakh crore kind of a CapEx will happen as per the plans in NEP?

R.K. Tyagi: For Power Grid or for total?

Bhalchandra Vasant Shinde: For total.

R.K. Tyagi: Yeah. Definitely.

Bhalchandra Vasant Shinde: Got it. Thank you. I'll come back in the queue.

Nidhi Shah: The next question is from the line Aman Jain. You may now unmute your line.

Aman Jain: Hi, thank you for taking my question. So, my first question is regarding the Bhadla-

Fatehpur HVDC line where bid was annulled. So, A, what was the reason for cancellation? And B, in the rebid another player won the project for like ■25,000 crores, while we had secured it earlier for ■12,700 crores. So, like was there any change in the scope of work? And if not, what led to a significant lower bid compared to the final awarded amount, which was almost twice? So, if you could give some colour?

R.K. Tyagi: You're talking about Fatehpur-Bhadla?

Aman Jain: Yes.

R.K. Tyagi: Like NCT cost in case of Khavda-Nagpur was ■24,000 crores, whereas actual cost when we go to market, it is depending on various factors. Now I'm saying that total executed cost will be somewhere ■35,000 crores. So similarly, in the case of Fatehpur-Bhadla also, although NCT cost was ■12,000 crores, but the executed cost may be about ■24,000 crores, ■25,000 crores. But now we are not executing that project. So exact figures can be given by the transmission developer, which is Adani. So, we cannot comment on that.

Aman Jain: Okay. Thank you. Got it. My second question is regarding revenue from operations declined 3% Y-o-Y. So, any reason for that?

Ravisankar: See, the structure of the regulated tariff income means that it will decrease every year because of the interest on loan, which will be reducing based on the depreciation recovery. So, if I recover around ■12,000 crores, ■13,000 crores of a depreciation, to that extent, if you say a thumb rule like 7.5%, 8% at the interest, so naturally around ■700 crores to ■800 crores, ■900 crores for transmission income is bound to come down every year.

But the fact remains that the PAT will remain same because that is based on the return on equity. So, the transmission income of the regulated business is bound to come down. This is what the structure, the one-time expenditure will increase, whereas the interest on loan will come down, but the PAT will remain same.

So that is why the reason that it will come down. But when we commission new assets, it is again added. That is why it's not reducing to that extent. So, when I say that when the revenue is supposed to come down by like ■800 crores, ■900 crores in a year and if you compare for the nine months, maybe around ■600 crores, ■650 crores, it is bound to come down, but it is not coming down because we are adding more assets.

Aman Jain: Got it. Thank you.

Nidhi Shah: The next question is from the line of Satya. You may unmute your line. Since we have no response from Satya, we will move on to Mayank Bora. You may unmute your mike.

Mayank Bora: Thank you for the opportunity. I just wanted to know what was the borrowing cost of this $200 million from Sumitomo?

Ravisankar: It is based on the TONA is the reference rate and the borrowing interest rate is around 1%, including the spread. We'll have a foreign exchange rate variation. Whatever is depends on the movement of the Japanese currency.

Mayank Bora: Okay. So, we have any plans to reduce our domestic debt and replace it with the foreign debt?

Ravisankar: No, not required to be replaced. But since we have a huge pipeline of CapEx and we have to raise more and more debts, we can explore further debt through other markets instead of domestic. We should have a mix, so we can mix something as to the other currencies instead of sticking to only to INR because last four, five years when this SOFR was trading at close to 5 or 4.5, so we refrained from going to the other markets for the last four, five years.

Now since the TONA is almost at a very competitive rate, we are exploring the other markets. So maybe since this comes up with a greenshoe of another 150 million, so this is 200 million plus another $150 million will be close to ■3,000 crores, if you convert it into Indian rupees. So further, we will explore the same similar type of markets.

Mayank Bora: Okay. Thank you for the opportunit

y.

Nidhi Shah: We have the next question from the line of Swati Jhunjhunwala. You may unmute your line.

Swati Jhunjhunwala: Thanks. It's kind of a follow-up to the previous question. So, I just wanted to understand that by taking these green loans, is there any material change in your cost of debt that you're expecting going forward?

Ravisankar: Yeah. Naturally, the other markets, whoever the lenders, encourage the green loan, and we expect that there should be a benefit in the rate of at least for a few bps.

Swati Jhunjhunwala: Got it. And just secondly, could you highlight your CapEx and capitalisation numbers for the standalone company?

Ravisankar: As our chairman has already told that we have a pipeline of almost ■1 lakh crore of our projects, excluding the HVDC and offshore projects, which have a time line of another three years for commissioning. So maybe in the range of ■25,000 crores to ■30,000 crores, the commissioning will happen for the next three to four years.

Swati Jhunjhunwala: Understood. Just wanted to understand because the RTM projects would be in the standalone company if I'm not wrong. So, for that, I just wanted to understand the broad kind of CapEx.

Ravisankar: RTM, we have offshore and Pang-Kaithal, which is around ■22,700 crores plus another ■13,600 crores. If you add this, this will be around ■36,000 crores. And then few bays extension, the others will be there. Around ■40,000 crores to ■45,000 crores you can assume we'll be adding up in the regulatory business also.

Swati Jhunjhunwala: Sure. Thanks.

Nidhi Shah: Due to the paucity of time, we would like each participant to stick to one question please. We will now move on to Anuj Upadhyay. You may unmute your mic.

Anuj Upadhyay: Okay. So, majority of the questions have been answered. Just to get one sense, you mentioned that the current year capitalisation target is

■18,000 crores. We are already halfway mark of the Q4 quarter. You said until Jan, the capitalisation number had been closer to ■8,000 crores. So, could you elaborate further on which are the big-ticket size project and at which stage that gives us the confidence that in the next 45 or 50 days, you'll be adding ■10,000 crores of project?

R.K. Tyagi: Yeah. I will give the names of the projects. One is Narela project. Narela station is almost ready. Station is ready to be commissioned. But because the connecting transmission line because of RoW issues are yet

to be completed. So, we are expecting that at least one or two lines will be completed by March. So, with this transmission line and substation at least ■1,500 crore assets will be added here. Then Khavda-II and Khavda-III, KPS2 and KPS3, these are two GIS stations. Each will be in the range of about ■1,000 crores. We have GIS, transformer, then transmission line between Khavda-II to Khavda-III.

Similarly, Khavda-III is also GIS, where transformers, reactors and the GIS station is there. So, each will be ■1,000 crores and ■1,000 crores, so put together ■3,500 crores. Then we have Ahmedabad, Ahmedabad-Banaskantha transmission line, then Navsari station; Navsari, again, GIS station. Then Navsari to Magarwada, this line is almost getting ready by February, and we are hopeful that this project will also be commissioned by February, this will again be in the range of about ■1,500 crores.

And one more project in Kurnool, Andhra Pradesh. Kurnool station is getting ready in another 20 days and transmission line from Kurnool to Kurnool from existing we have Kurnool-II station. And from there to new Kurnool-III station transmission line is almost in advanced stage of completion. So that will also be commissioned. So that, again it is going to be in the range of about ■1,500 crores. And similarly, we have projects in Northeastern region like Namsai to Kathalguri, GIS at Kathalguri and Namsai both and transmission line a

nd some projects in NER and Eastern region reconductoring projects and in Odisha. So, if these are all projects are in advanced stage of completion.

One more project in Rajasthan is Bhadla to Sikar-II, which we are trying to complete, but it is very difficult, but we are trying to complete this project also. So put together, we are expecting that around ■10,000 crore assets are likely to be completed by March because all are in advanced stage of completion.

Anuj Upadhyay: This is super helpful. Thank you. And if I just ask one more question on the smart meter update on the Gujarat contract and any new states where we are in advanced stage of getting an opportunity?

R.K. Tyagi: For smart meters, we have this order of about 67 lakhs meters to be installed in Uttar Gujarat and Madhya Gujarat. And what we are planning that, once we have experienced with these meters in Gujarat, then only we will consider next state. But so far, we are not considering any other state other than, we are focusing on completion of this project.

Anuj Upadhyay: Thank you and wish you good luck.

Nidhi Shah: The next question is from the line of Apoorva Bahadur. If you may unmute your mic and go ahead.

Apoorva Bahadur: Thank you for the opportunity. We noted there was a reduction in the interim dividend per share, right, for the nine months so far. Can you throw some light on that, why it was a requirement for this?

R.K. Tyagi: Like, as you understand that last year, our CapEx was ■12,500 crores. This year, it is going to be ■23,000 crores. And in FY '26, it will be still more. So, we require more and more equity to be infused for our CapEx requirements. So that is the reason we are slowly, slowly, we may go further down. Today, we have ■4.5 was the first dividend, and this is a second interim dividend, ■3.25, so put together ■7.75. So, we are hoping that we will be somewhere in the range of about ■9 in this financial year. So, it is because of the CapEx requirement.

Apoorva Bahadur: Understood. And when I see your CapEx guidance for the next two to three years, it seems like we plan to do almost ■60,000 crores, ■65,000 crores of CapEx for FY '26-'27 maybe around a similar number for '28 as well. But the work in hand is still higher, right? So, in case even if it is spread out over four to five years, do you think that there is a possibility of further upgrading the CapEx number, especially for '27?

R.K. Tyagi: '27, there are possibilities because there are a number of projects which are under pipeline. So, considering those projects, maybe FY '27, it may go more than ■35,000 crores also.

Apoorva Bahadur: Okay. And lastly, on the HVDC project orderings, when do we expect to see those for both the projects in which year?

R.K. Tyagi: HVDC project Khavda-Nagpur is already ordered, it is ordered on Hitachi. And work has already started, our design engineering work is going on. And at site also, we have already done Bhoomi Puja. So now execution will start very shortly. As far as this second project of Pang-Kaithal because it is a very challenging project, still there are queries being raised by prospective bidders like Hitachi and Siemens. And we are expecting that queries will be clarified to these bidders and then we will get that bid. And maybe in the first quarter of FY '26, it is likely to be awarded.

Apoorva Bahadur: Sure. Thank you so much. All the best.

Nidhi Shah: The next question is from the line of Naishi Shah. If you may please unmute your mic and go ahead.

Naishi Shah: Hello everyone. Thank you for this opportunity. I just have one question. Could you please elaborate a little more on the regulations around the National Monetisation Pipeline and clarify more on the asset transfer and revenue transfers?

Ravisankar: You see, National Monetisation Pipeline guidelines was published in the month of August 2021, and it envis

aged that the assets of the central CPSEs are not to be transferred permanently and only the revenue rights are to be given. And that is the reason that we have not further added the assets because once we have to add the assets means, we will have to transfer the shares, which is not permitted in the National Monetisation Pipeline guidelines.

So, of our monetisation, we have adopted the route of securitisation of the cash flows and through which we raised the bonds and then we opened TRA account where we used to put the money for servicing the debts.

Naishi Shah: Okay. And could you clarify about the GST payment in case of a revenue transfer, please?

Ravisankar: Yeah. In case of, if you transfer the revenue rights, so that is not treated as a transmission charges. These are all considered as a lease charge for which GST is to be paid. So, the reason that if I transfer the revenue rights, so whatever money I get as the NPV, I will have to pay 18% as the GST. So that is not a lucrative transfer.

Naishi Shah: Okay, thank you so much.

Nidhi Shah: The next question is from the line of Vikram Datwani. You can please unmute and ask your question.

Vikram Datwani: Thank you for the opportunity. Just one bookkeeping question for me. Could you please share the nine-month impact of the CERC tariff on O&M? You alluded to the Q3 figure at ■140 crores, but could we get the nine-month figure as well?

Ravisankar: You can multiply by 3, it will be in the range of around ■450 crores.

Vikram Datwani: Okay, thank you.

Nidhi Shah: The next question is from the line of Koundinya. You may unmute.

Koundinya Nimmagadda: I just wanted to check. You indicated about ■52,000 crores of projects under bidding. So just trying to understand, what is the potential pipeline of projects, which can be added to this, A? And B, you also spoke about potential HVDC projects in Rajasthan and AP. What is the potential size of these projects? Also, there is a news flow of this Andaman HVDC project on a RTM basis, right? So is it safe to assume that Power Grid will be executing this project? And what could be the tentative timelines over here? If you can provide some colour on that, please?

Ravisankar: Okay. Yeah, this ■52,000 crores when you say that we have a traditional strike rate of 50%, you can say that when this bidding happens may be we'll be able to add another maybe ■25,000 crores to ■27,000 crores. So, when I say today, ■1,43,000 crores, you add another ■27,000 crores, so this will become around ■1,70,000 crore. And your follow-up question is on the RTM project of Andaman. It is not in a mature stage. So as of now, there is no concrete development or we got any intimation of getting that through RTM. Once it comes, we will naturally inform.

Koundinya Nimmagadda: Sure. and lastly, I mean, what explains the fall in consolidated profit in this quarter despite the rising capitalisation. Is it largely driven by the O&M expenses? Or is there something else or if you can help us understand it better, please?

Ravisankar: You see, only if you see in Q3 to Q3, there will be a reduction between consol and standalone, that is because the dividends which we have taken from the SPVs is more than the Q3 profits of the consolidation of all SPVs put together. That is the reason. And as far as consol of nine months is concerned, you see there is an increase from standalone to consol.

Koundinya Nimmagadda: I was looking at consol to consol only, Q3 to Q3, there's a reduction in profit.

Ravisankar: That is because actually, we have a loss of some of the JVs like we have one JV EESL, which was our share of loss is ■140 crores. So that has slightly pulled down in the consol because that's not figuring in the standalone.

R.K. Tyagi: This is in addition to one-time effect. Like per CERC, we are saying that of the order of ■140 crores. It is also hitting our profi

t also by
almost ■140 crores each quarter.

Ravisankar: And in addition to that, if you see, there are one-off items in the previous years, like we have one-time CERC order impact and interest and differential the orders between the doco date and the order dates, these are all normally to some extent, it will contribute more to the bottom line, so which is lesser in the current year. That is also the reason that your PAT has come down compared to last year.

Koundinya Nimmagadda: Sure. Lastly, if I may, how should we look at the dividend flow from here in view of the rising CapEx? To understand what the outlook is on this? If you can provide some colour?

Ravisankar: Dividend, we have a policy that we will give the dividend, we will not keep the idle cash as well as we will, part of our CapEx also. So we will strike a balance between these two. And going forward, when we commission more and more projects, naturally, the revenue as well as PAT also will increase. So that also will add to maintain the dividend to some extent. It's not going to fall very steeply to like ■2 or ■3 something like that. It's not even permitted as per the DIPAM guidance also.

Koundinya Nimmagadda: Sure, got it. Thank you very much and all the best.

Nidhi Shah: We have our last question of the day from Mohit Pandey. You may unmute your mic and go ahead.

Mohit Pandey: Just one question. So, for the Leh-Kaithal project, has the technology been decided whether it will be LCC or VSC?

R.K. Tyagi: No. From the start itself that we are executing this project at VSC only, not LCC.

Mohit Pandey: Understood, thank you. Thank you so much.

Mohit Kumar: With that, we'll conclude this meeting. I would like to thank the senior management of the Power Grid for taking the time out for this analyst meet and addressing all the queries. I also would like to thank all the investors and analysts for attending the meeting. Thanks, everyone. So, would you like to conclude if you need to make any concluding comments?

R.K. Tyagi: So, thank you, everyone for your time and sparing your time and having interest in Power Grid. So, I can assure all the investors and our shareholders that Power Grid outlook is very bright. And we have many projects in hand, and our project capitalisation and CapEx is going to

increase. So that will lead to increase in revenue and profit. So, our Power Grid future is bright. So, rest assured, you are in safe hands.

Mohit Kumar: Thank you. Thank you, everyone. Thank you. With this we will conclude. Thank you.

Call: May 2025

[redacted]: "[redacted]", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted]) [redacted]:
0124-2822999 & 2822000
Corporate Office: “Saudamini”, Plot No. 2, Sector-29, Gurugram-122001, (Haryana) Tel.: 0124-2822999 & 2822000
[redacted]: [redacted] -9, [redacted], [redacted], [redacted] -110 016.
[redacted]: 011-26560112, 26560115 & 26560193, CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110 016. Tel: 011-26560112, 26560115 & 26560193,
CIN : L40101DL1989GOI038121
Website: www.powergrid.in

28th May, 2025

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Webinar held on 21st May, 2025.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith copy of Transcript of Webinar held on 21st May, 2025 at 11:00 A.M. for Investors & Analysts.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer
Encl.: As above

Power Grid Corporation of India Limited
Transcript of Webinar
(For Q4 and Financial Year ended 31.03.2025)

21st May, 2025 11:00 A.M. (IST)

MANAGEMENT

SHRI R. K. TYAGI CHAIRMAN AND MANAGING DIRECTOR
SHRI G. RAVISANKAR DIRECTOR (FINANCE) & CFO
DR. YATINDRA DWIVEDI DIRECTOR (PERSONNEL)

SHRI NAVEEN SRIVASTAVA DIRECTOR (OPERATIONS)
SHRI VAMSI RAMAMOHAN BURRA DIRECTOR (PROJECTS)

SHRI SATYAPRAKASH DASH C OMPANY SECRETARY &
COMPLIANCE OFFICER

MODERATOR

SHRI VISHAL PERIWAL ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to the Power Grid Corporation of India Limited Q4 FY '25 Earnings Call hosted by Antique Stock Broking.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Periwal from Antique Stock Broking. Thank you, and over to you, sir.
Vishal Periwal: Good morning, everyone, and welcome to the webinar with the management of Power Grid Corporation of India Limited. In the webinar, management of Power Grid will be discussing their Quarter 4 result. Detailed presentation will be provided and post that, we have Q&A from the participants. And I'd like to thank the management for giving us this opportunity. For further proceeding, now I hand over the line to Shri Satyaprakash Dash, Company Secretary & Compliance Officer at POWERGRID. Thank you, and over to you, sir.
Satyaprakash Dash: Thank you, Vishal. Good morning, ladies and gentlemen. I extend a very warm welcome to all of you for this Analyst and Institutional Investors Conference of Power Grid Corporation of India Limited. Today, our senior management team will discuss the company's business and share our performance outlook based on the recently announced financial results.
It's my pleasure to introduce my senior management. We have with us Shri R.K. Tyagi, Chairman and Managing Director.
R.K. Tyagi: Namaskar.
Satyaprakash Dash: Shri G. Ravisankar, Director (Finance) and CFO.
G. Ravisankar: Namaskar.
Satyaprakash Dash: Shri Naveen Srivastava, Director (Operations).
Naveen Srivastava: Namaskar.
Satyaprakash Dash: Shri Vamsi Ramamohan Burra, Director (Projects).
Vamsi Ramamohan Burra: Namaskar.

Satyaprakash Dash: Our Director (Personnel), Dr. Yatindra Dwivedi sir, he has joined from Navi Mumbai substation.
Yatindra Dwivedi: Namaskar.
Satyaprakash Dash: Now I invite our CMD, Shri R. K. Tyagi to make the opening remarks and presentation.
R.K. Tyagi: Good morning, everyone. I want to thank all the connected participants and investors for this investors’ meet today where we will be discussing about POWERGRID financial results for financial year 2024-25. So, I will give a small presentation about the performance. I request to put the presentation. These are disclaimer. Next, presentation will have an Overview, Major Highlights, Performance Highlights, then Growth Outlook, Sustainability, CSR and Awards, which we have received.
As you know, that POWERGRID is India's flagship transmission utility, which was established in 1989. Today, we have Government of India shareholding as 51.34%, FII 26.78% and domestic institutional investors as 18.35%.
POWERGRID has achieved highest market cap in September’24 where price of POWERGRID share was Rupees 366 per share with market cap of INR 3.4 trillion. We have been getting MoU rating as ‘Excellent’ since 1993-94. And we operate about 84% of inter-regional transmission network. Our domestic and international credit rating has been excellent and at par with the Sovereign rating.

Today, we have our Board members, 4 functional directors, 2 Government Nominee Directors, 3 Independent Directors. I'm happy to announce that today, we have been enriched by woman Independent Director, Smt. Sajal Jha, who has recently joined POWERGRID Board. So, we will have experience of various Independent Directors and Government Nominee Directors, and it will help us in taking better decisions for POWERGRID growth and operations.
Next. We operate in almost all the states and all the districts of the country, and we are playing a very important role in meeting the power demand of the country with transmission lines o

f 1,533 numbers with 180,239 circuit

kilometers and more than 2.9 lakh towers spread across width and breadth of the country with 283 substations and 564,961 MVA capacity.
Our inter-regional capacity i.e. capacity to transfer power from one Region to another Region, that means power generated in any part of the country can be transmitted to other part of the country from north-eastern Region to southern Region or from Southern Region to Western Region, Western Region to Northern Region, Northern Region to Eastern Region and vice versa. Our share is almost 84%.
We have been maintaining our system availability at 99.82% in financial year 2024-2025. We have HVDC sub-stations and very large fleet of 765 kV substations, 400 kV, then dynamic compensation, 20 numbers, static var compensator and STACOMs, which are helping in Grid stability. Wherever we have the land constraints, we use Gas Insulated Substations.
So as on today, we have 66 numbers of Gas Insulated Substations. We have more than 3,800 Transformers and Reactors. Next, In financial year 2024-25, we have won 24 numbers of TBCB projects, where cost of projects is about INR 92,000 crores and market share 57.34% in terms of NCT cost and about 54.55% in terms of project wins.
The major projects, which we have won is transmission system for evacuation of power from Rajasthan Phase IV, Part 4, Part A. It is in Bikaner area, power generated in RE area in Bikaner to Siwani, then to Haryana, Punjab and Delhi. It will evacuate power from Rajasthan to various parts of Northern states. Then we have a very important and first TBCB HVDC project won by POWERGRID from Khavda to Nagpur, which is about 6,000 MW capacity. It will transmit power from Khavda area to Nagpur and then in Maharashtra and other part of country power will be transmitted.
Similarly, we have one important project in Kurnool where nearby Kurnool area, RE parks are there. So, transmission system for Kurnool area Phase I, which is for about 4.5 GW. One more project, which we have won in Khavda area, Phase IV, which is Part B and for 7 GW.
Next, in Asset management and Operational management, we have been performing excellent always. And this is an indication that we are participating

in international benchmarking, being conducted by UMS Group, U.S., where leading transmission companies of the world participate. In recently announced results in ITOMS 2025, POWERGRID has been benchmarked as one of the best utilities in the world. We have been benchmarked in quadrant 1, which means that our cost is low, our performance is high. So, our operational efficiency and reliability is one of the best in the world.
We have been ranked the best performers in transmission lines, transformers, circuit breakers, control and protection. So, I just want to inform that the world's leading utilities from U.S., South America, South Africa, then Europe and other parts of country, including Australia, China and other countries, they participate in this international benchmarking. So, our performance is at par or better than other leading transmission Companies of the world.
Next, we have commissioned one of the largest digital substations at 765 kV. This is the first digital substation in the world at 765 kV level. It is a very big station as far as digital technology is concerned. So, we have commissioned recently at Navsari, which is for evacuation of power from Khavda area in

Gujarat to Maharashtra. And within Gujarat also, Navsari to Magarwada, Navsari to Kala, Navsari to Ahmedabad, Navsari to Padghe in Maharashtra. So, it will be technologically excellent substation, which will have less or reduced CO 2 footprints.

And it can be commissioned. It can be tested from remote. Online testing can be done sitting from remote area. Experts can sit

in U.S. or Europe or any part
of the country, and the schemes can be tested from remote. And downtime is also reduced. More important it is, at 765 kV level, where EMI and EMC interferences are there. So, IEDs tend to mal-operate because of EMI and EMC interference. So, if we use fiber cables and digital technology, the challenge or risk of maloperation will become almost negligible. So, it will be very beneficial for EMI EMC interference.

Next, in Performance Highlights about Project execution, then Operational performance, Financial performance and Other businesses and commercial performance. I will touch upon these areas.

In project excellence, considering a large number of projects being executed by POWERGRID. So, we cannot go in a conventional way. So, we have

introduced excellence in project management. We are monitoring all the stations from remote control center in Gurgaon headquarter, which all stations are fitted with the cameras, and we are monitoring, including CMD POWERGRID and Director (Projects). We are monitoring each and every site sitting from our office. And we have centralized control center at Gurgaon.

Considering shortage of skilled manpower, we have opened 3 Skill development centers, one at Malda, one at Banka in Bihar and one at Bassi in Rajasthan, which is close to Jaipur. Both in Malda and Banka, 2 batches have already passed their training. And they have been deployed, or they have been employed in the industry for working in transmission lines. And Bassi Skill Development Center has been recently opened on 1st May 2025.

Apart from these 3, we are also working on 2 more skill development centers, one at Rajgad, one at Rourkela in Odisha. So that shortage of skilled manpower can be minimized because for tower erection, for transmission line, we require skilled manpower to work at height. With tower height for 765 kV lines can vary from 50 meters to maybe 100 meters. So, we require very, very skilled manpower. So, for that skill development center will help in a big way.

We have dedicated ROW and land acquisition cells at Gurgaon, where all the ROW issues being faced by site are addressed from here. We are sending our expert team from corporate office to various sites to take care of ROW and land acquisition issues.

For strategic equipment like transformers, GIS, conductor, insulator, tower material because there is a huge demand for this equipment, so we have adopted bulk procurement strategy to procure in advance so that we have these equipment well in advance to take care of any project or execution. So that once we win the project, the timeline for which may be 18 months or 21 months or 24 months. The procurement of vital equipment like transformers in 18 months or 21 months will not be possible. So, we are procuring in advance these equipments.

We have also introduced advanced tower erection techniques like we are using cranes for tower erection at 400 kV and 765 kV level. And for power line crossing and important crossing, we are using drone-based stringing. And in hilly area also, drone-based stringing is being used.

For expediting substation construction, we are using prefabricated firewalls for transformers and reactors and cable trenches are also prefabricated so that execution time at site is minimized.

I'm happy to announce that in the financial year 2024-25, we have commissioned Sikar 765 kV substation in about 9 to 10 months from date of acquisition of land, which is, I think, which may be world record that in 9 months or 10 months, any 765 kV substation can be commissioned that, but

our project management has shown that it is possible that we can commission in 9 to 10 months.
One more substation, which we are targeting to better our performance from Sikar to Dausa, we are expecting, we are trying to com

mission even less than
9 months, which is expected to be commissioned may be in 1 month or 2 months, but we are excelling in project management.
Similarly, we are using like in rainy season or where there may be a constant movement of this like Crane or the Proclainer or other heavy equipment. So, we are using Porta Decks. These are the mats on which these heavy equipment can be moved from one place to another place. So that movement of these equipment is easy. And even we can work in rainy season for erection of towers, erection of equipment and various execution works. So, these techniques we have introduced in our project management.
Next, with the result of these project management technique, we have demonstrated that one 765 kV complete tower can be erected in one single day. So, 765 kV DA type tower having weight of about 37.4 metric tons was erected in a single day in Banaskantha to Ahmedabad line. Normally, the output of erection gang is about 8 to 10 metric tons in a day, but our project management has shown that we can even achieve 37.4 metric ton in a single day. So, this is -- this may be world record that we could erect one 37.4 metric ton tower in a single day.
Next, last year, as committed, we have surpassed our Capex target of about INR 20,000 crores. So, we achieved INR 26,255 crores Capex in financial year 2024-25. In capitalization also, we have increased from INR 7,618 crores to INR 9,014 crores. Next, the major elements which have been commissioned,

as I already mentioned that Sikar 765/400 kV Sikar-II substation was commissioned in about 9 to 10 months from land acquisition.
Then 765/400/220 kV Kurnool-II in Andhra Pradesh, and 765/400 kV Navsari with digital technology and 400/220 kV at Navi Mumbai, then Khavda Pooling Station– KPS-II in Gujarat. These 5 stations have been commissioned in financial year 2025.
Important transmission lines, 765 kV from Fatehgarh-II to Bhadla-II, then Bhadla-II to Sikar II and 765 kV Sikar II to Aligarh, then 765 kV Kurnool III to Kurnool new. In 400 kV, from Navsari to Magarwada, Sikar II to Neemrana, Jamnagar to Jam Khambaliya, Raipur to Dhamtari, Banaskantha to Sankhari. These are major elements, which we are commissioned apart from many transformers and reactors commissioned at various stations.
I just want to inform that at Bikaner II in last financial year, we have commissioned six 400/220 kV 500 MVA transformers in a single financial year, which is also may be record that 6 transformers were commissioned.
In Operational side, as I said that we achieved 99.82%, which is more than 99.75% at which we are normally getting incentive because after 99.75%, normally, incentive is capped at that particular value. But our performance has been always good, and we are always achieving more than 99.75%.
In terms of tripping per line per year, also continuously, our performance is improving. And last year also, we have 0.27 tripping per line per year, which indicate that our one transmission line trips in almost 4 years. So, 0.27 per year means almost in 4 years any single transmission line will trip.
In GRIDCON 2025, International Conference Cum Exhibition was arranged by POWERGRID, which has witnessed about 10,000 participants with 3,000 delegates, representation from 32 countries. About 160 papers were presented. We had in exhibition 150 exhibitors, and 9 Start-ups and 15 student pavilions were there. About 86 learning hours were there.
And this GRIDCON 2025 was a unique platform for key stakeholders to explore the future of India's power transmission sector aligned with Global Energy transition trends and discuss transformative technologies. It was

attended by our Hon’ble Power Minister, Shri Manohar Lal ji; and Minister of

State for Power, Shri Shripad Naik ji, then our Secretary (Power),

Chairman, CEA apart from other dignitaries from India and various countries.
Next, in Technology Development, we have, again received 1 patent on condition monitoring of transformers and reactors. Our transformers and reactors are fitted with the sensors. And this data is communicated to this software where we can have online condition monitoring assessment of transformers and reactors, so we got patented in this particular application. It is basically a centralized monitoring and diagnostics of large fleet of transformers and reactors.
Next, in substation inspection, robots have been put into operation. One robot has been developed in association with IIT Kanpur, and which has been used at our 400 kV substations. Now we are deploying this robot at our 765 kV/400 kV Jhatikara substation, which is close to Delhi.
Next, further in Technology development, we are working for SF6 circuit breakers at 145 kV level, already pilot project is already taken up. We are also considering 220 kV and 400 kV. Then super-hydrophobic coating of insulators for enhancing the self-cleaning and anti-icing to reduce the maintenance of insulators.
Then, non-destructive testing of transmission line tower members. The mobile GIS Bay for 400 kV, 132 kV and 220 kV. So, this mobile GIS Bay will help in case of any natural calamity or any, suppose, earthquake or cyclone is there and a particular bay is damaged, So power supply can be restored at very fast that it can be maybe 6 to 8 hours, we can restore the power supply by using mobile GIS bays.
Then we are also working in wireless strain gauge. Technology for evaluation of strain in critical members of towers, then heavy lift programmable drones to support transmission infrastructure development in remote areas, especially in hilly area that cement bags, or the tower members can be transported by this heavy lift drones.
Next, one more technology development, especially in area of transmission line to reduce ROW and to reduce cutting of trees, we are using Insulated cross

arm at 400 kV and 2 parties are already developed. This one is expected to supply in May end, which will reduce the RoW from, say, 46 meters to about 36 meters. So, it will reduce the requirement of tree cutting and it will save environment-friendly technology. We will have compact design, horizontal B-strings again for ROW requirements. So, these technologies, we are expecting to deploy in financial year 25-26.
Next, one more initiative we are taking, especially in J&K, in Zojila pass, where 12-kilometer underground cable is being laid between Minamarg and Zojila top to bypass the over headline because whenever any avalanche is there, so that leads to damage of transmission line towers. And this particular line from Srinagar to Drass to Kargil, then Khaltsi and Leh. It is a single line, if it is damaged, then power supply to Leh is affected. So, we are laying this cable in that particular area so that power supply to Leh is maintained all the time.
Next, in financial performance, standalone in quarter 4, we have revenue or income of INR 12,482 crores, PAT at INR 4,336 crores. In consolidated basis, we have INR 12,591 crores and PAT at INR 4,143 crores.
In case of financial performance for 2024-25, our total income is INR 46,325 crores with profit of INR 15,354 crores. On a consolidated basis, our income is INR 47,459 crores against INR 46,913 crores last year and PAT also INR 15,521 crore in financial year 24-25.
Next, so these are various details of our revenue on consolidated basis, transmission charges, consultancy charges, telecom and other heads, how we have performed in last financial year. And standalone also, these are the details, which have been already published, and these are the details in various heads.
In financial performance, we have about INR 290,715 cr

ores as Gross Fixed
Assets. Capital work in progress is about INR 36,341 crores. We have debt of INR 130,965 crores. Net worth has increased from INR 87,145 crore to INR

92,663 crore. Our earnings per share is at INR 16.69. Book value per share is INR 99.63. Debt-to-equity ratio is 59:41 and return on net worth is 16.75%.

These are the details of income and where various heads, how we have performed in terms of income from operations and differential tariff and other heads. These are also mentioned in our details given, already published.
Next, in Telecom segment, first time we have crossed INR 1,000 crores income. We have achieved INR 1,128 crores as against INR 910 crores in last financial year. Total order received INR 412 crores. New customers added 75 numbers. Our backbone availability is again 100%, and major projects under implementation is Data Center at Manesar, and then Zone II Data Center at Chennai then Government projects, ERNET and NKN National Knowledge Network.
Next, in Consultancy segment, we have revenue from operations of INR 799 crores against INR 553 crores in last financial year. In International, we have 16 ongoing assignments and 8 orders during financial year 2025. In Domestic, we have 80 ongoing assignments and 55 new orders during financial year 2025.
Next, in Commercial, we have a billing of INR 36,877 crores with realization of INR 38,284 crores, realization at 103.8%. Our outstanding at the end of quarter is about INR 3,388 crores.
Then in terms of Investor-centric growth, we have this increase of market cap, about 2.4x what we had in financial year 2021. Price CAGR from FY 21-25 is 24.4%. Dividend paid during financial year on cash basis is INR 10.5 per share. Our market capitalization is also increasing. So, at the end of financial year 2025, it was INR 270,136 crores with the share price of INR 290.35 per share.
Investment or capex, we have this 5-year CAGR, about 23.5%. Last year, we have achieved capex of INR 26,255 crores. And from financial year '21 to '25 INR 68,000 crore projects we have had capex in various areas.
Next, if we see Growth outlook, Sectoral outlook, then business outlook and works in hand and capex outlook. As you know that India is targeting about $10 trillion economy by 2032 with rapid industrialization, urbanization and e-mobility adoption. Energy storage expansion will be about 47 GW by 2032. Pump Hydro Storage is about 36 GW, then clean energy commitments more than 600 GW by 2032 and with present capacity of 71 GW additional

electricity demand on account of Green Hydrogen production by 2032. Then global energy integration with the vision of our Hon’ble Prime Minister, One Sun, One World, One Grid for international power connectivity. So, these are sectoral outlook, which will help us POWERGRID growth also.
As of now, we have business outlook 2032, about INR 306,600 crores, out of which about INR 2,70,000 crores will be in inter-state transmission and balance will be in other areas, including intra-state transmission system. Other business, we have about INR 7,500 crores, including solar generation, smart metering, data center. So put together, we have about INR 306,600 crores as of now, which is likely to increase, but as of now, it is INR 306,600 crores.
Today, we have about INR 1,54,680 crores works in hand, in TBCB about INR 105,000 crores, new RTM about INR 37,000 crores, ongoing RTM 9,580 crore and others INR 2,785 crores. So put together, we have works in hand about INR 154,680.
Capex outlook, we are targeting INR 28,000 crores in financial year '25-'26. In financial year '26-'27, INR 35,000 crores. Financial year '27-'28, INR 45,000 crores. As far as INR 28,000 crores, it is as of now, whatever visibility we are seeing as of now, but it is likely to incre

ase to more than INR 30,000 crores.
So that exact figure we can tell after 3 months once we see the progress and other projects, which we are likely to win. So today, we are committing about INR 28,000 crores, but it is likely to increase.
Next, in sustainability and CSR, we have a target of 50% of electricity consumption from RE. So, we have already achieved 36% electricity consumption from RE. And we have target to achieve 50% before December

2025. And Net Water Positive by 2030 and Zero Waste to Landfill status by 2030, Net Zero emission by 2047.
I just want to announce that we have now dedicated department and dedicated group, which is working mainly for ESG and Net Zero. So, we are targeting 2047 at Net Zero POWERGRID. In achievements, in Scope 1 emissions, we have achieved 40.61% reduction. And in Scope 2, 5.23% reduction and 21% increase in emission offset compared to FY '24.

Next, please. In the sustainability, we have now first ICT with ester oil in power grid 132/33kV, 10 MVA ICT at HVDC Pusauli has been successfully charged after retro filling with natural ester oil.
Earlier, we had 2 reactors, one 400 kV shunt reactor with the natural ester oil at Maithon substation, and one 132 kV shunt reactor at Aizawl in Mizoram, which were earlier fitted with the natural ester or vegetable oil. So, we are always working for sustainability areas. And one more transformer, which is likely to be commissioned in financial year '25-'26 is 400 kV/220 kV, 315 MVA ICT, which is likely to be commissioned in financial year '25-'26.
We have commissioned 85-megawatt Solar PV power project at Nagda which was commissioned in April 2025, which has already started generating power and we are selling electricity about 70% to 80% in GDAM (Green Day Ahead Market) and real time markets in power exchange.
We also have a pilot project of Green Hydrogen at our Neemrana Substation, which will meet the captive load using solar-powered green hydrogen. So, we will generate RE power from solar, then this RE Power will generate green hydrogen. And during night time, this green hydrogen will again convert to electricity, which we will use for our captive use at Neemrana. The project cost is about INR 32 crores, and this is likely to be awarded in June 2025 with the implementation schedule of about 12 months.
In CSR activities, we have Vishram Sadan" at AIIMS, Bilaspur, 250 bedded which was inaugurated and foundation stone was laid by our Hon'ble Minister, Shri JP Nadda ji, BJP President. Then, Vishram Sadan at Gorakhpur -- AIIMS, Gorakhpur, the foundation stone was laid by Hon'ble CM of UP. Then we have, this skill development center at Bassi, Banka, Malda, these are also under CSR.
Then we have this THIRA, meaning Waves is a skill development program for unemployed youth from Trivandrum' fisherfolk communities offering divemaster and rescue diver training to boost marine employment opportunity. This also we have taken up.
Then we have won some awards and recognition. The CMD POWERGRID has been conferred with prestigious CBIP Individual Award for outstanding

contribution in power sector. Our Director (Finance) has also been recognized as Best CFO and Energy & EPC at the ASSOCHAM 3rd Vibrant Bharat CFO Summit & Awards. Director (Operations), POWERGRID has been conferred with "GEEF Global HSE Leader of the year 2025." Then, POWERGRID has also been conferred with World Congress on Disaster Management, Disaster Risk Reduction 2024 Award in category 'Response during disaster and emergencies'.
Our women leaders also have been recognized. We have been recognized as Best Enterprise Maharatna company, second runner up at 35th National meet of Women in Public Sector. Our Executive Director Ms. Manju Gupta has been honoured with Corporate Visionary Nari Awar

d at Ujjwala Summit 2025.
Then POWERGRID has also been conferred with Economic Times Human Capital Awards 2025 for excellence in HR Digital Transformation & Excellence in creating culture and continuous learning and upskilling.
Thank you very much. Thank you.
Moderator: Our first question comes from the line of Sumit Kishore.
Sumit Kishore: I'm Sumit Kishore from Axis Capital. My first question is you have had a terrific year in terms of TBCB project wins of almost INR 92,000 crores. What

is the transmission bid pipeline for this current financial year?
And secondly, you had a capitalization miss versus what was guided earlier.
So, if you could state what is the picture today in terms of the spillovers of commissioning, which have happened maybe early this fiscal, and what is your guidance for FY '26-'27 in terms of capitalization, given that you have provided capex numbers for FY '26, '27, '28? That is the first part of the -- yes.
R.K. Tyagi: Yes. thank you, Kishore. Like as we mentioned that in financial year, 2024-25, we had capex of about INR 26,000 crore plus and INR 9,000 crores plus capitalization. So, we had a plan for about INR 16,000 crores to INR 17,000 crores capitalization. So, because of this, there are challenges of RoW and supply issues and skill manpower, we are facing problems of skilled manpower.

And then there was election also in Central Government. So because of that, there have been some delays especially RoW issues in Rajasthan, Haryana, Delhi and Gujarat, so that led to some delays in this capitalization of or commissioning of some projects, which are now planned to be commissioned in quarter 1 of FY 2025-26. And some may go in quarter 2 also.
In financial year 2025-26, we are expecting about INR 23,000 crores to INR 25,000 crores capitalization.
Sumit Kishore: Sir, also on the bid prospect pipeline for FY '26.
R.K. Tyagi: Yes, it is a pipeline, the projects which are already in pipeline is about INR 45,000 crore to INR 46,000 crore, out of which about INR 34,000 crore projects are already under bidding and INR 10,000 crore to INR 11,000 crore projects are yet to be bid. So, INR 46,000 crore you can say as of now.
Sumit Kishore: But this is significantly lower after you won almost INR 92,000 crores of contracts last year. So may be this would be a slower year in terms of building new jobs into your works in hand.
R.K. Tyagi: This is as of now, but more projects are in pipeline, visibility of those projects will be seen after maybe 2, 3 months.
Sumit Kishore: Sir, one question at the sector level is that we have seen that there was a bunching up of a lot of RE projects where LOAs were awarded, but PPAs were not signed and power demand so far this financial year has also started on a weak note.
So, in the event, what is the impact on POWERGRID’s capitalization in case there is a large pipeline of projects where in RE, which were planned to be added, but those are obviously getting delayed? So how does that impact works in hand for POWERGRID? That's the question.
R.K. Tyagi: Our transmission line is not dependent on whether PPA is signed or not. Normally, we are given any project for which a separate timeline is given. Once we commission any RE project or any project for that matter, we start getting our tariffs. So, we are not having any risk of whether RE is delayed or PPA is signed or not. POWERGRID as such will not be affected by any of these issues.

Sumit Kishore: Fair enough. So just if I may ask one last question. So, your ROE has dipped by about 100 basis points at the consolidated level this year with the various issues that we have been discussing so far. Has the ROE stabilized here now with all the issues baked in and what is the outlook?
And the capital structure, which is at 59:41. So how do you see this evolvi

ng?
So given your dividend per share has also come off at INR 9 on a year-on-year basis.
R.K. Tyagi: As far as dividend is concerned, like we have -- as you know, that we have more projects now. So, we require equity for our project execution. So that is why our dividend payout is reduced by about INR 2 – INR 2.25. So, we will require more money in future. So may be next year also, there may be some change from INR 9. It can further reduce depending on the capex, which we are expecting, say, about INR 28,000 crores to INR 30,000 crores. So that was the reason why we have reduced our dividend payout.
As far as this ROE impact, last year, we had INR 15,500 crores. And this year,

also, our profit is again in the same range, but our Net Worth has increased from INR 87,000 crore to about more than INR 90,000 crores. So that is the reason why you can see that impact.
Moderator: Our next question comes from the line of Apoorva Bahadur.
Apoorva Bahadur: Quickly, sir, I wanted to understand and know your view over here, you highlighted that the company has INR 92,000 crores worth of projects in FY '25. I assume this is the NCT cost and how much higher do you expect the actual cost to be over here?
R.K. Tyagi: Yes. It is not NCT cost. It is our internal cost, at which we have awarded the projects.
Apoorva Bahadur: Okay. Sir, secondly, do -- has there been any change in the competitive intensity for TBCB projects for the bids now, given that the overall pie had increased significantly last year?
R.K. Tyagi: Can you repeat, please?

Apoorva Bahadur: Sir, are you seeing any material change in the competitive intensity in bids this year?
R.K. Tyagi: No. intensity in the sense that like we are not going below a certain level that we have fixed a particular level that where maybe more than 12% or 13% ROE. So, we are maintaining that and maintaining that whatever projects we are able to win, we are winning and our percentage is very good. As you can also appreciate INR 92,000 crore projects in a single year is not a small thing. So -- but still, we are maintaining our ROE above the particular level.
Apoorva Bahadur: Sir, last question from my side. on the HVDC projects, can you give us some visibility beyond the 3 or 4 projects that are known as of now? How many more are under planning?
R.K. Tyagi: As far as this HVDC project, like we have this Khavda to Nagpur, then we have Fatehgarh to Bhadla. We have this Leh to Pang. Then, we have one more already under bidding from Khavda to South Olpad. Then, one more project from Rajasthan to Maharashtra. Then, one more project in Andhra from Kurnool area to Vizag.
So, these are, as of now, within India, maybe outside India, maybe between India to Singapore via Andaman. Then, maybe from India to Sri Lanka and India to Myanmar. Apart from this side, One Sun, One World, One Grid may be from India to Oman, UAE and other countries.
Moderator: Our next question comes from the line of Satyadeep.
Satyadeep: Just first question on the delays that were seen in the fourth quarter. I think elections and all, I know happened towards the earlier part of the year. But in 3Q, management was guiding to INR 11,000 crores of capitalization in 4Q. So, I just wanted to understand what is leading to some of these delays.
And given the large difference between capex and capitalization, obviously, you're incurring the capex, but there is some delay in commissioning of the project, which means you've already acquired land, maybe already base suppliers, but maybe there is some delay in actual commissioning.
And how does it impact your actual commissioning cost and time line versus what you were expecting. So maybe when you built a project, you had a certain

capex estimate and certain time line. How much time are you seeing for commissioning of these

AC lines, TBCB projects now? And how much cost inflation are you seeing versus the initial expectations you had for some of these? That's the first question.
R.K. Tyagi: Let us accept that there are challenges of ROW and because everyone, including landowners and farmers, they are demanding more and more money. Our Government of India is also considerate to their demands. And you may be knowing that in June 2024, there was a ROW guideline issued by Government of India. Considering requests or demands or resentment of farmers, so from 15% ROW land compensation, it was increased to 30%. And on tower base, it was increased from 85% to 200%.
And these schemes were like these policies, ROW compensation policies are

to be adopted by various states. So, there is some delay between adoption of these guidelines from issuance by Government of India to adoption by state government. So that leads to a delay in execution or completion of transmission projects.

Then again, in -- there was unrest in Haryana and Delhi. Again, in March 2025, Government of India has again increased compensation, and from 200% and this ROW has increased to 60% from 30% in urban areas and in semi-urban areas, it has increased to 45%. And now they have clearly indicated how to give the price to the farmers or cost to the farmers for land compensation.

So that methodology also shared by Government of India, guideline has been issued. As per that, 2 valuers will be there, one by the transmission developer, one by the farmers. And that they will decide the market rate. And we will have to pay land compensation as per the market rate.

So, there has been some delays because of these ROW compensation policies issued by Government of India and adoption by State Government. So, in 2024-25, there has been delays in some projects. But we are expecting that in 2025-26 since already guidelines are in place. So, the execution will be much faster as compared to FY 2024-25. And as far as you are seeing impact on the return on equity or our return, what will happen to time overrun and cost-overrun.

So, we are likely to get these claims under change of law because, as on date, when we got these projects, we were adopting the compensation policies issued in October 2015. So, we have considered that compensation policy, but now compensation policies have been changed.

So whatever differential amount will be there, will be claiming under change of law. So, we are not expecting impact of any delay or our expenditure incurred on these schemes. So, we are not expecting much impact. There may be some impact but not much impact.

Satyadeep: Okay. Thank you for clarifying that. Second question on the pipeline. So, in the INR 3 lakh crore pipeline that you have, you obviously have INR 270,000 crores of ISTS, that I'm sure there's some maths involved in that based on NEP estimates and some market share. But also just on that, given the previous speaker also asked the question on that, if the -- ultimately the DISCOM has to bear that cost, if you commission the project, but there is no RE, would you sense some pressure from DISCOMs to delay some of these projects, if the RE player has requested connectivity under GNA, but there are some delays? Would you not expect some requests from DISCOMs to delay these projects? And given there is change in GNA regulations on battery, solar or non solar, do you see some risk to these estimates you have, just wanted to see sensitivity and maybe is there any risk to these capex expectations that you have?

R.K. Tyagi: As we have indicated that a $10 trillion economy by 2032 and in transmission itself as per NEP issued by Government of India, National Electricity Plan for transmission, about INR 10 lakh crore are to be spent in transmission system development. So out of which, INR 3 lakh crore is, I think it is very, very op

timistic figure. So, it may be more. So, we are not seeing any challenge or any issue in achieving this target.

Moderator: Our next question comes from the line of Mohit.

Mohit: So, my question is what is the status of the HVDC Leh-Ladakh. And why there is a delay in awarding of the equipment? That's the first question.

R.K. Tyagi: Yes. Please, carry on.

Mohit: My second question is on the, what is the status of Paradeep-Andaman link. I think it was supposed to be awarded to us on a cost-plus basis. Are you expecting this project to get added to the pipeline in FY '26?

R.K. Tyagi: Okay. As far as the Leh-Ladakh project is there, it is already being executed by POWERGRID. We have already acquired land at Leh. And the infrastructure development work is already going on there. And we are also working for a line between Pang to Leh. So that's also there. But as far as award

of HVDC is concerned because you will appreciate that height is about 4,500 meters to 5,000 meters. So, there are technological challenges.
And worldwide, there is no experience at this height. So that have been concerns raised by various bidders, and there have been some discussion with our experts. We have technical experts and advisors team. So, we are addressing those issues with our prospective bidders. And now we are now expecting that it will be awarded somewhere in -- we have already got the bid, which is under evaluation. And in quarter 2, it is likely to be awarded. So, I think it will not be further delayed after quarter 2.
For Paradeep Andaman and Singapore, preliminary studies have been already done. And Government of India is working out the capacity between this Paradeep to Andaman. And same line -- HVDC line is likely to be like maybe between Singapore to India. So same line will continue to Singapore also.
Those modalities are being worked out by Government of India. And then, once the Government of India comes out with a clear methodology, then we will consider this project also.
So as of now, there is no clear visibility. Maybe in quarter 2, there will be some clear visibility by Government of India.
Moderator: Thank you. Due to time constraint, we will move to the next question. Our next question comes from the line of Puneet.
Puneet: My first question is if you can talk what is gap between the NCT value and your own estimates for the projects that you have won?
R.K. Tyagi: Gap between?

Puneet: The NCT value and your own internal estimates of INR 92,000 crores that you've talked about in the projects that you've won.
R.K. Tyagi: Yes. Except for HVDC project, which we have between Khavda to Nagpur, so maybe others are almost matching maybe -- within 5% variation maybe there.
But in this particular case, cost -- NCT cost is about INR 24,000 crores, but actual cost may be INR 33,000, INR 34,000 crores. Otherwise, other projects are within 5%.
Puneet: Understood. That's very helpful. And secondly, you talked about pass-through of compensation under change in law, would you also get the benefit of or the additional cost overruns that you, that happened in terms of delayed execution because of ROW issues, or is the compensation limited to only the value of the land?
R.K. Tyagi: Normally, this also because it will impact IDC. So, we are likely to get this also, and we will claim also that whatever -- because of delay there have been project overrun and IDC has increased. So, we will claim that amount also.
Moderator: Our next question comes from the line of Subhadip Mitra.
Subhadip Mitra: My first question is with regard to the HVDC TBCB pipeline. So, the South Olpad project is expected to come into the tendering phase by when?
R.K. Tyagi: Yes, it is already under -- RFP has already been issued and bids are likely to be submitted very soon. So, there was a date of 16th

May, which has been increased now because of some, they've got some queries from the prospective bidders. So, it will be like -- a tender is already out and RFP is already out, and it will be -- very soon it will be finalized.
Subhadip Mitra: Understood. And secondly, are we seeing more HVDC projects, maybe the Barmer project or any other LCC based projects coming up after South Olpad?
R.K. Tyagi: South Olpad is VSC and Barmer to Maharashtra, it is likely to be LCC as of now. And this -- the Andhra Pradesh also Kurnool to Vizag is also LCC. VSC as of now, only between 2 countries like if it is India to Oman or Oman to UAE or maybe between Singapore to India, that will be VSC.
Moderator: Our next question comes from Atul Tiwari.

Atul Tiwari: Yes. Sir, any idea about likely capex on Paradeep, Andaman, Singapore link, what will be the rough size of the project?
R.K. Tyagi: As per initial estimates, I cannot say exactly, but it will be INR 30,000-plus crore.

Atul Tiwari: And what will be the capacity roughly for that capex?
R.K. Tyagi: Capacity, if it is, say, between Singapore to India, it may be about 2,000 MW. But between Andaman to Paradeep, it will be about, say, 250 MW.
Atul Tiwari: Okay. And sir, in terms of the TBCB pipeline, you did mention about INR45,000 crores as you can see right now. But if you take a slightly longer-term view FY '27 and '28, over next 3 years, what is the likely pipeline for TBCB that will be bid for?
R.K. Tyagi: Yes. So as far as this NEP -- as per NEP pipeline, more than INR 9 lakh crore projects are to be completed by in 2032. So out of which already 3 lakh projects are already -- they have been already allocated. So about 6 lakh projects will - - are still to be allocated, which are to be completed by 2032. So, considering execution time of about 2 to 3 years. So, by '29, all balanced projects are to be allocated. So, you can consider that in the next 4 years. So, these all balanced transmission projects are to be allocated. So, you can calculate yourself.
Moderator: Our next question comes from the line of Sumit Kishore.
Sumit Kishore: So, thank you so much for the opportunity once again. So, my question is that in terms of the in terms of your capex over FY '26 to '28, it adds up in terms of guidance to about INR 1,080 billion as compared to your works in hand of roughly about INR1,546 billion. So, in this INR1,080 billion, how much is the capex that you are planning to incur for the HVDC projects, which have typically a longer gestation period and I'm referring to the larger ones, including the Leh project?
R.K. Tyagi: Yes. We have mentioned that we have about INR 1,54,000 crore projects in hand, and say, about INR 28,000 crores in FY 2025-26 and INR 35,000 crores in '26-'27 and '27-'28, INR 45,000 crore, which adds up to, say, about INR 108,000 crores or INR 110,000 crores. So, balance will be for HVDC, which will be this Kaithal to Pang and HVDC Khavda to Nagpur. So, majority

of this capex for HVDC will be after 2 years only. So, we will have some maybe 20% or 30% up to 2027-'28, but balance will be after 2 years only.
Sumit Kishore: Sir, what will be the total value of the HVDC contracts under VSC or LCC route that you're looking to award 2 contractors in the next 1 year or next 2 years, typically VSC and LCC, if you can give separately, that will be very useful for FY '26 and FY '27.
R.K. Tyagi: We can tell only like we have only 1 project in hand, which is Leh and Kaithal and balance this Khavda to South Olpad, it is not in hand. So, we cannot talk anything about that unless until we win that. So, you know that this Leh and Kaithal is INR 20,000 crore plus. So out of which maybe INR 12,000 crores, INR 13,000 crores will be for HVDC portion. Balance will be for transmission line. So that only I ca

n confirm as of now. Balance -- once we win these projects, then only we can say LCC or VSC or...
Moderator: Our last question for the day comes from the line of Puneet.
Puneet: If you can also talk about the potential opportunity on the inter -- intra-state transmission side. Is that opening up? Or is it still largely done by state transcos?
R.K. Tyagi: No. Intra-state, as per NEP, they have shown that they have indicated that there will be expenditure or capex of about INR 3 lakh crore plus in intra-state. So now unless until they go under TBCB execution, then only it can be achieved. So otherwise, INR 3 lakh crore will be very difficult to be achieved by various states. So UP, MP, then Rajasthan, then Odisha, Maharashtra, these states have already come out with this intra-state TBCB projects.
So, we are also participating with the same interest as compared to inter-state TBCB project. So, we are also expecting that we will also win some projects in intra-state transmission system also. So, there is no difference between inter-state transmission TBCB project and Inta State TBCB project. And more and more states are talking these days by -- for TBCB projects. So, they will come in many numbers. All the states should follow this intra-state TBCB.
Puneet: Any size you can give for this current tenders?
R.K. Tyagi: As of now, no, I may not be in a position to share any figure.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.
R.K. Tyagi: Yes. I once again thank each and every one of you for joining and taking interest in POWERGRID. POWERGRID' s management is committed to achieve all the targets, which we have mentioned today. And regarding project efficiency, operational efficiency, we will be working very hard to achieve all the targets given by Government of India. Thank you once again for showing your interest, thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now exit the meeting.
End of Transcription

Call: Aug 2025

[redacted] : "[redacted] ", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted])
[redacted] : 0124 -2822999 & 282 2000
Corporate Office: “Saudamini”, Plot No. 2, Sector -29, Gurugram -122001, (Haryana) Tel.: 0124 -2822999 & 282 2000
[redacted] : [redacted] -9, [redacted] , [redacted] , [redacted] -110 016. [redacted] : 011-26560112, 26560 115 & 26560193 , CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi -110 016. Tel: 011-26560112, 26560 115 & 26560193 ,
CIN : L40101DL1989GOI038121
Website: www. powergrid.in

08th August , 2025

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Analysts’ and Institutional Investors’ Meet , held on 01st August , 2025 .

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith copy of Transcript of Analysts’ and Institutional Investors’ Meet, held on 01st August, 2025 at 11:00 A.M. in Mumbai.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer
Encl.: As above

Power Grid Corporation of India Limited

Transcript of Analysts ’ and Institutional Investors’ Meet
(For Q 1 FY 2025 -26)
Friday, 01st August 2025 at 11:00 A.M. (IST)

Management

Shri R. K. Tyagi Chairman & Managing Director
Shri G. Ravisankar Director (Finance) & CFO

Dr. Yatindra Dwivedi Director (Personnel)
Shri Naveen Srivastava Director (Operations)
Shri Vamsi Rama Mohan Burra Director (Projects)

Shri Satyaprakash Dash Company Secretary & Compliance Officer

Transcript of Analysts' and Institutional Investors' Meet

- Moderator :

- Good morning, ladies and gentlemen. Suprabhat. On behalf of Power Grid Corporation of India Limited, we welcome you to the Analyst and Institutional Investors' Meet organized to discuss the company's business and outlook post the declaration of the unaudit ed financial results for first quarter that ended 30th June, 2025.

- I request Shri. Satyaprakash Dash ji, Company Secretary, to please initiate the proceedings.

- Mr. Satyaprakash Dash – Company Secretary

- Thank you, Vakul ji . Good morning, ladies and gentlemen. I am Satyaprakash Dash , Company Secretary, and it's my pleasure to welcome you all on this Analyst and Institutional Investors' Meet of Power Grid Corporation of India Limited. Today, our Functional Directors and Senior Management team are present here to discuss the company's business and share the performance outlook based upon the recently announced financial results.

- So, it's my pleasure to introduce our esteemed Functional Directors –

• Shri. R. K. Tyagi, our Chairman & Managing Director
• Shri G. Ravisankar, Director (Finance) & CFO
• Dr. Yatindra Dwivedi , Director (Personnel)
• Shri Naveen Srivastava, Director (Operations) and
• Shri Vamsi Rama Mohan Burra , Director (Projects)

- Before starting the presentation, I would like to request the team to show the corporate presentation, please .

Corporate video. (AV plays 02.14 -04.16)

- I would now like to invite our Chairman and Managing Director, Shri R. K. Tyagi, to deliver the opening remark and presentation. Subsequent to that, there will be Q&A session.

- So, over to you, Chairman Sir.

- Mr. R.K. Tyagi – Chairman & Managing Director

- Good Morning, everyone. My colleagues on the dais, all investors, my senior colleagues sitting in front rows and in the audience, first of all, I also welcome all the investors who have shown interest in P OWERGRID 's Investors Meet. We are driving energy transition as per the mission of Government of India. We have a huge mission for RE development in India, which requires huge transmission system and POWERGRID is one of the largest transmission system developers in India and we are committed for achieving the goal of India, 500 GW by 2030. 500GW target cannot be achieved without adequate number of transmission lines and transmission system in India.

- With this comment, I will give the presentation for Q1FY26. This is a disclaimer (refer to 1st slide) , my presentation today covers what POWERGRID is today, what asset base and other parameters, project execution, in operation management how we are performing, how your company is performing in operations, what is the financial strength of POWERGRID and other businesses like Telecom and Consultancy how they are performing and what is the future outlook of the company and in sustainability, CSR and awards how we have performed.

- As you know that we are a flagship power transmission company with Government of India holding about 51%, foreign investors about 26% and domestic about 18%. Inter -regional capacity, we have about 101 GW out of total 120 GW inter -regional capacity. POWERGRID since 1993-94 has been rated excellent . Since day one, We are operating about 84%, which is 101 GW. That means we are integrating power system of India seamlessly and power transmission or power transfer from one region to another region is seamless. Power generated in Himalayas can be transmitted in southern part of the country. And n ow RE power mainly concentrated in Rajasthan and Gujarat can be transmitted in north -eastern region or in southern region.

- Our domestic and international credit rating is very good, it is at par with the sovereign rating.

- We have 5 functional directors - 2 Government Nominee Dir ectors, 3 Independent Directors

including one-woman Independent Dir ector, Smt. Sajal Jha .

- We have a huge transmission asset base, about 1,80,000 circuit kilometer, 1,500 transmission lines, 5,71,000 MVA, transformation capacity and 286 substations. Our system availability is 99.84%. We have large number of HVDC station s, 18 numbers, which is one of the highest in the world. China may be there but we are among the top. As far as 765 kV stations are there, it is largest in the world by any country, 69 numbers. We have 199 , 400 kV and below substations. Then for grid reliability and stability, we have 20 STATCOMs and SVCs, 67 numbers of GIS . Transform ers, reactor and transmission line

towers are spread in width and breadth of the country. You go anywhere; POWERGRID transmission line tower will be visible.

- Then how we are executing various projects .

• If you see here CAPEX , we have CAPEX in Q1FY26, ■6,981 Crore as compared to ■4,615 Crore last year.
• In commissioning, we have done already commissioning of ■2,800 Crore as against about ■2,400 Crore last year.
• We have target of about ■28,000 Crore of CAPEX and commissioning of about ■22,000 Crore .
• Q2, we have ■3,000 Crore worth commissioning target, Q3 about ■7,000 and Q4 about ■8,000 Crore . That makes around ■22,000 Crore .

- These are some elements which have been commissioned.

• If you see transformers at Kurnool, Navsari, Khavda -II, Khavda -III. The Khavda -II, Khavda -III, these are very critical stations which were required for evacuation of RE power from Khavda region. So, both have been commissioned now.
• Then Kurnool III is also commissioned, which is also for RE power.
• Then New Navsari, Namsai in NER and Gangtok in Sikkim eastern region.
• Substations, we have Khavda -II, Khavda -III, Ahmedabad and D ausa substation. D ausa substation has been commissioned in about 8 months. The foundation stone was laid by me in December '24 and it was commissioned in July '25. So , it was around 8 months, which is a record. Earlier we had a record of Sikar, which was commissioned in about 9 months. That was also 765 kV/400 kV substation and this is also 765 kV/400 kV station. So , this is also a record, not only in India but outside India also.

- So, we have efficient project management and we are committed for timely completion of the project. These are a few examples I am showing. And even our Namsai - Kathalguri transmission line under TBCB, that line has been commissioned 5 months before target schedule. Target schedule was October'25 whereas it has been commissioned in May'25. So, we are committed for early execution of the projects or timely completion of the projects.

- How we have done in the project execution? We have introduced mechanization, especially use of cranes. Mobile tower cranes are being explored. Our team is presently in China exploring the use of mobile tower cranes, how these can be used for expediting tower erections and expediting transmission line project execution. We are using drone for transportation. We are exploring use of drone for transportation of cement bags and other components. And for stringing, we are using drones for pilot stringing.

- In Operations, we have always maintained one of the best parameters in the world. Availability has been more than 99.75%. Last year it was 99.82% and so far, we have 99.84%, which is one of the best availability or transmission system availability in the world. Tripping per line, we have maintained last year 0.27. That means 1 line trip in almost 4 years, which is also one of the best parameters. And we have b een benchmarked in the first quadrant, which means low cost and high efficiency. Reliability is mor e and cost is less.

- So, how we are achieving?

• We have Artificial Intelligence based defect detection system.
• We have online condition monitoring.
• We have digitized various mec

hanisms.
• We have remote operation.
• And through use of technologies, we are able to reduce outage, we are able to reduce failure rates, and we are able to reduce cost of the operation and maintenance.

- In financials, we have already shared –

• Total income in Q1, it is ■11,444 Crore ,
• EBITDA about ■9,500 Crore .
• Profit After Tax is about ■3,600 Crore .
• Our Net Worth has increased to about ■96,000 Crore and Gross Fixed Assets about ■2,92,000 Crore .
• Our Debt Equity is 58:42 - 58% loan and 42% equity.

- These are financial parameters. Transmission charges, consultancy services, telecom, other income put together, it is 11,444 Crore , EBITDA 9,527 Crore and Profit After Tax as shown earlier, 3,631 Crore .

- On standalone basis, income is ■11,257 Crore and EBITDA ■9,623 Crore , Profit After Tax is 3,653 Crore .

- If we see other financial parameters, the Gross Fixed Asset s are about ■2,92,000 Crore , Capital work in progress including advance is about ■41,000 Crore , we have debt of about ■1,30,000 Crore , Net Worth of about ■96,000 Crore , Earnings per share ■3.9 for Q1. Book value per share is ■103 per share , Debt /equity 58 :42. Return on Net Worth is 3.76% for Q1.

- Other financial parameters. We have shown this income for previous periods. Then interest on differential tariff, incentive, dividend and other parameters. These details have been already shared in presentation.

- Our commercial performance has been good. Billing is ■8,434 Crore , Realization ■8,671 Crore , Outstanding in Q1 is ■3,151 Crore against ■5,548 Crore Q1 of last year.

- In other business, telecom and consultancy :

• Income from telecom has increased from ■246 Crore to ■289 Crore . We have received 58 Crore worth orders. Customers added 16 numbers. Backbone availability has been

100% as always. Intra -city network is there in 500 cities. First international ILD link of 10G capacity has been commissioned. Power Tel, our telecom company , has been felicitated for its role in project of national importance recently.

• In consultancy, our income is ■329 Crore in Q1 which includes new business of smart meters, which we got revenue in FY25 -26 of about ■153 Crore . New orders we got 11 numbers and ongoing orders or projects are about 70.

- Then we are trying to take project in Kenya, and it is likely to be mature in this month and we are likely to sign agreement with Government of Kenya for execution of transmission project in Kenya at 400 kV and 220 kV level. It is almost in the final stages of approval.

- So, what are the growth catalyst or what are the opportunities for POWERGRID in future? India is targeting to be $10 Trillion economy which will need industrialization, urbanization, energy transition and e -mobility. Clean energy commitments will require more than 600 GW of non -fossil fuel and 71 GW of additional electricity demand on account of green hydrogen. Then energ y storage about 47 GW of battery energy storage and pump hydro about 36 GW and global energy integration ‘ One Sun One World One Grid ’ whic h will require interconnection with other countries like UAE, Saudi Arabia, Oman, Singapore and other countries. So, POWERGRID will also have opportunity to execute these projects.

- We have about ■1,48,000 Crore projects in hand which includes TBCB of about ■99,000 Crore , RTM projects we have about ■9,000 Crore , new RTM about ■37,000 Crore and others about ■2,600 Crore . So, put together we have projects in hand about ■1,48,000 Crore .

- Our C apex plan is ■28,000 Crore and which includes RTM of about ■3,500 Crore , TBCB about ■19,000 Crore and other projects ■5,300 Crore . Next year, about FY27, we will have CAPEX plan of about ■35,000 Crore and in one year after next year, that means FY28, will be about ■45,000 Crore . So, these are our pipelines for CAPEX .

- In Sustainability and CSR, you s

ee from here that we have published first Sustainability Report in 2009. We commissioned world's first 400 kV shunt reactor with Natural Ester Oil in 2021 -22.

- Then we adopted ESG, water and waste management policies. Greenfield digital substations were commissioned at Chandigarh and one brownfield project was commissioned, digital substation, in Malerkotla in 2022 -23. Then first integrated report with BRSR was published in 2022 -23. In 2023 -24, we have come out with Anti -Bribery Management System ISO 37001 certification by BIS. Then we have focused in reduction of this greenhouse gas, that is SF 6, for minimizing leakage. So, leakage rate we are maintaining at very low rate, and we have target of achieving it better than the norms.

- Then retro filling of bus reactor in Aizawl, then rainwater harvesting and 4 substations we have all -women substation which we call ‘Pink station ’ at Chandigarh, at Yelahanka , at Tughlakabad and at Misa. We also have plan to make 4 more substations as pink station or all -women substation by October ’2025. So, we will have 8 all-women substations. So, we are also committed for empowering women power.

- In 2024 -25, we also have commissioned first ICT with Ester oil , natural vegetable oil. Then 85MW solar PV project at Nagda has been commissioned.

- And we are exploring alternatives of SF6 gas, and we have recently ordered three nos. breakers with the green gas which will be installed at Imphal substation. We have also target of installing rooftop solar in our all POWERGRID buildings and our project is already taken up and which has been awarded. Our target is to complete this by December 2025.

- Then in 2025 -26 and beyond , we target sustained efficacy in disclosures and leaping towards our ESG goals. And recently we have purchased one 400 kV by 220 kV natural ester oil supplied by Hitachi. It will be very soon , it will be commissioned , which will be also one of the largest transformer with natural ester oil or vegetable oil which will be commissioned in POWERGRID network.

- We have already committed ourselves for 50% electricity consumption from RE. We will achieve this by 2025 December and Net Water Positive, Zero Waste to Landfill (ZWL) and Net Zero by 2047 and maintain Zero Fatality status. We also have strong ESG ratings by CRISIL, NS E, and S&P Global.

- We are committed for ESG requirements. In CSR , we are committed for social upliftment and our corporate social responsibility. Recently at Navi Mumbai , in Tata Memorial Centre we have installed one CT stimulator system to ACTREC.

- Then second digital lab for women's skill training has been set up in Bangalore, NSTI for women. Then initiatives in health and fitness support have been done. Then for boosting energy health care , in emergency health care in Karnataka an ambulance was donated to the Indian Red Cross Society in Karnataka. Recently , we have got these international awards in CSR. This is International CSR Excellence Gold A ward. Then GAISA 2025 , AI Excellence in energy sector. Then CII -CWL Gender Parity Business A ward , we have got for “Purpo seful Intent in Services Sector ”, Gold Award at Economic T imes for HR and Skill

Awards for 2025 for best advance in artificial intelligence and machine learning and Greentech 11th CSR India Award 2025 in category of gender equality and empowering women. Thank you very much for your patience hearing. Thank you.

- Moderator:

- Thank you, Chairman Sir . That really gave a very good round of overview of what's happening within POWERGRID . We now open the Q&A , question and answer session. Kindly raise your hand. Introduce yourself in the house and then we can take the questions one by one. Thank you.

- Analyst :

- Thank you, sir, for a very detailed and insightful presentation. So, my question was around future growth levers.

You had mentioned four on the slide. I understand TBCB is the core focus with about ■100,000 Crore already that you had mentioned. But amongst the various levers that you outlined , such as BESS, Green Hydrogen and other areas. If you could give us some more color. If you look at the next 3, 5, 10 years , which of these amongst could be major growth drivers for you. And what is the organization doing in terms of investment , both in terms of people capability as well as other technical skills to capitalize on these growth levers. Thank you.

- Mr. R.K. Tyagi – Chairman & Managing Director

- Thank you. So, our core area is transmission, and we are in telec om business for last many years a nd now , we are entering in solar, a lready 85 MW is already commissioned at Nagda . It is a commercial project. Apart from this , we have solar panels, solar system at our stations. As regards to Green Hydrogen and BESS , we have already placed order for Green Hydro gen in our N eemrana substation w here we will generate Green Hydrogen by solar panels or solar plant installed in the station itself. And that Green Hydro gen, either it will be used in gas form for various applications o r it will also have the facility to generate electricity back to the grid. So, in day time , from solar power, green hydrogen will be generated a nd in night time , electricity will be generated from Green Hydrogen to electricity.

- And regarding BESS, we are trying to venture in BESS. There is a tender in Rajasthan of about 2000 MW/ 4000 MWh . So, we are likely to participate in that project. It depends how we perform there. But we are committed for BESS also and Green Hydrogen also. So, in next 2 -3 years , we want to develop as a big player in these areas.

- Analyst :

- Thank you very much for your detailed thoughts, sir and all the best to the entire team.

- Analyst :

- Hi, thanks for taking my question, sir. Good to see you plan for BESS as well . My question is on capitalization. That is one area we have lagged since last one year. Last earnings call , you highlighted right of way being a key factor, change in guidelines for right of way, which was impacting it. Could you elaborate on that? Is it getting better or does right of way continue to be a big challenge in meeting our aspiration of ■22,000 Crore capitalization this year?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Let us agree that R oW is a very big problem in India a nd making a transmission line is very very challenging. But we are taking required actions for ensuring that R oW issues are resolved. But it is a challenge for all the transmission system developers. We have made women cell especially for resolving R oW apart from the normal men or this ROW cell consisting of men a nd now we have dedicated women cell for R oW resolution only. We have also taken up with Government of India for ensuring that adequate compensation is paid to the farmers. In 2024 June , we were able to issue guideline s for farmers that from 15% to 30% land compensation for R oW. And for tower base from 85% to 200% compensation is paid for the land between four legs of the tower. That was at circle rate. But now in March 2025, Government of India has issued guideline for that circle rate should be replaced by market rate b ecause farmers are not agreeing for the circle rate because market rate may be almost four times to six times that of the circle rate. So, Government of India has now issued guideline s for paying compensation as per the market rate. And how to decide market rate? That procedure is also mentioned in the guideline s that we hav e to select one land valuer by POWERGRID and one valuer will be by the fa rmers or the landowners and the two rates will be given by valuers. Average of these two rates will be paid to the farmers. So that way , we are resolving the R oW issues. We are v

ery successful in resolving issues in Maharashtra, Gujarat and to some extent in Rajasthan. In Delhi and Haryana , we are in the process of resolving R oW issues. But still there are challenges, still issues unresolved especially in Delhi and Haryana. So positive action is on the ground. And we are able to commission transmission line. But there have been some lines which are getting delayed because of R oW.

- Analyst :

- Thank you, sir . Just a follow up. Directionally , it is getting better. Am I fair to conclude that?

- Mr. R.K. Tyagi – Chairman & Managing Director

- If you compare last year and this year, yes , it is better b ut there is a lot required to be done.

- Analyst :

- Thank you. If I may have one last question. There was a GIB issue earlier in Rajasthan which was impacting transmission lines. Any change in that or is that thing in the past , no longer an issue?

- Mr. R.K. Tyagi – Chairman & Managing Director

- It is no longer an issue now. Now transmission system planner, they are taking care in advance that transmission line, which is being planned now , that is not entering in GIB area. So whatever transmission lines are being planned, and which are being won by POWERGRID or by transmission system developer , that is outside GIB area. So, whatever we are executing now or which we are going to execute in future , that will be out of GIB area.

- Analyst :

- Hi sir! Sir, two questions. Firstly, on the Leh project, any update on that? Is there any discussion on sort of changing the technology over here from HVDC to HVAC? And secondly , what we see is , after many quarters , there is a decline in your work in hand. So, while we appreciate that it is also a sign of pickup in C apex but are we seeing a slowdown in auctioning activity? And if yes, then by when it is expected to pick up again? Because what we understand is , quite a lot of that ■9 lakh crore is still left to be ordered.

- Mr. R.K. Tyagi – Chairman & Managing Director

- As you have seen that about ■1,48,000 Crore worth projects are in hand and about ■41,000 Crore projects are work in progress. So, if you add these two, it will be almost ■1,90,000 Crore or in that range. So, we are not seeing any decline in this area w hereas as far as new projects, about ■29,000 Crore worth projects are approved which are yet to be floated, bids are yet to come. And about ■39,000 Crore worth projects are already bid out and which are due for submission of the bid or due for e-RA. So put tog ether , we have about ■67,000 Crore worth projects which are basically for winning or we can win maybe 50% or 60% of those. Apart from this, there are about ■75,000 Crore worth projects which have been recently approved in NCT , which will be taken up for bidding in future. So maybe put together, if we see that ■1,40,000 Crore worth projects are u p for grab. Okay, as far as Leh and Ladakh project is there, that yes, there has been delay because it is a very challenging project and only one party is now interested to execute this project which is also having some apprehension because it is a very challenging project working at he ight of 4,500 metres to 5,000 metres. So, whethe r any HVDC technology is going to work there or not, so that apprehension is there. But nevertheless, they have already submitted their bid which is under evaluation. They have mentioned number of queries which are being addressed, and queries are likely to be resolved in maybe another two months. After that , we are considering awarding the project to that particular HVDC OEM.

Parallelly, we are also considering, suppose we are not able to achieve this HVDC, so parallelly we are also exploring possibility whether AC transmission network is feasible or not. Yes, we are trying.

- Analyst :

- So, by when will we sort of make that decision or on what does it d

epend , whether to
move this from HVDC to AC?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Yes, it will depend , HVDC is most suitable technology for evacuating power from Leh to Kaithal . Because there is no generation, there is no grid connectivity, transmission network is very, very weak, power system is very, very weak. In that condition, HVDC, VSC based HVDC is the best solution. But suppose we are not able to mature that technology or we are not able to finalize the VSC based HVDC system, then AC network will require number of dynamic compensation, synchronous condenser, STATCOMs. So, number of STATCOMs and condensers will be required, which will add to the cost. So far in India, we have not used synchronous condenser, so that is also going to be a challenge. So, these are the differences between these two technologies.

- Moderator:

- Next please.

- Analyst :

- Hi Sir, can you please mention the capitalization figure for Q1? What you mentioned here was till July.

- Mr. R.K. Tyagi – Chairman & Managing Director

- Yes, we have mentioned commissioning of about ■2,800 Crore . So, our capitalization is about ■1,800 Crore .

- Analyst :

- This was Q1?

- Mr. R.K. Tyagi – Chairman & Managing Director

- For Q1 and because there are some projects, they get capitalized when all the elements of that particular project are commissioned. Like for example, KPS -3, which is a project substation is there, 765 kV/400kV substation, where three transformers are there, reactor

is there, 400 kV reactor is there, then there is a transmission li ne between Khavda -II to Khavda -III and there are two circuits in that. So, all elements are commissioned except one circuit of Khavda -II to Khavda -III elements, which is likely to be commissioned very shortl y. So once this element is also commissioned, then we will capitalize that.

- Similarly, at Khavda -II also, there are four transformers, 765 kV substation, GIS, 400 kV, then transformers and reactors. So, two transformers are already commissioned, power flow is there through that, evacuation from 400 kV generation to 765 kV, Lakadia is already happening but since we have not commissioned two numbers of transformers, so we are not able to capitaliz e that. So, like that, there are some elements which are commissioned, and they are serving the grid, but we are not able to capitalize because project consists of number of elements.

- Analyst :

- Thank you, sir. And the capitalization target which you gave for ■22,000 Crore , this for FY26, can you same provide for FY27 -28?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Because now any project takes about 2 -3 years for commissioning. So now if we are saying , out of ■38,000 Crore work in progress, so ■22,000 Crore worth projects are going to be commissioned this year. And moreover, we will have Capex of about ■28,000 Crore , out of which almost ■6,700 Crore capex is already done. So about maybe ■21,000 crore Capex will be added in that. So again, there will be ■20,000 -■25,000 Crore worth capitalization in next financial year also, maybe about ■25,000 Crore .

- Analyst :

- Okay. And sir, what we have been seeing in your transmission revenue, if I compare it with last four quarters, it has more or less been stagnant in spite of adding almost 9,000 Crore on the capitalization plus. Any reason for the stagnancy?

- Mr. R.K. Tyagi – Chairman & Managing Director

- If you see that P OWERGRID's business model in RTM, because almost so far, our RTM projects are dominant and most of the revenue, maybe almost 90% of revenue comes from RTM projects. In RTM projects, the business model or revenue model is as per C ERC, that initial 12 years , the depreciation will be 5.28% and after say 12 years, the depreciation is going to be say 1.8% or so. So, every year , some elements o

r some projects
are completing 12 years, so our depreciation is reducing. Okay . So that is part of the t ariff. If depreciation is reducing, our revenue is reducing. So, this is one reason.

- Second reason is our loan also period could be 10 years; period could be 12 years. So, after 12 years, the loan part is almost over. So, interest on loan and that component also reduces. The int erest on loan is pass through and we get in terms of revenue. So that part is also reduced. So, like that, every year our revenue from RTM is getting reduced, which is getting compensated by revenue from the TBCB projects. If we commission more and more projects, then only our revenue will become more and more. Otherwise, if we are not able to commission more than ■20,000 Crore projects in TBCB, our r evenue model, it will be almost constant or sometimes it may reduce also.

- Analyst :

- Fair enough, sir. Thank you for this.

- Moderator:

- Yes please?

- Mr. Sumit Kishore – Axis Capital:

- Sumit Kishore from Axis Capital. My first question is, why has consolidated profit for POWERGRID declined by about 2% year on year? Is there any one -off or any other item that you would like to call here? That's my first question.

- Mr. R.K. Tyagi – Chairman & Managing Director

- Okay. As far as profit on stand -alone basis, it has increased by about 4%.

- Mr. Sumit Kishore – Axis Capital:

- 7%.

- Mr. R.K. Tyagi – Chairman & Managing Director

- 7%. And as regards on console basis, it has come down. And main reason for this is , our expenditure in CSR is about ■70 Crore more as compared to last year in Q1. Second element is our loss from EESL or our joint venture company is more and that has led to depreciation or dent in profit. So, these are major two factors.

- Mr. Sumit Kishore – Axis Capital:

- How much was lost from E ESL?

Mr. G. Ravisankar – Director (Finance) & CFO

- ■70 Crore .

- Mr. Sumit Kishore – Axis Capital:

- Okay. And there were some prior period items also which were higher las t year as compared to this year?

- Mr. G. Ravisankar - Director (Finance) & CFO

- Ya, ya .

- Mr. R.K. Tyagi – Chairman & Managing Director

- One-time.

- Mr. G. Ravisankar - Director (Finance) & CFO

- Actually, that's the one -time orders will be there. But main reason is like , if you say only in console if you compare because this CSR is in standalone also. Standalone to console and mainly the reason is , the ■70 Crore of the JV s contribution to the loss.

- Mr. Sumit Kishore – Axis Capital:

- So, you mentioned about ■670 billion of projects which could get bid out. Is that the target for the remaining financial year? You think this could get bid out or…… ?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Yeah. ■39,000 Crore are already up for grab. And we have already part icipated like in HVDC from Khavd a III to South Olpad , which is having NCT cost of about ■12,000 Crore and whereas actual project cost may be around ■18,000 -■20,000 Crore . So that is already there in market. There are some major projects in UP like Roberts G anj, Vindhyachal and Prayagraj, l ike that , number of projects are there, and more projects are likely to be ….. all ■67,000 Crore project I think , it will be finalized within this financial year.

- Mr. Sumit Kishore – Axis Capital:

- So, this South Olpad will be a VSC HVDC project?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Ya, VSC project.

- Mr. Sumit Kishore – Axis Capital:

- And sir, could you outline what is the pipeline of HVDC projects , both for LCC and VSC separately which could get awarded in the next 3 years and could commence construction on ground?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Yeah, there are like Khavda KPS 3 to So

uth Olpad. It is already , bid is already submitted, and it will be anytime, e-RA will be done. Then we have already approved Barmer to South Kalam b which is LCC based conventional HVDC. And it is already approved in NCT and may be another 2, 3 months , it will come for bidding. Then there is a HVDC from Bikaner V to Begunia. Again, it is 6,000 MW project. And it is expected commissioning is about 2 029-30. Apart from there, there will be India - Sri Lanka HVDC project a nd Parad eep to Andaman also it i s in pipeline. Then there is Imphal to Myanmar , Back to Back HVDC project is there. So as of now these are visible w hereas there are number of more projects but visibility is for these projects.

- Mr. Sumit Kishore – Axis Capital:

- For the next 2, 3 years.

- Mr. R.K. Tyagi – Chairman & Managing Director

- Ya.

- Mr. Sumit Kishore – Axis Capital:

- And inter -country HVDC projects would be VSC or LCC?

- Mr. R.K. Tyagi – Chairman & Managing Directo r

- It will be VSC based only b ecause if it is a very long distance , when we are talking about Saudi Arabia or Oman or UAE. So, it is going to be VSC only.

- Mr. Sumit Kishore – Axis Capital:

- Just final thing, what would be the rough project cost you think that could be there for the South Kalam b project?

- Mr. R.K. Tyagi – Chairman & Managing Director

- South Kalam b to Barmer? May be somewhere about ■30,000 Crore . Although they have mentioned ■24,000 Crore NCT cost. But actual project execution cost will be around ■28,000 -■30,000 Crore .

- Mr. Sumit Kishore – Axis Capital:

- Thank you so much.

- Mr. G. Ravisankar - Director (Finance) & CFO

- Sumit, to be precise to your question like we have a standalone profit of ■3,653 Crore and we have a profit of ■364 Crore in subsidiaries but again in Q1 we took a dividend of ■342 Crore to POWERGRID . So, that gets eliminated. So, actually we are left with only some ■20 Crore growth in the consolidated, but because of the JV loss it is coming down.

- Mr. Sumit Kishore – Axis Capital :

- Got it. Thank you.

- Mr. Girish - Morgan Stanley:

- Sir, Girish from Morgan Stanley . Sir, the numbers that you disclose on work in hand, just a clarification, that is NCT cost or is it your project cost?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Mostly it is NCT cost , except our Khavda - Nagpur because NCT cost was only ■24,000 Crore whereas the project cost is about almost ■35,000 Crore .

- Mr. Girish - Morgan Stanley:

- And if you can give a rough estimate because things are evolving on the cost side . On the TBCB work in hand, what could be the completed project cost for the portfolio that you are sitting on right now?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Can you repeat?

- Mr. Girish - Morgan Stanley:

- The TBCB work in hand versus….

- Mr. R.K. Tyagi – Chairman & Managing Director

- Work in hand we have say ■99,000 Crore almost.

- Mr. Girish - Morgan Stanley:

- Yeah. So, on that what could be your expected project cost that you would actually incur?

- Mr. R.K. Tyagi – Chairman & Managing Director

- No. We will target only that only, about ■99,000 Crore unless until there is some force majeure or change in law. Like suppose there is a government order for compensation of land, more compensation is to be paid to the farmers which has come after we won the project. So that will be covered under change of l aw. If such force majeure or change in law is there, that is going to be additional.

- Mr. Girish - Morgan Stanley:

- And on capital good equipment suppliers, are you seeing more inflation right now versus what you have bid the projects in the last let's say 12 months? And if you could quantify what could be the inflation here?

- Mr. R.K. Tyagi – Chairman & Managing

Director

- Actually, the supply, if you see any project these days, TBCB or RTM project, about 50% cost is supply cost. About 35%, 30 % to 35% is civil and erection cost. About 15% to 20% is about R oW cost. The supply cost is increasing now because demand is more. If you consider transformer, if you consider GIS, if you consider breaker, if you consider maybe insulator or even tower parts also. So, the normal inflation which could be 5% to 6%, maybe 7 %, 8%. So, every year we are seeing increase in transformer cost, may be 15%, sometimes 10%. So, it is varying from 10 % to 20%. So, transformer cost in last 7 years has gone more than 2 times, with the cost which was about ■14 Crore , it is almost now ■30 Crore . And it is the case for almost all element, if you talk of breaker, if you talk of GIS. So, where GIS bay, suppose which was about ■6 crore per bay, now cost is about ■14 to ■15 Crore per bay.

- Mr. Girish - Morgan Stanley:

- Sir, last two questions, how much have you already ordered out and how much is pending to be ordered from your works in hand?

- Mr. R.K. Tyagi – Chairman & Managing Director

- That figure, I am not having ready , that value. But almost whatever we win the project, within 3 months, we award all the projects . So that is our standard condition that at the time of e-RA, all costs are in our hand and within 1 month or 2 months, we award all the packages.
- Mr. Girish - Morgan Stanley:

- Okay, and last question on commissioning, when you are referring to ■22,000 Crore and ■25,000 Crore , if you can help us with the split between RTM and TBCB, what could be the numbers there?

- Mr. R.K. Tyagi – Chairman & Managing Director

- We don't have many RTM projects, so maybe I can say in percentage only, maybe about 85% TBCB and 15% of RTM. Maybe in 2025 -2026, we have a major project of Navsari, Padghe, and Kurnool , Maheshwaram , that is under RTM. Otherwise, next year, it will be almost 90% TBCB and maybe 10% RTM only.

- Moderator:

- Last couple of questions, later on you can meet one on one.

- Mr. Chirag - New Asset Management:

- Hi, sir. Chirag here from New Asset Management. So, in terms of , if you look at the project size you have won and ■1,48,000 Crore of opportunities, so are you seeing any significant bottlenecks in terms of the value chain for let's say transformers or the transformer components over the next 3 -5 years?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Yes, it is a very big challenge. Like whenever we are coming out with any bid, we are hardly getting 2 manufacturers or 2 suppliers for each tender and because everybody's hands are full and whatever cost they are asking, we have to give that cost. So, it is a very big challenge, and it is going to be a very big risk for every one of us. But what we are doing, we are procuring transformers and major components well in advance without when a project is also not in our hand, we are procuring the critical equi pment well in advance.

Like we are procuring 30 transformers in one package and maybe one project may be having say 6 transformers or 9 transformers. So, once we have 30 transformers in hand, so it will be sufficient for 2 -3 projects. So, we are taking care by advance procurement action for meeting this challenge.

- Mr. Chirag - New Asset Management:

- And if you look at the EPC players, there are quite a few numbers of EPC players in transmission projects. So, do you find any companies better than others or any execution challenges on that part and what criteria you follow?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Like challenges are almost same, like being a government company, we have more regulations, we have more audits, we have more these things. So, whereas at the same time, we also have better, financial cost is better. So, we have plus

minus both ways.

- Mr. Chirag - New Asset Management:

- But do you find any particular companies better than others?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Can you repeat?

- Mr. Chirag - New Asset Management:

- Do you find any particular companies better than others when you are dealing with them?

- Mr. R.K. Tyagi – Chairman & Managing Director

- I cannot comment on that. (Laughing)

- Mr. Atul – J.P. Morgan:

- Sir, this is Atul here from J P Morgan.

- Moderator:

- It's a right way to ask you about your competition sir.

- Mr. Atul – J.P. Morgan:

- Yes sir. Hello sir. Yeah sir, I have a question on the future market opportunity. Yes sir, this is Atul here from J P Morgan. Beyond this ■1.5 lakh crore that you are in the free for, ■75,000 Crore approved by NCT and the other part, how much more could be awarded over next 3 to 4 years as per the plan?

- Mr. R.K. Tyagi – Chairman & Managing Director

- If you have seen this NEP plan 2032, which says about ■9 lakh worth transmission system by 2032. That means all should be awarded by 2030. And out of ■9 Lakh Crore , about ■3 lakh Crore only have been now awarded. So almost ■5.5 to ■6 lakh crore projects are yet to be awarded in next 5 years. So, you can say that maybe ■1 lakh crore per year should be the target at least.

- Mr. G. Ravisankar - Director (Finance) & CFO

- And it includes intrastate also?

- Mr. R.K. Tyagi – Chairman & Managing Director,

- That includes intrastate, yes.

- Mr. Atul – J.P. Morgan:

- And are we seeing some kind of traction on intrastate right now or it is?

- Mr. R.K. Tyagi – Chairman & Managing Director

- Intrastate, many states have come out with TBCB transmission line, especially MP, Maharashtra, now Karnataka is also showing interest. They have fixed some threshold level, maybe ■100 Crore . Like Karnataka has threshold level of ■250 Crore . Then Maharashtra is having ■500 Crore , MP is having ■250 Crore . That means above this threshold level, all the projects will be under TBCB. So, we will have opportunity there in these states also.

- Mr. Atul – J.P. Morgan:

- Okay, thank you. Thanks a lot.

- Analyst:

- Thank you, sir, for all the detailed answers. I have just two final small questions. One is on your financing strategy. You talked about the annual Capex of about ■30,000 Crore . But if you look at over the next three years, it is about ■1,05,000 Crore , of which maybe about ■55,000 Crore may be debt. But if you could also tell us on the two InvITs , and equity raising plans, etc., to finance the ■1,05,000 Crore Cap ex over the next 3 years ? Thank you.

- Mr. R.K. Tyagi – Chairman & Managing Director

- Yes. There is no challenge in raising finance. Like normally for TBCB project, we have requirement of about 20%, we normally invest 20% as equity. So, 20% equity means if we divide it by 3 years, so every year we will have say ■7,000 to ■8,000 Crore equity. So, our profit will be about ■16,000 Crore . So, we can very well manage from our resources, internal resources. And from market, our balance sheet is very strong. So we are able to take one of the best solution or we can have best loan from the market at 6.9% or 6.95%.

- Analyst:

- Sure, thank you. And my final bookkeeping question is to Ravi sankar Sir. While we are happy to look at on an annual basis, but if you look at this latest quarter, your operating expenses on a consolidated basis, moved from ■1,462 Crore to ■1,873 Crore , about 28% growth. If you could give us some more color on that ?

- Mr. G. Ravisankar - Director (Finance) & CFO

- No, actually, that includes the S CA accounting on account of the smart metering. Like smart metering business which we are doing in Gujarat. So there the model is like even though it's on a consultancy, but we will

have to account as income as well as the
expenditure. Around ■135 Crore of an expenditure has been included in the other expenditure. And in addition to that, like ■79 Crore of an extra CSR compared to the Q1 and other R&M expenditures. That's why it is, plus the FERV always will be there, which is again coming as a net movement. So that's the reason.

- Analyst:

- Got it. Thank you for all the detailed answers and all the best to the entire team.

- Moderator:

- Ladies and gentlemen, allow me to call this as a day for the Q&A. Of course, the management is available for you. I now invite Shri. L. K. Kha jkumar ji, he is the Executive Director, Corporate Planning, to give the vote of thanks.

- Mr. L. K. Khajkumar - Executive Director - Corporate Planning

- Thank you, Mr. Vakul. Good afternoon, everyone. As we conclude today's investors' meet, I would like to extend my heartfelt thanks to all of you for joining us.

- At the outset, I would like to thank our investors and analysts. Your interest, questions and the trust in POWERGRID means a lot for us. Your feedback helps us to improve and stay focused on creating long -term value.

- A big thanks to the senior leadership for presenting our performance and future outlook. It's always inspiring to hear how we are driving progress in a rapidly evolving energy landscape. Our special thanks to the Western Region I team. Your dedication and flawless on-ground coordination made today's event possible. We truly appreciate the efforts of the WR -I team. We also thank M/s. AdFactors , M/s. Antique Limited and their professional support. Big thanks to the team of ITC Maratha for the warm hospitality .

- As we move ahead, we remain committed to our goals and core values of transparency, reliability and sustainable growth. We look forward to having more such interactions that help us to learn, improve and strengthen our bond with our stakeholders.

- So, thank you once again and wishing you a good day ahead. Thank you very much.

***END OF TRANSCRIPT ***

Call: Nov 2025

[redacted] : "[redacted] ", [redacted] 2, [redacted] -29, [redacted] -122001, ([redacted])
[redacted] : 0124 -2822999 & 282 2000
Corporate Office: “Saudamini”, Plot No. 2, Sector -29, Gurugram -122001, (Haryana) Tel.: 0124 -2822999 & 282 2000
[redacted] : [redacted] -9, [redacted] , [redacted] , [redacted] -110
016. [redacted] : 011-26560112, 26560 115 & 26560193 , CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi -110 016. Tel: 011-26560112, 26560 115 & 26560193 ,
CIN : L40101DL1989GOI038121
Website: www. powergrid.in

12th November, 2025

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE -SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Webinar held on 04th November, 2025.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith copy of Transcript of Webinar held on Tuesday, 04th November, 2025 at 04:00 P.M. for Investors & Analysts.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

Encl.: As above.

Power Grid Corporation of India Limited
Transcript of Webinar
(For Q2 and Half Year ended 30th September, 2025)
04th November , 2025 04:00 P.M. (IST)

Power Grid Corporation of India Limited
November 04, 202 5

Management
• Dr. R. K. Tyagi -- Chairman and Managing Director
• Shri G. Ravisankar -- Director (Finance) and Chief Financial Officer
• Dr. Yatindra Dwivedi – Director (Personnel)
• Shri Naveen Srivastava -- Director (Operations)
• Shri Burra Vamsi Rama Mohan -- Director (Projects)

Company Secretary and Compliance Officer
Shri Satyaprakash Dash

Moderator
Shri Mohit Kumar -- ICICI Securities

Moderator: Ladies and gentlemen, good day and welcome to the Power Grid Corporation of India Limited Q2 FY '2 6 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signa l an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you.
Mohit Kumar: Thank you. Good evening. On behalf of ICICI Securities, I welcome you all to the Q2 FY '2 6 earnings call of Power Grid Corporation of India Limited. We'll start with detailed presentation which will be followed by Q&A and I would like to thank the management for giving us the opportunity. Without much delay, now I hand over the call to S hri Satyaprakash Das h, Company Secretary and Compliance Officer at Power Grid. Thank you and over to you, sir.
Satyaprakash Dash: Yes, thank you. Good afternoon, ladies, and gentlemen. It's my pleasure to welcome you all to this Webinar for analysts and investors of Power Grid Corporation of India Limited. Today, our Functional Director s and Senior Management Team will discuss the company's business and share our performance outlook based on our recently announced financial results.
I would like to introduce our esteemed Functional Director s, Dr. R .K. Tyagi, Chairman and Managing Director , Shri G. Ravisankar , Director (Finance) and CFO , Dr. Yatindra Dwivedi , Director (Personnel), Shri Naveen Srivastava , Director (Operations), Shri Burra Vamsi Rama Mohan , Director (Projects).
I would now like to invite our Chairman and Managing Director, Dr. R. K. Tyagi to deliver the opening remarks and presentation. Following that, we shall have a Q&A session. Over to you, sir.
R. K. Tyagi: Good evening, all. I will give a brief presentation about Q2 results. So, my presentation will consist of key highlights, project execution, operations, financials, other businesses, business outlook, ESG, CSR, and awards which we got.
POWERGRID is India's flagship power transmission utility, where the Government of India share is about 51.34 %. We have excellent MOU rating since 1993 -1994. And we are a dividend - paying company since 1993. Our current ratings, credit ratings have been at par with the Sovereign credit rating, which in domestic it is AAA, and in international , it is BBB-.
We have in our Board , Director (Finance), Shri G. Ravisankar ; Dr. Yatindra Dwivedi , Director (Personnel); Shri Burra Vamsi Rama Mohan , Director (Projects); Shri Naveen Srivastava , Director (Operations), Independent Directors, S hri Shiv Tapasya Paswan ji, Shri Rohit Vaswani ji, Smt. Sajal Jha and Government Nominee Director s, Dr. Saibaba Darbamulla , and Shri Abhay Bakre .

We have a transmission system of about 1,81,000 circuit kilometers, 287 substations and the world's largest 765 kV transmission network is being operated by POWERGRID . So, we have

the largest 765 kV transmission network in the world.
We have an innovation milestone. We ha

ve developed insulated cross arm for 400 kV transmission lines, which will reduce right of way . And apart from that, even trees being cut in various areas, so it will be good for environment also. And it is a step towards Atmanirbhar Bharat . So, this insulated cross arm is being used in our 400 kV transmission line between Narela to Maharanibagh in Delhi. So, it will enable about 20% reduction in right of way apart from saving trees.
To take care of any damage because of natural calamities and disasters, we have developed India's first 220 kV mobile GIS in collaboration with Toshiba. And this 220 kV mobile bay can be used anywhere, any station. It is mobile , and it can be even used in a flood hit station or any other natural calamity , we can immediately use within 48 hours.
And in case of RE generation where the bay is immediately required for evacuation of power, so this can be used as a spare bay also. So, it will be good for evacuation of renewable power from RE generations. So, this has been used and we are in the process of procurement of another 220 kV and 132 kV also, trailer mounted.
Recently, we have been accorded in principle approval for upgradation of Sasaram HVDC project at an estimated cost of Rs. 3,440 crores under RTM. This will be for 500MW capacity. It was LCC -based HVDC. It will be 1,000 MW VSC -based HVDC. And unique feature will be that it will be by developing indigenous semiconductors and supply chain will be from India for HVDC technology.
Our asset management practices have been benchmarked by OHROS Consulting Group from Netherlands. P OWERGRID has been ranked in first quadrant with high score in asset management practices with high operational performance in overall benchmark and 12 other major utilities from Asia, Europe, Australia, South America, and Middle East also participated. Our score is 4.14 out of 5, whereas the global average is 3.68. In 2023, in last benchmarking, we got about 3.22. So, there is an improvement in our asset management performance.
In project execution and commissioning, we have done a capex of Rs. 15,385 crores as against Rs. 10,002 crores in last financial year. As far as capitalization, it is Rs. 4,587 crores till date as against Rs. 4,006 crores in last financial year. These are the elements which have been commissioned so far.
At Khavda III, 3 number 1500 MVA ICTs have been commissioned. At Ahmedabad, 2 numbers 1500 MVA ICTs have been commissioned. Then 2 number ICTs at New Navsari , 2 number 1500 MVA ICTs at Fatehgarh III, and 1 number 1500 MVA ICT at Bikaner. Then , 6 number s at 400 kV in Kurnool III, 2 numbers at New Navsari , then 1 number at Nalagarh , 1 number at Hassan Substation, and 1 number at Fatehgarh III Substation .

In transmission line, we have commissioned Kha vda II, Khavda III line. Then Banaskantha to Ahmedabad 765 kV line. Then Banaskantha to Sankhari , Jeypore -Jagdalpur, it is an inter - regional link between western region and eastern region . Then LILO of Agra -Jaipur at Dausa . Then Namsai -Kathalguri Circuit 1 and Circuit 2 have been commissioned about five months ahead of schedule.
And substations, we have commissioned 765 /400 kV Khavda III, 765 kV/400 kV Khavda II, and then Ahmedabad substation and Dausa substation. This 220 kV underground cable in Zojila Pass, it was a very critical project. It has been commissioned yesterday. Then Narela also has been commissioned , 765/400 kV. And Kishanpur -Kishtwar and ICT -IV at Kurnool III, these have also been commissioned.
Our availability is good as normally it is more than 99.75 %, at which we get maximum incentive. So, this time also it is 99.83%. Trippings per line is also within limit, it is 0.17 trippings per line.
In half yearly result , total income is Rs. 23,115 crores, EBITDA is Rs. 19,109 crores, profit after tax is Rs. 7,1

97 crores, net worth is Rs. 98,932 crores, and our gross fixed asset is Rs. 2,95,148 crores, debt equity ratio is 58 :42. If you see from here that transmission charges in half yearly, first half is Rs. 21,356 crores, consultancy service is Rs. 821 crores , telecom Rs. 495 crores and other income Rs. 443 crore . Total income is Rs. 23,115 crores, operating expenses Rs. 3,903 crore and profit after tax is Rs. 7,197 crores.
On standalone basis, our income is Rs. 22,605 crores , EBITDA is Rs. 19,313 crores and profit after tax is Rs. 7,208 crores. These are some financial performance parameters, gross fixed asset at Rs. 2,95,148 crores , capital work in progress Rs. 47,782 crores . We have debt of Rs. 1,35, 923 crores, net worth Rs. 98,932 crores, earning per share Rs. 7.74 per share, book value per share is Rs. 106.37, debt equity of 58:42 , return on net worth is about 7.27.

Then these are some other key financial information for Q2 financial year 2026, income for previous period is Rs. 93 crores, interest on tariff Rs. 296 crores , interest from subsidiaries and joint ventures Rs. 794 crores , incentive Rs. 159 crores , dividends from JVs Rs. 24 crores, dividend from subsidiaries Rs. 300 crores, dividend from Associate s and others Rs. 18 crores. Then FERV Rs. 491 crores , equity in TBCB it is Rs. 4,956 crores , equity in TBCB under construction it is Rs. 3,448 crores, short term loan we have Rs. 2,209 crores.
Commercial performance has been good against billing of Rs. 18,248 crores, realization is Rs. 18,737 crores which is about 102% of realization. Outstanding dues is Rs. 2,899 crores as against Q1 of Rs. 3,151 crores . Major dues are from Tamil Nadu, Uttar Pradesh, and Telangana.
In telecom our revenue is Rs. 570 crores as compared to last financial year H1 results which was Rs. 544 crores. We got orders from worth Rs. 84 crores for multi -year project. Then customer added 22 numbers. Backbone availability has been 100% as always. We have telecom network of about 1 lakh kilometer.
In consultancy , our income has increased up to Rs. 821 crores from Rs. 255 crores , mainly because of smart meter business being done by P ESL. In domestic , we have opportunities in RE, intrastate, diversion, B ESS, green hydrogen. In international , we are pursuing transmission

opportunities across South Asia, Africa, America, Europe, and Australia. We got 15 new orders domestically and ongoing about 81. So TBCB and other projects we have 187. Then in international we got 3 orders, ongoing 14 numbers. We have footprints in 25 countries.
As you know that key enablers for our growth are $10 trillion economy. This is vision of our Honorable Prime Minister which will require rapid industrialization and urbanization. There will be lot of EVs, green hydrogen , data center s which will demand electricity. Then there will be huge requirement for en ergy storage. There will be BESS 47GW by 2032 and pump hydro storage wil l be about 36 GWby 2032 and i n global energy integration One Sun, One World, One Grid.
That will create lot of opportunities for POWERGRID also. Next. In Brahmaputra basin recently there is a scheme or plan announced by Ministry of Power which will require about Rs. 1,91,000 crores up to 2035 and beyond 2035 it will require about Rs. 4,51,935 crores. So put together we will have opportunity for Rs. 6,42,944 crores.
It will have HVDC, 42 GW of HVDC corridors and it will mainly have HVDC stations at Namsai, in Arunacha l, Roing (New) in Arunachal, Niglok , Silapathar, Gogamukh (New) and Rowta for bulk power transfer from North Eastern region to rest of the country. And there will be PSP integration 3.7 gigawatt by 2035 and 7.4 gigawatt beyond 2035. So , there is a huge opportunity in Brahmaputra basin. Next. This is what we have works in hand. We have about Rs. 1,52,000 crore

s worth projects in hand out of which Rs. 1,03,0 00 crores projects are from TBCB .
Next. So, these are the details of our works in hand. So Rs. 1,52,287 out of which Rs. 1,02,992 crores in TBCB . Then the new under RTM Rs. 37,100 crores. Then ongoing RTM Rs. 9,542 crores and others like data center , and cross border , smart metering about Rs. 2,653 crores.
Our commitment for capex for financial year 2025-26 is about Rs. 28,000 crores which will have TBCB projects worth Rs. 19,062 crores and RTM projects Rs. 3,554 crores and others will be about Rs. 5,384 crores. We are having eight pink station which are headed and operated managed by only female employees. Four were announced in last financial year and four have been added recently.
These are mainly in Gurgaon, then Lucknow, Pune, and Bidadi. So , eight stations, four were earlier there. So today we have eight pink stations which are headed by female employees.
In environmental energy management , we have 29% of power from green tariff, 33% share of renewables in total power consumption. Water management , we have 43% capacity increased for rainwater harvesting.
Our 90% of waste generated is being diverted from disposal through recycling and reuse. In green mobility , we have recently donated electric buses to AI IMS New Delhi and in Homi Bhabha Cancer Hospit al and Research Centre Vizag. W e have donated India's first ring gantry linear accelerator machine at this center.

Honorable President of India conferred scope eminence award for human resource management to POWERGRID . Then Rajb hasha Kirti first prize was given to POWERGRID on the occasion

of Hindi Diwas. Then our Director (Personnel) was conferred 'People's Leader of the Year 2025 ' award. Then Exceptional Employee Experience PSUs , we got award in ETHRWorld Awards 2025 . Then education for violence affected children in Chhattisgarh we also got award in that. Then Star Performer award was also given to POWER GRID. Thank you.
Moderator: Should we begin with the question and answer session sir?
R.K. Tyagi: Please carry on.
Moderator: Thank you. Ladies and gentlemen we will now begin the question and answer session. We'll take our first question from the line of Mahesh Patil from IC ICI S ecurities. Please go ahead.
Mahesh Patil: Yes hi sir. Thanks for the opportunity. S ir my first question is on the capitalization number. Given that we had achieved around 46 billion of capitalization in the first half and we have guided about 220 billion for the full year. Do we still maintain that target a nd second related question is what are the challenges we are facing to get this number up and what are you doing to kind of accelerate the execution?
R.K. Tyagi: Okay so as far as capitalization is concerned we are committed for increasing capitalization or commissioning of our projects. Mainly we are facing problems from R oW from landowners and Government of India is very positive. They are helping us. We have got one guideline issued by Government of India on this 21st March, 2025 for increasing land c ompensation rates as against 30% for R oW in urban areas from 30% to 60 % and 45 % in semi -urban area.
And earlier R oW and land compensation was paid based on circle rates. Now it is based on the actual market rate. For market rate there is also methodology given in the guideline that there will be three valuers. First valuer will be selected by farmers. Second valuer will be selected by POWERGRID and third valuer will be selected by District Magistrate .
Then first valuer of farmer and second valuer of POWER GRID they will submit the report. Then average of these two will be considered as the base value for market rate. If difference is more than 20 % in that case the third valuer rate will be opened and if third valuer is closer to farmer's valuer then it wi

ll be average of farmer's valuer and the third valuer.
If rate is closer to POWER GRID valuer, the average of these two valuers will be taken. So this methodology is being used by Delhi, Haryana, and now other states. So based on the Government of India guidelines issued in March , 2025, the state of Haryana and Delhi have issued somewhere in June and July and other states are also issuing such guideline.
So, Government of India guidelines are being adopted by various states and based on those guidelines the rates by valuers is being finalized which are being adopted or notified by respect ive DMs and based on that , we are working in various lines. So this has taken some considerable time because of that some projects have been delayed which are likely to be commissioned in Q3 and Q4. So we are still targeting about Rs. 20,000 crore s projects to be

capitalized by this financial year 25 -26. By March 2026, we should be in position to commission up to Rs. 20,000 crore s projects.
Mahesh Patil: Okay si r, thanks for the detail updates . My second question is on the equipment ordering. Have we tied up f or the equipment for the next 2 years, 3 years of our execution and is there any shortage in terms of transmission equipment, HVDC etc.?
R.K. Tyagi: Yes, you are right that there is a shortage of some equipment like transformer, GIS, and HVDC equipment. For transformer , especially delivery time is more than one year because manufacturing and testing itself takes more than one year. So , what we are doing, we are procuring these transformers and reactors well in advance as bulk procurement and these procured transformers and reactors are allocated for various projects which we win in future so that this constraint of transformer supply is not there.
As far as HVDC equipment are there, they cannot be procured in advance because they are specific to a specific project. For that, the Government of India is giving us 4 years to 5 years for commissioning. So , in that period, we are able to get this HVDC equipment also. So similarl y GIS also, there is a shortage, but still we are getting these equipment on time and we will be able to commission our projects on time. Thank you.
Mahesh Patil: Okay, sir. And so my last question is, sir, have you started tendering for the Leh Ladakh HVDC project?
R.K. Tyagi: Leh Ladakh HVDC project, actually we have gone to the market. We came out with a tender and we also got one bid, but that bid was not acceptable to us because there were so many queries and we came to a conclusion that HVDC project may not be f easible in this Leh to Kaithal project. Now, Government of India is considering this project to be replaced by AC project. So, we will have 400 kV transmiss ion line from Leh -Pang to Kaithal and that project is under discussion and very shortly, we will get some information about that.
Mahesh Patil: Okay, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Puneet from HSBC. Please go ahead.
Puneet: Thank you so much. My first question is just on Leh Ladakh, when you move from HVDC to AC, will your commissioning timeline increase or reduce an d your capex goes up, goes down or should one think about this?
R.K. Tyagi: Actually, this project when we considered HVDC project about three years back, that time cost was about Rs. 20,000 crores and now considering this supply chain constraint, even if we consider that this is a feasible project, we took even cost estimate from our various bidders. Now, cost is coming about Rs. 42 ,000 crores, considering various challenges and constraints shown by manufacturers or suppliers,
So, it may not be possible for us to continue with HVDC and we have already done detailed studies. So , AC is another option which we are considering and cost of AC will be in the range

of about, it will be close to Rs. 30,000 crores. So, capex will not be less as compared to earlier estimate of Rs. 20,000 crores. It will be more than that.
Puneet: And timeline?
R.K. Tyagi: Timeline we will be able to maintain as of now , because all 400 kV and these technologies are already available in the market except synchronous condensers which may take some time. So still we are expecting that by 2029, this project can be commissioned.
Puneet: Understood. And on your standalone accounts, you in a way end up paying effective tax rate of 20% or even less than that. How long will that benefit last?
R.K. Tyagi: I request Director (Finance) to reply.
G. Ravisankar: Pardon. Please, can you come again?
Puneet: Yes. So, the effective tax rate when I look at on your standalone balance P&L comes to less than 20% over the last few quarters, almost eight, nine quarters. When do you think, this will go to normalize 25%?
G. Ravisankar: It will , see, it will come to normal when the capitalization comes down and when the income tax profit is more than your profit as per the CERC rates . But again, we don't foresee that because once the capitalization picks up again, we'll be going into the same MAT and then the profit as per Income Tax , it will come down and then again, we'll be switching over to the MAT only.
Puneet: Understood. That's helpful. And lastly, any progress on the Rajasthan JV on the trans mission side?
R.K. Tyagi: Can you repeat?
Puneet: Rajasthan JV.
R.K. Tyagi: Yes. Rajasthan JV, Joint Venture Company. Yes. Actually, their regulator has put some limit on the projects which are to be considered on nomination basis, beyond which they are considering under TBCB .
So, they were trying to take some exemption so that those projects can be executed by this JV company. But so far, we have not got any communication from Rajasthan Government. So as of now, there is no progress.
Puneet: Okay, that's helpful. And lastly, your participation on the battery side, last time you said you would look at it as it progresses . Any further thoughts there?
G. Ravisankar : Battery energy storage participation.
R.K. Tyagi: Battery energy storage, we have participated in some tender, but we lost that and we are again participating in some other projects. And we will continue participation and hopefully we will execute some projects in days to come.

Puneet: Understood. That's very helpful. Thank you so much and all the best.
Moderator: Thank you. We'll take our next question from the line of Ketan Jain from Avendus . Please go ahead.
Ketan Jain: Thank you. Good evening, sir. Thank you for the opportunity. Sir, my first question is on the other expenses. We've seen an increase by 77% of other expenses, O&M expenses. What is the primary reason for this and is this passed on or how is it?
G. Ravisankar: The other expenses actually include the FERV, which is the pass -through. So that is covered in the net movement of the regulatory deferral. And then also you see now we are in the business of the smart metering where we are doing the accounting through the service concession agreement where it is shown as the income side as well as the expenses side.
The expenses side in the consol around Rs. 450 crores is included in that. So , corresponding to that, we have an income also. So , that is why it is appearing to be on the higher side, but not like

that.
Ketan Jain: Understood. And also, sir, I have a question. Do we have any O&M expense impact from the new C ERC regulations, which cap the O&M expenses and we are actually incurring more expenses? Is there any impact from that?
R.K. Tyagi: Last time there was impact that we got less O&M charges for O&M recovery,

what we got from various constituents as per the new regulation. But this year there is no change from the last year. So, the impact was only last year.
This year it is only incremental change because of increased DA and other normal expenditure will increase every year. So , it is only nominal expenses which have increased. Otherwise, there is no impact of CERC regulation s.
Ketan Jain: Understood. So going forward, we will be recovering all the O&M expenses. There will not be any additional under -recoveries on that ? Am I right, sir?
R.K. Tyagi: Yes, yes.
Ketan Jain: Sir, also what is your guidance on capitalization for 2026, you told Rs. 20,000 crores, but what would be that for '27 and '28? Any guidance?
R.K. Tyagi: Like last year we did capex of about Rs. 26,000 crores. This year we are expecting about Rs. 28,000 crores and next year it will be about Rs. 35,000 crores. So , from capex to capitalization, there will be a gap of about 2 years.
So, like this year, we will have Rs. 20,000 crores projects are likely to be commissioned, capitalized. And next year it will follow like it may be about Rs. 25,000 crores , Rs. 26,000 crores because last year we got CAPEX of Rs. 26,000 crore . So, we expect that about Rs. 25,000 crore work projects will be capitalized next year. And similarly, in '27, '28 also, it will be around Rs. 28,000 crores . So, it will be in that range. Rs. 25,000 crores next year, Rs. 28,000 crores next to next year.

Ketan Jain: Understood. Just one last question , sir. Just one last question .
Moderator: Ketan, I request you to join back the queue, please, as we have other participants waiting for their turn.
Ketan Jain: Okay.
Moderator: Thank you. We'll take our next question from the line of Dhruv Muchhal from HDFC AMC . Please go ahead.
Dhruv Muchhal: Yes, sir. Thank you so much. S ir, in the consolidated numbers, the other income for last year was about Rs. 560 crores and this year is about Rs. 190 crores, a sharp drop. So, anything abnormal probably in this quarter or last year quarter?
R.K. Tyagi: I could not get why this is breaking ?
Moderator: Dhruv, can you use your handset mode, please, and repeat the question?
Dhruv Muchhal: Yes. So, in the consolidated numbers, the other income last year same quarter was Rs. 560 crores and this year quarter is about Rs. 190 crores. There is a sharp drop here. So, anything abnormal probably in the last year quarter or this quarter?
G. Ravisankar: Normally, the other income includes some of the like interest and differential tariffs on the CERC orders and all, which are all normally used to be one time. So , on a yearly basis, the difference of variations of around Rs. 100 crores -Rs. 200 crores is the normal one.
Dhruv Muchhal: So, nothing abnormal in the numbers, either last quarter or current quarter?
G. Ravisankar: Nothing.
Dhruv Muchhal: Okay. Okay. Because if I adjust for the other income, your consolidated part is showing a decline in Y-o-Y. But if I adjust for the other income, the PAT is showing an increase. So, I'm just wondering, it's probably all because of the other income. So just trying to understand if there is something. No worries, sir. Sir, the other thing was the awarding seems to have slowed down a bit. Any particula r reason why this is happening o r probably just the tenders will happen and we'll start seeing momentum make up again?
R.K. Tyagi: Yes, TBCB, it is a cycle. Basically, sometimes it is very fast, sometimes it takes some time. So , it is likely to pick up.
Dhruv Muchhal: It's not because there are already a lot of...
R.K. Tyagi: We have so many projects in pipeline, but because of various approvals and you understand that there will be a lot of approvals required for any bidding process. So , there will be variations in the

speed of this bidding process. So, it is likely to improve now. So, there's nothing to worry.

Dhruv Muchhal : Okay. And the last small question is your CAPEX for first half is about Rs. 15,000 crore . Generally, I believe 2H is much better than 1H given monsoons and everything. So, is it possible that we'll exceed Rs. 28,000 crore s CAPEX number or Rs. 28,000 crore is safe to assume?
R.K. Tyagi: It will be Rs. 28,000 crore plus. So that we can assure it may go up.
Dhruv Muchhal : I was trying to understand the degree of plus here. How much higher than 28?
R.K. Tyagi: It may be somewhere between Rs. 28,000 crore to Rs. 30,000 crore.
Dhruv Muchhal : Okay, sir. Thank you so much. That's all and a ll the best.
Moderator: Thank you. Next question is from the line of Atul Tiwari from J.P. Morgan. Please go ahead.
Atul Tiwari: Yes, thanks a lot. Sir, you gave a guidance of about Rs. 25,000 crores to Rs. 26,000 crore s capitalization in FY27 and Rs. 28,000 crore in FY28. I believe in some of the previous conference calls, you have guided to Rs. 35 ,000 crores to Rs. 40,000 crore s rupees of capitalization in those years. So, is there some like persistent slowdown in the pace of capitalization that the company is seeing because of the issue or is this issue limited to this year only?
R.K. Tyagi: What we are saying that there is a time lag of about two years from capex to capitalization. So that is only because there will be many challenges of R oW and other things will be there. But considering that, you can assume that there will be two years of lagging. So last year, it was Rs. 26,000 crores. So , capitalization after two years will be about Rs. 25,000 crores to Rs. 26,000 crores . And since we are considering Rs. 28,000 crores capex, so I am saying that this capitalization will be about Rs. 28,000 crores.
Atul Tiwari: Okay, sir. And how much of transmission awarding is yet to be done as per NEP over next three years?
R.K. Tyagi: So exact figure I will check, but it is somewhere about Rs. 3.5 lakh crores out of Rs. 9.15 lakh crores is still pending. So , the exact figure I can confirm after this.
Atul Tiwari: So Rs. 3.5 lakh crores and all belonging to ISTS.
Moderator: I request you to join back the queue.
Atul Tiwari: Yes, I just have this one doubt on the answer. So , Rs. 3.5 lakh crores is the ISTS or it will take to report?
G. Ravisankar: Only ISTS.
R.K. Tyagi: ISTS. Yes.
G. Ravisankar: Only ISTS.
Atul Tiwari: Okay.

Moderator: Next question is from the line of Sumit Kishore from Axis Capital .
Sumit Kishore: Thanks for the opportunity. My first question is in relation to what is the bid pipeline at the moment for the next second half of the fiscal? And what is the status of the two HVDC projects which you had mentioned and we expected to get awarded in this fiscal? So , are they still on track or there are delays in their tendering and all? That's my first question.
G. Ravisankar: Sumit, your voice is not audible. Your voice is not clear. Can you please repeat ?
Moderator: Sumit, please use your handset mode and repeat the question, please.
Sumit Kishore: Is this better?
G. Ravisankar: Yes.
Moderator: Yes.
Sumit Kishore: Yes. Sir, my question was in relation to the bid pipeline for the balance fiscal second half for the market for transmission and the status of the two HVDC projects that were expected to be awarded this fiscal. Is the tendering and award activity on track or is there a risk of spillover the next financial year? That's my first question.
R.K. Tyagi: Yes. You are talking about this Khavda to South Olpad is already finalized. And this Barmer to South Kalamb, it is likely to be completed in this financial year. So , we are expecting

very soon
that it is already approved in NCT and it is likely to be finalized in this financial year itself.
Other projects may take some time.
Sumit Kishore: Okay. And so what is the total bid pipeline now for the balance fiscal for transmission?
R.K. Tyagi: Let me check the figure. We will come back.
G. Ravisankar: Around Rs. 45,000 crores.
R.K. Tyagi: We will exactly tell, but it may be around Rs. 45,000 crore worth. It may be more. Actually, considering HVDC, it will be more.
G. Ravisankar: Yes.
R.K. Tyagi: So we will revert. We should not give wrong feedback.
G. Ravisankar: Okay.

R.K. Tyagi: So we will look with that…
Sumit Kishore: Okay. Sir, when you said the Khavda South…
Moderator: I request you to join back the queue, please. As we have other participants waiting for their turn.
Yes. Next question is from the line of Nikhil Nigania from Bernstein .

Nikhil Nigania: Hi. Sir, my first question is on the RoW point. The process you laid out on three different valuers, I think it seems quite adverse. So , if you could tell us, how much time is it adding to a project timeline in months or so?
R.K. Tyagi: For this finalization of a valuer and giving report by this valuer will be somewhere about one month.
Nikhil Nigania: That's it. Okay.
R.K. Tyagi: Because we are in the learning process. So , it took more time in Delhi. But the Government of India is in the process of issuing guidelines that within one month, this should be finalized.
Nikhil Nigania: And other states are also close to adopting this guideline, Rajasthan, Gujarat, etc.
R.K. Tyagi: So, yes, we are following up with all the states, including Ministry of Power is also considering and talking with all the states to adopt similar guidelines.
Nikhil Nigania: Got it, sir. Sir, my second question is...
Moderator: Nikhil, I request you to join back the queue, please.
Nikhil Nigania: Yes.
Moderator: Next question is from the line of Apoorva Bahadur from IIFL Capital.
Apoorva Bahadur: Hi, sir. Two questions. Firstly, on the equipment supply, you said it is improving and we are ordering in advance. Any chances of Chinese imports again being allowed in, especially in certain categories? And secondly, sir, we have been one of the early movers in the data center business. Any update on that now that we're finally seeing the traction over there? Any plans?
R.K. Tyagi: Yes. This Chinese import, as far as the present situation is there, we are not expecting it will continue. But we will have some progress, like the Chinese companies, which have set up their companies in India. So , there is some progress or there is some development in that area. So , we may have some approval for manufacturers -- Chinese manufacturers, who have developed factories in India. So , there may be some development in that area. But direct import from China, so far, we are not hearing a nything.
Apoorva Bahadur: Okay, sir. And on the data center bit?
R.K. Tyagi: And data center -- for data center, actually, it is a learning curve for us. There have been some issues being faced and there are so many clarifications, and it is delayed -- data center is delayed. So maybe by Q4 only, we should be able to commission th is, not in Q3.
Apoorva Bahadur: Sir, what size is this?
R.K. Tyagi: It is 1000 racks.
Apoorva Bahadur: Understood sir.

Moderator: We'll take our next question from the line of Bharani from Avendus.
Bharani: Yes. So , first question is a little bit conceptual. So , though we had close to Rs. 9000 crores of capitalization last year, the first half revenue, EBITDA, PAT is flat to a down minor -- in a minor way. So how should one understand it conceptually, because as a fixed cost-plus RoE model, there should be growth

. So that is my first question.
R.K. Tyagi: Actually, so far, we have been executing projects under RTM. And now we are executing projects under TBCB. So , there is a difference in financial modeling or revenue modeling of these two projects -- two types of projects. In RTM, we used to get about 17% revenue on any project.
Breakup was that we will get about 15.5% return on equity, which is about 30%. So 15.5% into 30%, which will be about 4.65%. Then there will be 70% loan. So , there will be about, say, 7%, assuming 7% interest rate. So , there will be about 4.9% will be interest on loan. And depreciation for initial 12 years will be 5.28%. Then there will be O&M charges in the range of about 1.8% to 2%. And then interest on working capital may be about 0.2% to 0.3%.
So, this makes about 17% or 17% plus of revenue against any project. After 12 years, because we have projects which have been commissioned in 2010, 2011, 2012, 2013, in that range, which are getting completed 12 years of age. So , after 12 years, 5.28% depreciation will reduce to about 1.2%, 1.3%, because by 12 years, most of the depreciation has been recovered. So only balance may be about 27% in 23 years. So , making it about 1.1% to 1.2% per year depreciation as against

5.28% depreciation in initial 12 yea rs. So , there will be net difference of about 4% revenue reduction only because of this.
Second point will be that interest on loan because after 12 years, we will be paying most of the loan. So , interest on loan component will also become almost zero. So , this 4.9% plus 4%, so almost 9% reduction will be there in our revenue. So , assuming that there will be say last 12 years back, we commissioned about say Rs. 15,000 crores projects. So , Rs. 15,000 crore projects into 9%, it makes about Rs. 1,350 crores revenue will reduce each year.
So, this financial s, also our revenue has come down because of these two reasons , depreciation, and interest on loan. Whereas whatever projects we have commissioned, so normally we will get projects because our tariff is fixed for 35 years. So , we get about 11% to 12% of project cost as revenue.
So, if we commissioned projects last year, about Rs. 9,500 crores worth projects, so maybe about Rs. 900 crores will be the increase in revenue because of these commissioned projects. So , net difference will be Rs. 400 crores to Rs. 500 crores difference will be there in revenue. So , that difference you will see in our revenue also. So, these are the basic, like you can say the rough calculations, the details we can share with you.
G. Ravisankar: No. I'd like to add to this. Actually , you see in the regulatory framework, EBITDA is not actually a right parameter to monitor in the sense that when we commissioned a new project as the Chairman was explaining, the EBITDA used to be in the range of 89%. And when you complete the life for the 35 years, the EBITDA will come down to 74%.

But your profit will remain same because I have a return on equity constant for the entire period. So, there is no worry that the profit is going to come down, but the EBITDA is not the right parameter to monitor. And another added to that, if you see the half year to half year, when you are comparing last half year, actually we have spent CSR of about Rs. 100 crores lesser than the current half year, which actually will get normalized over the full year.
And last half year, we got an order of POWERGRID Southern Interconnector Transmission System Limited , where we appeal ed to the regulatory authorities for waiving of the penalties and where we got around Rs. 209 crores as a one-time order impact in the last half year. So , these things added to only you are showing -- you are seeing a decline of around Rs. 300 crores. So, it is only because of this one -time impact. Otherwise, as such, there is no worry

that the
EBITDA is coming down or something.
And added to that, you see going forward also, we have a smart metering business where the EBITDA is hardly 10% to 15%. So , we are merging that in the consol. So , where the income and expenditure side, it was added. So , that is why you are seeing a lesser EBITDA of like 3% to 4%, it is declining. But as such, there is no worry that the profits are taken away by any expenditure or something like that.
Bharani: Sir, my follow -up...
Moderator: I request you to join back the queue, please. Next question is from the line of Anuj Upadhyay from Investec.
Anuj Upadhyay: Yes. Hi. Sir, two questions. One is on a clarification. When you mentioned that the Leh-Ladakh project price has now been revised to Rs. 30,000 crore . So is this Rs. 30,000 crore factor in our working hand of Rs. 153,000 or it is yet to be factored in?
Secondly, any further comment on the Brahmaputra opportunity, which you mentioned throws a robust opportunity, but when can we expect the tendering to be out or it would be directly allotted to the POWERGRID or it would be on a TBCB basis?
R.K. Tyagi: Yes. As far as Leh -Ladakh, we are still maintaining Rs. 20,000 crores only, because we have not got direction from Government of India about DC or AC. So , as we get this communication regarding AC network, then we will accordingly revise this guideline also for our CAPEX .
As far as this Brahmaputra, it is still in this study stage and it is likely to take some time. And third point, what you mentioned that whether it will be nominated to POWERGRID , it is unlikely because these are normal HVDC project s in plain area and it may be under TBCB. So far, we are not expecting that it will be based on nomination to POWERGRID .
Moderator: We'll take our next question from the line of Mahesh Patil from ICICI Securities.
Mahesh Patil: Yes. Sir, my first question is on the FY '28 CAPEX number. You have mentioned Rs. 35,000 crore for next year. Sir, what is the estimate for FY '28?
R.K. Tyagi: Estimated? Come again.

Mahesh Patil: Capex for FY '28.
G. Ravisankar: FY ’28.
R.K. Tyagi: FY '28, we told it is Rs. 45,000 crore .
G. Ravisankar: Rs. 45,000 crore.
R.K. Tyagi: Rs. 35,000 crores is FY ’27. FY '28 is Rs. 45,000 crores .
Mahesh Patil: Okay, sir. And sir, lastly on this Andaman -Paradeep project, what is the status there? If you can share some info.
R.K. Tyagi: Yes. Still there are discussion and approvals being taken by Government of India and there is no firm communication. You are talking about Andaman HVDC project under sea?
Mahesh Patil: Yes, sir. Yes.
R.K. Tyagi: Yes. So, there is no clear approval or direction from Government of India so far.
Mahesh Patil: Okay. And sir, last -- yes. If I may, sir, lastly, in terms of, sir, EESL, if you can share some update, what were the losses in this quarter and what are our plans regarding EESL, Energy Efficiency Services?
R.K. Tyagi: Yes. I request Director (Finance).
G. Ravisankar: Yes. Current half year -- around Rs. 126 crores in the half year has been included, from EESL compared to Rs. 92 crores in the last half year. And there is an additional Rs. 29 crores against the last quarter of around Rs. 58 crores, which is again on the adjustment of the final accounts. You can say that around Rs. 30 crores has been added on account of EESL in our consol.
Mahesh Patil: Okay, sir.
Moderator: Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I now hand over the call to management for closing comments. Over to you, sir.
R.K. Tyagi: Yes. So, thank you very much all investors for participation, for your valuable time. POWERGRID is committed to take care of your interest and we thank for your support in promoting POWERGRID in India. Whatever challenges we are having

today because in power sector, especially in transmission business, when we go for erecting any tower in land of any landowner, there will be obvious resistance by landowner.
So, we are facing on daily basis, we are facing problems everywhere, wherever we are working. But we have a very dedicated team of our engineers and POWERGRID officials to take care and to improve efficiency of our execution.
As far as challenges of the supply of various equipment because of lot of demand in power sector, in ISTS, intrastate, then RE generation, and now we will be having more demand because

of green hydrogen transmission network, data center transmission network. So, these challenges are going to increase in days to come. But rest assured that we are very competent -- we have very competent team to take these challenges and work for the inter est of our stake holders .
Thank you very much.
Moderator: Thank you members of the management team . On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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■ ■ ■■■■ : 0124 -2822999 & 282 2000
Corporate Office: “Saudamini”, Plot No. 2, Sector -29, Gurugram -122001, (Haryana) Tel.: 0124 -2822999 & 282 2000
■■■■■ ■ ■ ■■■■■■■ : ■■ -9, ■ ■ ■■■ ■■■■■■■■■■■■■■ ■■■■■ , ■■■■■■■■ ■■■■ , ■■ ■■■■■■ -110 016. ■ ■ ■■■■ : 011-26560112, 26560 115 & 26560193 , CIN: L40101DL1989GOI038121
Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi -110 016. Tel: 011-26560112, 26560 115 & 26560193 ,
CIN : L40101DL1989GOI038121
Website: www. powergrid.in

09th February , 202 6
To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai. To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Analysts’ and Institutional Investors’ Meet , held on 02nd February , 202 6.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith copy of Transcript of Analysts’ and Institutional Investors’ Meet, held on 02nd February, 2026 at Mumbai.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer
Encl.: As above

Power Grid Corporation of India Limited

Transcript of Analysts’ and Institutional Investors’ Meet
(For Q 3 FY 2025 -26)
Monday, 02nd February, 2026

Management

Dr. R. K. Tyagi Chairman & Managing Director
Shri G. Ravisankar Director (Finance) & CFO

Dr. Yatindra Dwivedi Director (Personnel)
Shri Naveen Srivastava Director (Operations)
Shri Burra Vamsi Rama Mohan Director (Projects)

Shri Satyaprakash Dash Company Secretary & Compliance Officer

Transcript of Analysts’ and Institutional Investors’ Meet
- Moderator :

- Ladies and gentlemen, on behalf of Power Grid Corporation of India Limited , we welcome you to the Analyst and Institutional Investors ’ Meet organized to discuss the company's business and outlook post the declaration of the unaudited financial results for the quarter and nine -month s ended 31st December 2025 .

- To introduce the dignitaries on the dais, I call upon the Company Secretary, Mr. Satyaprakash Dash , to please do the honors.

- Mr. Satyaprakash Dash - Company Secretary & Compliance Officer :

- Thank you, Bakul ji. Good morning, everyone. I am pleased to welcome you to Power Grid Corporation of India Limited's Analyst s’ and Institutional Investors ’ Meet . Today, our senior management is here and we will discuss about our Company's business outlook and performance based on our recently announced financial results for the quarter and nine -month s ended 31st December 2025 .

- So, let me introduce our esteemed senior management team .

• Dr. R.K. Tyagi , Chairman and Managing Director.
• Shri G. Ravisankar , Director (Finance) and CFO.
• Dr. Yatindra Dwivedi , Director (Personnel).
• Shri Naveen Srivastava , Director (Operations).
• Shri Burra Vamsi Rama Mohan , Director (Projects).

- We shall now watch a short corporate video on POWERGRID 's performance.

- (video plays 04 :11 – 08:59)

- Thank you. Now, I would like to invite our Chairman and Managing Director, Dr. R.K. Tyagi , to deliver the opening remark and presentation. Following that, we shall have the Q&A session. Sir, over to you .

- Dr. R.K. Tyagi - Chairman & MD:

- Good morning, respected investors, my colleagues on the dais, all Board members, ladies and gentlemen. In t oday's Analyst and Institutional Investors ’ Meet , we will be sharing the achievements of POWERGRID , what challenges we were facing last year. With the support of Government of India, with the support of our stakeholders, we have been able to resolve many of the issues. And now, our execution of projects, our performance is improving in all areas, unlik e last year wherein we had number of challenges in commissioning our projects. So, I will be sharing the details during my presentation.

- My presentation will cover : highlights, project execution, how we are operating our assets, then financials for 3rd Quarter and for nine -months, what we are doing in other businesses and what is the business outlook for POWERGRID , how POWERGRID is playing role in ESG, CSR and different areas and awards what we are winning.

- Key highlights :

- POWERGRID has become ■3 trillion plus gross fixed asset company. It is a leading National Transmission Company, not in India but in the world. We are a backbone transmission company for supply of electricity from any corner of the country and to any other part of the country.

- Then second part is F Y26 CAPEX and capitalization . It is on track. I can assure you that we are poised to exceed our annual guidance , which we have been talking. We have entered into partnership with the Africa50 in Kenya, particularly . One 400kV and 220 kV project we will be starting shortly.

- Considering energy storage in battery, we have ventured into first Battery Energy Sto rage project on Build -Own -Operate in Andhra Pradesh.

- Towards ESG, we have recently commissioned first 400 kV/220 kV 315 MVA transformers using synthetic ester oil , which is a vegetable oil . It can be easily decomposed unlike mineral oil. So, it is a step towards ESG . Earlier in 2019 , we had commissioned 400 kV reactor also. In between , two transformers one at Aizawl and one at Pusauli , we had retrofilled ester oil from mineral oil.

- In Renewable, our power consumption, we have achieved our target of 50% which we committed in front of you. By 2025 December w

e have achieved this target.

- As you know that POWERGRID is a Government company, in which Government of India holds major shareholding, 51.34%, then FII is about 24 .73%, domestic DII is 20.26%. For 2024 -25 again, like all the years , last so many years we have been achieving M oU rating of ‘Excellent ’ by Government of India, Department of Public Enterprise.

- As I told that gross fixed assets , for the first time it has crossed ■3 lakh trillion. Our credit ratings , as usual , excellent.

- As POWERGRID board members, my team, we have Functional Directors , Independent Directors and Government Nominee Directors and a Woman Direc tor also . For some time , woman director was not there, but for last 2 -3 quarters we have Madam Sajal Jha as Independent Director .

- We have one of the largest transmission network in the world by any utility. It is 1,83,174 circuit kilometer with 1,566 number of transmission line. Our substations with the last commissioning of Ahmedabad and then Ananthapuram , it has increased to 288 with 5,99,0 16 MVA capacity. Inter - regional capacity , that means power flow capacity from one region to another region , it is 101 GW (approx.). Our transmission system availability is 99.84%.

- These are the details of various voltage level substations. We have 18 HVDC station, 70 numbers of 765 KV substations , which is highest in the world by any utility. Then 400 kV is 169 and 400 kV and below is 31 in number. We have, for grid stabiliz ation, SVC and STATCOMs . And transformers and reactors , we have fleet of more than 4,000 transformers and reactors. We are the largest company operating 765 kV transmi ssion network , which is the backbone of India's power sector.

- In CapEx and capitalization and what elements we have recently commissioned . In nine - months our CapEx has been ■26,761 crores as against ■17,651 crores. We have already crossed target of ■28,000 crores CapEx which we committed, which we had target with Government of India. We have already achieved ■29,200 crores CapEx and we have target to exceed ■32,000 crores CapEx this year by March 2026.

- In capitalization, in nine -months we capitalized assets worth ■12,915 crores as against ■7,423 crores last year. And as on 31st January, 2026, we have commissioned projects worth ■18,700 crores and we have target of achieving more than ■22,000 crores as against our target of ■20,000 crores, which we committed during this year. So, we want to surpass that target.

- The major elements which are likely to be commissioned in balance two months will be -

• Bhadla -III to Sikar -II
• Bhadla -III to Ramgarh
• Then Navsari to Padg he
• Maheshwaram to Kurnool and
• Navsari to Kala.

- These are the major elements which we will be commissioning.

- These are the elements which have been commissioned since last quarter after 30th September , 2025 –

• 765 kV D/C Khetri -Narela , which was a very, very critical line for power evacuation , especially green energy from Rajasthan .
• 765 kV D/C Ahmedabad - Lakadia and Ahmedabad -Navsari have been commissioned. These two lines also were very critical, very much required for evacuation of power from Khavda area KPS1, KPS2, KPS3.
• 765 kV D/C Bhadla II –Sikar II , this was also one of the much awaited transmission line . It has been commissioned.
• Then 765 kV D/C Banaskantha to Ahmedabad, 400 kV Kishanpura to Kishtwar, 400 kV Kurnool - III to Ananthapuram also has been charged now and once generation comes , then power will start flowing from Ananthapuram to Kurnool -III, then Kurnool -II and subsequently to Nellore , Raichur and other areas.
• Then 400 kV Maharani Bagh -Narela , that means power being generated in RE area in Rajasthan through Sikar to Khetri it will be coming to Delhi through Narela then to Maharani Bagh. So, this has also been commissioned.

- Major transformers which have

been commissioned –

• The 1500 MVA ICT at Kotra.
• Then Khavda -II, 1500 MVA ICT.
• Ahmedabad also we have commissioned 1 transformer of 1500 MVA .
• Then 3 transformers of 4 ,500 MVA capacity at Narela substation . 1500 MVA each capacity, so put together 4500 MVA.
• Then Khavda -II, again 1 more transformer of 1500 MVA , ICT- 6.
• Indore 1500 MVA 765 /400kV.
• And 2 numbers 1500 MVA ICT at D ausa substations.
• In 400 kV, at Kurnool -III 500 MVA .
• Then upgradation at Bawana from 315 MVA to 500 MVA for meeting requirement of Delhi.
• Then 2 number ICTs at Fatehgarh III .
• Then 1 number at Bhuj.
• 1 number at Bhachau .
• And 2 station, Narela and Ananthapuram , have been commissioned since last 30th September.

- In operations, as usual, we are always excellent. We have been maintaining availability better than or at least at par with the international best utilities in the world. And our reliability or annual tripping per line is also comparable or better than int ernational best utilities, which is 0.21 tripping per line.

- For taking care during emergencies , disasters we have mobile substation similar to transmission line where we have emergency restoration system. So, we have recently procured emergency restoration system for substation also. It is a mobile GIS mounted on the trailer. So, wherever there is a failure because of any reason, natural disaster or maybe a normal failure also , and we are not able to restore the normal system , then this mobile GIS substation can be installed in that particular location to restore el ectricity immediately. So, this has been procured and we are in the process of procuring at 400 kV also and 132 kV. So, far we have only procured 220 kV but 132 kV and 400 kV have been ordered and they will be also coming very shortly.

- Financials :

- In financials , our Total Inc ome for nine -months is ■35,714 crores , EBITDA ■29,846 crores, Profit After T ax for nine -months is ■11,382 crores, Net Wort h is ■98,906 crores, Gross Fixed A sset is ■3,04, 336 crores, our Debt/Equity Rati o is 59 :41.

- If we compare with last year Q3 FY25 to FY26 , Total In come has increased from ■11,609 crores to ■12,436 crores ; there is increase of 7 %. If we talk of nine -months revenue or income, it has increased from ■33,843 crores to ■35,041 crores on standalone basis; there is increase of 4%. And after considering expenses, depreciation and other things, our Profit After Tax for Q3 has increased from ■3,894 crores to ■4, 160 crores, which is increase of 7% in Q3 FY26 versus Q3 FY25.

- And if we talk of nine -months, it has increased from ■11,017 crores to ■11,368 crores; there is an increase of 3 %.

- On consol idated basis , Income has increased from ■11,743 crores to ■12,599 crores; there is an increase of 7 %. A nd in nine -months also there is increase from ■34,869 crores to ■35,714 crores; there is an increase of 2 %. And Profit After Tax is 8% increase , that is ■3,862 crores and it has

become ■4,185 crores. B ut in nine -months, because last year we got some special income , from ■11,379 crores it has increased to ■11,382 crores, which is nominal increase only. So, we will be telling the details why it is almost matching with the last year. So, there was one -time income last year .

- In financial performance, our gross fixed assets on standalone basis has increased from ■2,63,000 crores to ■2,69,000 crores. O n consol basis , it has increased from ■2,88,000 crores to ■3,04,000 crores. Capital work in progress , it has increased from ■29,000 crores to ■50,000 crores work in progress . Our debt has increased from ■1,29,000 crores to ■1,43,000 crores because number of projects are going on now . Our Net Wo rth, as I told, it has increased from ■91,000 crores to ■98,000 crores . Earnings Per Share is ■12.23 and now it is ■12.24 . And book value per share is ■106.34 as against

■98.51 last year . Our Debt/Equity ratio is 59 :41 maintained . And Return on Net Worth is 11.51 % as against 12.42 % because the Net Wort h has increased and profit is almost same .

- These are some key financial information . The income from previous period, from 63 crores it has become 509 crores . Interest on differential tariff ■95 crores as against ■102 crores. Interest from subsidiaries and JVs ■802 crores as against ■560 crores. Incentive – ■239 crores as against ■150 crores . And dividend from JVs – ■22 crores. Dividend from subsidiaries – ■347 crores. CSR expenses ■130 crores against ■161 crores. FERV – ■166 crores as against ■238 crores. Equity in TBCB – ■5,543 crores as against ■4,390 crores. Equity in TBCB under construction - it has increased to ■4,268 crores. Our short -term loan is ■5,500 crores.

- Commercial Performance :

- As against billing of ■28,161 crores , realization is 103 %, which is a ■29,024 crores . And lowest ever trade receivable days has reduced to 24.65 days at the end of Q3FY26 . In Telecom , our income has increased from ■825 crores to ■879 crores . We have received one order worth ■206 crores , this is a multi -year order . 18 numbers customers have been added . Then backbone availability is maintained 100 % like earlier years . And our telecom network is more than 1 lakh kilometers . In Consultancy, the income has increased from ■427 crores to ■1,173 crores. New orders ; we have 5 numbers, ongoing 77. Then international, we have 2 orders from international as well as ongoing 14 numbers. We have footprints in 25 countries.

- Business Outlo ok:

- As you know that India is going for $10 trillion economy, then it will require rapid industrialization and urbanization. It will require EVs, it will require Green hydrogen, it will require data centers. We know that by 203 2, 600 GW of non -fossil fuel capacity, power capacity , is going to be added. Then , 71 GW will be additional electricity demand only for Green hydrogen by 2032.

- In Energy Stor age, we have 47 GW BESS, that is Battery Based Energy St orage , by 2032 , and Pump hydro 27 GW. It will be enabler for RE balancing and RTC supply.

- In Global Energy integration, vision of our Honorable Prime Minister for ‘One Sun One World One Grid ’, it will have number of cross -border and international interconnections with the SA ARC countries, then we will have Middle East and many more interconnections are likely to be there in future for global energy integration.

- As of today, we have ■1,45,513 crore works in hand , apart from ■50,000 crore projects work in progress . So, we have ■1,95,000 worth projects which are to be commissioned in next 3 -4 years. Out of which, Tariff Based Competitive Bidding we have won ■1,09,000 crores , then New Regulated Tariff Mechanism it is ■23000 crores , ongoing RTM projects ■9,934 crores and others like data centre and other projects we have ■2,204 crores.

- The FY26 and capitalization guidance, we commit that there will be increase from ■28,000 crores to ■32,000 crores and capitalization from ■20,000 crores to ■22,000 crores.

- These are the major projects which we have won in FY26.

• One is , transmission system for evacuation of power from pump ed storage projects in Sonbhadra. It is costing about ■3,626 crores with tariff of ■328.4 crores.
• Second project is inter -regional strengthening between SR and ER. It is ■2,723 crores with tariff of ■311.9 crores.
• Between NR and WR, Vindhyachal -Varanasi , involving station of Pr ayagraj , the cost is ■2,368 crores with tariff of ■323.1 crores.
• We have one intrastate transmission project in Maharashtra for removal of transmission const raints in Pune. It is 765kV /400kV substation in Pune East , the tariff of which is about ■368.5 crores. So , cost will be somewhere about ■3,500 crores . Because it is an intrastate project , so the cost is lik

ely to be ■3,500 crores because it was not discussed in NCT. So , NCT cost is not available in this case.
• Then Davangere -Bellary , ■1,111 crores with tariff of ■130 crores.
• Between southern region and western region, which is Parli -Bidar line, ■1,007 crores with tariff of ■104 .7 crores.
• Then transmission system in Davangere, ■379 crores with tariff of ■42 .3 crores.
• The Battery Energy Storage which we have won in Andhra Pradesh , it is for 150 MW , 350 megawatt hours. It is a TBC B project at Kalikir i, Andhra Pradesh. It is Build -Own -Operate basis with VGF support. It is a large scale and renewable energy integration project. It shall enable on demand power availability and enhance grid stability and reliability. The estimated cost is about ■250 crores and annual tariff is ■29.52 crores.

- We are also aggressively participating in the BESS projects. And there are number of projects which are likely to be bid out for Battery Energy Stora ge. So , POWERGRID will be aggressively participating in those projects also.

- In Kenya , as you know that , we have recently signed this PPP model project , transmission project , which involves transmission line from Loosuk to Lessos . It is 165 kilometer long line and LILO of 400kV Loyangalani -Suswa at Loosuk . It will have 2 stations , one at Loosuk and second at Lessos .

- Project two is transmission line from 220 kV Kibos –Kakamega –Musaga line and LILO of both circuits of 132kV Lessos to Musaga at Musaga (New). It will have two stations , one at Kakamega and one at Musaga , both of 220 /132kV. It is the first independent transmission project in Africa and risk sharing is with multilateral development partner which is Africa50. The estimated cost is about $311 million. And we are also working with Africa50 in other countries also for simil ar projects on IPP mod el.

- The challenges in project implementation –

• Securing of land , it is a challenge but we are getting support from all the states .
• Right of way. Government of India has come out with the guidelines in June 2024, then in March 2025, then again in December 2025. So , with this guideline , we expect that R oW issues will be better to be resolved and results are already seen on the ground that we are able to commission number of transmission projects.
• There are supply chain constraints especially for transformers and reactors. Government of India is also considering this challenge, and we are talking with IEEMA, we are talking with the Indian manufacturers for augmenting their capacity for manufacturing. And , in fact , with the transformer manufacturing facilities of foreign countries but available in India. They are also likely to be approved by Government of India. So , supply will also improve and this problem will be reduced.
• Then skilled manpower availability. Again , it is a challenge . We have already opened four numbers of skill developmental center at Malda, Ba nka, Raigad and Bas si close to Jaipur. And we are developing or we are giving training to unskilled manpower making them skilled for transmission line works . 50 batch for three months training we are giving. So , at 4 locations 200 trained fitters are getting trained in 3 months. So , 200X4, almost 800 fitters are getting ready each year.

• Then difficult terrain in Rajasthan, Gujarat then Leh, Ladakh that area. It is a definitely difficult terrain and c hallenges are there.
• Then forest and wildlife clearances. Again , it is a pain point for all of us and we are discussing with Government of India and Government of India is supporting us in getting forest clearances also .

- In ESG, CSR and aw ards.

- As I told that 50% of total power consumption has been met through renewable in December 2025. It has been achieved by our rooftop solar installations across POWER GRID facilities. We have 85 MW solar plant already commission

ed at Nagda. Then Pan India Green energy initiatives
reflecting compan y's commitment to sustainability , it strengthens POWERGRID 's ESG roadmap and supports India's clean energy transition.

- Towards this, we have commissioned first , Asia's first 315 MV A ICT at Bhiwadi. It was recently commissioned at Bhiwadi. It will improve environmental performance because it is a biodegradable and a fire safety will also be taken care. And we have already ordered two more transformers and reactors of natural ester oil or synthetic ester oil. So, which wi ll also be coming shortly in the POWERGRID network a nd they will also be commissioned.

- Towards reducing ROW - we have recently installed insulated cross arm in monopole. So , it will help in reducing R oW from 46 metres to 31 metres . If a lattice tower of 400 kV level, it will have RoW of 46 meter, but in case of monopole with insulated cross arm it will have 31 meter R oW, so it will reduce almost 35 to 40% R OW and it will optimize the land utilization. It will have lower environmental and social impact.

- In CSR, we have taken a numb er of initiatives like Vishram Sadan at Siddharth Nagar , the n 50 bedded Vishram Sadan and 500 solar lights and 500 hand pumps. It was handed over to the Siddharth Nagar adm inistration in the presence of Hon'ble Member of Parliament , Sh ri Jagdambika Pal ji. Then , the ITI at Gorakhpur was inaugurated by Hon 'ble Chief Minister of U.P., Shri Yogi Adityanath ji, then Advanced Cancer Care Homi Bhabha Cancer Hospital at New Chandigarh. This also has been handed over to Chandigarh. Then we have got outstanding Leadership in Asset Man agement award to our Director (Operation s) by Institute of Asset Management , India and 19th exceed award for outstanding CSR work in Rainwater Harvesting and Conservation Award was r eceived by POWERGRID . So, thank you very much . Thank you for your patient h earing. Thank you.

- Mr. Bakul Gala - Moderator:

- Thank you fo r this wonderful presentation and I take the liberty to say, "Chairman Sir, the tennis and all that you play, I think marathons are done like this only." We now start with the next segment, which is Q&A, and I request each one of you to raise your hand, introdu ce yourself and the house. M y team is around t o get you the mic. Yes, please?

- Mr. Murtuza – Kotak:

- Yeah. Hi, sir! I just want to check, you know, on slide 28, you gave some of those competitive bid projects. Now, when I look at the tariff and the NCT costs, it doesn't look as exciting. But I'm guessing , there's a lot of savings versus the NCT estimates. Could you give us a ballpark in terms of, what is the average cost saving versus what NCT believes the estimates ver sus what POWER GRID is able to do those projects at? This is on the competitively bid projects. You gave the estimated cost as per NCT .

- Dr. R.K. Tyagi – Chairman & MD:

- Cost and tariff.

- Mr. Murtuza – Kotak:

- That's right. So , I just want to get a sense of , compared to that cost , typically what is POWERGRID on average able to implement these projects at. I mean it will be project specific but still on average , if we could give a sense ……

- Dr. R.K. Tyagi – Chairman & MD:

- No. Whatever …. This, because this is NCT cost. But the cost conside red by POWERGRID will be different from this cost and based on that cost only, w e have bid out this project and we have won. And we will ensure that this project is executed within that limit.

- Mr. Murtuza – Kotak:

- But typically, compared to their estimates……

- Dr. R.K. Tyagi – Chairman & MD:

- Sometimes it is within that, sometimes it exceeds also . Our cost es timate will be closer to that b ut sometimes it is higher than that cost.

- Mr. Murtuza – Kotak:

- Sure. Thank you.

- Mr. Bakul Gala - Moderator:

- Yes, please.

- Mr. Shub

hdeep – Nuvama:

- Good afternoon. Hi, this is Shubhdeep from Nuvama . Firstly, congratulations on a great set of numbers and execution for third quarter. So , as you've already charted out the guidance for CapEx and Capitalisations for 26, for FY27 and FY 28, can you give us your revised numbers for Capex and capitalization?

- Dr. R.K. Tyagi – Chairman & MD:

- Last year, sorry, last meet, we have given ■28,000 crores for FY 26. We are increasing it to ■32,000 crores as I told and for FY27, CapEx will be ■37,000 crores. In FY 28, it will be ■45,000 crores.

- Mr. Shubhdeep – Nuvama:

- And for capitalization?

- Dr. R.K. Tyagi – Chairman & MD:

- Capitalization, FY27 , will be ■30,000 crores and FY 28, it will be ■35,000 crores.

- Mr. Shubhdeep – Nuvama:

- Sorry, I'll just take the last one. Also, in terms of the pipeline of TBCB projects that you're seeing in terms of fresh tenders, any ballpark number as to how large that number is on an annual basis?

- Dr. R.K. Tyagi – Chairman & MD:

- Yeah. There are about, projects worth ■55,000 crore. Projects are already under bidding, and there are about ■15,00 0 crore projects which are approved but yet to be , up for bidding. So , it become s almost ■70,000 crores and we, out of six lakh sixty thousand c rore, the pipeline of projects up to 2032. So , we have already considering this, we have the three lakh crore projects will be already avai lable for bidding and balance t hree lakh sixty thousand crore will be available

for bidding, which are yet to be approved by NCT and Government of Ind ia, and which are likely to be bid out in next four years. So , there will be almost , on an average ■90,000 crore projects each year will be bid out.

- Mr. Shubhdeep – Nuvama:

- So if I hear you correctly, out of six lakh sixty thousand crores till FY 32, three lakh is done. Another three lakh ……

- Dr. R.K. Tyagi – Chairman & MD:

- ■2,30,000 crores is already under execution or commission ed, ■55,000 crore s up for bidding. They are available for bidding. ■15,000 crore yet to be available for bidding and balance will be approved and subsequently available for bidding. So those will be ■3,60,000 crore s in 4 years. Next four years , so that they are completed before 2032.

- Mr. Shubhdeep – Nuvama:

- Perfect! Understood, sir! Thank you.

- Mr. Bakul Gala – Moderator:

- Yes, please.

- Mr. Apurva – IIFL:

- Hi, sir. This is Apurva from IIFL. In your comments , you mentioned about company sort of getting aggress ive on the battery storage. T here was also a recent C ERC draft proposing inclusion of storage in cost plus model. Any thoughts over there, sir or if you can share some plans?

- Dr. R.K. Tyagi – Chairman & MD:

- Yeah. Ther e is only draft paper on this and actually for grid reliability. Now , we have almost 50,000 MW RE power in grid. So , which is b eing generated and because, this variability and intermittency of renewable energy, there will be some grid stability storage required also. So, we are considering that, this is the idea behind grid stability that as a transmission element, the battery energy storage will also be a part of the tra nsmission. And if once this, CERC draft document is approved or it is ava ilable, then there will be p rojects for battery energy storage in RTM also. So that is under discussion.

- Mr. Apurva – IIFL:

- Sir, how large could that quantum be?

- Dr. R.K. Tyagi – Chairman & MD:

- Exactly , I cannot tell. But it will be normally , it will be 10% of the total requi rement. Suppose we have 50,000 MW . So, normally it is 10 to 15% of the total generation capacity.

- Mr. Apurva – IIFL:

- Understood . So another question on the budget yesterday. There was a change in regime for MAT . Does it have any impact on the tax liability or treatment of tax

for our SPVs ? The TBCB one specifically?

- Mr. G. Ravis ankar – Director (Finance) :

- Actually, all the TBCBs already are under the new tax r egime only. So , there is no, already all the TBCBs are not paying MAT, if there is no profit on the income tax rule, and we are followi ng only the old tax regime for POWERGRID because we have 80(IA) benefits. So , we will have to evaluate that, how long it will be beneficial to switch over from old ta x regime to new tax regime for POWERGRID . Otherwise, all other SPVs are already under th e new tax regime only. And for POWERGRID , anyhow, whatever you pay t he taxes , it is pass through only.

- Mr. Apurva – IIFL:

- So lastly , on the other also.

- Mr. Bakul Gala – Moderator:

- We have to restrict because there are others also. So maybe two questions and then we move on. Yes please? A little representation on the left side. I'll come to you. I'll come to you.

- Analyst:

- Hi! Good afternoon sir. My question is on the supply chain challenges. I think , the Government of India.

- Mr. Mohit Kumar - ICICI Securities:

- Government of India is working on some Chinese relaxation. Can you just help us with the kind of supply chain relaxation from the government? And we expect and can we just also highlight the challenges which are happening, which are happening in component wise?

- Mr. Bakul Gala – Moderator:

- Sir, can you introduce yourself?

- Mr. Mohit Kumar - ICICI Securities:

- Hi I'm Mohit Kumar from ICICI S ecurities.

- Dr. R.K. Tyagi – Chairman & MD:

- Especially for transformers and reactors, as a component level, a s of now, there is no challenge . Only for manufacturing and assembly of transformer compone nts like core , winding , bushing, there is a challenge . As per the present capacity of our transformer manufacturers, OEMs like T&R, Hitachi, Toshib a, CG and other manufacturers, t oday we have capacity of 2,28,000 MVA capacity. And even if we consider their augmentation in next 2 to 3 years, the capacity become 3,98,000 MVA , whereas demand in 26 -27 itself , it is 4,21,000 MVA . So, unless until the Chinese companies available in India, if relaxation by Government of India is given, then it is going to boost the transmission sector. So , it should be a good move for everybody.

- Mr. Mohit Kumar - ICICI Securities:

- Sir, one clarification. I was looking also for import, no, right? Import of….?

- Dr. R.K. Tyagi – Chairman & MD:

- Like, already whatever components like copper , the n paper , these components will be or core. These will be c oming from outside only. Today a lso, they are coming from outside. Tomorrow also they are coming because all the manufacturers, they are importing these components and assembling in India. So , they will continue to be important.

- Mr. Mohit Kumar - ICICI Securities:

- Understood. My second question…….

- Mr. Bakul Gala – Moderator:

- We'll have to r estrict please. Yes. Yes please?

- Mr. Nikhil – Bernstein:

- Yeah. Hi, sir. Hi! I am Nikhil from Bernstein. The first question is right of wa y, had been a consistent challenge for us over the last one year or so a nd you highlighted it still being a challenge. But was there a change this quarter and in January , that we could see such big and impr ovement in capitalization.

- Dr. R.K. Tyagi – Chairman & MD:

- Yes. There was, like, when we talk of this change or modific ation in guideline in March 25 . So, these guidelines were issued by Government of India. Then subsequently , they were adopted by Government of Delhi, Government of Haryana, Government of Rajasthan, Government of Gujarat . And that time took almost, some state s adopted in July, some state s adopted in August. And finally, the orders for this MRC rate or land rate were issued by respective District Collector or

Distri

ct M agistrate in September and October. So after that only , work started happening. So that is why progress now , it is increasing. So now in Q3, Q4 progress will be better.

- Mr. Nikhil – Bernstein:

- So would you say it's not a temporary change we have seen? It's a structural shift we are seeing in ROW getting much better than the last couple of years?

- Dr. R.K. Tyagi – Chairman & MD:

- Yes, yes, because earlier days, there was only, RoW area was considered 30% and now it is not only 30% in rural area, i n semi urban it is 45%. And this urban area like Delhi or cities, it is 60% of RoW area. We have to compensate for land value. And earlier it was the circle rate to be paid multiplied by area. Now it is market rate. And methodology also has been issued by Government of India which says that there will be three valuer, one will be by the farmer, one will be by POWER GRID . And these t wo valuers will give the rate, m arket rate and average of this will be taken as market rate. If the farmers are not agreeing to this rate, because there can be difference between far mer and POWERGRID valuer rate. Then there will be third valuer nominated by DM, then rate of that will be considered for coming out with the market rate , so that procedure has been now streamlined.

- Mr. Nikhil – Bernstein:

- Perfect! Thank you sir.

- Mr. Sumeet Kishore – Axis Capital:

- Sir, Sumeet Kishor e from Axi s Capital. So, my first question is, a follow up on what you explained to Mohit. So, the whole transformer in no situation will get imported. They will have to be localization of manufacturing and then components will get imported. Is that the right understanding?

- Dr. R.K. Tyagi – Chairman & MD:

- Yeah. So , Government of India is not considering impo rting transformer as a total item.

- Mr. Sumeet Kishore – Axis Capital:

- Very clear.

- Dr. R.K. Tyagi – Chairman & MD:

- It is only assemblies. The way it is happening now, it will continue to be like that .

- Mr. Sumeet Kishore – Axis Capital:

- Okay. Okay. Sir, my two questions. First one is, you know, when we look at the CEA website data on physical progress of projects. So up to December , when I saw the data for progress o n transmission lines for POWERGRID was 33% of the full year target, and we saw across the categories. Similarly, for substations, it was some 56% of target. So, I thought that maybe, you know, the capitalization will also be weak. But how is , how does that work? How do we track that using the physical data on progress on the CE A website? And the second question is on HVDC. So , we've seen that the number two player now is , almost h alf the works in hand of POWERGRID . At least they claim to be Rs.750 billion. They've taken two HVDC projects. So, what are the next 2 or 3 HVDC projects that are going to be awarded in the country? What is their size and timeline? If you can please cover that and your strategy going forward. Thank you.

- Dr. R.K. Tyagi – Chairman & MD:

- Okay. The CEA website, yes, there were issues earlie r as I told that by Q2 FY26 our, the results were not good . In Q3 FY26 also, you can see that it was only 12,000 crores capitalization. So , as of today, we have 3300 ckm, we have already achieved . Our target , annual target is 5500 ckm, circuit kilometer, out of which we have achieved , already achieved 3300 ckm. In transformers, our target as given to CE A or Government of India, i t is 60,000 MVA capacity. We have already achieved 42,000 MVA and we are sure that we will be achieving almost 1500 to 2000 ckm by end of this financial year. So , we will be very close to the target which has been gi ven by CE A or Government of India and similarly , in trans formation also, we will have almost 18 ,000 to 20,000 MVA capacity will be added in next two months, so we will be very close to 60,000 MVA capacity .

- In case of HVDC, there are only th ree manufacturers. Hitachi , GE and Siemens are there. So we have already given a project of this Khavda Nagpur a nd they are all also executing this Fatehpur to Bhadla project and then Khavda to the South Olpad , all part of Adani. Although it is a different TSP, it is again …. it is by another GIS, sorry HVDC supplier. So, we have projects like Bika ner, Barmer to South Kala Amb , which w ill cost almost ■35,000 worth crore project , which is already up for bidding and OBD will be done on 1st April 2026. There are number of more projects like Bikaner V to Begunia, this shoul d be shortly approved. Then t here is a discussion about 320 kV, 500 MW Paradeep to Andaman. This is likely to be commissioned by 2031 to 2032. Again, it is almost ■ 31,000 crores. Then there are some projects in Brahmaputra basin. It is in Niglok in Arunachal Pradesh , then Namsai , Roing , Silapathar , Gogamukh , Rauta. So , these are some projects which are likely to be , in any are depending on the hydropower generation in Northeastern region, that the timeline will vary depending on the progress of hydro project, because hydro project time is almost, say, 8 to 10 years and HVDC project is almost four years. So, depending on the progress, these projects will be available for bidding.

- There is one more project which is already discussed in NCT. It is Kurnool to Vishakhapatnam.

- Mr. Sumeet Kishore – Axis Capital:

- Can two LCCs get awarded this year? The two projects that you said first , one and two. Can they get awarded this year? They are both LCC, right?

- Dr. R.K. Tyagi – Chairman & MD:

- Hopefully , Barmer II to South K ala Amb , it is sure a nd there should be , I think Bikaner V to Begunia. Also, it should be possible to be awarded this financial, next financial year.

- Mr. Sumeet Kishore – Axis Capital:

- Next financial year.

- Dr. R.K. Tyagi – Chairman & MD:

- No, not this financial …….

- Mr. Sumeet Kishore – Axis Capital:

- FY27. Both will be in FY 27.

- Dr. R.K. Tyagi – Chairman & MD:

- Yes.

- Mr. Sumeet Kishore – Axis Capital:

- And Bikaner V to Begunia is ■300 billion or smaller?

- Dr. R.K. Tyagi – Chairman & MD:

- It is 6000 MW . Almost, i t will be again ■35,000 crores.

- Mr. Sumeet Kishore – Axis Capital:

- Thank you so much, sir.

- Mr. Puneet – HSBC:

- Thank you so much. Puneet from HSBC. My first question is , with respect to the increase in commodity prices, how is that impacting your projects?

- Dr. R.K. Tyagi – Chairman & MD:

- Commodity prices means?

- Mr. Sumeet Kishore – Axis Capital:

- Copper pri ces, aluminum , they've gone up. Is it impacting your cost estimates?

- Mr. G. Ravis ankar – Director (Finance) :

- Yeah. As you know, there are about the transmission lines and substations, whatever the transmission contracts we are awarding on a firm price only. So, the metal prices are not goi ng to impact our returns in respect to the transmission line contracts. And for substations, we have a certain PV clause in the contracts which we actually consider during our bidding. So, I don't think we are going to be impacted much on the commodity prices variation.

- Mr. Sumeet Kishore – Axis Capital:

- Understood. Secondly, and do you also see increase in repair and maintenance contracts on your regulated business increasing in near future, or do you think that's still a few years away ?

- Mr. G. Ravis ankar – Director (Finance) :

- Next to five years, i t's already fixed. It's , they have already given the O&M charges for the next five years. So next revision will be after 2029.

- Mr. Sumeet Kishore – Axis Capital:

- Sir, I meant capacity augmentation for your existing RTM projects. Is there a room for those projects to come in at a higher price ?

- Mr.

G. Ravis ankar – Director (Finance) :

- Yeah, that we are alrea dy doing.

- Mr. Naveen Srivastava – Director (Operations):

- The capacity , at whatever w e are increasing at all there, w e are doing it in ad cap which is, s uppose the life is over , that we are already , we are putting in the regulator CERC and we will get the tariff on that.

- Mr. Sumeet Kishore – Axis Capital :

- Okay, great. Thank you.

- Mr. Girish – Morgan Stanley:

- Hi, sir. This is Girish from Morgan Stanley. Thanks for the detailed presentation . On the construction pipeline , that you have right now, I think it's about ■1,43,000 crore for transmission. If you can just br eak up the 3 -4 year, 5 year plan because you've given capitalization for two years. If you can just help us with, within regulated and for non -regulated and within non -regulated HVDC commissioning like next 4 or 5 years, if you can just spell out the numbers. And the second one was the market share que stion . In nine months, how much bidding has completely happened thus far, and what's your order market share for this year?

- Mr. Girish – Morgan Stanley:

- Market share for nine months in bidding and commissioning capitalization progression for the backlog right now. And if you can break that up into HVDC and n on HVDC and regulated ?

- Mr. Burra Vamsi Rama Mohan – Director (Projects):

- On the HVDC front, a s we have one project which is going on , on the T BCB, it will be for the next three years, 2 to 3 years that will be spread across the entire CapEx. And we have one RTM project also under HVDC, which was given to us by the regulator. So that will be taking about another 3 years. So, Bhadravati also is there. Those are the two projects over there which will be there in the next three years - the HVDC part and most of the TBCB projects, t he general TBCB projects have a range of about 2 to 3 years of CapEx. So , whatever is there in the TBCB , what has been shown out there , that will be spread across 2 to 3 years. The remaining RTM projects are also on shorter duration. They will also be overlapping in a similar period, about 18 months to 24 months, most of the projects .

- Mr. Girish – Morgan Stanley:

- And any comment on the market share for the new pr ojects one in this fiscal year?

- Mr. Burra Vamsi Rama Mohan – Director (Projects):

- Yeah, we are having that guidance. We are about 50 to 60%. It is there. We are getting a lot of intra -state projects also. So , but then , if you look into the interstate projects, we are maintaining our market share.

- Mr. Girish – Morgan Stanley:

- And just one clarification , intra -state would be how big today in, either your backlog.

- Mr. Burra Vamsi Rama Mohan – Director (Projects):

- Backlog means?

- Mr. Girish – Morgan Stanley:

- Your orders in hand.

- Mr. Burra Vamsi Rama Mohan – Director (Projects):

- Orders in hand.

- Mr. Girish – Morgan Stanley:

- How much is intrastate right now?

- Mr. Burra Vamsi Rama Mohan – Director (Projects):

- Intra state has a smaller share. Intrastate is just opening with states like Maharashtra and Karnataka opening up. We , because these intra state are projects by and large depends upon the states, how they are keen in trying to move ahead in thes e projects. So , we see that intra state will be gaining traction. And since the re is significant amount of projects already under t he intra state front, we are also evaluating the, the, the risks, which are associated with intra state projects and basis that we are going ahead with it. We have, as already as our C hairman has pla ced it, one of the largest intra state project in the state of Maharashtra , is what we have recently been successfu l in it. We are awaiting the L oI for it.

- Dr. R.K. Tyagi – Chairman & MD:

- Like, there was, as per NEP guidelin e, there

was a total three, almost 3 lakh crore projects under intra state. And the, so far, only few projects have been awarded. So , balance are yet to be awarded by state like Rajasthan. They are talking about, projects worth almost ■60,000 crores. Similarly , Karnataka also , maybe ■60,000 to ■70,0 00 crore and other all states where renewable is more, s o there will be number of projects, especially in intrastate and depending on the challenge, like if some project in Karnataka, like in Bangalore or in Maharashtra, like in Pune and Bombay. So, depending on our book position, we will be aggressively or not aggressively bidding for t hose projects because being intra state project and very difficult projects. So, we will be taking a call depending on the situation.

- Mr. Bakul Gala – Moderator:

- Okay. Yes, please?

- Mr. Prateek – ICICI Prudential:

- Yes, sir. This is Prateek from ICICI Prudential. So just a couple of questions. So in Q3 , we saw a big jump in capitalization. So just a clarification on that. So, is this more of a one off thing i n terms of quarterly run rate o r can we expect that in Q4 and going forward in H1 next year? So how do we think about it? Should we l ook at it on a quarterly basis? This figure will continue or will it be more of an annual completion target ?

- Dr. R.K. Tyagi – Chairman & MD:

- Like, t he capitalization depend on, the project being commissioned, i t depends on the size of that particular project. If it comes in, say, Q4 or Q1 or Q2. So , definitely the percentage of that particular quarter will increase. Otherwise, we will be continuously commissioning the projects. I can tell you the projects like we have Bhadla III to Sikar II, Bhadla III to Ramgarh, we have Navsari to Padghe , we have Kurnool III to Maheshw aram, we have Ananthapuram to Kadap pa, we have Navsari to Kala, which are likely to be commissi oned, completed in Q4. Then, if we talk of Q1, we will have projects like Koppal Gadag, we will have Koppal to Raichur, we will have Koppal to Narendra, we will have Beawar Dausa . So, these projects will continue, which will be commissioned in phased manner. And percentage of each quarter will be very difficult to tell because it depends on size of the projects which will be commissioned in a particular quarter.

- Mr. Prateek – ICICI Prudential:

- Right Sir. And the second question, s o there appears to be some policy hesitation regarding HVDC projects because they are quite costly. So how do we look at this? So , will it impact the CapEx? Can it impact the Cap Ex guidance, let's say, from FY 28 to 30, and can the overall transmission CapEx outlook be impacted because of this?

- Dr. R.K. Tyagi – Chairman & MD:

- Like I told that , we have now ■32,000 crores for FY 26. We have already committed to Government of In dia for next financial year, FY 27, ■37000 crores and FY2 8, ■45000 crores . So when I'm talking about ■37,000 crores and ■45,000 crores . So definitely our HVDC projects , major expenditure will be durin g that period. So, once it is commissioned, because this project already , it has already completed one year. So , the timeline is about four years. So , after three years , it will be commissioned. So , in after two years , the major expenditure will happen because all equipment will start coming to India and they will be supplied. And finally , it will be commissioned after say , three years from now. So , it will vary depending on the supply and expenditure.

- Mr. Prateek – ICICI Prudential:

- Sure. Okay. Thanks.

- Mr. Namit Arora – InGrowth Capital:

- Thank you. Good afternoo n, Dr. Tyagi . Firstly, since it may be our last opportunity to interact with you in such a forum. Many congratulations on a very illustrious career and all the contributions to the nation. Sir, my question, I'm Namit Arora from InGrowth Capital. Sir, my question

was, in the
last 3.5-4 years, there may be a lot of initiatives that you would have taken to build on the foundation, which may not have fully borne fruit so far, but will obviously benefit the organization over the next 5 to 10 years. If you c ould give us some color on that? Thank you.

- Speaker:

- Sir, he indirectly said that you are meeting for the last time.

- Dr. R.K. Tyagi – Chairman & MD:

- Thank you. Thank you very m uch. So, like, POWERGRID is a company which was born in 1989 and we have started operations in 1991-92. So we have been taking initiatives a ll these years. So , there is no last three years or four years , we hav e been taking initiatives and it is keeping on adding value to POWER GRID . So, similarly , in last three years or yo u talk of any thre e years. So , there have been additions of new initiatives and we shall h elp POWER GRID in achieving our CapEx and capitalization and growth of POWER GRID like we had in FY24, we had this CapEx of about ■12,500 crores. Last year, we had ■26,000 crores. This year we are going to have ■32,000 cro res. Similarly, we will have capitalization a lso, like last year, it was not much, but this year it will be ■22,000 crores. Next year , again it will increase. So , the initiatives which we have taken in recent past, we have made dedicated R oW cell. So , the R OW cell, it is being handled from corporate office , where

it is being monitored on day-to-day basis from corporate office. So , and in each region , there will be RoW c ell. So , they are discussing RoW issues of each and every tower, each and every transmission line. So , that is helping us in a big way to take care that management is aware that what is happening in this particular line and immediately action is taken. Suppose there is a RoW in a particular line. Then if it is brought to the knowledge of management, then immediately we discuss with the, say Chief Secr etary of that particular state or Power Secretary of Government of India, so that whatever help is required at ground , immed iately that is taken. And we are meeting with the chief ministers of various states. The Power Minister is calling or having meetings with the all the states. So , Government of India is also helping POWERGRID in resolving RoW issues.

- Second is , like transformers and reactors, w e are taking in advance. Like suppose , I know that so many projects are coming for bidding and after two years or three years, so many transformers will be required for commissioning, so I should have those transformers in hand. So , there should not be uncertainty. That project is won , but transformer is not there. So , we are pr ocuring as a bulk transformer a nd each package we are having 30 transformers, one package we are procuring which will be require ment for maybe 2 or 3 , substation s requirement will be taken in advance only in one package and such package, w e are maybe 10 to 12 package . Each year, w e are coming out with these packages.

- Then we also have a land acquisition cell or land acquisitio n department . Whenever any project is coming for bidding. So, immediately our la nd acquisition cell becomes active and they are going to ground and they are talking to various for each projects, we are four options will be there …. 3 to 4 option so that in case we win the project immediately, the land should be available. So that initiativ e is also helping us. Then one more project, one more initiative. I can say that, the mechanization of transmiss ion l ine tower erection, that now we are talking of cranes, we are talking of central cranes. So , it is now reality that cranes are to be used for, making transmission line towers or erecting transmission line towers. We have Portadeck mats are available that even in rains or where muddy area is there or even this mud is there , in those condition a lso, we were able to work in rains al

so. So , the Portadeck mats are being used in last 3 to 4 years. So , then , we also started monitoring. We also have t hose control rooms in each region , that all sites are connected through camera. Earlier we had for operation, these control centers were used for only for monitoring of operation. But now project monitoring is also being done through control center installed by camera. And we can see , even C hairman can see in his room that what is happening in this particular project. What is the progress yesterday? What is the progress today? I f any challenge is there in this particular project , so the C hairman can call that project manager on the screen, on the camera and discuss what is happening in this particular project . So, I remember only these initiatives.

- Mr. Namit Arora – InGrowth Capital:

- Thank you very much, sir .

- Speaker:

- And above that, you were saying that many people have taken initiative. Even you have taken. I will say only one thing, modesty is th e virtue.

- Mr. Namit Arora – InGrowth Capital:

- Thank you very much, sir. And all the best to you and the entire team. Thank you.

- Mr. Bakul Gala – Moderator:

- Super performance. Last couple of questions and t hen we need to close. So please! Yeah.

- Mr. Shirom Kapoor – Jefferies:

- Hi sir! Thank you. Shirom Kapoor from Jefferies. So just want to understand the numbers that you shared on the capitalization guidance now and going forward, it has been raised. So , could you maybe help us understand what has driven this acceler ation in the capitalization and maybe quantify between RTM and TBCB , what will be the rough split in the capitalization for 26, 27, and 28? And other than that, what has driven the increase in guidance? Is it, you know, are you expecting some projects which are sched uled to commission later coming forward, or is it just your overall works in hand expanded? If you could help with that, sir?

- Dr. R.K. Tyagi – Chairman & MD:

- Yeah. I f you see fro m the data that it is ■1,45,000 crores , if we remove ■2000 crores worth projects for data center and ot her areas, it becomes ■1,43,000 crores . So, most of the projects are under TBCB only, and the ongoing RTM is hardly ■9000 crores , ■10,000 crores. And one RTM project, which we are talking is the L eh Pang, which is yet to be launched basically. So, in next 2 to 3 years , we will have mainly TBC B project s. So, I can say that 80 to 90% will be TBC B, 10 to 20% will be RTM.

- Mr. Shirom Kapoor – Jefferies:

- Got it sir. Thank you so much.

- Dr. R.K. Tyagi – Chairman & MD:

- And you are saying , like what trigger or why suddenly there is a n increase in this? Because RE projects are very critical projects which are commissioned and we don't want that any p ower RE power , Green power, which is almost free given by nature. So, it should not be curtailed at any cost. So , we want to focus on these projects so that no power is curtailed in India.

- Mr. Shirom Kapoor – Jefferies:

- Got it sir. Thank you so much, sir.

- Speaker:

- Yeah, we can close.

- Mr. Bakul Gala – Moderator:

- Good. May I now request, Shri L. K. Khaj kumarji . He's the Executive Director, Corporate Planning and I must congratulate him for the fantastic presentation that he and his team , they put together. So nice of you, sir. Please come. Thank you. Sir.

- Mr. L. K. Khaj kumar - Executive Director (Corporate Planning):

- Good afternoon to all. Respected C hairman and Managing Director POWERGRID , members of the Board of directors, distinguished investors and dear friends. On behalf of POWERGRID , I express our sincere gratitude to CMD and the Board for their insights and vision that continues to steer the organization towards sustained growth and excellence. I also extend our thanks to all investors and partners for your pres

ence and valuable participation. Your trust and confidence in POWERGRID strengthens our resolve to deli ver on our commitments and pursue continued progress in the power sector. My appreciation also goes to the organizing team for their meticulous efforts in ensuring the smooth conduct of this event. Finally, I thank all attendees for your engagement and con structive feedback, which make this interaction meaningful. As POWERGRID continues to expand transmission networks, adopt advanced technologies, and pursue sustainable growth, w e look forward to your continued support and partnership. Thank you once again for your faith in POWERGRID and thank you very much.

End of Transcription

Call: Apr 2026

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■ ■ ■■■■ : 0124 -2571700 -719
Corporate Office: “Saudamini”, Plot No. 2, Sector -29, Gurugram -122001, (Haryana) Tel.: 0124 -2571700 -719
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Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi -110 016. Tel: 011-26560112, 26560121, 26564812, 26564892,
CIN : L40101DL1989GOI038121
Website: www. powergrid.in

01st April, 2026

To
The General Manager (Listing)
National Stock Exchange of India Limited
Exchange Plaza, C 1/G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai.
To
The General Manager (Listing)
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub: Transcript of Webinar held on 23rd March, 2026 .

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith copy of Transcript of Webinar held on Monday , 23rd March, 2026 at 11:00 A.M. for Analysts & Investors .

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

Power Grid Corporation of India Limited
Transcript of Webinar
Monday, 23rd March , 2026 11:00 A.M. (IST)

Power Grid Corporation of India Limited
March 23, 202 6

Management

• Dr. R. K. Tyagi – Chairman and Managing Director
• Shri G. Ravisankar – Director (Finance) and CFO
• Dr. Yatindra Dwivedi – Director (Personnel)
• Shri Naveen Srivastava – Director (Operations)
• Shri Burra Vamsi Rama Mohan – Director (Projects)

Company Secretary and Compliance Officer
Shri Satyaprakash Dash

Moderator
Shri Vishal Periwal – PL Capital

Vishal Periwal - PL Capital : Good Morning everyone, o n behalf of PL Capital, I'll welcome you all for the webinar on the business update of Power Grid Corporation of India Limited. We have the senior management of POWE RGRID , and we'll start with a detailed presentation, which will be followed up by Q&A. And I'd like to thank the management for giving us this opportunity. Without much delay, I'll hand over the call to S hri Satya prakash Das h, Company Secretary and Compliance Officer. Thank you, and over to you, sir.

Mr. Satyaprakash Dash - Company Secretary & Compliance Officer : Thank you, Vishal. Good morning, ladies and gentlemen. It's my pleasure to welcome you at this webinar of Power Grid Corporation of India Ltd. To interact with analysts, and investors, and to share an update on Company's business performance. Now I'd like to introduce our esteemed senior management team, present with us today :
• Dr. R.K. Tyagi, Chairman and Managing Director.
• Dr. Yatindra Dwivedi, Director (Personnel).
• Shri Naveen Srivastava, Director (Operations).
• Shri Burra Vamsi Rama Mohan, Director (Projects).
Our Director (Finance) and CFO , Shri G. Ravisankar, will join shortly from video conferencing.

Now I would like to invite our Chairman and Managing Director, Dr. R.K. Tyagi to deliver his opening remarks and which will be followed by Q&A session . Over to you sir.

Dr. R.K. Tyagi - Chairman & MD : Good morning, Dear investors, thank you for showing confidence in

POWERGRID . We are committed to the belief of all the investors in POWERGRID , all the trust in POWERGRID . Whatever we have committed, we have already achieved that, and we are going to achieve better than what we committed. And the for the future plans also, we will like to share how we are going to contribute towards growth of the nation. By investing and b y constructing transmission system, India, and outside India, and making India, developed nation by 2047. So that was the agenda for today. So, I will just like to share some presentation and details and data.

My presentation will consist of Foundations & Growth Outlook , Then, Execution & Operational Excellence, Revised Capex & Capitalization Guidance, Then Multi -Year Capex & Capitalization Runway , like, how we are going to go in future, next 10 years or 9 years, how we are going to invest. Then, Shareholder Value Creation, Transmission Opportunity & Growth Visibility , then SPV Merger.

As you know that all good foundation of long -term value creation, it consists of India's largest system critical power transmission utility. We have predominantly regulated asset base , with a growing share of competitive bidding, transmission system where the revenues are on annuity basis. Then non - substitutable backbone of India's energy transition. Because everybody knows that Energy security requires energy transition, especially for India, which is very heavily dependent on imported fossil fuels , and st rong earnings, visibility, supported by India 's transmission , dividend visibility and execution excellence. Adaptive execution and superior project implementation. We have 35 plus years of execution excellence.

So, what is the opportunity for POWERGRID . Like India's transmission syst

em, it is going to expand
leaps and bound, electricity demand is going to increase. If we are imagining, or if we are considering developed nation by 2047, our power demand is going to increase power demand for data centre, power demand for artificial intelligence, power demand for EV and other industrial growth, electrification of economy, so our demand is going to increase, so it re quires that transmission system also to be there . Then renewable energy expansion, as per 2035 CEA guideline, it says that by 2035 -

36, we will have 786 GW renewable capacity, and total capacity will be somewhere about 1100 GW. So, it will have large RE hubs, so it will require long distance, green evacuation transmission systems. Next is G rid Complexit y. Because of RE penetration, it is going to increase day by day. So, until we have the balancing mechanism or stabilizers in the grid, like synchronous condensers, use of HVDC, use of 1200 kV network. This grid is going to be a challenge. So that opportunity is also there. So , it will have interregional transfer requirement and balancing and reliability infrastructure. Because RE means it is susceptible to variation, it is susceptible to intermittency. So , we have to have some reserves. We have to have some stabilizers in the grid. As I told that new demand centres like AI, Data Centre, and digital infrastructure, transport, electrification, green hydrogen ecosystem will require use energy demand or use power demand. So, we will have opportunity to construct transmission system for meeting these requirements.

As you know, that POWERGRID has to position itself to be the largest transmission company, not in the country, but in the world. We are one of the largest transmission network owner in the world with the 765 kV backbone transmission system. Today we have 290 substations. These are 400 kV, 765 kV, and 800 kV, HVDC substations, with MVA capacity, 6 ,12,331 MVA capacity, out of 14 lakh MVA capacity in the country. So, you can imagine that we are a major contributor in MV A capacity.

Across India, we have 11 HVDC projects. And 765 kV network, we have world’s largest 765 kV transmission network, which we are proud to demonstrate that we can construct transmission system at 765 kV, we can operate efficiently this network. So, system critical national presence , we have, then we have leadership in HVDC, 765 kV, even 1200 kV.

Technology also, it was developed by POWERGRID in 2012, which is, the largest voltage of transmission in in the world and difficult to replicate operating scale, technical depth, and execution capability, we have very good technical team, competent team, to operate and manage such huge asset base. As always, our reliability and availability of transmission system has been excellent. This financial year, we are having availability of 99.84%. Trippings per line, 0.25 trippings per line, that means our one lin e trips in every 4 years on an average. So , which is a very high reliability indicator . And it is enabled by digital and predictive maintenance, AI -based defect detection, drawn -based patrolling, advanced condition monitoring, techniques are being used by POWERGRID maintenance engineers and asset management engineers.

We have done Capex of more than one Rs . 100,000 crores in the last 5 years and capitalize d more than Rs 90,000 crore projects from FY21 to FY26. So, our CAGR assets have increased at about 10%. Today, we are a Company of Gross Fixed Assets more than Rs . 3,00,000 crores. Okay, financial year, 25-26, I am happy to announce that last investors meet, we have revised our Capex guideline to Rs. 32,000 cr ore. So today, we are now announcing that our Capex guideline will be Rs . 35,000 plus crore, and already we have achieved Rs . 35,000 cr ore. So, it is a good achievement by POWERGRID team, and

investors, we want to thank investors in posing faith in POWERGRID . Similarly, in capitalization also, we have announced on 2nd February that our capitalization will be Rs . 22,000 crores, but we have already achieved Rs . 22,749 crore with a commissioning of Khetri Narela with a commissioning of Bhadla III Sikar II line, with the commissioning of Navsari Ahmedabad line.

We have already achieved more than Rs . 22,000 crore, which is a record in last so many years and with the commissioning of Navasari -Phadge , which is expected to be commissioned by this month and, maybe by 28 -29 March , it will be commissioned. Our capitalization will be Rs . 25,000 crore plus. So we are committing today that our capitalization for this financial year is going to be more than Rs 25,000 crores.

The details of the elements commissioned in this financial year, we are talking about transmission line, 4,239 circuit kilometer , transformation capacity, although it is written 6 0,370 MVA, but actually so far, it is 52,555 MVA, but in next one week, It will be more than 62,000 MVA. So, there is this change that this transformation capacity, as on today, it is 52,555 MVA. But by this month and it will be 62,000 MVA capacity. So almost 10,000 MVA capacity in final stages of commissioning. So, this figure will be also will be surpassed. So, we will be somewhere about 62,000 MVA.

This year, we have commissioned 8 substation s and one more substation is likely to be commissioned at Bikaner III . So it is going to be 9th substation, and the elements are Badla III - Sikar II, at 765 kV level, 765 kV Bhadla III - Ramgarh II , 765 kV Khetri - Narela , 765 kV Ahmedabad - Lakadia , 765 kV Bhadla II - Sikar II , 765 kV Ahmedabad - New Navsari , 765 kV Banaskantha -Ahmedabad , 765 kV Khavda II -Khavda III, 400 kV Maharani Bagh -Narela , 400 kV Kurnool III -Ananthapuram and 765/400/220 kV Bhadla III S/s, 765/400/220 kV Ramgarh II S/s , 765/400 kV Narela GIS , 765/400 kV Dausa S/s , 765/400 kV KPS II & III substations . These are the highlights of the elements, transmission elements. we have added in this financial year.

For multi -year capex and capitalization guidance, like as we have told that this year, this is our capex will be Rs . 35,000 cr ore. So next year, we are already committed with Government of India to be Rs. 37,000 crore. Definitely , it is going to be more than Rs . 37,000 cr ore. So, for next financial year, it will be Rs . 45,000 crore Capex . Similarly capitalisation. This year, Rs . 25,000 cr ore next year, Rs . 30,000 crore, then in FY28 it is going to be Rs . 35,000 cr ore. So projected capitalization will be somewhere about Rs . 65,000 cr ore in next 2 years.

If we talk about our value creation, our market capitalization has grown from FY21 to FY26 by 2.5 times. Similarly, shared price appreciation is also 2.5 times dividend yield has increased to 3 to 4%. In last 5 years from FY 21 to FY 26, we have paid dividends more than Rs . 50,000 crores to our investors, to our shareholders. And on last February 2026 our market Capitalization was Rs. 2,77,000 crore.

So, we are among India's top 35 companies by market capitalization , and we have robust pipeline of transmission projects, strong execution track record with consistent TBCB market share. And our leading global and domestic investors are Capital group, Black Rock, Schroders, Vanguard, GIC, LIC, UTI, then SBI Mutual Fund. So, our 45% investment is from institutional ownership only, whether it is foreign or domestic.

If we talk of our transmission opportunity of business opportunities for next 10 years, because now the CEA or Ministry of Power has issued guidelines up to 2035. So, it talks of about Rs . 7.9 lakh cr ore opportunity, which will be because of our peak demand of 459 GW by 2035 -36. And install

ed capacity
of non -fossil fuel, it will be 786 GW and it will have inter -state, interregional capacity. So, we have a strong policy guidelines, policy backup, policy support by Government of India. So, we are sure that transmission network, visibility of about Rs . 8 lakh cr ore will be there. We will also play a very important role in this. If we consider HVDC, interconnections with Sri Lanka, UA E, Saudi Arabia, Oman,

Singapore, Maldives, and Myanmar , then another Rs . 3 lakh crore to 4 lakh crore , visibility is there. Then Brahmaputra Basin, there are a number of HVDC projects, almost Rs 4 lakh crore projects is there, which are going to be separate. So total, the visibility for transmission project is will be somewhere Rs. 15 lakh crore, investment in transmission system, considering national international inter -state, inter -state, all projects will be somewhere about Rs. 15 lakh cr ore. So, POWERGRID is going to play very, very important role because it involves also One Sun , One World , One Grid concept, given by our honorable prime minister. So, we have a very good future, bright future for power investors. So, if we consider even 50% of this, so we are going to play very major role in building transmission or power infrastructure in the country. We have works in hand about Rs. 1,48,000 crores, and CWIP is about more than Rs . 49,000 crores. If we consider 50% of this, so we have, almost visibility

of Rs . 9 lakh cr ore up to 2035. So , even if we consider 60% of this, so we are going to have almost Rs . 6 lakh cr ore projects to be executed by 2035. Which makes almost Rs . 60,000 crore per year. So , we have a very bright future for investors.

Recently, with the support of Government of India, we have now approval for merging 19 SPV s into 2 SPVs, MC A approval has been received. Now we are also considering merger of 28 Whol ly owned subsidiaries into 2 wholly owned subsidiaries. Approval by the Board is already accorded, and we are now going to Ministr y of Power. So, this governance issue and this will be reduced and we will be able to manage in a better way. So, this is a good news for our investors that we are going to have reduced numbers of SPVs. So, thank you very much for your time, and for your support, for your support to POWERGRID , as always. Thank you everyone.

Moderator : Thank you, sir, and now we will open the lines for Q&A. From the attendees, I request anyone who has a question to please raise your hand. I will unmute the line, and then you can introduce yourself and the company name, and then I can go ahead with the que stion.

Moderator : So, sir, first, we have Mr. Raj Gandhi. I'll unmute the line and request you to go over.

Raj Gandhi: Hi sir, thanks a lot for the opportunity. Just wanted to understand, given that we are in a very inflationary period, especially energy, and then there might be a lot of cascading impact on TBCB projects, there is a fixed revenue stream that we will earn, whereas the execution cost, we presume, can see some escalation. So, how are we placed in such a scenario? For the current project, TBCB projects that we've won, and do you expect any hit to the estimated IRRs there? Thank you.

Dr. R.K. Tyagi - Chairman & MD : Thank you for your Query, that we are having a very good project management and this execution efficiency, so we are not expecting any price escalation. There has been some price escalation considering this compensation towards land diminution value. And in case such force maj ure conditions are there, we are claiming extra tariff from CERC, which is normally given approved by CERC, and we are able to maintain our revenue as per the initial guidance. So, we are not expecting any abnormal price escalation, whi ch is causing our project to be less, returns will be maintained.

Raj Gandhi: Okay, s

o even in TBCB, like, land compensation and all, you are… you can pass through, even for the bid -out TBCB projects?

Dr. R.K. Tyagi - Chairman & MD: Yeah, yeah, so whatever these government guidelines are there at the time of bidding. In case there are some guidelines issued later. So those expenses are normally passed through, and we are given additional tariff because of those conditions.

Raj Gandhi: Sure. Helpful, sir. Thank you.

Moderator: Thank you. Next question is from Siddharth Gupta. I request you to please unmute and share your company details, and then you can go ahead with the question.

Siddharth Gupta: Good morning, sir. Thank you for the update. I had two quick questions. Given that we've had a very positive increase in our Capex, announcements for FY26, and we've met our target already. I was just surprised to see that there's no upward revision for t he next 2 years. So, any, what is the scope that we envisage there? And second, at what operational capacity are we presently functioning? And at what ability will we be able to participate in excessive projects if they're announced over th e next couple of years, vis -a-vis other private players ?

Thank you.

Dr. R.K. Tyagi - Chairman & MD: Yes, normally, this is our guidelines of Rs. 37,000 crores and Rs. 45,000 crores for next year, and similarly for capitalization, Rs. 30,000 crores and Rs. 35,000 crores. So, normally we have these targets, and we normally surpass our targets given to us. And we will change in between the years, whenever, suppose, we meet after 6 months of FY27, then accordingly, we can change our guidelines, depending on the progress at ground. So, as of now, we are giving this guidance only. Regarding your next question, I think we have sufficient funds to compete in the projects which are going to be available for bidding in the next 2 years, 3 years, 4 years, so we don't see any challenge in this regard.

Siddharth Gupta: But, sir, what about the execution abilities? In that context, will we be able… like, with the execution delays, if at all, any that from our end?

Dr. R.K. Tyagi - Chairman & MD: There have been concerns about execution delays, as, we said that there were issues of transformer, supply, there were issues of, R oW, there were issues of skilled manpower. So, all the three issues have been addressed. First, RoW issue has been addressed by Government of India by announcing the revised guidelines for compensation for land diminution value, they have increased to 30% for rural area, 45% of semi -urban area, 60% for urban area, metro cities. So, and at market r ate, and how market rate is to be decided, that is also now, a procedure has been given by Ministry of Power. So, we don't expect that there will be severe RoW issues, because if we pay compensation as per these guidelines so, ROW issues will be taken care of. So, it cannot be reduced to zero, so definitely there will be some issues, but now we have sufficient experience, considering the last 3 -4 years of our str uggle. But now, we don't see many problems in this area. Now, we have a dedicated RoW cell in ea ch region. Even at corporate office, we have a big team of RoW who are taking care of only RoW. So, we have now trained manpower to handle these issues. Second issue was skilled manpower. Now, we have already 5 skilled developmental centers in which we are training about 50 fitters or technicians in 3 months and now 2 more are coming, so we will have almost 7 skill development centers. So, 350 technicians and fitters will be trained in 3 months, and almost 1400 to 1500 technicians or fitters will be trained. Which will make almost 100 -plus gangs, erection gangs, each year.

So, more gangs will be available for execution of transmission system. So, this manpower shortage or shortage of skilled manpower

will be taken care, so we don't see any problem in this area also.
Similarly, for transformers and reactors supply and other equipment supply, all manufacturers are now going for augmentation of their capacity. The augmentation capacity will be mo re than 4 lakh MVA capacity each year, which will be more than the demand of these equipment . So there also, we see that this challenge also will be met, and moreover, Government of India is now very proactive, and wherever problems are there, it is being addressed by Government of India. So, we don't see any execution challenge in next 2 years or 3 years.

Siddharth Gupta: So, if I can… if I've just understood correctly, what you've said is that you may revise your CAPEX guidance further. As of now, you're sticking to that. Second, that you don't anticipate any execution problems that we have faced in the past couple of year s and going forward into the next few years and you will be in a position to take on additional orders and at least bid for them and compete with them.

Correct. Actually, why we have given this Rs. 37,000 crores or Rs. 35,000 crores, we have given considering whatever projects we have in hand. And tomorrow, how many projects are going to be, with POWERGRID that today we don't know?

Dr. R.K. Tyagi - Chairman & MD: But suppose tomorrow , I win more projects. So, definitely in FY26 - 27, I will invest more money. Similarly, in FY27 -28 also, I will invest more money. So, our capex may go high. But, because considering projects in hand, we have given visibility based on the projects in hand, a nd whatever projects, we are sure that these will be with POWERGRID . Considering that only we have given this guidance.

Siddharth Gupta: Okay, thank you so much.

Moderator: Yeah, so next we have, Mohit Kumar, Please go ahead.

Dr. R.K. Tyagi - Chairman & MD: Please carry on.

Mohit Kumar: Yeah, hi, Good morning, sir, am I audible?

Dr. R.K. Tyagi - Chairman & MD: Yeah, please carry on.

Mohit Kumar: Yeah, sure. So, my first question is, is it possible to define the savings from the new corporate structure? And why do we have two new SPV rather than one SPV? And does this mean that the new assets will get built in these two new SPVs, and we won't require a separate license for each SPV.

Dr. R.K. Tyagi - Chairman & MD: Actually, for a SPV, as per the DIPAM guidelines our limit for each project was initially Rs. 5,000 crores. So, we could merge only few SPVs as per DIPAM, the equity should not be more than Rs. 5,000 crores. But now, this guideline, or this limit, has been increased to Rs. 7,500 crores. So, accordingly, we can merge more SPVs. So, depending on the size of the SPV. More SPVs are, like, merged, and still we are discussing with, DIPAM, other day we had meeting with the DIPAM also, and now we are asking that this limit should be increased to more than Rs. 10,000 crores, they are considering even 15,000 crores. So, if it is further increased, then mo re SPVs will be merged into one.

Mohit Kumar: Understood. And any quantum savings, sir, which is possible? And do we need any approval from CERC for undergoing this, this change?

Mr. Ravisankar Ganesan – Director (Finance) & CFO : Yes sir, Yeah, we, so I'll take this, sir. Sir, for any merger, we used to take the approval of the regulators. Yeah, last time also, when we merged 19 companies into two, we took the approval of the regulator in addition to DIPAM. So, similarly, we will approach our Administrative Ministry, who will forward it to D IPAM, and then simultaneously, we will approach the CERC as well as the MCA for this type of merger.

Mohit Kumar: We also define the savings there, saving quantum?

Mr. Ravisankar Ganesan – Director (Finance) & CFO : There will be some part of, moreover, this is for administrative p

urposes and governance, we wanted to do these types of mergers more than any cost savings. Ultimately, the line has to function independently for any, technical features that will remain as it is. So, the license, everything will remain as it is. As such, we have not, quantified anything, but definitely this will be helpful in maintaining a lesser number of SPVs, rather than… because already we have 78, maybe going forward when, like, Chairman sir was projecting as, like, the, pipeline of, like, Rs. 7 - 15 trillion, and even if we have, half of that maybe out of 78, another 100 companies will be there. So that's mainly, the focus is on to have a more administrative control, rather than financial savings.

Mohit Kumar: Understood, sir. My second question is, there any capex required to evacuate RE capacities. The CEAs come out of the paper that the requirement, the cost, the capex requirement is, overall, is Rupees 7.9 trillion, or roughly Rs. 8 trillion. Is it possible to define the investment requirement? to evacuate Ex RE capacity?

Dr. R.K. Tyagi - Chairman & MD: Okay, so let me respond. As I told that, for next 10 years, we are, on average, we will have a requirement of Rs. 60,000 to Rs. 70,000 crores. So, considering, even if we have, say, Rs. 70,000 crores means equity will be, say, 20%. So, 16 to 20 somewhere we will have about Rs. 12,000 crore requirements of equity. So today we have profit of Rs. 15,000 plus and as we go ahead, this profit will go to, say, Rs. 17,000, 18,000, 20,000. So, even considering our, compulsory dividend payout, which is about Rs. 5000 crores. So , Rs. 5000 crores plus 12,000 crores will be 17,000 crores. So, we are expecting our profit will be Rs. 17,000 crore, by the time we require Rs. 60,000 crore as a capex. And if we require Rs. 70,000, then maybe 14,000 crore will be the capacity required for equity. And 14 +5, we will have Rs. 19,000. So, before that, our profit is going to be more than Rs. 19,000 crores. So, we don't see any issue in meeting this challenge. And even if there is a challenge, so our equity, we can reduce less than 20%, it can become 19% or 18%. So, we don't seeing any challenge in meeting the Capex requirement as per the guidance given by Ministry of Power or CEA.

Mohit Kumar: Understood, sir. Thank you and all the best.

Dr. R.K. Tyagi - Chairman & MD: Yeah, please, carry on.

Moderator: Yeah, so next we have, Sumit Kishore, please go ahead.

Sumit Kishore: Hi Sir, my compliments to you, in regard to CMD served for your dedicated service to the nation, meeting power grid, and my best wishes for future, as you pay your superannuation from the company. Sir, I have two questions. The first question is in relati on to the Brahmaputra basin related transmission investments of 4 trillion rupees, and the OSOWOG, which, is about Rs. 3 trillion. When do you expect, associated projects and aboard these teams to start getting awarded? So, when will the tendering activity for this start? Given that number for activities 2035+, but when the awarding start for this?

Dr. R.K. Tyagi - Chairman & MD: So, excuse me, can you repeat a little slower, your voice there is some disturbance.

Sumit Kishore: Yeah. My first question is, in relation to the Brahmaputra , you know, stream -related transmission investments of 4 trillion rupees and the OSOWOG -related investment requirement of Rs. 3 trillion plus. When will the project start getting awarded? Under these two streams.

Dr. R.K. Tyagi - Chairman & MD: Okay, it's Brahmaputra, as such, like, already, a transmission system has been already planned and one project is already available for, bidding. Like, Niglok , is stationed in, Arunachal Pradesh, which will be connected to this Lower Subansiri and to our Biswanath Chariali , point, and it will be also connecte

d to upper Arunachal Pradesh. So, because Arunachal has a lot of hydro potential. So, it is almost 35,000+ megawatt hydro potential there. So, number of HVDC stations are planned, HVDC schemes are planned at 800 kV. So, by total , outlook for Brahmaputra Basin is Rs. 6 lakh crores. So, I am considering only Rs. 4 lakh crores up to 2035. Okay, so that is, regarding this, HVDC. So, already, this is planned by CT UIL and CEA, so, maybe in next one year or so, these projects will be available for bidding. Similarly, for One Sun, One World, One Grid, yesterday also our Honorable Minister has mentioned that these, projects with Oman, UAE, and Saudi Arabia. So, these are being discussed at Government level. So, we are expecting that maybe another 2 to 3 years, these projects

will also start materializing. By 2035, these projects should be available for execution. So , that is why we have considered these as a part of this Rs. 15 lakh crores.

Sumit Kishore: A project, which is part of your works in hand of Rs. 1.48 lakh crore, so that is almost close to 240, 50 billion rupees. So, when is the sort of execution on that part?

Moderator: I think, it seems like, you know, your network is a little unstable, your voice is not clear.

Sumit Kishore: Sorry, is it clear now am I audible right now?

Dr. R.K. Tyagi - Chairman & MD: You are audible, but the voice is not very, very clear. It is… Okay, you can… go ahead, go ahead.

Sumit Kishore: Just on the Leh Pang project, the question is that this forms almost 230 to 250 billion rupees in your work in hand, or Rs. 1.48 lakh crore. So, when is the execution of this project? Now that it is not under HVDC, when is it likely to start? So, what kind of CAPEX are you assuming for that project in FY27 -28?

Dr. R.K. Tyagi - Chairman & MD: We said that we already have these projects in hand, so we are considering these only. HVDC, we have Khavda to Nagpur already, the one HVDC is there, which is being executed by POWERGRID , which is costing almost Rs. 5,000 crores. So, this is part of this Rs. 1.48 lakh crores, And moreover, this Pang - Kaithal is not part of this. Pang - Kaithal we have excluded from Rs. 1,48,000 crores.

Sumit Kishore: Okay, that is very clear.

Moderator: Yeah, thank you. Next, we have Abhishek Taparia. Request to please introduce your firm name and then go ahead with the question.

Abhishek Taparia: Hello, so I'm Abhishek from Emkay Global. So, my question is, so what is the status of the ongoing capex of Rs. 9 - 9.16 trillion that was announced in 2023, which is the 2023 -32 plan? And now this new plan o f approx. of Rs. 7.9 trillion, which is from 27 to 36, which has been announced. So, are we envisaging our revision in the existing plan?

Dr. R.K. Tyagi - Chairman & MD: Yeah, yeah, because earlier, this plan was after 2032, now it is being revised to 2035. And now, because guidance or planning is based on different conditions. So now, considering 786 GW RE power is non -fossil power by 2035. So, this has been revised to Rs. 9.1 trillion. So, this Rs. 9.1 trillion, or Rs. 9.1 lakh crore will be required after 2035. Earlier, earlier Rs. 9 lakh crore was revised because the number of projects are already executed, or they have been already tende red out.

Abhishek Taparia: Okay, sir. Thank you.

Moderator: Thank you. Next, we have Mr. Christopher James. Please, introduce yourself and go ahead with the question.

Christopher James: Thank you for your time. I'm Chris James from 4D Infrastructure. Just one question as to what you see as your ultimate capacity to deliver. And you give that great example on your visible execution pipeline that says, at an assumed 50% win rate, it could yield projects up to Rs. 7.5 trillion. But to the extent you were successful in 50% or more, what is your true execution

capability? You
mentioned things like skilled power, access to skilled manpower, but there's procurement challenges

as well, and also your own balance sheet and being able to deliver these projects, Clearly, things are done over time, but if we look at today, and what you're able to deliver, what is your true capacity? Thank you.

Dr. R.K. Tyagi - Chairman & MD: In last 3 to 4 years, we have been doing capex of about Rs. 8,000 to 9,000 crores. Last to last year, we did Rs. 12,500 crores. Last year, we did Rs. 26,000 crores. This year, we have done Rs. 35,000 crores. So, as the demand is increasing, demand for execution is increasing, our capacity is also increasing. So, we are continuously increasing our capability for execution. We are developing more and more vendors, we are developing more and more trained manpower, i ncluding our capability within POWERGRID also, we are continuously increasing. So, we are very sure that whatever challenge or whatever execution requirement will be there, we are going to achieve. So, from Rs. 8,000 to Rs. 35,000 crores in 3 years, which is almost more than 4 times. So, we are very sure that whatever challenge is given to POWERGRID , we are going to achieve that.

Christopher James: That's right. So, to the extent that you were… had a higher success rate. It won't prohibit you from participating in additional bids.

Dr. R.K. Tyagi - Chairman & MD: Yeah, because already, whatever projects we have won under TBCB, our winning percentage has been more than 50%, till today. So, we would like to maintain that 50%.

Christopher James: Perfect. Thank you, Sir

Moderator: Yeah, thank you. Next, we have a question from S Prawin Vishesh. Please unmute and go ahead with your question.

Prawin Visesh: So, this is Prawin from PPFAS. I just wanted, your take on… I mean, last year we had seen a slowdown in project, tendering, so I just wanted to understand…Hello?

Dr. R.K. Tyagi - Chairman & MD: No, please carry on, carry on.

Prawin Visesh: Yeah, so last year we saw a slowdown in project tendering, so was it more on the ISTS side or was it intra state projects?

Dr. R.K. Tyagi - Chairman & MD: Actually, there have been some issues in planning of, evacuation system from Rajasthan, because, out of, initially, the planning was for 115 GW, from Rajasthan itself. And, so far, only a 73 GW transmission system has been tendered out, and, most of this transmission system is under execution. So, beyond 73 GW, including 2 HVDC. One HVDC is from B hadla to Fatehpur, second is Barmer to South Olpad. So, beyond this, through AC network, there have been challenges in studies that how to evacuate this power. So, there were some, consideration for considering HVDC, but for HVDC, the l anding point, say, in Chhattisgarh, or in, Odissa, that landing Point was… the CTUIL or CEA was not able to finalize those projects, because Landing Point was not getting finalized, because Landing Point means there should be demand in that particular area. So that demand was not getting finalized. So, there were some delays in this tendering of these projects, or planning beyo nd 73 GW. But now, CTUIL has come out with several projects, even, including AC projects towards Chandigarh, towards Haryana, towards Punjab, towards Western UP , even in MP. Some AC network and also HVDC projects are being considered. And beyond which, there will be 1,100 kV projects in Maharashtra and Chhattisgarh. And in Odis ha, that area, and 1100 kV, which, that means we will have, transmission… this evacuation of power through HVDC, and the further through 1200 kV, AC network, it will be further transmitted to, this, Maharashtra and, to Odis ha and Andhra Pradesh. So, these plan s, in between, there was some, breakage. Now, we are hopeful that it will be now available for bidding.

Prawin Visesh: Sir, and on ROW, how are things now? I think there was a major improvement in the last quarter, but now, how are you seeing things? Again, if you could recap, it would be great.

Dr. R.K. Tyagi - Chairman & MD: RoW, as I said that it is a challenge. Always it is going to be a challenge, methodology is already finalized, and we also know how to now tackle these R oW issues. So, our team is also trained. And we are able to manage now. Now, you see, in last 6 months, after government has come out with clear guidelines, we have executed a number of projects. So, similarly, this speed will continue now. And R oW will come, and it will get resolved. With the help of Government of India, our Minister, is very positive, so whatever problem is being faced by us, immediately, there is a good support from Government of India. So, we are hopeful that whatever R oW issues are going to be encountered, there will be some solution, and we'll be able to execute these projects.

Prawin Visesh: Thank you.

Moderator: Thank you. Next, we have a follow -up question from Mr. Raj Gandhi.

Raj Gandhi: Thanks for the opportunity again. Just needed to know, what we've heard is, you know, till date we were participating in interstate projects. Now, we intend to also participate in intrastate projects and also battery projects, so if you could highlight so me of these opportunities which are coming up. And also, with the emergence of battery and BESS in a big way, how does it alter the transmission capex, I presume, you know, with battery, you don't need to build as much redundance versus of your solar, so i f you could just highlight some of these, how is it changing on the planning? Thanks.

Dr. R.K. Tyagi - Chairman & MD: Yes, this, you asked that intrastate and battery energy storage. Intrastate, we are participating. But generally, intrastate projects are smaller projects, so we are not very aggressive in intrastate small projects, because we have so many projects, and because it will require similar effort, similar to bigger projects. So, we are not very aggressive in intrastate. Then, regarding the battery energ y storage, we are participating, but we are not able to win, best projects, because in competition there are a number of small, smaller players. And, we have one, only one project. Now, we are working out our revised methodology, and how we can be more competitive. We want to have tie -ups with the battery suppliers in advance. So that our c ost can be further optimized. Regarding this requirement of transmission system. If we had to, increase the utilization of transmission system, battery energy storage system at the generating station itself, or RE developer station itself. So, it is going to be the requirement tomorrow. So, number of BESS projects are coming, for, the storage of, energy, which will be, the energy will be fed, in the transmission system in the peak hours or in the evening hours. But demand is so much that transmission system is going to increase day by day. So that is why CEA has come out with this 9.1 trillion rupees requirement of transmission system by 2035.

Raj Gandhi: Thank you, sir.

Moderator: Thank you. Next, we have Satyadeep Jain.

Satyadeep Jain: Hi, am I audible?

Dr. R.K. Tyagi - Chairman & MD: Yup, and please carry on.

Satyadeep Jain: Yeah, just, firstly, wanted to ask about, the impact of the GIB, court ruling on GIB on power grid. Did it, were there some projects that, got uncleared, because of this, Ramga rh, Bhadla?

So, just trying to understand the increase in capitalization and all. How much of the impact was there on dueling and overall impact of power grid on this?

Dr. R.K. Tyagi - Chairman & MD: So, we don't have any impact

of GIB in Rajasthan or Ramga rh, that area. So, our projects were… whatever projects, transmission projects were there, it is outside that area. And whatever guidance has been given by Honorable Supreme Court. And, in future. All projects, CTUIL is taking care that all projects are outside GIB area. So, we don't see any impact of GIB on power grid transmission projects.

Satyadeep Jain: Fair enough. So secondly, just, want to understand, so there are, a lot of these, pending issues showed up, helping clear up some transmission projects. So, for based on what you're saying on, improving skilled labor force, R oW issues, is it… do we assume that new projects, one, will have two -year commissioning timeline? Because recent projects have taken three, three and a half years for AC. So what is, based on what you see, what is the timeline commissioning for new projects for AC and HVDC?

Dr. R.K. Tyagi - Chairman & MD: We have, based on our experience, we have given feedback to Government of India that, 18 months or 24 months is not feasible. This timeline is not right. So, at least we should get 30 months or 36 months for this transmission project to be executed. So, you see that whatever projects are coming now, they are either 30 months or 36 months. So, now we will not have these 18 months or 24 months, and by that time we will be able to execute these projects in that timeline. So, wha tever delays you have seen earlier, these were, like, B hadla S ikar, Bhadla III to Sikar, Bhadla II to Sikar II. So, these are… these were all 18 months, Narela K hetri . So, these are these were all 18 months.. For 18 months, we did not possible to be executed, considering these RoW issues and the supply chain issues.

Moderator: We'll take, sir, the last 1 -2 question. So, next, we have, Parth Nanavati, please Go ahead with the question.

Parth Nanavati: Hi, thank you so much for taking my question, and, you know, congratulations on, you know, on delivering again. So, my question is more macro in nature. Just wanted to understand, you know, given we're sort of sitting in an El Nino situation, where temperatures are expected to, go up materially, how should we think of grid utilization, part one. And part two of the question is You know, last year, what are we sort of thinking of in terms of power deficit, both from gas and hydro? Given ther e is snow buildup, especially in hydro, it is not adequate, and gas, of course, we know from the Middle East situation that we are going through.

Dr. R.K. Tyagi - Chairman & MD : Yeah, in this regard, our Honorable Power Minister has reviewed the situation. Yesterday, also, there was a review meeting by Honorable Prime Minister regarding this energy challenge and energy crisis, possible energy crisis in India, and, in turn, our honorable power minister has taken a review of all the, stakeholders, like, Ministry of Power and CEA, and NTPC and other things. So, as per the discussion, as per the, this Grid India, or CEA We are going to have almost 270 GW requirement in May or June, and for which we have sufficient resources to meet that requirement. And, like, last to last year, we had about 250 GW of demand in summertime, which was on I think 24th May 2024. And again, now in May, June, July, that time, this demand is going t o increase somewhere about 270 to 275 GW. So, we are prepared, Grid is prepared to meet that requirement, as per the discussion and review taken by our Honorable Power Minister.

Moderator: Thank you. Sir, we will take last question from the line of Mr. Shirom Kapoor.

Shirom Kapur: Hi, sir, thanks for the opportunity. Just wa nt to ask you, on this, Rs 7.9 trillion plan that we are talking about, and, you know, you mentioned that the earlier Rs 9.1 trillion plan has now been revised, so On your earlier call, you had mentioned tha

t of that Rs 9.1 trillion, around Rs 2.4 trillion has already been bid out, and over the next 4 years or so, we could expect another, you know, another Rs 4 trillion worth of projects coming into the bid pipeline over the next 4 to 5 years. So, h ow has that changed with the new, revised, sort of, transmission opportunity from FY27 -36? One, could you, you know, comment on, of that original Rs 9.1 trillion, how much has already been bid out, and, you know, how much of that has been, you know, that r equirement has been met, and subsequent from here till FY36, how you see the upcoming bid pipeline over the next 3 to 4 years, whether there's any changes in that, given the new plan by CEA.

Dr. R.K. Tyagi - Chairman & MD: Like, as per this report, which was released on 19th March in the Bharat E lectricity Summit, and this report is recently prepared, so whatever ongoing projects were there earlier, before this report, they will continue to be there. And additional projects which have been identified, so the CTUIL and CEA will further work out on these projects, and when they will be available, that will be known only after some time. So today, I cannot comment on that. And, regarding this, let me clarify that Rs. 1,48,000 crores work in progress is, considering that Leh Pang, earlier we have considered Leh -pang, that, Pang Kaithal project HVDC project into our account, but now we are not… we are excluding that project because it's… still, it is in fluid condition, because in between there was a discussion that it will be, changed to AC network. So, that is why we have excluded from our guidance. And now Rs . 1.48 Lakh cr ore is including CWIP. So, it is not excluding CWIP. So, 1.48 minus 49. So, we have about Rs . 1 lakh crore projects, practically for CapEx. Unless we win more projects, or unless until we get this Leh - Kaithal AC or HVDC project given to power grid again. So that clarification I wanted to give.

Shirom Kapur: Sure, sir, and, you know, the number that you mentioned, even in your presentation, that from 29 to 36, you're expecting average capex of about 40,000 crores and capitalization of 35,000 crores. So, you know, depending on the bid pipeline, so what would… what is the kind of bid pipeline that you are looking at. At least in the near term, for the next 3 to 4 years, you know, normally you give a number. Last time you mentioned about Rs. 70,000 crore worth of projects are in the near -term pipeline, and anothe r Rs. 3.6 lakh crore over the next 4 years, where you might average Rs. 90,000 crore worth of bids over the next 4 years. So, is there any update to this pipeline that you're seeing? You know, in terms of annually, what bids are coming on? What projects are coming up for bidding?

Dr. R.K. Tyagi - Chairman & MD: After 2nd February, because I told that this report is recently announced, and this is released recently only. So, any change because of that will be known after some time. So, we are maintaining whatever we have discussed on 2nd February in Mumbai during that investors meet. So, it is… it will remain unchanged as of now. It may change after some time.

Moderator: Sure, sir. I think this was quite a detailed presentation and, you know, updating on what is the development at P OWERGRID . We've come to an end of this webinar, and I'll hand it over the mic to you for any closing comment from your side, sir.

Dr. R.K. Tyagi - Chairman & MD: So, thank you, all investors, our partners, for sharing your concerns, sharing your queries with us. And we are committed to meeting your expectation. And we hope that more and more investment will be available for POWER GRID , more investors will join, and we will be able to deliver best, as one of the best companies in India. Thank you.

Moderator: Sure, sir, thank you, and with this, the webinar on Power Grid Corporation of India Limited is concluded, and you may all disco

nnect the lines now. Thank you.

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Call: May 2026

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■ ■ ■■■■ : 0124 -2822999 & 282 2000
Corporate Office: “Saudamini”, Plot No. 2, Sector -29, Gurugram -122001, (Haryana) Tel.: 0124 -2822999 & 282 2000
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Registered Office : B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi -110 016. Tel: 011-26560112, 26560 115 & 26560193 ,
CIN : L40101DL1989GOI038121
Website: www. powergrid.in

25th May, 202 6

To,
The General Manager (Listing) ,
National Stock Exchange of India Limited ,
Exchange Plaza, C 1/G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai.
To,
The General Manager (Listing) ,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai.

Reference: NSE-SCRIP ID: POWERGRID; BSE Scrip Code: 532898
EQ – ISIN INE752 E01010

Sub.: Transcript of Analysts’ and Institutional Investors’ Meet held on 18th May, 2026.

Dear Sir,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith copy of Transcript of Analysts’ and Institutional Investors’ Meet held on 18th May, 2026 in Mumbai.

Thanking You.

Yours faithfully,

(Satyaprakash Dash)
Company Secretary &
Compliance Officer

Encl.: As above

Power Grid Corporation of India Limited
Transcript of Analysts’ and Institutional Investors’ Meet
(For Q4 and Financial Year ended 31st March, 2026)
Monday, 18th May, 2026

Management
Shri Burra Vamsi Rama Mohan : Chairman & Managing Director
Shri G. Ravisankar : Director (Finance) & CFO
Dr. Yatindra Dwivedi : Director (Personnel)
Shri Naveen Srivastava : Director (Operations)

Shri Satyaprakash Dash Company Secretary
& Compliance Officer

■ Moderator:
■ I now invite the management of Power Grid Corporation of India Limited to please be seated on the dais. Without much ado, we will start. We have on the dais with us:
■ Shri Burra Vamsi Rama Mohan ji – Chairman and Managing Director
■ Shri G. Ravisankar ji - Director (Finance) and CFO
■ Dr. Yatindra Dwivedi ji - Director (Personnel)
■ Shri Naveen Srivastava ji - Director (Operations).

■ I now request Shri Satyaprakash Dash ji, the Company Secretary, to initiate the proceedings.
■ Shri Satyaprakash Dash – Company Secretary & Compliance Officer
■ Thank you, Bakul ji. Good morning, everyone. I am pleased to welcome you all to this Institutional Investors and Analysts Meet today at Mumbai. Today our senior management team will discuss the business and performance outlook of POWERGRID based on the recently announced financial results of POWERGRID i.e. the final result. Already Bakul ji has introduced our senior management team.
■ We have with us:
■ Shri Burra Vamsi Rama Mohan ji – Chairman and Managing Director
■ Shri G. Ravisankar ji - Director (Finance) and CFO
■ Dr. Yatindra Dwivedi ji - Director (Personnel)
■ Shri Naveen Srivastava ji - Director (Operations).

- Before starting, we shall have a small corporate video on the performance of POWERGRID. Can I request the video?

■ Video plays from 2.05 to 4.55
■ Thank you. I request everyone to please keep their mobile phones in silent mode, please. Now I will invite our Chairman and Managing Director to have his opening remark and presentation, followed by Q&A session. Chairman sir, please.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director
■ Good morning, ladies and gentlemen. It is my pleasure to welcome you all to this Analysts and Institutional Investors' Meet of Power Grid Corporation of India Limited. I thank you

all investors,
analysts and stakeholders for your continued trust and confidence in POWERGRID. Your support has been integral to our journey as India's leading power transmission utility and a key enabler of the nation's energy transition.

■ India, today, is witnessing an unprecedented transformation in the power sector, driven by rapid economic growth, imminent increase in the share of electricity in the energy basket, large-scale renewable energy integration, and the Government's vision to achieve net zero ambition. In this evolving landscape, POWERGRID continues to play a strategic role in strengthening the national grid and ensuring reliable, secure and efficient power transmission across the country.
■ I would like to state that irrespective of what kind of a generation it is, it is the humble conductor which is required for bringing in the mobility to the electricity, and that is why we are in the business. During the last year, or during this year, I should say, we have continued to focus on timely project execution, operational excellence, grid reliability and technology adoption. We are expanding our transmission network to support renewable energy corridors, green energy evacuation and emerging requirements of the future grid, including HVDC systems, digitalization, smart infrastructure and grid stability solutions.

■ Despite a dynamic business environment, the company has maintained strong operational performance and financial discipline. Our robust balance sheet, healthy cash flows and consistent dividend track record continues to reinforce POWERGRID’s position as a stable and dependable value creator for all stakeholders.
■ Going forward, we remain optimistic about the significant opportunities emerging in the transmission sector. With India's growing renewable energy ambitions and the increasing network expansion requirements, we believe POWERGRID is well positioned to sustain long-term growth, while continuing to deliver reliable returns.
■ Before we begin the presentation, I would like to place on record my sincere appreciation for the dedication and commitment of Team POWERGRID, whose efforts continue to drive the organization forward. We look forward to an engaging discussion with all of you today and addressing your questions and answers and your perspectives after the presentation.
■ Gentlemen, I’d like you to take note of this disclaimer, that the annual accounts for FY25-26 are yet to be approved by the shareholders.
■ The presentation outline would be covering the Highlights and Overview, Execution and Innovation, Competition, Order Pipeline and Outlook, Financial Performance, Sustainability, CSR and Recognitions.
■ Going with the Highlights and Overview, I would like to state that on the performance front, the CapEx guidelines, whatever guidance we have given, has succeeded. The capitalization guidance stands exceeded. The system availability stands exceeded.
■ We are proud to state that we got the first BESS project under the bidding route. The solar generation plant at Nagda has been commissioned. And we have commissioned the world's first 765 kV digital substation. We deployed the insulated cross arms on the 400 kV tower, showing our focus on reducing the right-of-way challenges and also reducing the footprint on the environment impact; Indigenously developed 220 kV mobile GIS and international expansion in the PPP mode through Africa50 partnership.

4
■ On the total structure of the company, we would like to say we are India's largest transmission utility. We have breached the ■3 lakh crore of gross fixed assets. The transmission lines, as on 31st March, stand at 1.84 lakh ckm and the transformation capacity at 624 GVA.
■ HVDC projects running, about 11 projects running, includes both back-to-back and bi-poles ~101 GW of inter-regional capacity out of the total 120 GW inter-regional capacity. 99.84% as the system availability and compri

sing a total of 64 subsidiaries.
■ The strong market position and credit profile- we would like to state that the market cap stands at ■2.75 lakh crore as on 31st March 2026. 51.34% by the government, and the rest by the foreign institutional investors and the domestic institutional investors.
■ The credit profile- the highest rating in the domestic front, and on the international front, we are at par with the sovereign rating.
■ You must be aware that the number of SPVs are primarily owing to the structure of the TBCB bidding, how it is undertaken. So, every time POWERGRID wins a project, a TBCB SPV is given to POWERGRID. So, in that way, given the large number of SPVs which have been coming, which are 80 plus now, we are trying to work to bring in a leaner structure and a stronger governance. 17 SPVs have been merged into 2 other SPVs and 28 SPVs are being merged into 2 other SPVs. So, in that way, we are trying to do it. The second part of 28 SPVs process is underway, and given the previous approach by the authorities, we look forward that this also will be materializing shortly.
■ On the execution front, 4,765 ckm have been added in the previous financial year and a whopping 72,055 MVA, amounting to almost one 500 MVA in every 2.5 days and about 13 ckm every day. That is the kind of pace with which work has happened over there. And 9 number of new substations have been added to the kitty of POWERGRID, taking it up to 291. And a few key transmission projects which include Bhadla-Sikar, Ahmedabad-Lakadia, and interestingly Ahmedabad-Navsari which is bringing the green power from the Khavda region into the Mumbai area. So, these projects all the way coming from Khavda-Lakadia, Lakadia-Ahmedabad, Ahmedabad-Navsari, so these are the projects which are making sure that the green power is reaching to every nook and corner of the country.
■ New substations: Bhadla, Ramgarh in Rajasthan including Dausa, which is done in a record time of 8 months after the first foundation being cast. Bikaner-3, KPS-2 and KPS-3 which are Khavda projects, Ahmedabad new substation, Narela in the heart of Delhi a new substation has been put up and Ananthapuram in the Andhra Pradesh region.
■ And as what we have stated, we are proud to state that whatever CapEx or the capitalization figures we have given, I would like to reiterate that the CapEx which had a guidance of initially about ■28,000 crores in the initial phase, has been subsequently up to ■35,000 crore, and eventually we could deliver close to ■40,000 crore. So, this actually augurs well as far as the capitalization which is going to follow shortly. And the guidance of CapEx for FY27, the initial guidance I should say is ■37,000 crore.

■ On the capitalization front, the commitment was ■25,000 crore and eventually delivered ■28,206 crore. The guidance for FY27 is up to ■30,000 crore initially.

5

■ On the operating front, POWERGRID continues to demonstrate its leadership over here, and we are well above the maximum availability which is possible in terms of realizing revenue. At more than 99.75%, we are way above the mark and continuously deriving the full availability incentive.

■ On the annual tripping, the other parameter which we closely monitor to make sure the healthiness of the entire system, it stands at a low of 0.26, which is a very good number in terms of both the domestic as well as the international standards.

■ All these were enabled by infusing new technologies including AI-based defect detection on the towers, drone-based patrolling and condition monitoring of the major equipment including transformers and reactors.

■ We are proud to also be having this on to our record that Asia's first transformer with synthetic ester oil has been successfully commissioned, and POWERGRID has a significant role in designing this particular transformer along with the OEM. So, it replaces conventional mineral oil, it's biodegradable, fire s

afe (its fire point being close to or greater than 300°C) and lower environmental impact. So, we look forward that such kind of units be developed more and more in the country.

■ India's first insulated cross arm of 400 kV level. As you can see, on the top of it what you see there are, the total is a multi-circuit, actual picture on a Maharani Bagh-Narela line, it has four circuits. For clarity purpose, if I say on this totally four circuits over there, and of this the bottom part, the two circuits are in a normal cross arm. So, the quantum of right-of-way or the width is to that extent. And subsequently when we, on the same tower, put on the insulated cross arm, the right-of-way comes down to that extent. So, the total cost of the project, impact on the cost of the project and impact on the environment, everything goes down. So, these are the solutions which we are actively pursuing, and maybe in the next few lines which are in highly urbanized areas, we look forward that these solutions will be deployed. And these are indigenously manufactured, the insulated cross arms.

■ Another feather in the cap is the 220 kV mobile GIS. As you see, it is a truck mounted GIS bay, usually readily to deploy quickly, and at any location it can move. And it is trailer mounted so easy to be deployed. And it boosts the grid resilience. Whenever there is an urgent requirement of any bay or during the operational phase, or during any environmental impact in terms of cyclones or anything, if some bay or some particular network is disturbed, the deployment of this would be so rapid, and we can restore the power supply.

■ So, 220 kV mobile is already positioned, and we are also going to get the 132 kV and 400 kV mobile GIS within this particular calendar year itself. So, we see that we are going to have a good amount of armour in the asset what POWERGRID has, so that we can deploy this as and when required. This is akin to the emergency restoration systems what we had for towers. We can claim that these are emergency restoration systems even for the substations as well.

■ Battery energy storage systems: The bids which Andhra Pradesh has floated, we were successful in the bid in Kalikiri, and we look forward that this would be giving us a good insight as to how we need to navigate through the BESS model.

■ Interesting to note, to the right side is the integrated energy storage system. CERC, as you are aware on 20th March, has notified an amendment to the existing terms and conditions of tariff

6

regulations wherein they have also opened up the batteries, rather integrated energy storage systems, to be developed by a transmission system developer as well. So, taking cue from that, POWERGRID has already initiated actions, and we had a successful discussion in the northern region part, and then in the western region part also the discussions are taking place. So, we see that this would open up a new opportunity wherein under Section 62, POWERGRID can start implementing projects to bring the storage requirements into the country.

■ Global expansions: The first international transmission PPP model, while we had our global footprint in many countries, this would be the first PPP model wherein about $300 million of investment in terms of the project cost, what would go in building the first PPP model by POWERGRID. And the company which has been incorporated there, is called as the Mwanga Transmission Company, and works are taking up in full pace so that we are able to make inroads in the country of Kenya, which will pave way for different other countries also to follow suit because Africa50 is partnering with us. So, along with POWERGRID and Africa50, we see that there is a good opportunity to move beyond Kenya and also to other countries wherein this model can be successfully and gainfully be utilized. So, discussions are being held with Uganda, Zimbabwe, Mozambique and other countries. So, depending upon

the DPRs which are evolving and the kind of
structure what we have in the regulatory front, I am sure that this is going to provide a good opportunity for POWERGRID.

■ The TBCB outcomes: In FY26, 28 projects were floated of which POWERGRID had 9 projects as success, and the total tariff stands about 44% and few of the projects which are visible on your screen, you can look into that system, which includes also an intrastate project being developed by POWERGRID for the state of Maharashtra, which is called Pune East, about ■300 crore plus tariff is there for it.

■ The outlook for transmission for the POWERGRID and the sector as a whole: If you look on the blue what we can see is whatever works are already in hand, ■1.7 lakh crore which includes both from TBCB and the RTM. And on the green which talks about bidding, which is in the pipeline, ■1.1 lakh crore of projects are under bidding. This is not including those projects which are going to come by different states. Most of the states are now looking into this mode. So, this will further add up depending upon the quantum of tenders what the state would be floating.

■ Long term sector opportunity in terms of CEA projections, in terms of the opportunities in the Brahmaputra basin and “One Sun, One World, One Grid” which would be coming in the long term, we look that this is also going to be a potential opportunity for POWERGRID to develop the transmission systems.

■ Coming to the first ■1.7 lakh crore works in hand, TBCB has share of about 81% standing at ■1.37 lakh crore, RTM ■28,000 crore and other businesses about ■4,200 crore, total working up to ■1.7 lakh crore. We are not including the Pang-Kaithal HVDC project which is being reviewed by the Government of India. So, shortly we should be getting some guidance on that as well.

■ ■1.1 lakh crore bidding in pipeline. Under bidding is ■1.05 lakh crore which is comprising both interstate and intrastate, with the major chunk presently visible is inter-State, and we also are actively looking at the intra-State as number of projects are massively increasing there. To be floated primarily under the intrastate is ■5,270 crore taking the total to ■1.1 lakh crore for which bidding would be possible. Major projects include Rajasthan Barmer Complex i.e., Phase 4, Vizag

Green Hydrogen, Jam Khambhaliya, Krishnagiri, Lakadia, ERWR Inter-Regional Network and the Nawada-Durgapur system.

■ Strategic Drivers Powering Transmission Investment Cycle: On the domestic front as I said that the anchor program by the Government of India 900+ GW by 2036. This has a potential of about ■7.9 lakh crore which includes both inter-State and intra-State transmission systems, including the evacuation needs for meeting the load requirements of green hydrogen. The hydro potential of about 76 GW in the Brahmaputra basin, we see that this also adds up to ■6.4 lakh crore in two phases. New demand centres in terms of data centres and green hydrogen further adds to about a requirement of 71 GW being transported, which as I already said, obviously it should be a transmission system only which would help in evacuation of these systems. So, either be it a new generation or it be a new load centre in terms of data centres, green hydrogen or so, the ingredient or the essential or invariable ingredient would be the transmission sector. So, I see a good opportunity in this front as well.

■ On the Global Front, “One Sun, One World, One Grid” as part of that exercise, whatever studies are being undertaken I am sure that this also will fructify to make sure that new opportunities open up for the country and POWERGRID in particular.

■ Intercontinental Cross Border Links: India, Sri Lanka, Maldives, Myanmar and UAE, Saudi Arabia, India, Singapore, these all are being discussed, and as and when the traction is there for it on the higher level, I am sure that this also would be materialising.

■ Upcoming HVDCs: 22 HVDCs are

in various stages of bidding and planning. Total HVDC schemes
envisaged are 22 and combined with total HVDC capacity of 127 GW. Presently, the Barmer II – South Kalamb project, which is under bidding presently, and the other projects from different generation points are identified, and as and when the load centre is identified these projects also will be fructified. Brahmaputra, as already stated with the number of basins where the generation can happen. So good number of HVDCs, 6 no. of HVDC projects are also being envisaged here, apart from the cross border undersea links of India - Sri Lanka, Paradeep - Andaman, would also be the links which are in the pipeline.

■ Financial Performance: The total income for the financial year stands at ■47,684 crore in comparison with the total income of FY25 as ■47,459 crore. You need to factor in the natural trajectory of the RTM projects which we need to be focusing that. The natural trajectory for the RTM project is that it is always on the downside. It comes down and it moves out basis the O&M charges. So, as and when this trajectory is having a major dip, that is reflected. In this case, almost ■1,700 crore on account of depreciation and others have been covered up in this year, apart from the previous years almost ■750 crores on account of various additional revenue which has happened on account of our additional spares or maybe 26% stake sale what has happened and also because PSITSL award that we have received from the regulator, all this put also has added another ■700 crore in the previous year. All this gap of ■1,700 crore and another ■700 crore dip, all this has been covered well in this particular financial year, apart from the massive capitalization which has taken place in this year, which would be actually reflecting in the revenues in the years to come. That's because this happened primarily in the later part of the previous financial year. So, this current financial year i.e., FY26-27 would be witnessing the complete fruits of that particular capitalization.

■ The profit after tax stands at about ■15,928 crores which is a 3% increase, all this on the consolidated basis. And similarly, the financials on the standalone basis, the PAT stands at about ■15,921 crore which is 4% increase from the previous year.
■ The gross fixed assets, as I have stated that it has breached the ■3 lakh crore and it stands at ■3,20,334 crore. Net worth also has breached the ■1 lakh crore standing at ■1,00,494 crores. And then the return on net worth with the increased net worth naturally stands at 15.85%. These ratios are primarily indicative of a company which is in a growth phase, in a massive growth phase.
■ And the income for previous periods FY26 stands at ■617 crore, interest on differential tariff at ■705 crore, interest from subsidiaries at ■3,350 crore, incentive consolidated at ■664 crore, dividend from JVs at ■145 crore, dividend from subsidiaries at ■1,516 crores, CSR expenses at ■351 crore, FERV at ■1,277 crore. Equity in TBCB and equity in TBCB, both operations and under construction which are there, it stands about ■9,558 crore and ■2,502 crore respectively. Short-term loan ■7,000 crore. As I said all these figures are indicative of the structure in which POWERGRID is having multiple subsidiaries for TBCB and also the growth phase of the company as a whole.
■ On the collections front, pleased to also share that strong collections are happening on this… On the previous financial year, we see that as against ■40,201 crore, ■40,684 crore has been realized with new LPS rules and all kicking in. And as against the ■4,795 crore outstanding in FY24, it is now standing at ■2,905 crore. Standing means the kind of efforts being put by the company and also the provisions which are there for us to realize this. Interesting to note also that the outstanding of more than 45 days also which is represented in blue, is also significantly redu

ced.
■ On the consultancy and telecom front, if I take up the telecom front first, so the revenue is increased from ■1,128 crore. Despite the high level of competition in the telecom sector, it is still growing steadily at ■1,195 crore. And we are happy also to announce that POWERGRID is also able to provide the highest 400G interface for the telecom sector which is the highest level in the country. So, the massive amount of data which can be transported in a single interface is now available in POWERGRID and is also in operation. And the first ever international long-distance link has been delivered to Bhutan and we are poised to take up more such international requirements for telecom as well.
■ The pilot data centre, the 1000 rack data centre which we are building at Manesar is going to be visible within the next quarter, and we are seeing great opportunities and a lot of traction in this government-owned data centre being established by POWERGRID, and the availability of telecom continues to be one of the finest with 100% backbone availability.
■ Consultancy: ■799 crore which was standing at FY25 now stands at ■1,755 crore. On the domestic front 39 orders and ongoing projects at 62. On the international front 8 orders and 25 countries having footprint of POWERGRID. We are also keenly looking into pursuing opportunities in South Asia, Middle East, Africa, South America, Europe and Australia.
■ On our commitment to ESG goals, I'm glad to also inform that the targets what we set for 2025 that 50% of the electricity consumption would be from RE, has been well achieved much before the completion of the year. And net positive in terms of water, what we aim to achieve in 2030, we are more than half a mark with 55% already done through. And zero waste to landfill, we are almost

upto 90% is what we are already presently there, and we are inching forward to reach our goals. And net zero emission status by 2047, we are confident that we should be able to achieve this much before the target date.
■ Various sustainability initiatives what we have taken up during our journey is initially the first sustainability report way back in 2009, and thereafter the world's first 400 kV shunt reactor with natural ester oil, and then the ESG water and waste policies have been adopted, and 2023-2024 the anti-bribery system in position, 2024-2025 the first ICT with ester oil, 2025-2026 the first 315 MVA synthetic ester oil which has been commissioned and also the 85 MW solar PV.
■ ESG rating stands by NSE at 70.
■ We have nine substations which are by and large manned by women.
■ "Transmitting smiles through corporate social responsibility" that is our tagline. And major thrust areas are in health and nutrition and PM internship, skill development and employability, rural development and environmental sustainability, education and women empowerment. On these major fronts, we are having a good amount of spend as far as CSR goes.
■ We have received a good number of accolades, few of them only have been narrated here. As you

can see it covers both HR, on the technical front and also on the CSR initiatives. The SCOPE Eminence Award, we are ranked first in the International Transmission Asset Management System also and the People’s L&D Excellence Award for using AI in learning, Green World Award for climate change initiatives being undertaken by POWERGRID, and we are ranked first in CSR category by ICC and Best Organization for Women conferred by Economic Times.

■ Thank you so much for your patient hearing. This is the actual picture of the 400 kV multi-circuit line which is to Maharani Bagh-Narela. 4 circuits of each of 400 kV line are there. And if you can see a small speck on the road which is in white in colour, that is the size of the vehicle which is standing there. So, you can see the massiveness of the entire structure which stands over there.

■ Thank you all.

■ Moderator:

■ Thank y

ou. Thank you, Chairman sir. That was indeed very detailed and very precise presentation. Deeply appreciate.

■ Question & Answer Session:

■ We now move to the next segment which is Q&A. I would be moderating that, request each one of you to raise your hand, introduce your house and then yourself and then ask the query. Yes sir.

■ Participant:

■ Good morning and thanks for the opportunity. My first question is can you please explain the reason for EBITDA decline in Q4 FY26? Is it due to older assets completing 12 years of life? And can you also please shed some light on the accounting for the new transmission system? Are you booking everything on service concession accounting? Are you booking the newer transmission

system on the service concession accounting method, especially new TBCB? That is the first question.

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ You are partly right in your question itself. You have been asking whether the EBITDA pattern is because of assets completing 12 years. Yes, to the extent of that the structure of the regulated tariff has a trajectory wherein after the 12 years which you are aware, there is a dip in those projects which it is there. So, this is a natural transition which happens over a period of time. And this is one of the major transitions which has happened for a major project.

■ As far as the service accounting part of it, yes, these projects are under the BOOT method, the new projects which are being floated under the BOOT method, and the financial lease model is being followed for these projects.

■ Participant:

■ Is it possible to help us with the capital expenditure target for F27, F28 and F29 given the list of projects? And also, you can similarly help us with the commissioning expectation for F27 and F28? Commissioning number. Capital expenditure and commissioning.

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ As already shown in the presentation for FY26-27, the initial guidance what we are starting is about ■37,000 crore.

■ Participant:

■ F27. And F28, sir?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ F28, that would be naturally going beyond ■40,000 crore, the initial guidance. Again, as I am saying it will be beyond ■40,000 crore. In the ■40,000-45,000 crore range, it will be standing there. And all what has been capitalized, the CapEx, the capitalization also will be shortly following. So, we are initially giving a guidance about ■30,000 crore for the current year, and then next year it should be moving up to ■35,000 crore.

■ And as we move forward, as we move into the year, the more of clarity would be coming and as last time as what we already said, the initial guidance was given as ■28,000 crore for the CapEx and eventually achieved close to ■40,000 crore. So, all this would be happening hopefully this year as well. This is the quantum of efforts what we are putting and also streamlining the activities, and I am sure that we should be able to meet the guidance what is being given here.

■ Participant:

■ Understood. Thank you and all the best.

■ Moderator:

■ Can you also let us know your organisation name and yourself, so that the Chairman sir also knows it.

■ Shri Puneet – HSBC:

■ Hi, this is Puneet from HSBC. My first question is if you can shed some light on your BESS strategy.

You talked about Section 62 also in play here. How do you intend to grow this piece of the portfolio?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ See, BESS is coming on two fronts. One is by the VGF being given by the government. So, states have been rushing to float a good number of tenders on the BESS front over there. POWERGRID also is participating so that we understand the kind of model, mode and what kind of an ecosystem is there in trying to put up these systems. So, as I said, one of the projects which we have, thi

s will give us a good opportunity for having an insight into the BESS projects. That is one part of it. That is under the 63 model if I say.

■ And when we come to the 61 and 62 Sections under which the tariff is under the regulated model, I'm pleased to also inform that the regulator and its terms and conditions of tariff amendment which is issued recently also calls for the transmission service provider can put up the integrated storage systems. As part of it, the exercise what has to be done, the kind of documents what have to be furnished, the locations which have to be selected, the cost benefit analysis, all these things have to be done, and we have already done this. In terms of northern region, we have already submitted all our details, and we see a very positive traction on that front. And for the other regions also it will follow suit. And given the massive requirement of the storage requirements, we feel that Section 62 would be a very conducive way to create the ecosystem so that eventually these projects or these systems can be developed under the Section 63 mode. So, we see that this would be actually paving a good way for the system to be built in the countries. The OEMs will be having that much of a visibility, predictability. So, we see that moving forward, if it is gaining traction, POWERGRID will also be taking it up and we have already started it for your information.

■ Shri Puneet – HSBC:

■ Do you have a target capacity in mind for this over next three years?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ I would say not immediately now, but once we get a clarity on how these provisions which have been identified in the new regulation, the moment these are… because all the stakeholders will have to look into it. The moment the clarity comes on it, I am sure we should be able to give you these numbers in the next revision. We should be able to give you these numbers.

■ Shri Puneet – HSBC:

■ Understood. And secondly on the right-of-way, there were some challenges last year. Some amendments happened on the compensation. How are you seeing that moving ahead? Has it significantly improved, or you still see a lot of challenges on ROW?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ See ROW, right-of-way is always a perennial issue. Every tower is a project in itself. And it is not unique to POWERGRID, it is unique to every transmission service provider. It is not only that ROW is for a particular segment. So, it is there.

■ Now that it is there, the government has come up with an initiative. Since 2024 and 2025 it has come up with market rate determination, because earlier the right-of-way charges were paid for a quantum of area, but the rate what was applied for that particular area was primarily the circle rate or any other rate which was known to them. But now a mechanism has been given by the central government, guidelines have also been issued saying that this will be a market rate determined kind of mechanism, wherein valuers should be identified, and the valuers will be independently valuing that area. And more than one valuer i.e. three valuers will be identified wherein they look forward that it will emerge the right rate. The moment the right rate comes, we are sure that the land owner, to a great extent, will be willing to part the land for construction of the line, both under the tower as well as the corridor.

■ Just for your knowledge, I should say for a tower it is 200% of the area of the tower what we are paying. And for the corridor, where the conductor runs through from tower to tower, the entire right-of-way, we are paying 30%, 45% or 60% basis the quantum of urbanization which has happened over there. That is also clearly defined. And in order to speed up the process, specific timelines also have been issued, so that it should not only be the provision but also timelines also so that the outcome

of the MRC rate is done quickly, so that the right-of-way challenges are to that extent mitigated.

■ Shri Puneet – HSBC:

■ Understood And lastly on the interstate, intrastate TBCB projects, you talked about 17 projects under bidding. How are you thinking about that? What all states would you bid? And what are the risk mitigants, given it is not as easy to collect as ISTS?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ That is quite an interesting question, I should say. Inter-State has a system of point of connection charges. You have the PRAAPTI portal wherein the payment security mechanisms are well taken

care of. Having said that, as far as the intra-State goes, similar provisions in terms of regulation of power supply are also available in the document. And we are also given guidance that the PRAAPTI portal also should be, because through one particular amendment, the inter-State transmission licensee has been removed, and it is only defined as transmission licensee. So, we see that this portal going forward would also provide good strength as far as the payment security mechanism goes.
■ But then there are challenges again. Intra-State also still requires transmission lines, right-of-way would be there, and as what we see there should be good support from the government front as well to clear the right-of-way, which we are seeing a lot of support being provided by the central government, and the state administration has also played a very vital role in most of the projects seeing light of the day.

13
■ Shri Puneet – HSBC:
■ Understood. That's very helpful. Thank you so much and all the best.
■ Shri Amit Bhinde – Axis Capital:
■ Hello sir, Amit Bhinde from Axis Capital. So, I just want to understand what is the difference between the gross block that you would have made on the capitalized asset versus the NCT cost in the project that you commissioned in F26? And similarly, if you can give some inflation indicative number on the CapEx part as well that you are incurring. That's my first question.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Can you come back, again?
■ Shri Amit Bhinde – Axis Capital:
■ So, if you can help me understand the variance between the actual gross block that you will be recording on the balance sheet of the project that you have capitalized versus the NCT cost to understand the inflation impact on it.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ The NCT cost is purely a number which is derived much before the project is implemented, without going into the details of it. Whereas the cost what we undertake in our bidding has, to a greater exercise, has been done over there. So that is the cost what we go ahead while starting a project. But the real cost of a project is only after completion of a project. Whoever will be implementing a project, or whichever will be the infrastructure, the cost of the project is known only after completion. So, your question is what would be the difference between the NCT cost.
■ Shri Amit Bhinde – Axis Capital:
■ So approximately if you can give the variance, like 10-15% or so.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ From project-to-project we cannot specifically say how much it would be there. But be rest assured that whatever cost we have been taking up, with the quantum of experience what we have in this sector, all costs were factored well. And in case if there are costs which are surprised to us in terms of something which we could not fathom at the beginning of the project in terms of force majeure and change in law, we see that these are also being properly addressed as part of the Transmission Service Agreement.
■ Shri Amit Bhinde – Axis Capital:
■ The second question that I have is this bidding pipeline that you mentioned. In that if you can give some colour around the timeline as to when we are expectin

g most of this to come in Q2, Q3 etc. If
you have some visibility on that? And any slippage is a risk over there?

14
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ I think this question would be better to the planner. Please understand, there is a planner who arranges these activities. We would be asking similar questions to say that when are these projects coming because we are a developer now. But having said that, the timelines are very well known, and they are very well documented as when the RFP comes. And in case if they have a challenge in finalizing it because of the off-taker and all, there could be a shift in a couple of months. But by and large, the projects once they are envisaged here, have seen the light of the day. So be rest assured.
■ Shri Amit Bhinde – Axis Capital:
■ Thank you.
■ Shri Namit Arora – InGrowth Capital:
■ Thank you, sir. This is Namit Arora from InGrowth Capital. Sir, my question was around TBCB. Now you mentioned two statistics. One is that the number of projects you’ve won this year and also your market share since inception of 44%. So, if you could give us some background on are you seeing competitive intensity increasing for TBCB projects in terms of your discipline, in terms of the tariff or the IRR that you look at? And going forward do you expect similar market shares or success rates

in the TBCB projects?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Sure, sure. So, I would say that we have been in this sector for quite some time, initially under the cost-plus mode and it is more than now 14 years since we are into the tariff-based bidding. So, while undertaking the bids, we take into the quantum of risk-return framework of that particular project and then we go ahead, so that we are able to create value for our stakeholders. Keeping that in mind, whatever projects we are picking up, by and large would be in that focusing on that to make sure that the value for the stakeholders is ensured always. That's what I should say.
■ Shri Namit Arora – IndGrowth Capital:
■ Got it. Sir, my second question was in terms of the annual tariffs, most of your projects are ■100 crore plus, the ones that you won, but there are a couple of small projects also. So, in terms of your bidding, do you remain open to all projects that come out? And also, when the planners are designing, do you expect that the minimum size of the projects might go up, or there might be some small projects as well?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Okay, I should say that the smallest project which we have touched was somewhere about ■60 crores or so. The cost of the project was ■60 crores or so initially. So, the planners slowly realized that what should be the size of the project. For intra-State as you must be aware, intra-State there are thresholds which are defined by each of the state. So, they have given ■150 crore, ■250 crore depending upon the state. That is for the intra-State.
■ For the inter-State, we have the set of frameworks under which we have both or rather all the three, the CTUIL, the NCT and the Ministry of Power; they determine what should be the size of project which has to go to the TBCB. So as far as what is determining that, it is that particular entity

which identifies it. And whatever be the size of the project, the quantum of the activities involved are the same and we are indifferent to a smaller project or a larger project. We are more, as I said, we look into the total risk return framework of that particular project and then we go ahead for it so that we are ensuring that the value to the stakeholder is always intact.
■ Shri Namit Arora – IndGrowth Capital:
■ Thank you, sir. My final question was around technology and innovation both for asset management as well as for new projects. So while you are using a lot of technology, if you could give us some background, l

et us say whether it is drones or new technology, both for asset
management given your very large network as well, as for new project implementation, especially considering that you operate in very difficult terrains also at times. So, in terms of innovation and technology, is it at par with what is being done globally, or are there some more innovations that you are considering to enhance your asset management and new project implementation capabilities?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Thank you so much for asking that question. So, as you understand, as the size of the network grows, which is an operation, and the intensity of project implementation also grows, we have big challenges in both of these. One what is in hand, it is massive, and what we are growing is also a massive structure. So we need to actually, with the quantum of manpower, what we have, we are very keen and focused upon bringing in new technologies to make sure that at no point of time my operational parameters are low or continue to be high, and at the same time the project implementation is at the best.
■ So as far as the operational part goes, POWERGRID has been one of the initial inroads what we have made in trying to not only have more of a technology-driven, but also AI-driven approaches in trying to identify the shortcomings or the defects before they really materialize into a massive impact on the system. So, we are able to detect them early and rectify them and take action at an early stage. With this approach, we are having a good number of AI-driven technologies and unique applications developed by POWERGRID only, not elsewhere. So unique applications which POWERGRID has, both in terms of towers as well as the major equipment; we do have this. And we are also moving more towards reliability-centred maintenance. So, this would be one of the first in the world what we are also looking at. Apart from that, we are looking into indigenization of one of the solutions, software solutions, which would also help the country in maintaining the security aspect. As and when we move a lot of IT into the system, we need to balance it with the adequate cybersecurity as well. Taking care of that, we are moving as far as the operational front goes.
■ And on the construction front, we are no longer in that initial primitive stage understanding the status of a project. We have the entire streaming, live streaming of all the projects that are available. We have a monitoring team wherein we look into the projects. Sitting in our control room, we can see all the projects, what is the status of it. Not only merely the projects, but the status is also updated on a handheld device. So internally, indigenously, or rather POWERGRID only developed that app wherein all this data is coming, and there is one single truth about the project, so that we know what action has to be taken, and timely action is taken to make sure that the

project is not having any time or cost overrun.

■ So, with these initiatives, we are confident, and also including the transparency and quality and all which we are bringing in, all these things will be positioning us in a good stead, not only in the growth of the company for new projects, but also maintaining the operational excellence what we already have.
■ Shri Namit Arora – IndGrowth Capital:
■ Superb. Thank you for your very detailed answers and all the best, sir, thank you.
■ Shri Archit Singhal - Bajaj Alternate Investment Management Limited:
■ Yeah, hi. So, this is Archit Singhal from Bajaj Alternate. So, two questions. First, you mentioned on a slide the opportunity size of ■15 lakh crores, right? And we are doing annual CapEx of around ■40,000 crores as of now. So, is it fair to understand that maybe three years from now, the annual CapEx number itself can increase to ■50,000 crore, ■60,000 crore or ■70,000 crore or is that like a too far-fetched a

ssumption?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ It's not far-fetched. As and when these things materialize, understand transmission is an offshoot of the generation and load. I would have said few years ago it is generation, but I would say it is an offshoot of generation and load. The quantum of transmission evolution depends upon how much of generation is happening and how much of new load centres are coming up. So, as and when those are materializing, it is no option, but transmission will have to happen. Because as I said to you, transmission is the only way how electricity can move. You cannot take it in a tanker. So, I'm sure that as and when the generation comes up in new locations and the load centres coming, it is a common denominator for everything, whatever be the nature of generation, including nuclear power or whatever it is, because electricity is a fungible good and transmission is a neutral carrier.
■ Shri Archit Singhal - Bajaj Alternate Investment Management Limited:
■ And sir, a linked question is, I mean, as execution is picking up, capitalization numbers are improving. So, is it fair to assume that the earnings growth for the next three years will be significantly better than what it was for the last three years?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ You are not wrong.
■ Shri Archit Singhal - Bajaj Alternate Investment Management Limited:
■ Okay. Perfect. And sir, second question, second question on the HVDCs, you mentioned 22 are there in various stages of planning and bidding. So, what is the time period we are looking at these 22 HVDCs to come? Is it like every year we can have two to three HVDCs coming for the next 6-7 years?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Again, as I said to one of the gentlemen, it is the planner who will have to identify this question. Having said that, that's a disclaimer, the planner will identify it. So, having said that, it all depends

upon the many aspects will have to be fixed in for a particular system to be evolved, a transmission system, more so a HVDC system also. So, meaning that the potential generation centre, the potential load centre, the timing, what has to come, and then the number of OEMs who are willing to provide the solution in a particular timeline, should be taken. Because now to get the HVDC system in a matter of one or two years is not possible. So, you need a longer perspective. So, factoring all these, only then the solutions will be emerged.
■ And as and when they come, definitely there will be enough time for all of us to understand it, and we also require the time to undertake our bidding. So, it will come. These projects are there and they will become visible as and when we move forward. It will happen.
■ Shri Archit Singhal - Bajaj Alternate Investment Management Limited:
■ Got it. Thanks.
■ Shri Subhadip Mitra - Nuvama Institutional Equities:
■ Yeah, hi. Good afternoon. This is Subhadip here from Nuvama. My question is more around the macro-ordering. I understand that in some of the past interactions that we've had, you alluded to a number of somewhere between ■80,000 crores to ■1 lakh crore of annual tendering opportunity that can emerge. If we break up that ■9 lakh crore, let's say out of that maybe ■3 lakh crore already ordered, another ■6 lakh crore left, probably over the next 4 to 5 years, roughly, that's the number we come to, and you can correct me if my math is wrong. So, taking that into consideration, do you see an upside to that number that opportunity can be higher than this number?
■ And secondly, as a derivative of that, once POWERGRID reaches an annual CapEx of let's say around ■45,000-50,000 crores over the next two years, is there a further upside to that number or do you think that number can stabilize somewhere around that ■50,000 crore mark?
■ Shri Burra Vamsi Rama Mohan – C

hairman and Managing Director:
■ Okay. The share of electricity presently in the energy basket is about 22%. With the ongoing crisis and more impetus on electricity having a larger share, you'll be getting obvious answers where we should move as far as the electricity goes. And if electricity share increases in the energy basket, obviously the transmission also will have to follow suit. So, the answer for your first question that whether it will grow? Yes, it will have to invariably grow given the kind of conditions where we are in. Apart from that, a significant amount of intra-State is also coming under the tariff-based competitive bidding, meaning that more tenders are being floated as we speak. So, we see an opportunity only increasing. The bubble is increasing more and more. I'm not saying bubble, but then the entire horizon is increasing more and more. So, giving us more opportunities for us to delve in. And as we see that the opportunities grow naturally, then the top line also can't be left behind. It will have to grow.
■ Shri Subhadip Mitra - Nuvama Institutional Equities:
■ Understood. And specifically on the intra-State piece, you know, within this ■6 lakh crore opportunity, would you say that the intra-State is roughly 50% of that? Is that a right, let's say, thumb rule to go with?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ No, no, no. It could be… See, these projects will have to evolve eventually. And most complex part of it is that the cost of the intra-State is not predefined anywhere. It is not stated. It is only a fraction sometimes of the total project cost. So, being guided by that particular number may not actually yield us any particular figure over there. But for safety, we can say that there is a good amount of opportunity in the inter-State and also a good amount of opportunity on the intra-State, because these two will have to go hand in hand. Because we cannot simply develop an inter-State and leave the intra-State just like that. So, they have to grow and they will grow together.
■ Shri Subhadip Mitra - Nuvama Institutional Equities:
■ Duly noted. Last question on the HVDC side, while you did answer, I think, in the previous question. From a near-term tendering and opportunity perspective beyond, let's say, I think the Barmer line, are there, let's say, a couple of more projects that you see visibility of over the next 12 to 18 months on HVDC?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Yes, it should be. As I said again, it would be the planner who would be deciding it. As you understand, the planning activity is done by a different entity.
■ Shri Subhadip Mitra - Nuvama Institutional Equities:
■ Of course.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ So, as and when it converges, it will come through. It should happen. It should happen, because power being generated and we need long distance evacuation systems, so they will follow suit.
■ Shri Subhadip Mitra - Nuvama Institutional Equities:
■ Perfect, sir. Thank you so much.
■ Shri Nikhil Nigania – Bernstein:
■ Hi, sir. Nikhil here from Bernstein. I just had one question. So, now 80% of our work in hand is TBCB. And since we've won these projects, every single cost head has gone up, whether it is conductor, transformer, land, and possibly long duration interest rates. So, earlier, we were guiding on about 11 to 13% equity IRRs at least some time back on these projects. Do we still believe we can meet that threshold of equity IRRs on these projects given the rise in rates, given the rise in all these costs and our inability to pass them through?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ As I've said, we are in this business for the last many decades. And in the transmission, TBCB also, we are proud to state that we are more than a decade now. For almost 14 years, we are into this. So, while und

ertaking this, we do factor these aspects as to what is the probable increase in it. There are provisions taken care for that.

■ Having said that, in case there is a surprise which comes, which cannot be factored into a typical bid, they are well claimable under the change in law, which is provisions which are available in the Transmission Service Agreement. So, keeping this in view, we make sure that wherever we are bidding, whatever we are doing, we are able to protect the returns for the stakeholder. We are doing that.
■ Shri Nikhil Nigania – Bernstein:
■ Understood, sir. So, what do you say it's the same range, 11 to 13% equity IRR?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ It could be better as well. Please understand the model of a cost-plus RTM mode and a TBCB. The better you do in a cost-plus model; the returns are pegged to whatever be the cost of the project. Even if you do the best of the innovations, I mean, that's the way how the model is. It's not

particular to transmission sector, and it's not particular to India. Wherever there is an RTM mode, be it any network, asset, etc., anything which is being developed in the RTM mode, the incentive for a better costing or a better operational efficiency is not discovered. Under TBCB, that is available. So, after the tariff, if you are able to bring more of efficiencies both in terms of the construction and the operational front, definitely that would be reflecting in the returns. There is an opportunity.

■ Shri Nikhil Nigania – Bernstein:

■ Fair point, sir. Thanks for the response.

■ Shri Mohit Pandey – Citi Research:

■ Yes, sir. This is Mohit Pandey from Citi Research. The first question, if you could give some colour on the phasing of the CapEx and capitalization for FY27? Will it be very back-ended, 2H heavy in terms of CapEx and capitalization phasing?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ I think I've already answered that question, right? CapEx? CapEx guidance you are looking at?

■ Shri Mohit Pandey – Citi Research:

■ No, no, not guidance. The phasing part of it. So, in FY26, it was very back-ended, second half heavy.

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ Okay, right. You are talking about the phasing part of it.

■ Shri Mohit Pandey – Citi Research:

■ Yes, yes.

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ Let me tell you, the transmission projects are not guided by a calendar year or a financial year, okay? They are guided by the quantum of work which is involved in it. So, maybe a project is taking

about 18 months, 20 months, 24 months, and that could happen in this financial year, or it could happen in next financial year. I just wanted to use this question to answer or to clear thoughts that why it is happening here, moreover it is happening less here. It depends upon the project which is started off and when it is ending. Hopefully, number of projects may converge on a particular quarter, so you see something magic has happened. No, magic was happening right from the beginning. So, it only culminated on a particular quarter over there.

■ And as far as phasing which goes, you should also understand that there are certain seasons wherein the transmission projects find it a little challenging trying to move forward over there, particularly the rainy seasons. But having said that, if you have completed all the projects and it is only a matter of commissioning of the system and the substation, they do take place. So, keeping in view the challenges, what will be coming forward, both in terms of right-of-way, the forest clearances, and then the disruptions going due to the natural calamities which are much more now, if you can try to say that. So, depending upon that the projects may converge. And by and large what we see is it will have an even spread across the quarters over there. It should

be happening.

Maybe you should be seeing few projects getting commissioned shortly or maybe it may take a month here and there, but then it would be evenly spread. It would be evenly spread. It is only incidental, coincidental that it happened in the previous financial year, everything happened in Q4, but not necessarily it should happen in the same way every time. No, there is no such statement happening.

■ Shri Mohit Pandey – Citi Research:

■ Understood, sir. Sir, so for last year, what proportion of the CapEx and capitalization exceeding guidance would you attribute to improvement in right-of-way challenges versus projects without those challenges coming in for commissioning?

■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ Every project is plagued with right-of-way. Every project is plagued. Not only right-of-way, sometimes you have challenges in the supply chain as well. With high intensity works is happening across the country, there are challenges both in terms… Let us not only ascribe it to right-of-way alone, it is also right-of-way, the challenges in terms of the supply chain, few of the equipment. Sometimes you do not get a small equipment, the entire project is put on hold because of that, because massive amount of works are happening in the country. And then the availability of the labour or the skilled labour for us to undertake the works. So, all of that will culminate when all of that gets through, then the project is done.

■ Shri Mohit Pandey – Citi Research:

■ And sir, final question on the deferred tax asset linked movements from this quarter linked to tax changes. So, bulk of it is done or should we expect similar movements in the coming year as well?

■ Shri G Ravisankar – Director (Finance) & CFO:

■ All the TBCBs are already in new regime. Only POWERGRID was continuing in the old regime. So, we will be migrating to the new tax regime. So as per the Act/standards, we should re-measure the deferred tax liabilities for the one time this effect has already been given. We don't expect further re-measurements in the future years.

■ Shri Mohit Pandey – Citi Research:
■ Understood sir. Thank you so much. Thank you.
■ Moderator:
■ Last couple of questions if any, otherwise we can call it off. Over here.
■ Shri Shirom Kapur – Jefferies:
■ Hi sir, this is Shrom Kapur from Jefferies. I had a couple of questions. One, you alluded to sometimes projects can get delayed because of equipment supply issues. So, in the past we have seen that we have seen extended lead times for procurement of transformers and various other equipment. Could you comment on that? Are we still seeing stretched lead times? Is there a demand-supply capacity gap? What is… if you could quantify the capacity of transformer manufacturing in India right now versus the demand? That would be my first question.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ The capacity stands at about 300 GVA and the demand is much higher than that. 400 plus GVA in a particular year. I am talking in terms of the transformation capacity for both transformers and reactors.
■ Having said that, for the couple of years what we are seeing in terms of the challenges in procuring these units, a good amount of capacity expansion has also been undertaken by the OEMs. That is happening on one front. And we are going for bulk procurement, which is taking away the project specific procurement, giving enough lead time for the OEM also to supply the equipment. So, that is the reason you could see 72,000 MVA being added in one single year. Massive amount of capacity which has been added to that.
■ Other thing what has happened which I would like to also mention here is that the timeline, which was earlier, about 18 months for implementing a project, that was putting stress not only on the entire project but also on the OEMs as well. But with that being rightly recognized, and now th

e
timelines have been recently increased to about 26 and 30 plus months, so that is giving enough room for the OEMs also to deliver. So, I see that multiple things which are happening, the timelines being increased and more predictability in terms of the orders which are there, capacity expansions which are happening, so all these things we look forward, we will try to ease down that particular situation, hopefully. But then the intensity of works also as it increases, more new projects coming in. So, we will have to see who is going to catch up with whom over there. That has to happen.
■ Shri Shirom Kapur – Jefferies:
■ Understood, sir. And the second question is on, so you know in FY26 your CapEx guidance of ■35,000 crores which you surpassed now and achieved ■40,000 crores, do you see two years down the line your capitalization guidance which you have maintained at ■35,000 crores, is there scope for that actually being upgraded given that your CapEx also was higher than you had initially estimated?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:

■ Yeah. Yeah. CapEx capitalization will have to follow. We will have to follow. Is there any option? So, it will follow. It will follow.
■ Shri Shirom Kapur – Jefferies:
■ Thank you, sir.
■ Moderator:
■ One last over there. To my left. Okay, this one and then the last one over there.
■ Participant:
■ Hi, sir. Just one question on the regulated equity. If you can share regulated equity on a standalone basis and a console basis.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Regulated?
■ Participant:
■ Equity.
■ Shri G. Ravisankar – Director (Finance) & CFO:
■ Regulated equity will be only in the standalone. So, for TBCB there is no regulated equity first of all. Whatever is appearing in the books in the standalone, is as good as that.
■ Participant:
■ Okay, sir. Thank you.
■ Shri Dilip – ICICI Securities:
■ Hi, sir. This is Dilip from ICICI Securities. So, my question was the CEA is planning to increase the fixed charges for the consumers. So, I was just thinking whether it can benefit the POWERGRID, or how it can benefit POWERGRID?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ So long as the Discoms are having a very healthy practice to get their revenues, it is good news to us.

■ Shri Dilip – ICICI Securities:
■ So basically POWERGRID…
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ So, the best solution if it is given to the Discoms, if the Discoms are healthy, it is good news.
■ Shri Dilip – ICICI Securities:

23

■ So, POWERGRID also can benefit from this?
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ I am not talking about this, but then if there is some solution which is provided wherein the Discoms are going to be that much healthy, it is definitely good news to us and good news to you.
■ Shri Dilip – ICICI Securities:
■ Okay. Thank you so much.
■ Shri Burra Vamsi Rama Mohan – Chairman and Managing Director:
■ Thank you.
■ Moderator:
■ All right. On that note. Thank you, sir. It was nice. There are a few more segments, quick ones. I now invite Mr. Sanjay Sharma. He is the Executive Director - Corporate Planning, for the vote of thanks. And after that, a few photographs with you.
■ Shri Sanjay Sharma – Executive Director (Corporate Planning), POWERGRID:
■ Thank you, Mr. Bakul. Respected Chairman & Managing Director, POWERGRID, members of the Board of Directors, other members of POWERGRID family, our investors and analysts, and dear friends, a very good afternoon to all of you. On behalf of POWERGRID, I thank all the analysts and institutional investors for joining us today in spite of a very busy results season. Your presence and your continued faith is always inspiring and means a great deal to us. I thank the CMD and the Board of Directors for their continued guidance. I also thank the

organizing team of POWERGRID
Western Region I, ably led by Executive Director Shri A. K. Behera ji, for meticulous planning, and all the logistical support provided by the hotel, our arrangers, for the manner in which they have organized this particular meet. We value your partnership and look forward to continued support. Thank you.
■ Moderator:
■ Sir, we request you to just stand up for a photo. And after this, team POWERGRID, please be on standby for complete team photo after this. POWERGRID team, please, quickly on the dais.
End of Transcription